

Cams Services (CAMS)

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"Computer Age Management Services Limited
Q1 FY 23 Earnings Conference Call "

August 08, 2022

MANAGEMENT : MR. ANUJ KUMAR - MANAGING DIRECTOR , COMPUTER AGE
MANAGEMENT SERVICES LIMITED
MR. RAM CHARAN SHARMA - CFO, COMPUTER AGE
MANAGEMENT SERVICES LIMITED
MR. ANISH SAWLANI - HEAD INVESTOR RELATIONS , COMPUTER AGE
MANAGEMENT SERVICES LIMITED

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Page 2 of 13 Operator: Ladies and gentlemen, good day and welcome to the Computer Age Management Services Limited Q1 FY'23 Results Conference Call hosted by Orient Capital. Today we have with us on the call, Mr. Anuj Kumar, Managing Director, Mr. Ram Charan, CFO, Mr. Anish Sawlani, Head Investor Relations. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anuj Kumar, Managing Director for his opening remarks. Thank you and over to you, sir .

Anuj Kumar: Hi, thank you, Seema and good morning, everyone. Welcome to this earnings call of CAMS . I will quickly give you a broad overview of how the quarter panned out, and then we will take you through a more structured presentation, some of you may have downloaded it already. But just in terms of the background and how the overall quarter went, as you know, it's been a slightly tough quarter. And why do I say that? That's because stock market indices saw some sustained headwinds and therefore, valuation of equity assets did see an impact. Also because of certain circumstances in the background, new fund offerings, as you're aware, did not happen almost throughout the quarter. And this did impact build out of equity assets as well as slowed some of the activities we see in the KRA Company . Despite these two things in the backdrop, there are consistent positives which played out through the quarter at the foundational level. And I will speak about the key ones and they do give an impression that foundationally it's a strong market and the right things were happening.

The first of course, is that in terms of equity inflows, you know that 's perhaps the most

important metric here, gross and net equity inflows for us remained buoyant. Our net equity inflows, showed up at 37,000 crore so, which is a remarkable number given the quarter. Given this, equity assets actually grew despite the headwinds in the stock market, equity AUM, actually grew, and grew by 2.6%. SIP inflows remain consistent in the quarter, remained over 20,000 crore. And you know that, that number has perhaps been expanding for the last five or six trailing quarter. This was the highest number that we have recorded. So we grew over all the previous trailing quarters. SIP registrations, when seen in the context of the previous quarter, in context of 4Q FY'20 was slightly muted. There were 36.5 lakh compared to 43 lakh in 4Q. But if you see a year-on-year trajectory, we grew handsomely. This number was 28 lakh in 1Q last year and grew to 36.5 lakh during the quarter. So, year-on-year, a strong increase. Overall AUM, despite the growth in equity AUM contracted a little, contracted by 1.6%, largely led by what was happening to bond prices, interest rates, and therefore debt and liquid assets. Amongst the other businesses, our AIF business

grew 30% year-on-year on the back of sustained signings. And we expect it is poised to have a similar run over the next 12 months to grow 30% year-on-year in revenue. We continue to invest in new businesses, especially in PFRDA an account aggregator. And we do continue to focus our energies and push the agenda forward on MF Central, as you're aware. Our payments business also grew revenue year-to-year, 20% riding on the back of new customer acquisition. So, that is our overall commentary on how the key metrics related to our businesses panned out. I will just get into a little more detail. Like I said, talking about the core business, about the mutual funds business, saw a 2.6% increase in equity AUM, despite the headwinds. Overall assets, like I said, saw a marginal decline of 1.6%. The other important thing is that our share and key metrics, and I will talk of net sales and SIP registrations, improved quarter-on-quarter, and we retained market leadership with 69% share. In the alternative services market, we continued the growth trajectory, like I said, recording 30% year-on-year growth in revenues. Specifically CAMS Wealthserv, which is our digital onboarding platform, has been well received and that momentum continued. We now have 40 plus clients who signed up on this platform. Nobody was expecting the digital penetration of the AIF and PMS market to be so quick. All this has happened within one year. So, we are expecting this trajectory to continue.

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Page 3 of 13 On NPS CRA we, as you are aware, had launched the first - CRA platform on the Cloud in March. '22. eNPS is now live. POP sales and corporate business are in pilot phase. I think the important thing is that within a short span of time, we've achieved over 10% share in eNPS sales. Like, you know, this is direct to consumer purchase mostly by people by paying money from their bank accounts, no employer contribution kind of architecture is there. So, we got to number two position in eNPS at over 10% market share.

Similarly, in account aggregator, we recorded 10 new wins, took our overall tally to almost 20 signups. We now have 12,000 downloads of the mobile app. The most downloaded account aggregator app now. MF Central did well, it solidifies our role in the MF ecosystem, and we are seeing significant interest from Fintechs in particular, for the CAS APIs and for various other transactions kind of APIs, so, we'll talk a little about that further. And amongst our other digital assets, myCAMS crossed 5.25 million user base, and continues to retain its position of the largest MF app in the country.

In insurance, the Policy Genie deep contact tracing solution. We've spoken a little about this in the last two quarters. We assisted insurance companies and closing out almost 31 crore of unclaimed benefits in 1Q, as you are all aware this is an important metric for insurance companies. And then overall, I think from a digital solutions perspective, we continue to improve our relationships with insurance companies and improve our delivery capability to the insurance policy holders across the board.

As you're aware, we continue to build out the nature, the character of the company to be a full stack and intelligent platform for capital markets. So if you see, what we have here today across eKYC, e-signing, digital onboarding, and we have digital onboarding platforms almost across the board, anti-money laundering checks, validation services, all of these together with the core MF and the core AIF platform create a 360-degree digital stack for the capital market ecosystem. And then, outside of those, you know that we've been assisting banks and NBFCs, and our AMCs in ensuring there is a simplified

accelerated architecture for loan against mutual funds. Our reconciliation products

continues to find acceptance both with mutual funds and outside, especially with insurance companies. And like I said, MFCentral has now continued to improve its relevance, amongst the consumers certainly, but from a business enablement perspective, we see the Fintech stepping forward and showing sustained trust.

Overall, our stack of APIs in terms of how we service customers, -- AMCs, that continues to grow. From a CAMSPay perspective, UPI has been a very smart addition and like you've read, we've been the first in the industry offering UPI auto pay as a solution to the marketplace.

Next, I will talk a little about our share and overall AUM net sales and SIP registrations. I spoke about this, but just to get into a little more detail. Year-on-year, we saw a strong 35% increase in equity AUM. It grew from about 8.38 lakh crore to 11.32 lakh crore. Our shares in industry equity assets and that's I think a strong redeeming factor that is increased by 3% year-on-year, from 62.7% in this quarter last year to 65.7% in 1Q FY'23. So if we see, I mean, despite the fact that it was slightly tough quarter, when you see the fact that equity inflows remains sustained and very strong, and these are net inflows, gross SIP inflows were at the highest ever, SIP registrations improved handsomely over last year. And our share in industry equity assets have grown almost 3% when you club all of these four facts together, it points to a strong foundational trend. Like I said, our new SIP registrations grew from 28 lakh last year 1Q, to 37 lakh this year.

Our share in new SIP registrations again, moved up significantly. 61% now to 55% last year. These are numbers that you've been seeing over the quarter, so you can see the contrast. And then, I think from an SIP inflow perspective, if you see the various numbers October to December, '22, which was 3Q last year, just under 19,000 crore, Jan to March 4Q over 20,000 crore, and then 1Q at 20,953, just under 21,000 crore. So, that vision continues to grow in the last two quarters, almost clocking a 1000 crore more than the previous quarter. The underpinning to that and leading metric to that is the SIP registration count. And we believe that this juggernaut will continue to remain intact in Computer Age Management Services Limited
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Page 4 of 13 terms of momentum. And like I said, CAMS service funds continue to clock over 10 new lakh SIP registrations all for the last many months.

In terms of client base therefore, we continue to service each the top five AMCs as you are aware. 10 of the top 15 AMCs. But just seeing basis equity assets, which is covered on the market, but an important cover, four of the top five AMCs based on equity assets are with us. So, that, that kind of shows you the strength of the franchise. A little bit about MFCentral, like I said, we are seeing sustained user interest, which is a great metric to have on our side. This is a property, of course, that the two ideas are built together. So we see about a thousand-year registrations per day. Of course, this number will move up as we do a formal go to market. Right now there is no high decibel promotion happening, but despite that we get about 1000 registrations per day per month – sorry, per day. Mobile app downloads at about 75,000. Executing between a 1000 to 1500 requests of all kinds every day, touching almost 10,000 login sessions. So it's a differentiated product built as a thin linear on top of the RTA systems. And like I said, for the, for the combined account statement, which is a popular way to keep investors informed of their holdings on how the portfolios are moving, we're seeing a lot of interest

from different tax and

from other market participants, including advisors and brokers for these APIs, as well as for the transaction APIs.

I've spoken a little about the alternative business. As you've seen, the number of AIFs now registering every quarter is reaching a crescendo and we are seeing accelerated signing performance now almost for four quarters and running, but significantly in the last two. The riding on all of this, we saw growth trajectory revenue clocking almost 30% year-on-year growth. And like I said, we could see, although I don't want to make any forward-looking statements here, similar growth numbers in the next 12 months. New business addition with 15 new wins in the AIF and PMS segment. And, of course, growth of business in the base drove all of things.

On CAMS Wealthserv, like I said, the adoption has been rapid. Over 40 funds have signed up for our AIF and PMS digital onboarding. Significant new features like onboarding of NRIs, etcetera have now been added. And then, like we've said, we want to take this count to make it touch at least 100 within the financial year. On Fintuple, which is a transaction we'd announced in April of this year, about four months back, Fintuple continues to build a momentum. There's multiple new signups and are now beginning to offer e-sign and e-KYC to their customers. And in the GIFT city now we are signed up in business now with five clients.

On account aggregator, I think all of you are aware that public sector banks were all asked to participate in this market by end of July. So, technically all of them are now part of the architecture, coming into integrate with us. We did our first consumer and industry event for the capital markets about two weeks back at Mumbai and saw a strong participation. And like I said, we continue to sign up banks, housing, finance companies, brokerages, etcetera for participating with us both on the AA and TSP platforms.

On NPS, like we said, e-NPS, which is the segment that we've been live and we've been actively soliciting business and building business, mostly through digital marketing. Of almost the 76,000 plus e-NPS registrations in the quarter, we got just short of 8,000. So, that translates into a 10% share and number two position. Our government and the APY, which is Atal Pension Yojana, those segments are under design and development. And then, we are engaging with the ecosystem entities, P OP and corporate is really the next segment, which will go live in the short run. And we're actively preparing to make things happen there. Our CAMS NPS website logged over 2 lakh visitors. You can see the number there, 2.20 lakh during the quarter.

So, market share perspective, overall 69% market share, so a stable number. Like we said, net flow into equity assets, the main positives. Inflows through SIPs increased 4% quarter-on-quarter, but the significant metric is improved over 40% year-on-year. I think that's a significant metric. AAUMs service by CAMS at over 26 lakh crore which is 26.2 trillion. Overall assets went up 13.8% year-on-year contracted 1.6% quarter-on-quarter.

The very interesting, compelling story on equity AAUM at 11.3 trillion or 11.3 lakh

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Page 5 of 13 crore. Assets grew 35% year-on-year. So, significantly ahead of industry and 2.6% quarter-on-quarter again, significantly ahead of industry.

On transaction volumes again, on the year-on-year basis, you will see between 25% to 40% improvement just across the board. Overall transaction volumes to 115 million last quarter, so, contracted a little quarter-on-quarter. Year-on-year transactions went 27% up, SIP book, which is the underpinning of all the collections and net flows that you see grew 37%

year-on-year, about 5% over the last quarter. SIP processed riding on the same metric of registrations went up 3% quarterly, 39% year-on-year. Live investor folios are now over 5 crore or 5.3 crore so, 50.3 million. Again, 28% up year-on-year, and unique investor service is just short of 2.4 crore or 23.6 million grew 40% year-on-year.

So, like I said, if you look at all the foundational metrics, investor participation, SIP book, SIP registrations, net flows into equity, both gross and net, equity market share, and equity AUM, all of those positive numbers despite the headwinds will not take away the fact, it was a slightly tough quarter overall and we are expecting at some time for growth to come back to the industry. So, despite all that I think the underpinnings. I will now hand over to Ram Charan, our CFO to take us through the financials.

Ram Charan Sesharaman : Thank you, Anuj. So, I will just spend the next five minutes giving a flavor of the numbers, the profits, the revenue numbers, and the AUM numbers.

As you heard, Anuj say, during the year, the – during the quarter, the AUM for Q1 had grown sequentially, had grown year-on-year around 13.8% and there was a smart growth in the equity funds at 35%. On a quarter-on-quarter basis, there was a small de-growth of 1.6%, but the equity still grew at around 2.6%. So, the impact of this is from a mixed perspective, we are having a favorable impact as you know, equity is the higher yielding asset of the entire mix. And hence, you would see from a yield perspective, there is some benefit that we are getting from this. From a revenue, for the year, for the quarter, we actually had a revenue of 236 crore, which was up 17.5% year-on-year. The comparable revenue was 201 crore in the last year first quarter. And sequentially, it was down at 2.8%.

If you actually break it down into asset based and non-asset-based revenue, the asset-based revenue actually grew 16%, 15.9%. If you just compare that with the AUM growth year-on-year, which was 14%, we generally see the trend where, in a – we see that the asset revenue growth always lags the AUM growth. But because of the favorable impact of the mix, which is the equity has grown around 35% year-on-year, we are seeing that the asset-based revenue is outpacing the growth in AUM for this quarter. It is consistent with the commentary that we have been giving earlier in terms of the mix of, impact of the mix. On a sequential basis, though, there was a small de-growth in the asset-based revenue. Again, if you see the de-growth from overall AUM perspective was 1.6%, but the asset-based revenue actually went down only by 0.3%. Again, the favorable impact of mix is playing out here. The comparable number for last year the same quarter was 155 crore whereas it's 181 crore for the current quarter from asset-based revenue perspective. The non-asset-based revenue was up 30% year-on-year, mainly on the back of the

transaction revenue. If you remember, the same quarter last year, there was this impact of COVID that was playing out in the markets and in terms of front office transactions. So, on the back of recovery of transaction-based revenue, the non-asset-based revenue has come up by around 29% year-on-year. On a sequential basis due to drop in transactions and also because of hold in inner force, which was a regulatory requirement, the number de-growth went on by 9.7% quarter-on-quarter. The non-asset-based revenue for the quarter is at 33 crore as compared to 25.51 crore for the last year, same quarter, and 36.4 crore for the sequential quarter.

On the non-MF revenue, for the quarter we ended the quarter with 22.81 crore non-MF revenue. This was compared to 19.7 crore the same quarter last year. Hence there was a year-on-year growth of around 15.3 percentage. This was on the back of what Anuj was mentioning, a smart growth in the AIF business.

We are seeing sustained momentum in the AIF business and there was growth all around, in the repository business, in the payments services and other businesses, there was an increase compared year-on-year. Computer Age Management Services Limited
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Page 6 of 13 On a sequential basis though, the non-MF revenue, there was a decrease. Apart from AIF continued to be the bright spot in this, although even on a sequential basis, the revenue grew for AIF. But from other businesses, there was some impact. The last quarter of the year is generally, the busiest quarter from insurance and repository perspective. So, there will be naturally some de-growth in the first quarter. But because of no inner force, there was some impact on KRA revenue. So, overall the revenue actually quarter-on-quarter basis came down 10.7%.

The asset mix being favorable that there was a positive impact on the yields. I think the research reports have already come out, but year-on-year, and as well as quarter-on-quarter, we are seeing the yields remain stable to actually go up marginally, which is again, consistent with the commentary that we had given in terms of mix impact and the growth impact.

Coming to the profitability numbers, if you see the operating EBITDA, on a non-IND AS basis was 91.5 crore, which is up 5.1% year-on-year and down 13% quarter-on-quarter. This margin was around 39% from a non-IND AS perspective, from an IND AS perspective, capitalization of leases the margin is 41.5%, which is compared to 46%, both on the sequential basis as well as the last year. So, the reduction in the margin, is mainly on account of the investments that we are making. There are two-three aspects that contribute to this. One is on the spend that we do on the technology, because of the AUM growing or not growing on a quarterly basis, our investments in technology resources and in technology in platforms, is not going to slow down for one quarter. So, we continue to invest in technology, just to give you a perspective.

On the incremental spend that we have done on salaries and other software expenses, more than 35 percentage will be the amount that we have spent only on technology resources, only on platform building out. So, this is something that we are continuing. Part of it is a function of the market where we will have to retain people, and we are getting high-cost resources from a technology perspective to ensure that our cutting-edge technology remains same. And also from a platform build perspective where there will be some cost that we incur up front. And Anuj spoke about the various platforms that we're building out in the earlier slides, where there is this MFCentral, there is this AA and TSP which actually will have a good revenue potential going forward, but this is upfront investments that we continue to make by getting high-cost technology resources.

So, this is contributing to a large part of the increase in salary cost. There is also a non-cash expense of ESOP which I've indicated also in the presentation. On a year-on-year basis, the ESOP cost is almost like a 7-crore increase. Of the 20 crore increase in salary that you see, almost 7 crore is because of the ESOP, and the remaining things, most of it is because of the technology and other increments that we have to give and investments that we do in platforms. So, that's the explanation for why your EBITDA margin growth and your sales growth, there was a lag between the two. This is something that we continue to invest in, and we never take any short-term decisions to discontinue any investments in resources or technology because of one quarter where we see the assets not growing. That's consistent with our earlier commentary, where we said that, in, in the event

of the assets not growing too much, we expect our EBITDA to be just below 40 percentage. And in the event of the assets growing, we are going to be much more than 40. I think that commentary, which we have been consistent over the last few years has played out in the current quarter, where on an IND AS perspective, we see a 41.5%

EBITDA, but a non IND AS perspective, probably a 39% EBITDA.

From a PBT perspective and from a PAT perspective, this is mirroring the growth and profits on EBITDA. So, we are up 2.5% year -on-year from both PBT and PAT perspective and down around 12% quarter -on-quarter. We ended the quarter with a PAT of around 64.78 crore , as opposed to 63.24 crore in the same quarter last year and 73.8 crore in the Q4 of FY'22. Our return on network continues to be impressive, with around 39 percentage. And we ended the quarter with a healthy cash and cash equivalent around 437 crore .

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Page 7 of 13 We have declared, the board has declared an interim dividend of INR 6.75 per share, which you would've read in the press release that we have done. So overall, the revenue tracks the increase or decrease in the AUM. The non-MF revenue had a small dip because of some factors, which we have explained. But the investments in technology resources, in platform building out, and in the non-cash charge, as well as the increment, that is a function of the market to retain these resources, it's having a drag on the profitability. And that's the overall commentary on the profit.

So, with this, I hand over to the moderator for any questions that the participants may have.

Operator: Thank you very much. We will now begin with the question -and-answer session.

We take the first question from the line of Anand from WhiteOak. Please go ahead, sir,

Anand: Thank you for the opportunity. In terms of the investments that we are making, do you see the entire impact has come in the current quarter or we can see incrementally more impact as well in the coming quarters? So for example, the salary increase 20 crore, is there more salary, absolute salary increases that are going to come due to additional hiring that might have happened in maybe last month of the quarter or something like that?

Ram Charan Sesharaman: So, Anand, to answer your question, it's not expected that that will happen. If you see the annual increment cycle, it kicked in from 1st of April, so, we've taken the full impact in the quarter. Going forward, we don't see an additional impact because of any salary increases or any such onetime impact that we get. So, the impact is there fully in this quarter. There is no part of the month impact that you're seeing. Does it answer your question or was there something else you wanted?

Anand: Yes. No, no, that surely answers. And broadly, on the fixed investments, like our depreciation is also higher. So, from fixed investment perspective, can you give us some color? Are there any specific investment needed in rest of the year?

Ram Charan Sesharaman: Sure. So, you are right. See, from an investment perspective, there is a lot of requirement from RTA perspective, from a SEBI regulated perspective also that there is an investment that we need on assets, on storage, on servers, on compute, etcetera. So, if you see the last year was probably a record here in which the amount of investments that we made on CapEx was in excess of 60 crore , right? This was to bring us in line with the SEBI requirements of a 2x capacity, as well as, have a provision for the future. The SEBI norms are that, at any point of time, you should have a 2x capacity of your peak transaction processing that happened in the last quarter. Which is for example, if you have say, 10 today a

and 20 tomorrow, and then come back to 15, but by the next quarter, we will have to get 20x2, 40 capacity provision in the entire system, which is not only from storage perspective, it's also from a compute perspective, from a transmission perspective, everything that we will need to invest in CapEx. So, we have taken a big decision to actually upgrade our entire infra in the last year, so that we are not only in confirmative SEBI norms, we also have a provision for the future growth that we see. Because it is not something that we can do in a fits and starts.

So, we did a big investment around 65 crore , between 60 and 65 crore , last year. We don't see that repeating year -on-year, if that's your question. Although we will continue to make investments as needed to maintain and enhance this capacity, to take care of market transactions. But we don't expect the volume of investments in CapEx that we made last year will get repeated every year. If you see, in fact, on a quarter -on-quarter basis, Anand, the depreciation charge would have actually come down, when you compare the last quarter to this quarter. So, we don't see this level of investments on a year -on-year basis, although there will be significant investments that we will continue to make.

Anand: Sure. So, the depreciation charge following quarter -on-quarter is about 1.89 crore , what explains that ?

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Page 8 of 13 Ram Charan Sesharaman: So, this is basically the bulk of investments that we did during the COVID phase, as well

as post EBIT. It's a pure function of return on value method, right? See, the bulk of the depreciation gets done, around 65% of the depreciation gets done in year one of the – the norm is that you have to get 95% depreciation within three years. So, if you see the bulk of the depreciation gets done in year one and part of it in year two. So, as you come to year three of the – or year two and year three of business, if you don't make matching investments in terms of quantum, the depreciation will come down and that's what has happened in this quarter.

Anand: Got it. And my last question is on monetization. In the opening remarks, we spoke about monetization of MFCentral and other initiatives also. If you can give us some color, are you expecting any of the initiatives to start contributing in next coming quarters?

Anuj Kumar: Yes, sure. So, if you see, MFCentral as a standalone entity, is generating a lot of interest and we are at a sign-up stage now, but we believe some level of revenue will perhaps start showing up by the end of this quarter or beginning of next, as integrations happen.

Similarly, you saw that on CAMS Wealthserv, which is additional onboarding platform, we've seen very strong response in terms of signups. The other two big things then therefore are, account aggregator, which has been a build out over the last five or six quarters, and CRA NPS, which also got built out over the last five quarters. So, we are in a sign-up stage there, small trickles of revenue are already coming in. It will perhaps take up to the end of this year for any, I would say substantive revenue reporting to happen. But like, you know, eNPS we get paid for every registration and every transaction that happens. So, that business is obviously on. So is the account aggregator and TSP business. I think significant revenues, worthwhile reporting in a forum like this will perhaps happen in 4Q of this year.

Anand: Noted. Thank you, I'll come back in the queue.

Operator: Thank you, sir. We take the next question from the line of place Prayesh Jain from Motilal Oswal. Please go ahead, sir.

Prayesh Jain: Yes, hi. Hi everyone. Few questions from my side. Firstly, could you give us the breakup of

the employee cost or the increment whatever you've given from 85%? How much was accounted by increment, some of the variable pay, and how much by the investments in other companies or other subsidiaries?

Ram Charan Sesharaman: Sorry, I could hear part of your question Prayesh. If your question was, what is the breakdown of the 20-crore employee cost increase that you have given year-on-year? I'll answer that question. See, as I said, almost 7 crore of it, 6.5 crore of it is a non-cash increase that's happened because of the ESOP plan that we have given to the top 120 executives in the company on 1st of April. Accounting standards requires us to take a charge, a non-cash charge depending on the vesting schedule. So, if you take that away, looking at a 14 crore increase year-on-year, most of it is because of the increments and the hiring that we have done from a tech perspective. Almost like 35% of the increase is because of that, which is not only the fresh hiring we are doing from a tech, which we have not slowed down, for obvious reasons. We just want to maintain our edge on the tech perspective. But also the higher increment that we will have to give than usual, given the red-hot market that is there for the tech resources.

So, that's a major part of it. Apart from that, there is this FT that has come in the current year. If you remember, we did this migration of FT in July, August of last year. So, we actually got in some costs because of that. We didn't have a corresponding cost in the last year. So, the 2-crore increase is because of that. And the remaining cost is the increment that we have given to the existing resources. Given the market condition, not only tech, other resources are also to be retained. Last thing we want is a runaway attrition that's happening. So, the increment cost, the ESOP cost, the FT cost, as well as the tech hiring cost, will constitute every paise of this 20 crore increase that we have given.

Prayesh Jain: Okay. Sir, what would be the ESOP cost here that we would look at?

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Page 9 of 13 Ram Charan Sesharaman: On the first quarter, we took a charge around 9.5 crore in the period because of ESOP.

And that was around 6.5 crore more than what it was in the comparable quarter last year, and around 2 crore more than the sequential quarter.

Prayesh Jain: So, in the coming years, could we look at 40 crore kind of a hit?

Ram Charan Sesharaman: For the year, the current year, we expect it to be around 28 to 29 crore. Because there is a vesting schedule-based amortization, as you go along, the cost decreases in the subsequent quarters. So, for the year we expect the ESOP amortization to be around 29 crore.

Prayesh Jain: And from a margin guidance perspective, you guys have been maintaining that in a bad quarter you have 38% margin to 40% margin and in a good quarter 40%-42% margin. Do you think this was the worst quarter for some time now and things will only improve from here on with regards to overall margin outlook?

Anuj Kumar: So, let me try to answer that. Yes, you know that we have broadly given a guidance of 40% and early 40. If you see the last quarter, like we said, the revenue build out was slow. And then, for various reasons we continued the investments in all the resourcing that we had to do for the newer platforms. A lot depends upon asset growth and revenue build out. As you know, as we've said that we will continue making the investments. There is absolutely no reason to go slow on the investments. Wherever we invest, you know that when the platform play becomes successful, then the off take is large and that leads to revenue growth. I think both the MS business and AIF business are great examples of all the past investments which are playing out now.

So therefore, it's a good question to ask, is this the worst quarter? The way I would answer it is that depending upon the asset play turning positive and the revenue play at least holding, Yes, certainly we believe that this could have been the worst quarter, but we will continue watching in terms of how the markets behave. As you've seen, while flows were very positive and flows of what held everything together, mark to market losses did happen even in the equity segment. If that is bottomed out, certainly margins will start looking up in future. But that's something we are watching closely.

Prayesh Jain: Okay. And second part of that equation is yields front wherein the mutual fund companies, AMC, we've seen that there is pressure on each which is mounting every quarter for them. Even in this quarter among all the listed players, except for one of the companies, saw a decline in yields. Is there an incremental pressure coming to you guys for reducing your fee?

Ram Charan Sesharaman: So, you know how this works is, as you are aware, our scope continues to grow significantly year-on-year as more regulatory and service scope comes in. So, the absolute quantum of work that we do becomes bigger and bigger. The only way we get paid for it is through sales and mark to market gain. Also mutual fund companies do get a fee remission every time they grow, like you're aware, it's a telescopic fee structure. So, within that, I will not say that there are no dialogues. Obviously, mutual fund companies will try to find ways to offset whatever they're seeing on the fee front themselves. As far as we are concerned, we are confident that given the value that we deliver in the marketplace, we're expanding scope, and obviously the sophistication that we are bringing into the company, we will hold on as much as possible to the yield.

Prayesh Jain: My last question is on the non-MF business, what explains the decline in this topic sequentially?

Ram Charan Sesharaman: Sorry, you are...

Prayesh Jain: I'm on the non-MF business has seen a decline in share as well as in absolute quantum if we back calculate it from the overall revenues. So, what explains the sequential decline in the non-MF revenue?

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Page 10 of 13 Ram Charan Sesharaman: Yes, so, that's right. So, as I mentioned in my initial commentary, AIF is a bright star in

that. We continue to grow quarter-on-quarter. But other businesses have not grown sequentially. There are various reasons. One is from a, for example, insurance repository perspective, we generally see the fourth quarter is when there is a new policy conversion is at the maximum. And hence, there will be a sequential drop in revenue from the Q1. Because of NFO being on freeze and additional bans, there is some muted growth on that. So, our new KRA and hence our KRA business is not hiring in the first quarter. We hope some of it will be recouped once the NFOs come back. And in terms of payment businesses, there is a general drop in volume, although SIPs remains stable, but on a quarter-on-quarter basis, you would see that it's not been a big growth at all. So, we see some amount of drop in ACH new registrations, especially in the payments business. So, combination of these factors actually led to the drop of non-MF revenue on a sequential basis. That's the answer, Prayesh.

Prayesh Jain: Yes. And this is just a feedback. If you can start breaking down the revenues of non-asset mutual funds as non-asset based as well wherein, how much is the quantum of AIF, how much is the contribution of CAMSPay, and how much is the contribution from the insurance business. And if you could split it

up, that would be also helpful for us in terms of tracking the – because these are the next avenues of growth. So, if you can, if you're

able to get that data, that would be helpful.

Ram Charan Sesharaman: Sure.

Prayesh Jain: Thanks. That's all from my side.

Ram Charan Sesharaman: Sure, sure. Just to give – we'll do that. Just to give you a perspective, AIF is around 3% of overall revenue, and CAM SPay will be around 2.5% -3%, and insurance would be around 2% to 2.5%. So, but Yes, we take your point and we will do that. Yes.

Prayesh Jain: Sure. Thanks. All the best.

Operator: Thank you, Mr. Jain. A reminder to all the participants, anyone who wishes to ask a question may press * and 1 on their touchtone phone. Participants, you may press * and 1 to ask a question. We take the next question from the line of Madhukar Ladha from Elara Capital. Please go ahead, sir .

Madhukar Ladha: Hi, good morning. So, couple of questions, one on this acquisition of Fintuple Technologies Private Limited. I don't know what the exact function of this company is.

So, maybe you can tell us what you have acquired over here and for how much? And what is the contribution in revenues and profit for this current quarter and for the year?

Maybe some sense on financials, the last year's financial of the company, that'd be helpful. Second, you mentioned that last year you did about 60 to 65 crore of CapEx.

Now, what would be your CapEx budget for this year? And how do you see your CapEx evolving over the next three, four years? What would be the amount for that? That would be helpful to know. Yes, those would be my two questions. Thanks.

Anuj Kumar: Okay, sure. So, let me try to answer the second question first, just in terms of CapEx, I think the way it was explained, in the last two years, we've seen a significant build out spurred by two or three reasons. One, of course, was equipping thousands of people to work from home, as you know, that's capital intensive. And the second is that every year, the expectations from our industry, from a tech architecture and capacity perspective, is to move closer and closer to the MIs or the infrastructure institutions. That continues to place newer demands in terms of how much redundancy, how much storage, how much compute capacity we keep in-house. And the amount of redundancy that we have. So, like last year answer you said, gross company level CapEx was about 65 crore , in a typical year, this number would be more in the 35 to 40 range.

We did not just to – although we were obviously compliant to everything that was required to significantly gain on sophistication, to make sure that we were able to eliminate things like downtime, etcetera, in case we were switching things over from one data center to another. All of that happened, that depreciation is showing up. Like you Computer Age Management Services Limited
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Page 11 of 13 said, because it's on written down value, you will see, and we are seeing some quarter -to-quarter depletion in depreciation itself. But last quarter and this quarter were high. From a contrast perspective of last year was 65 crore, this year would be in the range of 35 to 40 crore , because a large investment has already been made. And, of course, some of the replacements, new licenses, security tools, etcetera, continue to get onboarded. So, the answer, it will be about 35 to 40 crore this year. On Fintuple – sorry, did you have a follow on?

Madhukar Ladha: No. Got it. Thank you.

Anuj Kumar: Okay. On Fintuple, Fintuple is a company which works in the fund administration space, very similar to what CAMS does. They were a competitor, especially in the digital onboarding space, for AIF and PMS. Over a period of time, they've broadened their capabilities

ity to offer broader fund administration solutions, especially to banks, their custody businesses, their PMS businesses. So, that's what they do. It's a small company. Revenue numbers, etcetera, are pretty small right now. They – yes, growing quite well and are acquiring newer clients, like I said, in the fund administration space, also in the e-sign in, e-KYC space now they're expanding their footprints. They were suppliers to one large bank, but we are expecting this will expand to, at least, two or three banks within the year. So, that's what Fintuple does. They're based in Chennai .

Madhukar Ladha: And any color on the revenue profit numbers last year? And how much did you pay for this acquisition?

Ram Charan Sesharaman: So, Madhukar, this is kind of a startup. What we have bought them for is more, kind of, technology and the exciting product and inroads that they're making in the onboarding world. So, this is – the revenue is starting to build out now. So, it will not be significant in the last quarter. Of course, we expect that they will grow in the current year. Just to give you a perspective, their revenue would be some 1 crore in a quarter, but going forward, obviously we expect that to multiply in the next few quarters or next few years. So, it was more kind of an acquisition for the niche product that they have complementary to what we have currently in the AIF market and obviously the exciting AIF market that

we see. So, that's – from a payment perspective, we've not disclosed that so far, but I'll just give you a broad guidance. See, if you take the credit even for the money in their balance sheet currently out of which we are entitled to the majority stake, the acquisition will be not significant, even less than 10 crore acquisition cost.

Madhukar Ladha: Understood. Understood. Thank you .

Operator: Thank you, sir. A reminder to all the participants, anyone who wishes to ask a question may press * and 1 on their touchtone phone. We take the next question from the line of Kaushik Agarwal from Haitong. Please go ahead, sir.

Kaushik Agarwal: Yes. Hi, sir. Thank you for the opportunity. I have few questions. So, sir, firstly on this AIF business, what I wanted to understand broadly in terms of the revenue model, as you have earlier mentioned that this is broadly the yield that you charge on the AUM, but onboarding new clients also helps us in getting some upfront revenue? Like, when you onboard a customer, do we book some revenue at that time also? Number one. Number two is, broadly I want to understand the competitive intensity in this non -MF business. Is it similar to what we are seeing in the MF business as well, like, broadly in terms of the AIF, account aggregator, and the insurance businesses? And lastly, within the account aggregator business we have started – have we started monetizing the client addition now? And can you please highlight some broad idea in terms of what is the contribution of this business to the top line and how should we look this business way forward?

Anuj Kumar: Sure. So, overall AIF, it's typically like either a bits price business or a fixed fee for scope, kind of, a fee structure. Especially in digital onboarding, we do get paid for every customer which is coming in. So, onboarding pays for itself largely on the digital side.

Otherwise if it's an asset -based pricing, then typically we get paid once the assets comes under management of the AIF. What is the competitive intensity? Like you have seen, we have pointed out that at an aggregate, our share when compared to the rest of the market is in the range of 50%. It's not a very competitive , very fragmented market right now, of

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Page 12 of 13 course, newer player

s are wanting to come in, but right now it's a small market with similar names, as you know, in the mutual fund market competing with us.

On the account aggregator side, however, and I'm still talking of competitive intensity, the market is very different. If you see TSPs, which is technology service providers, registered with Sahamati , and the people who are competing in this, you will see 10 to 20 names in perhaps every bit and you will see over 20 registrants. If you see license holders in account aggregate, there are five license holders, four live, one about to go live, but about four to five bits in principle approvals, all those names are out there on the website. When do we start monetizing? Monetization happens once you are connected to an FIP and FIU. And they are paying you money for all the consents which are coming in through – that has begun happening. Right now the volumes are small. So, it is not a significant number to report. Like I said, we are expecting these build outs to continue. And maybe by the end of the year, maybe by the last quarter, those numbers will become significant. At which time we should be able to give you a color of how much money they're able to contribute.

Kaushik Agarwal: Understood sir. Sir, just a follow up on this account aggregator business. What we are seeing is, lot of players are now coming up and applying to the RBI for this account aggregator license and many of them have also received this in principle approval. And most of these players with what we are seeing and what we are picking up from the media is, these are already into this FinTech space. So, do you see these players coming in would impact our business or would increase the competitive pressure?

Anuj Kumar: Yes, certainly. So, there are – you will see two kinds of players. One set of players, and you referred to FinTech, are those who would like to do this mostly as a capital business. So, the names who've got in principle registration are wanting to do that, which means that they want to use this utility for portfolio or personal finance management, for lending, etcetera. But don't want to outsource their work and they've applied for a license so that they do it captively. However, that number and percentage will be not more than 10% of the expense will do it in a captive way. The balance 90% will be part of the competitive landscape. They all come with different specializations. But Yes, it will increase the competitive intensity. So, it'll be very different to the markets we have been in so far, which have been more niche markets. This will be a broader market. And most of the people who are applying will be out to sell in the marketplace.

Kaushik Agarwal: Understood, sir. That was very helpful and thank you so much. That's it from my side.

Operator: Thank you, sir. We take the next question from the line of Mr. Anand from WhiteOak. Please go ahead, sir .

Anand: Thank you again for the opportunity. With regards to this inorganic method of acquiring

capabilities, do you see this being a recurring thing for us or should we see this as one off?

Anuj Kumar: No, we certainly see it as a recurring theme for us. The left-hand side of the equation, as you know, is very attractive, which is that we have the ability to generate and mobilize the cash and be able to do the deals. And we have a strong management team which can help onboard businesses. The right-hand side has to be an asset, which makes sense. Well, like I said, Fintuple was something which made sense. It is a very small acquisition, you can say. So, it was not done purely from a revenue or market share perspective, but a good capability and a good set of people came on board. So, it is certainly on our radar. Like we have said in the past, we want to be very focused and stay in the relevant area. So, we will not do anything unrelated. But very much on the cost. And like I said, t

he left-hand side of the equation is attractive. We are just figuring out the right-hand side in terms of, are there attractive assets which have built out a business in terms of revenue and market share, which could appeal to us?

Anand: Noted. Noted. And the thing that comes Fintuple, they would have certain lock in, right, for the amount of time that you spent several years at it?

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Page 13 of 13 Anuj Kumar: Yes. So, the way we've done it is, we we've made an acquisition of 51% and the rest is available for the promoters to monetize their holdings in the third, fourth, and fifth years. And the reason we've done it is we didn't want the management team to walk out once they have got money in the bank. So, money in the bank will take up to the fifth year for them to happen. So, that is kind of a lock in.

Anand: Got it. Thank you.

Operator: Thank you. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to Mr. Ram Charan, CFO, CAMS for the closing comments. Please go ahead, sir.

Ram Charan Sesharaman: Thanks, Seema. So, we thank you for your interest and participation in this call and you hope you continue to follow our progress and our journey. Please do reach out to Orient Capital or Anish Sawlani for any questions that you may have or follow up that you may have. And thank you for your time here. Thanks.

Anuj Kumar: Thanks. Thanks everyone. Thank you.

Operator: Thank you everyone. On behalf of Computer Age Management Services Limited and Orient Capital that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

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MANAGEMENT : MR. ANUJ KUMAR – MANAGING DIRECTOR –
COMPUTER AGE MANAGEMENT SERVICES LIMITED
MR. RAM CHARAN SR – CHIEF FINANCIAL OFFICER –
COMPUTER AGE MANAGEMENT SERVICES LIMITED
MR. ANISH SAWLANI – HEAD INVESTOR RELATIONS –
COMPUTER AGE MANAGEMENT SERVICES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '23 Earnings Conference Call of Computer Age Management Services Limited. We have with us Mr. Anuj Kumar, Managing Director; Mr. Ram Charan SR, CFO, Mr. Anish Sawlani, Head Investor Relations. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectation of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. So, do you need assistance during the conference call please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anuj Kumar, Managing Director. Thank you, and over to you, sir.

Anuj Kumar: Thanks Faizan, and good morning everyone. I thank you all for sparing the time today for attending our earnings call and I hope that I'm audible to all of you. The way we will structure this is like we've done in the past, I will run you through a small presentation on how the quarter was and the key highlights. And then I will hand over to Ram Charan, our CFO to speak specifically about the financials. And then we will have enough time left over for a Q&A session. So I'll begin, I guess, most of you must have downloaded the presentation, I will just take you through a sequence of sale and highlights. Overall, when I speak about our core business, which is the mutual funds business, our assets, which is the core, you can think of it as the operating metric in the business, were at the highest ever and scaled past the 27 trillion or 27 lakh crore mark. The average assets were at 27.1 lakh crores, which is an all-time high. This represented a 3% increase over 1Q.

So after a period of time when there was almost muted growth, this was the first time in maybe three quarters that we saw an inch up in the overall assets. CAMS Service Funds continue to maintain dominant 69% market share in overall assets of the mutual funds market. So that collectively is reflective of a steady quarter for the core business.

On the alternative side, we continue to see both real growth in the market, also potential growth, accelerated signings, many, many new alternative funds getting registered, so all of those are pointing to what could turn into an exciting marketplace. We registered a 32% year-on-year growth in revenues, which is a very encouraging number.

And then CAMS Wealthserv our digital onboarding platform, scaled past 50 sign-ups since launch. This is a number we have referenced in the past and about just about a year and quarter,

about 14 months, about 50 sign-ups. Of course, it's a long road and we need to and we will do a lot more, but a very nice milestone for us, 32% growth and revenue is a strong growth number. On NPS, the CRA business, we have launched the CRA platform on cloud in March 2020. We had a 9.5% share and number two position in the eNPS, the direct-to-consumer part of NPS, the eNPS part. On CAMS finserve, which is the account aggregator and its adjunct which is the TSP offering, we've been seeing momentum in the markets, 35-plus mandates have been signed till date. And overall at the market level, you would have seen that now both SEBI and PFRDA had release circulars to enable capital markets participants and pension funds to join the ecosystem, which is very, very encouraging.

Our Digital properties, myCAMS and edge360 clocked a quarter-on-quarter volume growth

at

10%. This was some share gain from other electronic channels, which is very encouraging. We continue to service a growing clientele and our engagement with them on the digital side continues to improve.

MFCentral, it solidifies our role in the MF ecosystem and the encouraging thing that we've seen during the quarter is a lot of interest in the APIs, especially the cash API, that is one API which is now enabled across the ecosystem and there are participants, which are live. If you go to the apps and websites, when you get a cash statement that is coming out of MFCentral and that number is likely to expand. So we've seen what I would say, a sustained initial interest on the API participation with some of the core platforms already linked and functional. And of course, during the current quarter and next, we are expecting this to solidify quite a bit.

And lastly on CAMSRep, which is our insurance business or repository business. You have seen sustained I would say, reporting in terms of change in architecture of the overall marketplace which is around KYC becoming mandatory and electronic insurance issuance becoming mandatory from a given date, those dates -- the date for the second part is yet to be announced. However, riding on that, our e-insurance accounts and e-policy numbers doubled in volume during the quarter and we are expecting this growth to remain sustained as investors become more interested in this format of holding their policies and also as the necessary steps from a regulatory front are accomplished for us to get to that regime.

And then Policy Genie, which is our deep contract dressing solution. Assisted insurance companies in closing over INR 100 crores of unclaimed benefits till date, this is just the beginning, as we've said in the past, it's a unique high-impact tool, which is helping address one of the related needs of the industry and we're happy with the progress we are making.

Overall, I move forward -- our growth and I'm talking about the mutual funds business, our growth in overall AUM, SIP registrations and transaction volumes if you ask me, just fundamental foundational operating metrics, it is these. AUM like I said, went past INR 27 lakh crore at 27.1%, which is an all-time high.

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Our NFO collections were over INR 12,000 crore during the quarter, but the significant thing was so spanning over more than 40 schemes. So, you can think of a 13-week quarter and you can think of NFO in almost 40 schemes in that period, which was a granulated number and then in terms of SIP registrations in the first quarter and gross registrations were at INR 37 lakh in the second quarter at INR 38 lakhs. So that number is holding out at an aggregate value quite well.

Our share at 61% during the quarter is holding out quite well and I would say the most encouraging of these is the SIP inflows, which at the industry level, you've seen across INR 13,000 crores for a month. At CAMS level, they crossed INR 7,500 crores and have grown by 5% over the previous quarter. So, as you know this SIP collection continues to remain the backbone of the equity net sales number across the industry, both the gross sales and the net sales number and continues to inch up increments almost every month and is providing the necessary tailwind and I would say, the sustaining force to the industry in terms of investor participation.

Live SIPs grew by over 14 lakh between July to September, so again, a strong number. When I look at transaction volumes, which is about what investors are doing with us in our funds, that number scaled up from just over 111 million to 113 million, so about INR 11 crores in the last quarter about INR 11.3 crores in the current quarter.

What we have the next chart is just an illustrative ranking chart, this is just -- although it's a

known metric, all of you know

With these numbers very well, there's nothing new on this. But just to show the contrast between where CAMS Service Funds stand, especially in the top pecking order of the top 15 funds. I think this just contrast the overall market, the quantum of assets that our funds sold, the quantum of assets that we do not hold, competition holds. This is just to frame all of that and give you a single one-page pictorial view. Well like I said, this metric is well known to all of you and we will move forward.

Overall, in terms of share and share gain, you know that share gain is measured as a percentage of assets in the industry. Pictorially, I think the illustration shows you that over a 12-year period starting about 2010 to 2022, CAMS Service funds gain from 56% to 63%, in '17, 63% to 69%. The non-CAMS part has therefore got pared down over this period from 44 to 37 and 37 to 31. And then just in terms of, that's largely in our market attributed to these skill players, share is typically a share gain is attributed to the scale players.

But if I talk of the non-scale players, which are the new players who came in and what could they do outside of the scale play. In the last 10 new MF launches, and we are restricting ourselves to launches. We are not including in these name changes, ownership changes and those kind of entities, but pure new launches, new to the market entities. Among the last 10, we had won 5. When you see the scale, which has been reached across these almost INR 45,000 crores, of course, the time period could be different, but what we achieved and what someone else achieved, but would be INR 10,000 or INR 45,000 crores, just a large-scale difference in terms of scaling. So that's an interesting metric chart in terms of how shares have changed over a
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sustained period. Share has changed over a shorter period, and how new launches in the market have performed over a period of time, both us and the mandates that did not come to us.

From a mutual fund industry and CAMS AUM perspective, I spoke about this, 69% share. Net flows into equity assets remained positive during the quarter. SIP flows increased 5% quarter-on-quarter, 27% year-on-year. And again, like I would say, those were a time, three years or four years back, it used to be said that this could be the game-changing metric, the middle of the pyramid, bottom of the pyramid, participation in the mutual fund industry. But it looks like that's beginning to happen in a fairly sustained relevant way, where SIP collections, SIP numbers are not just indicative of retail participation, they're indicative of overall market AUM growth and net sales numbers.

In terms of industry versus CAMS, these numbers are published, you know them, INR 27.1 lakh crores versus INR 39.6 crores, year-on-year, just out a 6% gain for us against 8.3% of industry. quarter-on-quarter, 3.1% versus 3.5%. On the equity side, the gains are much better as you can see, when you come to the bottom of the chart, INR 12.2 trillion, INR 12.2 lakh crores is our asset base of the gross size of INR 18.4 lakh crores, which is the industry, a 21.2% year-on-year growth on the equity side for CAMS versus 20.1% so 1% delta. And then 7.5% on the quarter-on-quarter side versus 6.8%, so amount of 0.7% delta.

On the transaction side, and again, these are numbers that you are aware of, transaction volumes growing 11% year-on-year, strong, good engagement metric with consumers. SIP book grew 5% quarter-on-quarter, but 26% year-on-year so stands at INR 3.27 crores, INR 32.7 million on end of the quarter. Systematic transactions processed during the quarter, about INR 93.6 million, again, growth, very similar to the book growth at 22% year-on-year. Live investor folios at INR 53.19 million. And then unique investors year-on-year 32% growth at INR 24.2 million. So all

of that, again, foundational, I would say, directional metrics in terms of how many investors are coming in and how they are participating in the market. All of that looks for notionally very good.

I'll move forward on MF Central, you will see that about 1,000 users are registering every day. Almost 9,000 to 10,000 logins every day and then upwards of 1 lakh, about 125,000 downloads. Now this number can be much larger, will be much larger. But for the initial period, we're just closing a year of being out there in the market. And this is just the consumer participation what the consumers consume through the API-based participation will be numbers on top and you don't see here. But I would say a reasonable progress as we go deeper and kind of make active attempts and market this platform even better. All of these numbers are likely to scale very positive feedback on the functionalities that are in enshrined in a single design.

I wanted to talk a little about adjacencies and how they have been slowly converted into products for the benefit of the marketplace, when you see Recon Dynamics, we've spoken about this earlier, the proprietary reconciliation tool, which is put to use for mutual fund reconciliation, but is also now actively solicited and sold to the insurance and online sectors, loan against mutual

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And then you have seen that across the board, products like WINcentive, which is a sales incentive administration tool, which enables the front end of the food chain for asset managers to have meaningful negotiations with the marketplace with the intermediaries and then give them incentive plans and schemes which are then set out for approvals and then get set up in the system, so that in a very prescreened, untainted way, they can be administered it's a large expense for the sector, so it has to be done with very high accuracy, and this is the tool which enables all of that to happen. Similarly, our APIs for AMC and intermediaries are powering their expansion through digital means. CAMSPay, which has a variety of solutions and the underpinning used to be the NACH solution now has expanded to UPI.

You read about some of our AMC now being live on UPI auto pay and that's going to give a fill-up to the SIP market additionally in terms of how payment mechanisms or how additional payment mechanisms will be available to the consumers. And then across the board through eKYC, eSign, AML checks, etc.. So a variety of solutions are now out of the platform sold and offered as part of the platform, but also offered independently if somebody is interested just to improve the use cases and turn adjacencies and to meaningful businesses for the group.

I wanted to spend some time on the alternatives. Like I said, 32% revenue growth year-on-year, which is a very meaningful number. New business addition in terms of new logo wins, 19 new wins in the AIF PMS space during the quarter. So more than a signing every week, and that's something that we've pulled ourselves on to capture a significant and disproportionate share of this market as it expands. So that's a sustained number. I wanted to speak to you about the 50 funds which have signed up for AIF and PMS for digital onboarding something that I mentioned at the beginning.

And I will also mention that Fintuple Technologies, which is an investment we've made as a majority investment in a startup firm which has platform-based solutions in the area of integrating with custody and general onboarding for both PMS and AIF has now had a couple of medium-sized meaningful wins with large brands and large players in the market in the last seven months. We will continue to cover that in the ensuing quarters, but we just thought that this being the second quarter when Fintuple has been a part of CAMS. Just to make a ment

ion

that the progress has been encouraging.

And our Gift City operations now have five side of clients. On account aggregate and TSP, I spoke a little initially. We're seeing significant momentum in terms of proliferating sign-ups across various entities, but now specifically on the wealth and advisory side, under the broking side, we are finding participants becoming interested and becoming part of this ecosystem. Largely, it was led by the banks till about three months back. We are covering the marketplace through targeted events largely in terms of end use cases of this product.

And then overall unique value proposition, which couples our digital solutions, along with core AIF offerings is now part of a very well-received bouquet of solutions in the marketplace.

Guidelines for SEBI-related entities have been released. We are under prep to become the FIP gateway for our part of the industry. And overall, both in terms of SEBI managed entities and PFRDA management entities, there are specific guidelines for them to become part of this

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overall architecture. So in general, encouraging news across the board. NPS I spoken about that 9.5% market share, We are the No. 2 position in new NPS sales, eNPS sales during the quarter for FY '23.

And then on the insurance and the insurance repository side, like I said that because there was sustained media bonds on what could be the future of the industry.

Part one is for KYC to have become mandatory part two is for e-insurance or holding insurance in the insurance format. The new issuance to be mandatory in that format for that to become mandatory at some point in time in the near future. Riding on that, we are seeing uptick in the consumer awareness.

And what better sign to see that than to see the number of new policies and number of e-insurance accounts doubling over 1Q. And of course, this is what I call green shoots. These are first signs the sustained increase has to remain this way over the next three quarters, but we believe that our structural changes happen in the industry. It will certainly benefit the consumer and the way they interact with the insurance industry and will certainly means for us to expand our business.

And then we said that our overall digital solutions including insurance repository services do continue to improve and expand policyholder experience. I spoke about the repository tool initially.

One more thing I would say is that the CAMSRep applied for the Sandbox project with IRDAI or developing an industry platform for assignment. This is the digital policy assignment. This completion report is now done. The Sandbox is fully functional and we are kind of end route to commercializing this product by adding a meaningful number of insurers and financials and as you know, just like loan against mutual funds, loans against securities, loans against insurance will become a familiar common product over the coming years. And happy to share with you that we've taken the full position in this particular area.

I will pause here and hand over to Ram Charan to now cover the financials.

Ram Charan SR: Thank you, Anuj. So I'll just take the next few minutes and go through the broad financials for the quarter. As Anuj was mentioning, there was a recovery from the asset growth side on year - on-year basis, the asset center management grew by almost 6%. So tracking that my mutual fund revenue as well as the overall revenue grew by 6.3% year -on-year.

On quarter -on-quarter two, we saw a growth in AUM almost 3 percentage. So the revenue also grew by around 2.5 percentage largely on the back of growth in mutual funds and growth in mutual funds and asset -based revenue. So for the quarter, we ended up with a revenue of INR 242 crores, which, as I said, is up 6.3% year -on-year. The corresponding number was INR 227.6

crores in the FY '22 Q2. On a sequentially, we were up at 2.4%, which is compared to INR 236 crores in the Q1 FY '23.

Mutual fund revenue broadly mirrored the growth in AUM. The growth was 6% on mutual fund revenue year -on-year basis, which is mirroring the growth in AUM. And on a sequential quarter Computer Age Management Services Limited
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basis, it was up 2.3%. -- against AUM growth of 3 percentage. And most of the mutual fund revenue growth came from the asset -based revenue, which again mirrored the same percentage, a 6.6% growth year -on-year we ended the quarter with INR 185 crores of asset -based revenue versus INR 173.5 crores in the corresponding quarter last year. That's a 6.6% growth.

And sequentially, again, we were up by 2.3% quarter -on-quarter. The number last quarter was INR 180 crores. Again, broadly mirroring the trend in the growth in assets. The assets growth also had a disproportionate growth in equity, which actually helped in sustaining to an extent our yields. Equity AUM actually grew, as Anuj was mentioning, around 21% year -on-year which is a very healthy growth. And hence, the mix asset mix was favorable for us. It was around 45% of the total assets for CAMS is a equity component.

From a non -asset -based revenue, the growth was 3.6% year -on-year, driven largely by increase in call center revenue, OP and application revenue.

There was some reduction in the transaction revenue for which kind of depressed this a little.

But overall, up 3.6% year -on-year. The number for the quarter was INR 33.2 crores. That was the non -asset -based revenue. Sequentially, quarter, it was up by 1.2% in -- there was some drop because of OP as well as call center.

From a non -MF revenue against smart growth, 8.2% year -on-year and 4.3% quarter -on-quarter. The non -MF revenue for the quarter was INR 23.7 crores almost INR 24 crores and again, as you saw in the earlier part of the call, the AIF is doing a smart growth in terms of greater than 30% year -on-year and 6% quarter -on-quarter. So AIF continues to grow. -- alternate continue to grow. In fact, based on the requirement from this call, the last few quarters, we've also published a chart which gives you the overall breakup of the non -MF revenue. And if you see the increase in trend of AIF, almost like 3% of the total company revenue is now AIF.

Similarly, CAMSPay is showing a smart growth in terms of more than 30% year -on-year. And Rep is now beginning to see the uptick in terms of the new notifications that is expected or the KYC mandatory for general insurance that is coming into play. So the non -MF revenue is growing 8.2% year -on-year on the back of pretty smart growth in AIF as well as the payments business.

And just a small commentary on the yield because that's a question that often gets asked -- in terms of yield, as we've already kind of guided, there could be a small yield compression that happens in some quarters and some counters, it may not. It is a combination of various factors.

-- what we have seen play out from a quarter -on-quarter basis, a small depletion yield contributed by two, three factors. From a year -on-year basis, actually yields are very stable. But on a quarter -to-quarter basis, there is a small decrease.

Again, this is -- the telescopic pricing will play its part on this and equity slabs are more prone to this telescopic pricing depletion. And as the equity assets growth, there could be some impact of that. Although the mix has offset this to a large extent, the increase because of the depletion

finalized during the last few quarters with some of the major customers and the impact of this is there. And the good part is most of this has been closed for

the next two or three years.

And also within the mix, you would see that the debt has fallen at a pace which is higher than the liquid. And you will understand that the realization for a debt asset is much higher than what we get for liquid assets. So within the non-equity segment also, the fact that debt and given the market conditions, which you're all aware of, has fallen steeper than what liquid has fallen. So that's having a small impact on the mix benefits, too.

So overall, while the yields are stable on a year-on-year basis, quarter-on-quarter, we did see a small depletion in the heads. This is attributable to these reasons.

From a profitability perspective, I think we said last time, there were questions on whether this is the bottom in terms of the margins and the commentary that we have consistently given was if the assets start to kind of recover a little, then we will see the margin improvements, which is what we have seen in the current quarter.

From an operating EBITDA perspective, we are -- it is an IndAS number. We are at 43.8% ahead of 6.1 crores 43.8 percentage, which compared to the 41.1% that we had in the last -- the sequential quarter, which is that we are up 8.2% quarter-on-quarter. And on a year-on-year basis, it's almost flat at 0.3% up. The margin was 6.5%. And from a PBT perspective, we are at 38.9%, again, which is up 11.4% quarter-on-quarter. There was some other income that we received as in terms of interest on income tax, etcetera, that's why there is a difference between the operating EBITDA growth and the PBT growth.

But on a sustained basis, our operating EBITDA has been growing -- has grown at a percentage of 8.2% on a sequential basis and flat on a year-on-year basis. PAT track fee growth in PBT, which is up 11.4% quarter-on-quarter and almost flat year-on-year.

The thing to note here is that this includes the charges that we take. We have not yet slowed down on the investments that are required for the new businesses. You saw in the earlier commentary from Anuj the investments that are continuing to happen in MF Central has continued to happen in the products in AIF that's continuing to happen in CRA that continue to happen account aggregator and TSP. We have not slowed down any of those investments. Those continue to come and as per our guidance in the earlier quarters, the investments will continue for a quarter or two. While we are seeing very encouraging signs from the market in terms of account aggregator and TSP.

The actual substantial revenue flow is going to take a couple of quarters. But this is something that we have taken the cost in the books. We have actually taken the price impact. We have taken the, we have taken the other inflation of service that's happened in the current year. We've taken the technology hiring that's needed to be done to keep the platform and the new initiatives up and running. And on top of this, we have posted an operating EBITDA margin of 43.8%. And that's the way we look at the margins for the current quarter.

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The profit numbers are also after considering the ESOP, which is the non-cash charge, which for the current quarter was around INR 6.5 crores. And the Board has declared an interim dividend of 8.5 per share and we ended the quarter with a cash and cash equivalent of around INR 446 crores. This is before the interim dividend that's been declared by the Board. So this then in summary is the financial highlights for the quarter. For the half year, again, I mean, we did, we have closed the half year with the revenue of INR 480 crores almost as opposed to INR 429 crores in the last half year. It is up 11%. From a PAT perspective and the operating EBITDA perspective, we are marginally ahead. Our operating EBITDA is INR 204 crores for the six months period and INR 138 crores for the first

the six month period in terms of PAT.

So all in all, it's a quarter that I should say is characterized by the fact that our margins have started creeping up again. We continue to make investments and the investments are going to bear fruit a couple of quarters down the line. We are seeing exciting trends in terms of AIF, in terms of TSP AA and in terms of the insurance repository and all those revenue optionality, as you call it, would be probably the upside in the coming quarters.

With that, I hand over the call to Faizan. You can probably take it over and moderate the

questions.

Moderator: Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use the handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Reminder to the participants. Anyone who wishes to ask a question may press star and one at this time. The first question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Just firstly on the insurance repository business. Now if I look at the data that you have shared and in that sense, the revenues have been flattish on a sequential basis in spite of the fact that we've kind of doubled the accounts and the KYC has gone up. So what is the revenue model for the segment? And now once that there is a mandate from the regulator about converting all the possible insurance policies to EIA accounts, what would be the revenue potential for the industry?

Management: Yes, Prayesh, I'll answer the question. So the number that you see in terms of the flattish number, quarter-on-quarter insurance has two components. One is the outsourcing business, which we have again put out several times in the past. It's not the focus area for us. It's more kind of an outsourcing business, labor arbitrage. We continue to have good relationships on that, but that's something that is kind of not the focus for us.

If you see purely from a digital revenue or from IR revenue, it has actually grown smartly. And the numbers that Anuj are not spoke about. The number of policy conversions that happened in this quarter, year-on-year basis is almost double in terms of this. So if you combine the two, you would see this difference. But on a standalone basis, insurance reported revenue has grown both quarter-on-quarter as well as year-on-year.

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The business model for that is three fronts. One is the policy conversion, which we get paid for every policy that gets converted into the demat form or electronic form. We get some AMC for the account that are maintained with this, which is policy. And we also get some minimum transaction charges. As you understand, the current architecture is that the number of transactions that happens would be minimal because it would be basically changing their master data, changing their phone number, address, etc., so currently the revenue from transactions is a little less because the scope for transacting in that portal asset stays today is less. But the bulk of the revenue is from the policy conversion. And this is just the beginning. So the eKYC is not yet operational and the KYC mandatory is not yet operational.

It's been postponed from November to January. And all of us are awaiting clarity from the regulator on how this demat is going to happen. So what Anuj was mentioning is that in anticipation of that, because of the awareness, we have seen a spurt in the number of policies when the actual notification does happen. And IRDAI is in very close touch with the various insurance repositories, including CAMS, on the preparedness for those in terms of the infra

requirements, in terms of the handling the customer requirements, etc. So once that gets final, then we will see the real action coming in the space. What we are seeing is the initial spurt in volumes because of the wide reporting in the news and people being more aware of this requirement or this possibility of demating policies. So the short answer is that, yes, we are seeing uptick in insurance repository, but the action will start once the regulator steps in and gives us notification.

Management: I'll just add a little to that. So when you think of the business, think of it this way that there is a mass of almost INR 30 crores-plus life insurance policies out there and INR 20 crores-plus general insurance policies. As and when this becomes mandatory, all of that will become the purview of insurance and all of those will be digital policies. When we say the number of policies doubled, it's more localized quarter-to-quarter metrics. So think of it this way and that is new policy additions in CAMS and I'm just throwing a number for just say one lakh in a quarter in 1Q, that number has become two lakh in the quarter. Why did it become two lakh from one lakh? Why did it double?

Because consumers are reading reports that some of this will become compulsory. They will come to the website, tinker a little and perhaps go and open an account and start linking policies. So that's very preliminary action which has happened. The real mass hasn't happened yet because that will happen in two parts. One, new issuance of policies initially will become and that's our understanding, will become mandatorily digital, which means it will have to be issued in digital. And the second is that the past period mass of paper policies, which are undergoing either undergoing renewal every year or premiums being paid, payable become digital in the second part of this implementation. That's going to take time. I mean, that will only happen when this

statute gets announced. Those specific dates are not announced yet.

Prayesh Jain: That's helpful. Second, can you continue on the insurance repository, the transactions that earns, is something like a premium payment reminder or say a premium payment that comes through
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a loan against a policy? Or all these transactions will also be charged or these all are still under discussion and will take time to get a clear picture on this?

Management: So I'll answer it in two ways. First, with the loan against the assignment that we spoke about, that's the Sandbox that was mentioned earlier. So that has been IRDAI has permitted us to do the Sandbox and we have tied-up with one insurance company and one financial and improve the concept in the Sandbox. It is going to be commercially exploited. So that will start very soon. So that doesn't have to wait for the larger question of transactions being broadened. So that's going to start pretty soon probably from next quarter, where we'll have a commercial model and the financials will pay something, insurance company will pay something and that will happen. The second part in terms of the premium collection, the reminders, the claims, etc., that's a broader reengineering of the platform that's underway. And once that happens, the scope of the transaction revenue will increase many fold. And that was what I was alluding to when I said that the scope now is currently limited to changing your information on master data, on address, name, etcetera. So once the platform becomes a policy servicing platform, which is expected within the next couple of quarters, for sure, then the scope for transaction revenue will be much higher than what it is now, which is all the components that you spoke about in terms of policy collection and routing it through a payment we have doing a claims, policy statement, etc..

Prayesh Jain: All

right. Thanks. That's helpful. And then lastly on alternates, what would be a market share currently and how do you see this business seeing its 32% Y-o-Y growth you've seen this quarter, Do you see this sustaining or even getting better from here on?

Management: So overall from a market perspective, if you see the food chain and the number of alternate alternative funds registering with the regulator. That is where the whole activity starts. I'm sorry. If you see in the last two quarters that number has grown phenomenally over the past year. That's point number one. Point number two, we have seen expanded consumption from clients in the base, so clients from the base are expanding new schemes and bringing in new investors. And that is one of the ways of growing, and the other is both CAMS Wealth Serve and RTA servicing have won a number of new logos.

So this 32% growth obviously has been a very sustained number, which has come in. We are expecting this growth trend to continue. I will not comment on specific numbers. We will continue updating you quarter-on-quarter, but I would say that we are seeing the momentum will continue of the outsourced part, which is the fraction of the market that outsources. Unlike mutual funds, everybody does not outsource. We are upwards of 50% of the market. So we are holding a dominant share and we're expecting with the offerings that we have. And now with the addition of Fintuple to the overall set of offerings, we are expecting the share to continue sustaining and growing.

Moderator: Thank you. Ladies and gentlemen, in order to ensure that the management is able to address questions from all participants in the conference, please limit your questions to two per participant. Should you have a follow-up question, we would request you to rejoin the question queue. The next question is from the line of Sahej Mittal from HDFC Securities. Please go ahead.
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Sahej Mittal: Sir, firstly, I mean, on the negotiations with the AMC, right? So where are we in terms of negotiations on the pricing side, if you can give some color given the kind of yield compression, all these AMCs are facing. So where are the negotiations with the RDAs if they talk about that a bit? And the second one was on – opex, so if you can quantify the investments? So out of the INR 27-odd crores, what are the investments which we are making in the new businesses? And part of which will sort of stabilize after two quarters to get a better sense of the long-term normalized number?

Management: Yes, sure. On the price negotiations with customers as with our agencies, -- this is something that will happen periodically. So the good part is a lot of these contracts have been signed up in the beginning of this year. For one, two years -- none of it is one year, it's actually two or three years depending on which AMC it is. So barring one, all the major contracts with the AMCs have been signed and the results that you see is the -- contains the result of the negotiations and what commercial outcome of those discussions were.

So this is an ongoing thing. So there is nothing that I can specifically kind of say is it's going to happen in the next six months or one year, whenever the contract falls due again -- but the only comfort I can give us in the terms of the major customers barring on e, all those things have been concluded and do not -- are not expected to come up in the next two years, right? And in terms of the question on investments. So we have been a little bit conservative on that. So for example, the investments that we make on the account aggregator, TSP, etc ., and a lot of the marketing and sales -related expenses, the people that we get on the roles for CR, etcetera, are actually part of the opex, as you mentioned. What I would look at it is not from the perspective of

those costs actually going on because we would kind of retain the development cost on the books, because to add additional features to ensure that this platform stabilizes, etc ., so while on an approximate basis, I can tel I you the total money we spend from opex perceptive will be between INR 3 crores to INR 4.5 crores in a given quarter on these expenses. I would rather put it this way, that once the revenue starts flowing, here should be commensurate revenue for this. Would I see a huge decrease in these expenses ? I think we would rather wait for the platforms to stipulate to include more features in that to enhance them, to cater to the market, etc .. And we would not be in a h urry to unwind all the investments that we are doing in the platform development. There will be some rationalization that happens. Yes, after going ahead, there will be something, but we are looking at more from the revenue kick in that will happen a few q uarters down the line.

Sahej Mittal: And maybe on the -- one follow -up on the first question. So I'll maybe reframe my question. So in the last three or six months in terms of negotiations, which you did with the AMCs, if you can directionally highlight th ere was any downward revision in the pricing with any of the AMCs not quantifying, but just directionally also would give us some sense?

Management: We've seen both -- we have seen both. We have seen contracts that have been rolled over. We've seen contrac ts that have had a small downward revision price. That's more to do with the volume growth and various other factors in terms of that particular dynamics with that AMC. But as a Computer Age Management Services Limited
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broad industry trend, we have also seen a lot of rates being rolled over and n o reduction happening also. So both we have seen

Sahej Mittal: Right. And one follow -up on the one data keeping question was on the ESOP expense. So what is the quarterly run rate which we should assume? I mean, last quarter, it was INR 9.5 crores. This time, it is like INR 6.5 crore. So going forward for the balance of FY '23 and for FY '2 4 would give us some numbers.

Management: Yes. I clarified it last time. So you're right. The way we have to amortize as per accounting standard is the end of the an nual of the option (suddenly the cost amortization will come down. That's how the standards require us to amortize the cost -- just to give you a guidance for the year, we expected the cost, and we expect the cost to be around INR 27.9 crores okay? And wha t we have taken to the P&L in the first two quarters have been, I think, INR 16.1 crores plus or minus a few lakhs.

So I think INR 16.1 crores. So the balance -- you would see a lesser charge -off on ESOP for the around INR 11.5 crores, INR 11.6 crores for the remaining two quarters. It won't be the same number each quarter, but this is a number that we could work with because at INR 11.5 crores to INR 11.7 crores charge for the remaining half of the year.

Sahej Mittal: And FY '24?

Management: Sorry, the r emaining 6 months.

Sahej Mittal : For FY '24 and FY '2 5?

Management: Sorry, for FY -- for next year, FY '24, the total expense, and we'll have to wait and see what is the additional grant that happens. So I'll give you that caveat. The next year, the expenses should be around INR 14 crores.

Moderator: Thank you. The next q uestion is from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh: A broad question. I mean, the way you are just stepping up, there are so many sort of business areas like a starting or mutual on now the opportunity on the insura nce side on the alternate side, account aggregators, I mean there are many quite sustainable. Now there are two sort of I would say forces that play. I mean of course there is massive volume growth opportunity in each of the areas. But this volume

growth escalating comes a price comp etition cell or kind of being a B2B business comes the pricing pressure (46.20) I mean, if we were to a summit because of liar just emerging. How do you see -- I mean, your top line net revenue growth over the next couple of years?

Management: So let me start with AIF first, where we are seeing because it is a complex suite of services run over a platform. Prices are largely holding. Do remember that each of the markets that I'm going to speak about, none of them is a 2 -player market. There are 4 players, 5 players and basically multi -participant markets, unlike mutual funds. But in AIF, we are finding that price is holding,
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which means we are not seeing too much of price attrition because of competitive pressures, yet, we will have to see because there are five or six players that participate how that turns out. In this quarter, you saw that we have spoken about a 30% year -on-year growth. Now of course, the base isn't that large yet, although it represents 50% of the market outsource share the basis in that tranche. As the base expands, I would say any revenue growth between 20% to 25% will be a creditable growth.

So for both this year and next year, if we are able to accomplish that number, I think we will be happy and to be able to hold the price line, so that's on AIF. On insurance, you know that it's a license market, but there are four licensees and it is reasonable to expect some degree of price competition as competition has already happened in that industry. If you see in comparison to any other dematerialize holding.

I would say the prices are comparable even lower than the -- so as the market expands, although the amount of investment each player has to make is humongous. And the quality of service will come under test because right now, it's not been a core player, not everybody, not every consumer has an insurance account, there will be a time when everyone has and the pressure of performance will mount.

We expect that there could be some price attrition from this level. may not be very large, but a 10% to 20% attrition may happen. But we are confident of turning in a reasonable profitability at those prices.

But you're right, both in AIF and in insurance. It's a set of players who are participating. And if we continue to do value -based competition rather than price -based competition, it is obviously accretive to everyone, including to the marketplace. Account aggregator and TSP, although, again, there are name players and it's a license market, we are seeing some degree of, I would say, irrational pricing. Is it going to last for a long time, we don't know.

We are up against a set of players we have not encountered in the past. So we are trying to figure out their behaviors, etcetera. CAMS has always been a value player, which means we don't try to enter a market at 0 -or near zero pricing and then try to expand share and then think of price increases.

That's a very arduous cycle to be a part of. But then there are players who will always believe in those things. So that is one market, I would say, the account aggregator market, which is seeing some degree of international pricing. We will continue to keep you guys updated on how that pans up.

Avinash Singh: I was to sort of you were to just put the things together. And of course, your core large -party mutual fund what kind of a revenue growth expectation do you have for the second half of this year and next year? Overall console revenue.

Ram Charan: This is are you asking for the company as a whole?
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Avinash Singh: Yes. So my question is, I mean, in this backdrop of quite detail, exclusion of segments or what sort of form of consolidated business revenue growth for the company

as a whole you see for the second half this year and next?

Management: So, you know, while we generally don't give specific guidance on revenue numbers. Yes, we have given around 400 -480 crores in the first half of this year (51.00) So what we would say is this the new business revenue, whether it repository or an account aggregator would probably not kick in, in a large extent by this by the next quarter or two. So that it's more kind of a FY'24 story because of regulatory reasons for insurance repository as well as you know, the market being what it is.

And we'll have to kind of further develop for the purpose of TSP very exciting stages. It will continue to grow. So we have always said that, you know, the 90% of our revenue is the mutual fund revenue. So it will be guided by what happens from an asset growth perspective. And we should be confident of mirroring to a large extent, if not 100%, the growth in assets that we expect for the next six months as the top line growth. I think that's where we will leave it.

Moderator: It just the thing is that answer your question. The next question is from the line of Ansuman Deb

from ICICI Securities. Please go ahead.

Ansuman Deb: Yeah. Good morning Sir, and thanks for the opportunity. My question was regarding the cost to that You said considering that we are already spent on the AIF as well as the PMS platform as well as the platform that you pointed to the insurance thing. Also, some of these costs would be lower. So in many ways, could we understand that the quarterly cost that we are seeing in Q2 is broadly should remain at this level in going ahead, which means that Q1 was kind of a bottom margin. And if that is the case, would we be able to kind of think of a margin more like around forty five mid -forties going ahead? That is my question.

Management: So Ansuman, broadly, I would agree with you that, you know, Quarter one was probably you know, we saw the salary cost coming in, in terms of the increases we had to give given the job market and the tech resources. Let me put it this way that we are not on a hiring spree. It's not as if we are going to keep adding rather other than technology resources.

Investments we make in security and infra. It's not going to be a huge investment that we are going to incrementally do on other things. So I think the cost will be pretty stable at least for the next couple of quarters. Again, the April cycle, we'll have to see. But you know for the next couple of quarters, we expect the cost to be reasonably stable. That's not to say it's going to be the same number, but it's going to be reasonably stable.

And from a margin perspective, well, I know the common refrain has been the operating leverage playing out and that's been your view too. So we'll have to wait and see while we are comfortable with where we are in terms of margin. Now whether it will go beyond 45 is something that we'll have to wait and see. But as we continue to guide, we will be in the early forties in a reasonable quarter. I think we'll continue to hit that number. The upside could come when the new

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businesses start to start giving substantial revenue going forward, but that's probably a couple of quarters away.

Ansuman Deb : Right. And last question from my side is on the, you know, possible start in terms of revenue in revenue optionalities. You were mentioning about the AIF (54.40) and now it has been shaping up well. So now if I were to look at the main sources of revenues, it would be, AIF, TSP and the FY'24 and the Insurance repository these three, would you put it as the top three kind of possible revenue sources?

Management: Yes. Absolutely. We'll put, there was the first three and maybe although I think that list is a good enough list in terms of order because AIF is largely assigned the business

which yields revenue

with about two months to three months lag is easier to predict. So should remain at the top.

Insurance, depending upon how fast the regulatory guidelines come in with specific dates, because right now it's a statement of intent.

The firm dates have to be announced, but as and when that gets announced, there will be a scramble to meet them. And like we said, because consumers are anyway savvy on digital management of the investments, we don't see too much reluctance coming in from investors to open their e-insurance account. So that could be number two. And then with all the momentum that we are seeing on the account aggregator side, I would stack them as one, two or three in that order. But you are certainly you've got the order right

Ansuman Deb : And there is a positive surprise in CAMS space. The payment things and what is driving that growth in? Is it purely number of transactions or anything?

Management: Yes, it is on the number of transactions and the ACH continues to be very stable and continues to get the major market share from mutual (56.40) perspective. We also seen some uptick from our digital perspective, which is your non-ACH in terms of as we said, the UPI AutoPay has been launched, although it's in a small way. We also have the net banking, we have the debit, we have the IMPS verification in because of the regulatory changes. So the ACH remains stable, kind of being the major share from a perspective that digital revenue has come up in the last quarter and that's the positive surprise that you're seeing.

Moderator: Thank you. Mr. Dev, we request that you return to the question queue for follow-up questions. We'll take the next question from the line of Sagar Gandhi from Future General Life Insurance. Please go ahead.

Sagar Gandhi: Yes. Good morning. So my question is, while you've highlighted that alternative's Insurance and AA will be your top fine and top businesses in your new segment, does that also remain the order of when I ask you something like this, which business will clock INR 20 crores of EBITDA first? So we will it – will the order of remain the same or will the order change.

Management: Well, without making too much of a forward-looking statement. I think INR 20 crores EBITDA, it has to be a result of and again I'm talking in a very approximate manner of INR 40 crores or INR 50 crores revenue. The way things are looking right now just in terms of current size, of

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course, it's tough to predict future size in terms of who'll get there first. Alternatives looks like will be the first to get there. I'm sure the other business that would like to prove me wrong, but that is the way I would look at it right now.

Sagar Gandhi: And this will be followed by insurance. And then a broadly in your estimate, it may not have been better, but that is how we are.

Management: Yes, I think the only difference, I would say, between insurance and AA today is that if the regulatory guidelines state a reasonably aggressive date for the market behavior to change, then consumers react very quickly and the options they have go away. While in the case of account aggregator for consumers to react, the first part is already done, which means everybody is linked, at least in banking, all the banks and SIPs. But for active change to happen at the consumer level, and consumer is not just the individual consumer. I'm talking of the FIU, the Financial Information User. That may still take a bit of cycle times. I mean, that is the way we will think about it right now and we will continue updating you as the whole thing unfolds itself.

Moderator: Thank you. The next question is from the line of Punit Kumar from Reliable Investments. Please go ahead.

Punit Kumar: Good morning, sir. My name is Puneet. I'm calling from Delhi. I would like this

question to be

answered by Mr. Ramcharan. I'm looking for basically I'm seeing the two sides of the company. I would like which side I should look at. Because there is the investor presentation, so many Indian, so many companies which create future. That is one thing. Second part of the first side is Mr. Anuj presenting some lakhs of crores plus some lakhs crores, billions of transaction added, etc.. These are the positive sides.

The negative side I see in the consolidated P&L is sales have increased from INR 231 crores to INR 249 crores, which means that we have added INR 18 crores and we have added INR 21.5 crores for the receivables. So it's sales actually minus INR 3 crores. And if I see the bottom line, So which side should I look? How is the company doing? I cannot understand. And I'm confused. Thank you so much.

Management: So I'll try to clarify. I'm sorry, something caused the confusion to you. So the only numbers that are relevant is obviously the consolidated numbers. And those numbers are uploaded in my in the SEBI website as well as in the exchange. And the earnings presentation has the same numbers. So just as a summary, the sales have gone up by 6.3% year-on-year and 2.4% quarter-on-quarter. That is the INR 242 crores numbers that you see, which is attributable to the increase in the assets under management by the similar number.

There is no confusion on that and you don't have to worry about subsidiaries separately because barring one, which is a very small component, remaining things are 100% subsidiaries. Their subsidiaries are more from a regulatory perspective because IRDAI will require a separate company for account aggregator and then other things like that, and SEBI for KYC. So for our purposes, all of these are 100% subsidiaries. They are done only for regulatory reasons.

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There is no minority interest barring one. So you should look only at the consolidated numbers, which is the number that we have, which we have uploaded in the website, as well as the number that you see in the earnings presentation.

So the INR 242 crores is the increase that you have seen, the asset based revenue increase you have seen, the sequential growth in profit has been 8% on EBITDA perspective and 11% from a PBT perspective. These are the same numbers that you will see in all the presentations, and from a PBT perspective, you've seen 11% growth quarter-on-quarter and stable year-on-year. That's the INR 197 crores, that is the 97 crores number that you will see. And from a PAT perspective, you'll see a number of INR 72.14 crores. That is the number you will see from a consolidated perspective, as well as what you will see from the earnings presentation.

So the numbers that we spoke about are all consolidated numbers. There is a single number that you see as an investor. If you if you feel that some of it is confusion, we will take the feedback and kind of address it to you separately. But you don't have to worry about the subsidiaries. You don't have a worry about every other filing. You see consolidated number that we filed with the exchange as well as with the earnings presentation that is relevant for this.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. Should you have any further questions, please reach out to Anish Sawlani at Shareholder Relations at camps.online.com. I would now like to hand the conference over to Mr. Ramcharan, Chief Financial Officer, for closing comments.

Ramcharan SR: Thanks. On behalf of the CAMS management, I would like to thank the participants for their continued interest in CAMS. And for any further questions, please feel free to contact IR, Orient Capital or Anish Sawlani, the coordinates that mentioned in our presentation. Once again, thank you for your participation and continue to please follow CAMS and

please get back to us in

terms of any questions. Thank you all very much.

Moderator: Ladies and gentlemen, on behalf of Computer Age Management Services Limited that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

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"Computer Age Management Services Limited
Q3 FY2023 Earnings Conference Call "
February 08, 2023

MANAGEMENT : MR. ANUJ KUMAR - MANAGING DIRECTOR -
COMPUTER AGE MANAGEMENT SERVICES LIMITED
MR. RAM CHARAN SESHARAMAN - CHIEF FINANCIAL
OFFICER - COMPUTER AGE MANAGEMENT SERVICES
LIMITED
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Page 2 of 21 Moderator : Ladies and gentlemen, good day and welcome to the Computer Age Management Services Q3 and 9M FY2023 Conference Call organized by Orient Capital . As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call please signal an operator by pressing "*" then "0" on your touchstone phone . Please note that this conference is being recorded. We request all the participants to kindly refer to the safe harbor statement in the earnings presentation . I now hand the conference over to Mr. Anuj Kumar , Managing Director , CAMS . Thank you and over to you Sir!

Anuj Kumar: Good morning everyone and thank you Michelle . I hope all of you are able to hear me clearly . I appreciate all of you taking the time out to join our earnings call . As you may have seen in the results we have had a satisfying quarter and I have a number of things to share with you significantly in terms of operating highlights . As we continue to work in a business environment which had a set of challenges to deal with I think the overall outlook for the quarter in terms of business results has been very satisfactory . I will run you through a structured presentation starting off just in terms of our mutual fund business . You would have seen that we announced two new MF mandates these are always an important part of our overall endeavor to maintain share and relevance in the marketplace . Helios Capital which is entering the mutual fund market through a new license has chosen to join the CAMS platform . This decision came in the month of November and then Navi Mutual Fund which was an existing mutual fund , but under a new management after a takeover of an existing fund has also chosen to select CAMS as their provider . So that is the good news on the new win on the mutual fund side . Overall on the core business metrics our AUM scaled a lifetime high of Rs.27.8 trillion or just short of Rs.28 lakh Crore. The scale on the back of what I would call steady growth in equity AUM which is of course the most relevant best price , the profitable part of our business mix that grew 6.1 % quarter -on-quarter and we will speak a lot more about mutual fund business as we move along . On the alternative business we saw another very strong quarter , we grew revenue and sales over 20 % during the quarter and our digital on-boarding platform which is CAMS Wealth Serv continued to see sustained interest and a slew of events in the marketplace , it has now crossed as of end of December over 60 signups and we continue to see a lot of interest and momentum in the marketplace as we brought in our sales effort and outreach . On the insurance side where all of you have been following the media and following the regulatory announcements in terms of a Demat regime coming up and mandatory KYC requirement for all kinds of insurance . I would like to call out two things while that topic is

Page 3 of 21 progressing and we all continue to watch specific regulatory announcements what we saw happen in the quarter was that in anticipation of a regime of compulsory Dem at consumers voluntarily chose to join up this regime so you will see and although all of this is on a small base and we normally do not call out very stark comparison numbers, but this

is a stark

comparison number, our insurance accounts the new ones at close to 5 lakh almost doubled quarter-on-quarter and similarly our e-policies during the quarter cross 5 lakh and this also almost doubled quarter-on-quarter, so Q3 over Q2 was a significant growth all on a small base of cost but a very, very positive consumer driven outcome in terms of consumers watching an announcement and then aligning their own behavior to take advantage of the very convenient regime that is about to come into the world of insurance.

On the CAMS finserve outside which is our account aggregator business I think we continue to report positive news in terms of going live with several FIPs and FIUs and continued to win business. One of the things on the highlights I would like to call out is that CAMS is now pioneered the usage of account aggregator data for bank account validation as you know for any format up date payment across industries whether it is insurance, mutual fund, NBFCs, banks so far Rs.1 penny drop or a penny drop through IMPS has been considered a very convenient tool. The first time we are trying out account aggregator data to validate bank accounts it is a nice beginning, this is the first experimental usage of this use case and we will continue to share with you as we scale this. We have also been the first one to go live on the account aggregator platform with pension data as an NPSCRA as an FIP. Insurance companies as you know have started integration with the ecosystem the mutual funds are beginning so that as the story completes will herald an era of almost all kinds of financial services, sectoral entities joining the account aggregator platform.

On the overall innovation and technology side again which is from Q2 highlights that I will share with you which you perhaps read about on our website and other media news. One is that CAMS won the Cloud Innovator of the Year award from NAS SCOM this was particularly in reference to putting out a fully on cloud NPSCRA platform and like we have said even in the past we were the first ones and this has been acknowledged quite well by a very large industry body like NAS SCOM and then just deepening the trend of technology-led innovation, technology-led experimentation, tinkering what do you want to use, so we have gone live now with our Fintech Innovation Lab with IIT Madras as you know amongst the IITs all of you who have been tracking IIT Madras has perhaps got a place of pride in terms of doing industry collaborations and generally having interfaces which are very, very strong with industry, so as part of our overall CSR initiative we have gone live with this lab and we will have interesting things to report as we move forward and engage the brightest brains in the country both from the faculty side, students and other participants in bringing Computer Age Management Services Limited
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Page 4 of 21 out services, conveniences, utilities and perhaps products which will start influencing the lives of people that we want to build.

On the NPS side we continue to retain the number two position and that it is still not one year since we launched just short of 10% some got 9.2% market share. What is also happened is that we are now seeing subscriber addition not just through eNPS which is something that I just spoke about what are POP retail linkages where a point of presence has retail traffic on their website and then in that traffic starts registering with CAMS CRA that process began sometime in December. We are seeing a build out of volumes the consumers continues to remain over 90% so quite happy with the progress in all of these new initiatives that we have been sharing with you all through 2022 and all of you have been curious about when they become I would say heavy in terms of subscriber interest, B2B interest

and ultimately revenues.

Moving on just in terms of growth in overall AUM which is basic core operating metric on which everything changes in our industry. Despite the times that we are living in where you know that there have been a set of macroeconomic factors all through FY2022 nothing much changed in the quarter we are talking about. We have lived through those challenges, also we have lived through an interest rate regime that continues to scale interest rates to almost levels which are not veryprecedented in the recent past. Given that backdrop it has not been very easy I think our overall AUM growth has been satisfactory, we are now reporting a lifetime high of Rs.27.8 trillion and like I said this has largely been riding on a smart equity AUM growth both year-on-year and quarter-on-quarter if you see the numbers

you will see almost 18 % plus year -on-year growth number over the past quarter . Equity AUM at the end of the quarter was just shy of Rs.13 lakh Crores at 12.9 also I think a significant metric is I know all of you are watching inflows our equity net inflow share has gone to 63.7 % of course we continue to watch this closely as the summer builds out and I think one thing it is building itself on is the monthly SIP collections and I will just come to that, but I think overall at the foundational level despite what we are seeing structurally I would say these are very positive trends to look at . (Line was static and reconnected) SIP registrations holding between first, second and third quarter at a number above 37 lakhs growing about 2% from Q1 to Q2 and Q2 to Q3, net of attritions and net of fall of fs I was happy i s grew by about 12 lakh in the October to December period, but I think very strong steady metric is the 7800 Crores per month of SIP collections during the quarter and this as you have seen our case has continued to go up obviously there are no certainties , but continues to go up by an average of 150 -200 Crore s a month and I think that is almost from the bedrock of equity net sales in the industry this number grew by almost 6% slightly ahead of industry growth .

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Page 5 of 21 Transaction volumes grew you can see in the chart again a good measure of customer engagement and I think when you see new fund offerings and we are going to talk about two segments, some new fund offerings in equities we had a 70 % share of collections in that we had 86 % share so the two categories which really matter . I think both from a new fund offering and SIP collection and share of equity net inflow these have been very steady metrics leading to where the AUM has been and I think like I said given the backdrop of the times it is all holding quite well move forward . We spoke about the new initiatives . On MF Central I think the trend of consumer participation and consumer satisfaction that line is holding very steady . The apps have now crossed a daily login of 10000 of course this number our aspiration is to scale it significantly several x times where it is , but at 10000 it shows a good index of consumer participation and then when you see in terms of other value which is not just consumers coming to the app , but consumers going to any other app or website and being able to access this information MF Central has now got live APIs, absolutely live APIs where you can pick up your comm and account statement this includes all your major fund data it all means it gets live API based data from the depositories only the MF data by the way not the stock data , but that comes in both for your ETF holdings and MF holdings and of course everything that is in the RTI record the first of its kind and then as that is live and as we continue to scale it there is more happening on the financial information , financial transactions side and the non -

commercial transaction side where we are making distributor -based APIs live now and that will then broaden the usage of this utility to direct consumers , to customers who come to the app and website directly and to all consumers who may be using any other partner app or website , but will be using the data cache and then the transactability through the financial transaction and non-financial transaction APIs.

In terms of market share then 68.3 % market share like we have said largely riding on a 6% quarter -on-quarter growth in SIP collections , 23% plus year -on-year, overall AUM at 27.8 trillion grew for about 4.3% year -on-year, 2.9% quarter -on-quarter and similarly equity AUM as you would have seen continue to grow well 18.8% year -on-year, 6.1% quarter -on-quarter. Other metrics you have seen the transaction volumes , the SIP book has grown 20% annually like I said very strong foundational metrics , SIP book stands at very close to Rs.3.4 Crores 44 million , we processed 97 plus million SIP transactions , live consumer folios , investor folios close to 5.6 Crore s now grew 13% year-on-year and unique investor service are a little over 24.5 billion so about 2.45 Crore s again grew 14 % year -on-year. On the alternatives business like I spoke when we were talking about the headlines the AIF business grew 20 % year-on-year in the third quarter almost 70 new AIF and PMS mandates won so more than one per week during the quarter just holding out the trend that we have faced or that we have experienced across almost the entire year calendar 2012 , 60 funds

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Page 6 of 21 have signed up for AIF and PMS digital onboarding that CAMS well served. On Fintuple we continue to make inroads with marquee clients and then on the GIFT city we are now scaling operations and we are present for GIFT city operating with seven signed up clients . On the account aggregator overall total 55 account aggregator and TSP wins large , medium , small all kinds 20 in the third quarter . I spoke about the customer account verification that CAMS is pioneering across the industry through account aggregator data and we plan to scale this and make it a lot more popular . We have been to all the major metros engaging

with the consumers B2B connects of all kinds in terms of holding events to popularize the concept across various use cases including wealth management and overall over 18 banks and one life insurance Company are live as financial information providers.

On the pension side like we said we are the first to go live on the account aggregator platform with pension data. The IRD entities are now initiating the integration journey and then high volume cash flow-based lending use cases using GST data are now beginning to become popular and then we are billing out capabilities and utilities to take all of that to market. On the CRA side you would have seen various numbers that we put out I think the significant thing is over a 9% share in eNPS continuing to hold the number two position in the industry commenced our entire journey on POP retail customer acquisitions so have taken about seven POPs live and are beginning to get traffic from them starting in the month of December and then I think from innovation and transformation perspective industry first features of CAMS CRA using eKYC data to onboard pension customers and then UPI based bank account verification, these are things which are being noticed by the industry including the regulatory circles and are actually being recommended to our peers for them to implement just like CAMS has implemented.

On the cascade side just from a product and markets perspective UPI auto pay feature is now live with seven clients very popular including for mutual fund purchases. We have gone live with insta SIP where a same day S

IP can be started by making a one-time

investment and then setting up an auto pay kind of mechanism for the same day and similarly we have continued to scale various business features including Insta eNACH and giving out business app to our B2B consumers for merchants and their customers to experience a completely frictionless journey in the dealings of CAMS Pay.

On the CAMS Rep side we had spoken about two things in the last quarter one is KYC to become mandatory for purchase of any kind of insurance that has now gone live and we are working with partners and clients in order to be a large participant in that space and then I think from consuming numbers perspective I have spoken about 2x growth from 2x to 3x in the number of e-insurance accounts that were opened and in the number of e-policies which

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Page 7 of 21 are important to the insurance accounts like I said stocks very nice growth numbers coming off a small base, but a good measure of what consumers can do by themselves even before there is a regulatory framework as consumers open these accounts and pull their policies themselves, we now have over 4 million insurance accounts, five million plus policies. On our AI infused initiative to pay back unclaimed insurance amounts to consumers we are now doing this for several insurance companies started with a base of Rs.750 Crores of unclaimed amounts and then managed to spot the right claimants for about Rs.135 Crores and pay some money so I think that product is now going quite well and will continue scaling in popularity because finding the claimants of unclaimed monies have been continuous to remain a priority for insurance companies, it is a priority for all kinds of financial entities just to make sure there is transparency with respect to this operation, so that product feature has gone very well. I will pause here and then hand over to my colleague Ram Charan to take you through all financial numbers after which we will be ready for Q&A.

Ram Charan: Thank you Anuj. So I will take the next five minutes to go through the financial numbers for the quarter. The revenue for the quarter we ended up Rs.243.57 Crores, this was up 2.5% year-on-year and 0.5% quarter-on-quarter. As you know the component of the revenue, there are three components one is the asset-based revenue, one is the non-asset based revenue and the non-MF revenue. During the quarter on a year-on-year basis for the same quarter our AUM equity grew 4.3% we ended the quarter with Rs.27.83 Lakh Crores as opposed to we had Rs.26.99 Lakh Crores in the same quarter last year, so there was a 4.3% up on AUM. The asset based fee also tracked the same number, it was a 4.5% year-on-year and we ended up Rs.187.5 Crores of asset based revenue. The second component, the non-asset based revenue, we saw a dip year-on-year a sharp dip of 8.8% this dip was mainly driven by the drop in transaction revenue during the quarter and lesser NFO revenue during the quarter, the earlier there were a lot of slew of launches that happened from a NFO perspective and there was some amount of depletion from miscellaneous application revenue, so on a year-on-year basis there was a sharp dip and a non-asset based revenue, but the asset based revenue track the growth in assets. From a non-MF revenue on a year-on-year basis we grew 4.2% driven again and it was mentioning about the smart growth that we are seeing in the alternate space /AIF space so driven largely by the traction we are seeing on the outlet investment fund sign ups as well as revenue. We grew a non-MF revenue by 4.2% year-on-year, there was some amount of increase because of higher transactions processed by a payment platform CAMS Pay; however, there was some

decrease because of the new KRA s coming onto the sys

tem , so KRA revenue was lesser

than the earlier quarter . So on an overall basis the summary is tha t asset based revenue year-

on-year track the growth in assets is 4.5%, the non -asset based revenue depleted in 8.8 %

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Page 8 of 21 driven largely by transaction revenue , NFO revenue and the non -MF revenue increased year-on-year basis 4.2 % driven by alternate investments and payment businesses , but on a quarter -on-quarter basis the revenue increase was 0.5 % out of which the asset based revenue grew 1.4 %, the a ssets growth during this period was around 2.9 % so there was a reduction from the overall asset growth to asset fee growth what we see in the current quarter which leads to the question o n yields which I will touch upon later and on a non -asset based revenue it was almost flat just 1% quarter -on-quarter down again driven by reduction in the transaction revenue that kin d of largely drove the s mall reduction in the non-asset based revenue quarter-on-quarter . The non-MF revenue degrew by 3.9 % quarter -on-quarter , this was largely driven by some reduction that we saw on the payment s businesses during the quarter; however , we see some sort of increase in revenue that is coming to us from the paym ent business in the fourth quarter but overall the non -MF revenue decreased by almost 4% driven largely by reduction in the payments businesses and some amount of KRA business .

From a yield perspective we consistently have guided that given the telescopic pricing and sometimes the price discussions that happens with customer s always there will be a la g between the asset g rowth and the asset fee growth our long-term, medium -term trend ha s been between around 75 % to 80 % percentage of the asset growth will translate as asset fee growth over the year and over the nine month period although we have seen stable yields largely driven by the fact that although there has been some price depletion this has been compensated by the favorable mix ratio that we got becaus e the equity mix has recovered smartly it was around 46.4 % for the quarter so any price depletion that happens because of the reasons I mentioned ha s been largely compensated on a year -on-year as well as a nine month basis by the mix ; however, on a quarter -on-quarter basis the equity component growth was less pronounced it was 45 % to 46 % of the growth that we saw and as we had mentioned last time this year has also been the year where t here are 11 to 12 of our contracts of the 17 customers came up for renew al and due to various reasons including COV ID and various reasons they got b unched together in a single year for renewal . We are happy to say that all the contracts have been renewed and overwhelming majority of those have been rolled over with more price increases . One or two contracts which were long -term which came up for renewal over five years there is some amount of reduction that has happened so all these together with the mixed impact is contributing to what you see as stable yields on a year -on-year basis ; however, on a quarter -on-quarter basis we have seen the yield drop at 0.03 b ps that is the commentary on the yield I wanted to leave you with . We will just move on to the prof itability index and the matri ces. As we had consistently guided what we are aiming for is the EBITDA margin of 40 % plus and we have seen over the course of the year the EBITDA margin has kept inching up right , we had a first quarter Computer Age Management Services Limited February 08, 2023

Page 9 of 21 EBITDA margin of 41.4 %, the second quarter was 43.3 % and the third quarter inched up further to 44.5% so we enter the quarter with an EBITDA of Rs. 108.32 Crores , on year -on-year basis this is actually up , it is down in terms of 4.4 %, but we have seen an increase in margin profil e in the course

of the year as we progress from one quarter to another . We

would like to remind you that this number also includes the entire expenses we are eating on the new initiatives like the account aggregator , like the TSP business , like the M F Cent ral Business that we are launching and the increase d expenses that we ar e incurring from overall cloud perspective for various initiatives that we are running , so the investments in the new business during the quarter has not been slowed down , they continu ed to be incurred in terms of technology , in terms of platforms , in term s of licenses . As we have consistently guided we feel that the revenue from these operations would start yielding results from the first quarter of next year till then this is an inves tment phase we continue to incur and we have not slowed down the investm ents for any reason in the last few quarters . Given all those things we feel that the margin is a credible number of 44.5 % for the current quarter . The PBT for the quarter is Rs.97.94 Crores that is 39.1 % and the PAT is 73.72 Crores is 29.4 % again 2.2 % up quarter -on-quarter , but 4% down year -on-year. We ended the quarter with a cash and cash equivalent of Rs.479 Crores of cash in our balance sheet in

terms of liquid funds , deposits and balances and the return of network was close to 40 % . The Board was pleased to declare an interim dividend of Rs.10.5 per share in its Board meeting yesterday it has since been notified , so all in all the quarter has been characterized by muted growth from asset based revenue perspective , not much of a growth from a non - mutual fund perspective ; however , due to the additional investments that we are continuing to do in the various initiatives that we have taken including MF Central , account aggregator , TSP, CRA, etc., which we feel will bear fruit in the coming year , we were still able to maintain margins at a healthy 44 % plus, so with this I hand over the call back to Michelle . You can open it up for questions .

Moderator : Thank you very much Sir. We will now begin the question and answer session . We have the first question from the line of Avinash Singh from Emkay Global . Please go ahead .

Avinash Singh : Question I was asking that majority of our revenues are tied up with the mutual fund and the other revenues are picking up, so now as you are getting more stability on the other revenue streams so can we have sort of the medium term mix last year and year after that some sort of revenue mix expectation assuming that the mutual fund sort of industry maintaining steady growth, so some this MF versus non -MF revenue mix is going to pan out that is number one, second if you can help us understand eventually the revenue model if any ? Thank you.

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Page 10 of 21 Anuj Kumar : Let me take that I think you have heard us say in the past that we want to diversify a revenue outside of mutual funds and scale it from current levels of 10 % let us say 20 % of company revenues. There are three or four businesses that we need to work on and scale and they all have I would say significant promise, the alternatives business is to an extent delivering that promise right now because it is scaling beyond company growth rates and to an extent beyond mutual fund growth rate so that is a good trend to be at . Insurance our expectation is once this announcement gets implemented and if you see deepening of the trend that we have just shown you insurance repository could be in that space for the next few years and then a account aggregator could go that way again like we keep saying that it is still perhaps slightly early day, but we are focused on these three businesses to scale beyond company growth rates and produce the diversification anything else that we may do on the inorganic side should only add to the overall

trend . Is adding many more new products

going to be the answer the answer is no in terms of how much we can invest from go to market and product build and how much can we consume the teams in these pursuits I think we have the right balance , of course the payments business is also there and the payments business has scaled like 50 % of the output comes from the mutual fund industry , the rest as diversified. So we think we have a fair mix of products and we will continue sharing with you as the scale up happens over this year in the coming years but it is our absolute focus to grow these alternative businesses or non -mutual fund businesses faster than company revenue growth rate. On MF Central you know that this is more constructed and designed like a consumer utility and we have been building it also 21 when we launched it towards the end of the year . We have nurtured it to the current size and shape all of 22 and we will continue scaling it of course right now we are not expecting that revenues will even equal costs they will not that may take another four to five quarters , six quarters to happen , but once we get to that point I think it will be a good point where it becomes a self -sustaining property maybe at the end of this year that is an aspiration is that going to be a completely profit focused , revenue focused entity , the answer is no . It is more built like a public utility to just add a significant layer of convenience for the mutual fund investors and I think philosophically that is the way we continue to look at it .

Avinash Singh : Thank you Sir.

Moderator : Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal . Please go ahead .

Prayesh Jain : Just a few questions . Sir firstly could you throw some light on there is a lot of media talk again of steady kind of relooking at the expenses of the TER for the industry and kind of talking about consuming the brokerages and other elements , GST element also into the TER, so effectively the yields of all the AMC s will decline and possibly some part of it will

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Page 11 of 21 be passed on to you , so in the revision of the contract that we all have done is there any clause where in which allows the AMC to renegotiate immediately say the announcement comes in three to six months?

Anuj Kumar : Prayesh you are right . There is this live topic and it has the components that you refer to which means are the components of the TER what is outside the ceiling that there are

various components outside, there are some components like transaction charges and for certain kind of cities if you get consumers from there, so all of that is it is public news, is under examination what will happen time will tell, we are watching it as closely as you are. Again the only point I would like to underscore is that from a scope delivery perspective RTAs have continued to expand a scope every year, we do more and more things and I think that is evident to the mutual fund industry that we are doing more and more things for them. Is there any clause as a specific answer in our contracts that they can come and renegotiate, etc., of course there is nothing like that, we are watching the space we will see what the outcome is and if anybody wants to start a dialogue obviously we know then we have to defend our overall value position and we have to defend our charging which we have done successfully in the past as you are aware, but to answer your question there is no specific clause like that.

Prayesh Jain : Okay great. Coming to the second question is actually on the margins you are mentioning that in spite of the investment that you all are making and improve businesses the margins are healthy at 44% and really commendable job for doing that. My question is more on from Q1 FY2024 where

possibly some of these businesses that is gearing up do you think that you will start moving EBITDA margins more towards say 46%, 48% in that zone or do you think that you would retain some part of that profitability and invest in some other businesses and maintain the EBITDA margins at the current level, how should we start thinking our EBITDA for next year onwards?

Ram C Sesharaman : I will take that question, just as a quantification I think you got the delta right which is that we spend almost 1.5% to 2% revenue in the new investments which currently do not have significant topline or material topline, the way we look at is and we will have to keep providing for the expenses from a wage inflation perspective, from a security perspective our software expenses if you see the operating expenses for the current quarter the bulk of the increase is because of the additional investments we are making on cloud, on platforms, on security, on various licenses, cutting-edge technologies on databases, tools, etc., so we do not see from our perspective that those investments would stop or decelerate in the next year. Yes, there will be welcome addition to the revenue in terms of the new initiatives again the ramp up would not be dramatic over one quarter we expect that the ramp up will be gradual over the next year. Having said that from a margin perspective I think we are
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Page 12 of 21 comfortable with the margins and the guidance that we are giving on the close to 43% to 44% in fact early 40s will be a good margin for us to aspire for, we will continue to make the investments on people, technology, etc., so while the revenue from the topline will continue or will kind of help us the investments will not slow down so I do not think we should expect a dramatic increase in the margin profile from next year. What it will do is free up more resources for us to keep investing in the other initiatives that we have in mind so the margins will continue to be range bound is our thinking.

Prayesh Jain : Okay thanks for that and another question is on the insurance repository business now we spoke about the settlement of the claims which were not earlier settled is that kind of an activity chargeable and my question is more broadly as to what are the services that you are currently charging for and what are the incremental services that can come through and currently what is the size of the industry and what do you expect the industry size should be say then there are actually non-state implemented?

Ram C Sesharaman: Okay so I will again answer the question in two parts. One is our insurance current revenue has got two parts one is the outsourcing business which is the labor business where we work on various customer systems from a policy servicing perspective, from a persistency perspective, but the focus and the growth will be on the second part which we are talking about which is the insurance repository business. The repository the current charging model is that we get paid for a policy conversion which is that a policy that is converted into Demat or electronic we get paid by the insurance company. Secondly we get paid an annual maintenance charge which is for maintaining that policy in our electronic platform, thirdly we get paid for the transaction revenue. The transaction revenue currently is limited the scope of the IR asset exists today is limited to maintaining the master data and the policies. The plan is actually very deep, we plan to do various things and the initiatives have already started and getting implemented. In terms of enriching the platform to be a policy servicing and ensure servicing kind of a platform where we are building in various assets including like the statements, the surrender value computation in terms of other servicing requ

ests

probably even clean processing, so these are rich in transactions and policy servicing which will kind of give us additional transactional revenue going forward this is the enhancement

that is happening as we speak which would probably take a quarter or two for it to get fully into revenue, but this is our scope. In terms of IR specifically on policy conversion I think all of us are aware of the numbers in terms of the policies that are live and not Demated, people are talking about 45 to 50 Crores policies that could potentially get Demated including those with LIC if the regulation comes through, now that is a big if so we do not know what shape and form the regulation will take place. It is going through its own in terms of discussion papers and notes and committees in terms of how this will pan out specifically, readiness in terms of infrastructure IRDAI is closely on the job and monitoring

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Page 13 of 21 in all IRs and we are also one of the committees which kind of goes through this, so we will have to wait for how it pans out but if and when it comes in the course of the next year we would expect that this will create a big market for policy conversion as well as the platform that we are building for policy servicing. The one new development that happened is from January 1, the KYC has become mandatory so that we will start getting action on that in a quarter or two from now even the motor insurance policies would require a KYC which was so long not mandated, so the lot of happening in that system we will take probably a quarter for all these things to settle down, but everything is tending towards the positive direction in terms of incremental revenue.

Anuj Kumar : Prayesh I will just add to this, just think of it in two dimensions. One thing that when a mandatory Demat regime comes the 2 Crores or under 2 Crores policies in Demat can scale to Rs.50 Crores and that is a significant multiple in terms of scaling of an industry will that go through a bit of price shifts, etc., any industry would, but net of price shifts it will get a revenue scale of several x times could be 10 to 20x that is point number one. Point number two just look at the way you deal with mutual funds versus the way you deal with insurance, you do not deal in the same way. Mutual funds have allowed you to, there are aggregator platforms think of my CAMS so think of MF Central where you can do everything in one place irrespective of who has sold you the insurance and who has manufactured it. You will do things in one place that format is right now not available. The e-insurance account will herald that format it is a significant consumer convenience which will lead to large-scale changes in consumer behaviors because consumers know that behavior in other industries why will they not use it here, the question to ask is will all that become a commercial activity, will it be paid for, will it help revenue scale, etc., but I think those are the two broad themes I will encourage you to think about and base your thought process on.

Prayesh Jain : Great. Thank you so much for all these answers.

Moderator : Thank you. We have the next question from the line of Sanketh Godha from Spark Capital. Please go ahead.

Sanketh Godha : Thank you for the opportunity. Again the question is on insurance repository, in the mutual fund industry if LIC chooses one party it becomes the sole repository, so are you seeing the similar trend happening in the insurance space so for example if HDFC Life or LIC has chosen to open all the insurance accounts or e-policies whether it will be one insurance repository or if they will socialize it or giving it to more insurance repository, so just wanted to know how it is going to play out and second you touched upon the

pricing, but

just wanted to understand how the pricing according to you will change from the current

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Page 14 of 21 level whether you expect correction from current what you are charging or you will see a marginal correction, but it could be a meaningful number on the topline?

Ram C Sesharaman: I will take this question. From our understanding and what is prevalent from a market perspective is that there is no monopoly or one insurance company going to one eIA, primary choice is with the insured person to kind of where he wants to link his account with failing which I think the insurance companies would kind of allocate it. What we are seeing is that we do not see many cases where they work only with one insurance repository it is definitely more than one, so we do not see this RTA kind of a one-on-one relationship from insurance repository to insurance company so it is more kind of more spread out among multiple eIA obviously primary it could be the choice of the insured also to pick the eIA provided to whom he wants his account settled. From a pricing perspective we are now it is probably high single digits in terms of what we do for a policy conversion. It is only natural that for a given volume where we do five to six lakh policies in a Q2 which is multiple Crores it has only been natural that we will expect a sharp depletion in the policy cost, it will not be marginalized in 5% or something like that we expect it to be sharp especially given that we will have to wait and see what happens to the biggest insurers, how they are

going to join this market , what is going to be the architecture for them , but we would not be surprised if the decline is sharp and it is not just marginal 5% here and there that is our expectation , but having said that what this number will be it is entirely demand and supply dynamics and who is going to kind of opt for what eIA accounts so that we have to wait and see, we do not know the exact indication for that probably a quarter or two from now when there is no regulatory certainty on this in terms of the shape of the guidelines , as you know they are being upgraded from guidelines to a regulation perspective that is the aim of the IRDAI, so all those things get published over the next three months , we will have a better clarity on what is going to happen , but it is only natural to expect that there will be rate depletion .

Sanketh Godha : Got it, but this is from the market share point of view , the insurance repository today we enjoyed around 35%, 37% market share in the insurance repository but as you rightly said it is 32 % of the entire policy dematerialized so with this I wanted to understand that this number you expect you to stay there for the entire unit when it becomes for the entire universe or you think there could be a natural depletion in this market share in a bigger size?

Ram C Sesharaman: As you know there are four providers as of now who are doing these services and two actually have similar market shares of 35 % it is us plus one more provider , of the four one is not very active at least until the last quarter and one is kind of a lesser market player . Now obviously our endeavor will be to retain and if possible increase our market share on Computer Age Management Services Limited
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Page 15 of 21 this and all our efforts are going towards that . If we are kind of diligent on that and do our work properly we do not see why our market share should decrease obviously we are working to maintaining and increasing our market share , so yes obviously it is going to be a hard-fought market so we need to kind of work towards that , but I think all our attempts are being made to ensure that we either retain or increase our market share .

Sanketh Godha : Got it and the last one again

in on the insurance repository and you rightly said that from

January 1, all the non-insurance policies or for all the policies the KYC has been made mandatory , so I just wanted to understand the trend whether it has been outsourced to insurance repository or our insurance company for motor or a health , are preferring to do it in-house rather than outsourcing to you people so how is the trend today and if it is in-house how you think you will convince the companies to insurance repository?

Ram C Sesharaman: We have some value proposition , it could be tied up to your eIA account opening, etc., so there are some strategies that we have thought about, it is very, very early stage Sanketh so we have to see the trend is emerging especially at the time of maturity this will actually pick up right so it has just been introduced. We have a proposition from a e-KYC perspective , KYC purposes which we feel is very strong coupled with a eIA account opening , we are going to the market with that I think a quarter down the line I will be able to answer your question with exact details and what market is doing because I think everybody is on a figuring out basis now , so we will have to wait for a quarter for clarity to emerge .

Sanketh Godha : Got it and lastly on LIC I just wanted to understand what is our intent in the entire game, so LIC is inching to do it in-house either the e-policies or they are open to outsource this to the repository industry?

Ram C Sesharaman: We have no concrete information on that as I said we will have to wait for more clarity to emerge from a regulatory perspective what the shape of the guidelines is going to be regulation is going to be and how they are going to react so I can be premature to speculate on that and we have no concrete information on that .

Sanketh Godha : Got it, perfect answer. Thank you.

Moderator: Thank you. The next question is from the line of Ajox Frederick from Sundaram Mutual Fund. Please go ahead .

Ajox Frederick : Thanks for the opportunity . Sir my question again is a continuation of the earlier participant , so the insurance repository revenue currently what is that for us ?

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Page 16 of 21 Ram C Sesharaman: We have insurance repositories , the overall including outsourcing we do not give a full figure but I will tell insurance repository if you do six lakh policies what the approximate realization will be , on overall basis the insurance vertical for us is around 4 Crores to 4.5 Crores a quarter is the revenue .

Ajox Frederick: This can go up to 10x assuming that we maintain our market share and a majority of the policies so that is the direction we are looking at right ?

Ram C Sesharaman: Let me just clarify this is the insurance vertical so out of it that is outsourcing as well as the repository revenue , repository revenue for a quarter will be around less than a Crore of

rupees so that is the component of this . In terms of growing 10x again this is obviously we are looking at a positive uptick to this revenue , how dramatic that is going to be we will have to wait and watch , but we are very positive that this is going to be a reason for us to show increase in revenue definitely in this vertical given that we are well positioned , we are 35% plus market share , we have been in this place for seven years , we have the IT backbone ready , we have the I T infra ready, we have connects with the customers and insurers ready so we are very hopeful that this will be a huge uptick in our revenue but everything is dependent on how the regulations pan out in terms of compulsory Demat. Ajoy Frederick : Got it, that is very helpful. The other question again is on the TER s cut so how was this last time when the TERs cut, did the AMC's upwards immediately after the regulation came in or you did have the existing

contract going on for some time, so how it happen last time?

Anuj Kumar : Last time when this happened in 2018-2019 you may have seen that a number of leading AMC's made a public statement that they believe they will reset the larger components of cost largely connected to sales and distribution . In that year if you see historically any impact that we took was very , very small on overall price, so I would not say we did not see the pressure, but we did not see any unreasonable pressure of people asking us to scale down prices . Also like we said if you just compare the larger components of cost in this industry especially sales and distribution which is perhaps I would not say an exact number, but an approximate number 8x to 10x as big as RTA cost, the ability of ourselves on RTA to scale down prices is obviously very limited, but to answer your question the impact was not severe or unreasonable it was what we expected and did not lead to any significant number in price cut.

Ajoy Frederick : Got it Sir. Just to reiterate as of now whatever we signed with the larger AMC that was true for the next couple of years?

Anuj Kumar : That is correct.

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Page 17 of 21 Ajoy Frederick : That is very helpful. Thank you very much and all the best .

Moderator : Thank you. The next question is from the line of Abhijeet Sakhare from Kotak Securities . Please go ahead.

Abhijeet Sakhare : Good morning. I had two parts question on opex. Firstly you mentioned investments will continue into new businesses going ahead, is it possible to qualify at what stage we are in terms of investing in these businesses in terms of let us say getting them ready for future growth?

Ram C Sesharaman: What we have mentioned is that okay I will split onto various businesses, so the investments are predominantly into AA TSP, the CRA business, the MF Central and insurance repository getting it ready for the next uptick that we are seeing broadly on these businesses. The AA TSP we have seen green shoots in terms of sign ups and all those things, we expect that the revenue will be gradually ramp up starting from first quarter of next year where they should start contributing material amounts to the topline. We have seen lot of sign ups, but obviously this is the first time it is happening so in terms of linkages, in terms of technology testing, security guidelines, etc ., and obviously ecosystem will also have to be ready. Now we have seen the mutual funds have to sign up with this, we have seen the pensions getting live on this, so we expect that from the first quarter of next year, the revenue will gradually start picking up. In terms of CRA you have seen the eNPS has become live and we have seen traction on that, but the POP which is again a very big revenue source for us has become live only from this quarter , so again the revenue will start, which is going to be slow burn in terms of revenue, so again you would see a gradual ramp up. The investment and insurance we spoke about the earlier questions it is kind of we are making proactive investments in the platform to make it ready for investors, to make ready for insured servicing as well as policy servicing, again this depends on the regulatory guidelines, if the regulations get favourable and passed over the period of next year we will see a big uptick on the revenue. So while the contribution to the current P&L is absolutely not material we expect that starting from first quarter of next year all these businesses some of which is already live right. It is only a question of customer acquisition and scale and MF Central also falls in the same category will start giving us revenue from first of April next quarter in a gradual ramp up way. I think from the investment perspective we have seen this quarter and next quarter will be when the gap between the expense

and the income on these

verticals will be the maximum and then they will start narrowing down from the quarter aspect .

Abhijeet Sakhare : My question is also more on the opex side because there seems to be like some visibility that you have that you need to continue to invest in these businesses, I was kind of wanting

Page 18 of 21 to understand where we are in that stage of investment cycle in terms of building these businesses, revenue obviously will take full time and is subject to how the market also evolves?

Ram C Sesharaman: From a opex perspective I think we have reached a stage where the stability of expenses will happen as we told you we spend around Rs.3 Crores a quarter on these expenses predominantly on Cloud and on the platform and technology engineers we spend around Rs.3 Crores of quarter on these initiatives, this is actual expense taken to the P&L. From the expense perspective we do not see there will be a lot of optimization that will happen, so there could be a small drop and small increase, but this is kind of steady state, before we will continue to invest in these technology resources, the platform is not a one step go to market there is going to be continuing enhancement that is going to happen, feedback that is going to come from the market and enhancement we have to do from a security technology perspective, so I would not expect the huge drop in the opex we do on these platforms it will be more kind of revenue kicker that we will get.

Abhijeet Sakhare : Got it, that is helpful and lastly on the non-controlling interest line there was a marginal loss, which is that entity that is letting to that loss?

Ram C Sesharaman: If you remember in April of last year we acquired an entity called Fintuple Technologies in the alternate investment space so that is a kind of marginal loss for the quarter, again we are in the ramp up stage, we are startup in the ramp up stage, a very good order book visibility, this is going as per plan. We knew that the first year is going to be kind of investment for their platform. So going forward given their order book we are confident that from next quarter it will not be a negative, but again from overall perspective it was a small immaterial amount as a loss.

Abhijeet Sakhare : Got it. I am sorry crosschecking the increase on the depreciation line this is a reflection of what the investments have happened, there is no change in accounting policy?

Ram C Sesharaman: Absolutely not, no change in accounting policy, if you see we had record capex done over the last two years, Rs.65 Crores and Rs.70 Crores and all those things, so given the three year depreciation you will actually see a spurt in depreciation which we have seen in the last few quarters and we have seen in the current quarter also there is no change in depreciation policy.

Abhijeet Sakhare : Got it. Thanks a lot.

Moderator : Thank you. The next question is from the line of Anshuman Deb . Please go ahead.

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Page 19 of 21 Anshuman Deb : Good morning and thanks for the opportunity. You briefly mentioned about the yield cut that has happened for some select accounts and largely we were able to pass on or pass through the new renewals, so if you could just give us some description on the like-to-like yield cuts which have happened in the MF accounts?

Ram C Sesharaman: We would not get into specific customer contracts, but suffice to say that a large part of it got rolled over. There were few contracts which came up for renewal after five year period and things like a very, very long term period and in the period that if they had shown and they had shown significant, significant growth there was some amount of yield price distribution that happened, but again nothing that we would

think will alter our assumption

or guidance saying that the growth of AUM fee to AUM will stay within the reset we have indicated which is 75% or more. This is as I said an exceptional year where we had 12 contracts come up for renewal out of the 17 customers right, so this is not something that will happen on a every year basis given that they are renewed for different periods. The overwhelming majority we did rollover, in terms of quantification we would not like to get into specific individual customer contracts, but this is the broad guidance that I can say.

Anshuman Deb : Perfect Sir. Thanks a lot.

Moderator: Thank you. The next question is from the line of Sahej Mittal from HDFC Securities. Please go ahead.

Sahej Mittal : Good morning. Just one question on the insurance repository business, so what is the incremental market share on the new slew of motor insurance policy and is there a right to win for CAMS in this business given that everyone is turning more and more competitor for this business, so there is a new insurance policy coming up for them to choose CAMS over someone else is there right to win or this is largely accommodated?

Anuj Kumar : You understand think of today's consumer tendency to participate in eIA is largely for life, motor insurance coming into this has not become a trend yet, it will take some time for that to become a track, overall we would have seen that we have overall this is market share and e-insurance account has crept up from 36% to 37%, so I can give you broad share number, I

think motor insurance will take some time for consumer tendency to form these e-insurance accounts that is not a very pronounced trend yet.

Sahej Mittal : Do we have right to win?

Anuj Kumar : The right to win comes like think of this way and think of the architecture of the industry that you will have one insurance account, so let us say you open it with CAMS, all the insurances that you buy you will then park it in this e-insurance account you will not be
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Page 20 of 21 able to hold to, if you are unhappy you can shut this and go somewhere else, so therefore the primary metric which will demand therefore has to be done at a e-insurance account level, the faster you open e-insurance accounts and the bigger your market share the more will be your policy market share and that perhaps gives you right to win. Is there any other right to win which means that do you have an exclusive contract with the manufacturer or with the seller like we said earlier very, very difficult for that to do and we do not expect the architecture of the industry will ever go that way because the choice is still if you try one of the websites and open an account while buying insurance you will see the choices left to the individual, so it is more individual mandated choice and when that choice has taken place normally everybody is offering all the four, so that is how it works. Tide model where manufacturer will just go with one guy with one e-insurance company, one rep and that will scale market share is an unlikely scenario to emerge.

Sahej Mittal : Right, this would be happening when someone buying an online policy right, when an agent is selling an offline policy, so what is the default insurance repository if the customer does not choose, is there any default repository which the agent chooses or how is it and is there an option wherein from manufacturer is only working with may be two repositories and not all the four?

Anuj Kumar : That was entirely possible, that is possible that manufacturer may be working with only two and not the four, like we said in the industry when you look at shares you will find that two of the players including us have been hyperactive, one of course has been very quiet and the other is less active, so it is possible there are examples of

manufacturers working only with

two EI accounts, there is two repositories. There is no default repository, it is not that if the consumer does not make a choice, so the consumer says put me where you want unlikely to happen, there is no single repository which has kind of defaulted as a choice, so think of it is the competitive industry and if you try to imagine how this industry will emerge, think of it has less of a land grab industry, we are not expecting it will grow into that pattern where large manufacturers align to a single rep and then they push all the consumers there and that gives price to share can happen, but unlikely to happen, it will remain more democratic, the consumer will make a choice, he will hold one insurance account and then he will drag his policy into that account that is the architecture which will emerge.

Sahej Mittal : Right and may be one followup, so given that there are talks that the LIC would be opening their own repository, so what is the conflict of interest if they start to manage may be some other insurance companies policies as well in the repository, would there be conflict of interest and will be allowed only to manage their own insurance policy, how should we look at it?

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Page 21 of 21 Anuj Kumar : I would not make a comment on what will happen, we will see what happens, but think of it yourself, just layout the principles. As a consumer may be consuming insurance policies of four different companies and if one of them starts a repository in your case you are illustrating LIC think of my insurance account existing there, all the competitive data, all the purchase trends, whether I am paying my premium, nominees, everything will be visible to one guy and that obviously creates what you just said it will create a potential conflict and it will create an uneven playing field, so I will not comment on whether this is going to happen or not going to happen, but your question is right, it will not create a level field to play.

Sahej Mittal : Got it. Thanks and all the best.

Moderator : Thank you. Ladies and gentlemen that was the last question for today. I would now like to hand the conference over to Mr. Ram Charan, Chief Financial Officer for closing comments. Over to you Sir !

Ram C Sesharaman: Thank you. I thank all the participants for their continued interest in the company and please feel free to reach out to Anish Sawlani or Orient Capital in case you have any questions or follow-ups and thanks once again for your participation and look forward to speaking to you soon.

Moderator : Thank you Sir. On behalf of Computer Age Management Services that concludes this

conference. Thank you for joining us. You may now disconnect your lines.

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Q4 FY '23 Earnings Conference Call"
May 08, 2023

MANAGEMENT : MR. ANUJ KUMAR – MANAGING DIRECTOR –
COMPUTER AGE MANAGEMENT SERVICES LIMITED
MR. RAMCHARAN SR – CHIEF FINANCIAL OFFICER –
COMPUTER AGE MANAGEMENT SERVICES LIMITED

MODERATOR : MR. NACHIKET KALE – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to the CAMS Q4 FY '23 Results Conference Call organized by Orient Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nachiket Kale from Orient Capital. Thank you, and over to you, sir.

Nachiket Kale : Yes. Hi. Good morning, everyone. Welcome to the Q4 and FY '23 Earnings Conference Call of Computer Age Management Services Limited. Today from the management, we have with us Mr. Anuj Kumar, Managing Director; Mr. Ramcharan SR, who is the CFO of the company; and Mr. Anish Sawlani, Head of Investor Relations.

Before we proceed to start the call, I'd like to give a small disclaimer that this conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict. A detailed disclaimer is also published in the Investor presentation, which was released to the stock exchanges. I hope everyone had a chance to go through the presentation and press release. I will now hand over the call to Mr. Anuj Kumar, Managing Director. Thank you, everyone, and over to you, sir.

Anuj Kumar: Good morning, everyone, and thank you, Nachiket. Very pleased to be amongst all of you for this Q4 earnings call. We will follow the standard order. I'll take you through a short summary of developments and highlights in Q4. You would have had the opportunity to download this presentation anyways by now. You should be able to see it, and I'll hand over to our CFO, Ram Charan, to talk a little about financials. We will have enough time left to take Q&A from you then. So to begin in terms of key highlights for Q4, all of you are aware that Navi Mutual Fund, which is a digital-first mutual fund, one of the leading digital-first AMCs in the country is now on the CAMS platform.

This was announced as a competitive win by us in 3Q and migrated to the CAMS platform by end of 4Q. From an AUM perspective, we were just above INR 28 lakh crores in Q4. So it was a muted under 1% asset growth mirroring the rest of the market from Q3 into Q4. So our quarter-end assets stood at about INR28 trillion. Within this, we saw an encouraging trend in equity assets, where equity contribution of the overall assets grew about 0.5% from 64.8% to 65.3%. And this was largely on the back of growth in net sales, which grew by a substantial margin from about 63% to 73%. Now these are 1 quarter numbers. We've got to continue watching them to see whether this will hold over the medium to long-term.

I think the first signs are extremely positive. So really, an increase in equity net sales led to the growth of about 0.5% in equity AUM. On the Alternatives business, I'm very pleased to share with you and report just consistent financial performance, consistent succeeding financial performance over several quarters and now over the second successive year. On an annual basis, revenue grew 2.6% and this is just all-round growth in consumption, which means the installed base buying more from us, new launches of clients in the installed base coming back to us,

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almost everyone who launched a new scheme came back to us. So that's expansion in the installed base through new schemes. And a slew of very, very strong new logo wins for both AIF and PMS largely dominated

by AIF. On the digital side, some of you may have seen the media releases and stuff on our website, which says that just basis our pioneering effort, which we started about 2 years back, almost 20% of investors, and this like I said earlier was the last standing bastion of where investors did prefer an in-person relationship manager kind of meeting, 20% of that traffic has now been converted into a e-franking, e-signing, completely digital flow.

And CAMS WealthServ has over 75 sign-ups. So imagine that out of the 1,000 of AIFs in the country, almost the top 70-80 are going digital on our platform and a lot more are expected to join the platform within the year. From a Finserv perspective, which is the account aggregator and TSP offering, we continue to gain momentum with several sign-ups in the quarter. You may have read that we were also the first ones to test a new use case of doing bank account validation. You know, bank accounts get validated largely through the INR1 penny drop facility which banks offer and payment aggregators offer. But a slightly richer information stack is available of account aggregator, where you can see second holder details and NRI account details etcetera. So this is a pioneering effort by us. And then the acquisition of Think360, which you know is a very strong player and perhaps one of the 2-3 in processing SMS data to gain consumer insights, that will continue to bolster the offering. In fact, for the Bank Statement Analyzer which Think has built, we now have 4 sign-ups along with the CAMS team, and this is what has happened in the last 1 month. We announced the acquisition about a month back in the beginning of April. So that will continue to bolster this entire offering. CAMSRep, from a repository perspective, you know that a mandatory Demat in insurance policies was announced as a forward-looking step by the regulator -- as a proposed forward-looking step back in September. The necessary regulation has still not got passed, but what you continue hearing is that there is a very active dialogue in the marketplace between the regulator and key ecosystem entities to take this forward and then create, I would say, the background to amend laws wherever laws have to be amended. Within that, the one thing that we saw was that because of the active media and press and our efforts, consumers' preference to push their policies into Demat and their preference to open eIA accounts was almost 2x. So both in policy growth, which grew 2.2x and platform transactions at 2x. I think we saw very, very positive numbers in FY '23. And what we expect is that just given the consumer sentiment, this momentum could well continue in to FY '24, even without the specific announcement kind of taking shape. If it takes shape, of course, the shape of things will be very, very different, but just the consumer-led and our foundational effort in the market, I think is yielding a lot of results here.

From an NPS perspective, we continue to hold the number 2 position in eNPS with a 9% market share. Our POP retail relationships are now in place, starting about February this year. So the large 4 or 5 POPs are now doing business with us. You can see our name on their websites when you try to create an account and buy an NPS policy. So that part is going on well. Of course, it's a slow climb as we've always said in the NPS CRA business. On CAMSPay, another great year, 27% revenue growth, largely riding on transaction volumes. I must also say that from a merchant

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sign-up perspective and from a new product offering perspective, this was a very strong year by CAMSPay. And we'll talk a little more about it. We received RBI's in-principle approval to be a payment aggregator.

We will now be pushing all of this business into the subsidiary and that should happen sometime during the

year. And from a digital perspective, myCAMS continue to hold fort amongst the top 2 fintech apps. MF fintech apps with close to over 6 million -- 60 lakh downloads. MF Central continued to gain popularity. I will just quote one metric for you where daily API hits, and most of them are CAS, the consolidated account statement hits.

We haven't yet industrialized and gone into production with partners on an API architecture for either financial transactions or non-financial, but just this is 20,000, we're expecting this to scale at least 2x during the year. And then for a lot of have to be added as -- sometime in this quarter, we should be able to go live with both NFTs and financial transactions. Also a very interesting offering in a single API across the mutual fund industry to service loan against mutual funds has now been developed and is being offered just to create a much easier consumer journey. And collectively amongst all of this, we believe that MF Central has a lot of real growth scope. One, of course, is just the traffic that comes to the app and the website, but also all the traffic

that will come to the partner app. You will recollect in the first week of April, we had announced a strategic investment, upwards of 50% in Think360. This is a part of 100% buyout which will play out over the next 3 years or 4 years as we have the call option to invest 100% into the company. From a relevance perspective, while I'm sure a lot of you have read about what we released in our reports and have seen the website, Think 360 has been active in both the India domestic market and in the international markets, especially the U.S., in several areas. But from a product perspective, Algo360, which is -- you can think of it broadly in our offer as a precursor to account aggregator, not using the account aggregator architecture but using Android SMS inboxes to give insights on the consumer. They've been the leading producer with some of the largest banks, NBFCs et cetera on the platform. Similarly, Kwik.ID, which basically does -- it started as a video KYC tool is now very active for onboarding across the marketplace. So you will find very, very large consumers like Central Bank, Bank of Baroda, Bajaj, et cetera, on the platform. And then there are other video-based use cases in terms of consumer attraction, etcetera, that are possible on this platform. So very, very popular 2 platforms. Algo is a complementary offering to account aggregator.

And like I said, in addition to account aggregator and TSP, the Bank Statement Analyzer product is now in the market is going live with several brokerages and a few NBFCs and the BSA comes from Think. Similarly, in FlowXpert and Amaze, Amaze, of course, is the data analytics platform for account aggregator, FlowXpert is a low-code platform, which helps integration of APIs and various other forms of SDKs through minimum coding. All of these are B2B products being actively sold in the Indian markets with very, very strong position in terms of franchise -- existing base franchise and pipeline. And we see complete complementarity and a joint go-to-market between the CAMS finserve and Sterling teams and between Think360 for the various offerings related to account aggregator.

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On the services side, just pure data analytics, and this is basically business intelligence, modelling, various kinds of data engineering, storage, warehouses, those kind of things. Think has been selling both in the major markets, on ground in the U.S. in a services model and on ground in India in a services model. And we believe that this will have a lot of complementarity with the data richness that the Indian consumer part of capital markets has, especially mutual funds and AIFs.

So we are creating packaged offerings to take to the market collectively. And you will continue to hear

from us from time to time on how this is shaping up. Overall, and I spoke about this a little -- I'm on Chart number 8. From an AUM growth perspective, I spoke that the annual growth was in the range of about 6% to 7%. The quarterly growth was under 1% in assets. The salutary occurrence, of course, is expansion in equity AUM share and in the equity net sales share going up by almost 9.5% during the quarter and again, a metric to be watched.

We believe what is a very strong underpinning, a demonstrated strong underpinning is SIP registrations. So these are gross numbers. They obviously have to be netted for iterations, but just look at the gross numbers. Whatever be the state of the market, 37 lakh SIPs gross registered climbing to 37.5 lakh, crossing 38 lakh, and touching 40 lakh in the Jan, Feb, March quarter, I think is a fantastic foundational metric for the industry as you've seen. This has, obviously, led to an expanded market share for us at 62% of new SIPs registered.

And an equally important number is to see that the monthly SIP collections, which for us crossed INR8,000 crores and are nudging in the distance in the direction of INR8,500 crores is again a strong foundational metric adding up to about just INR1 lakh crores of gross SIP-led inflows in the year. And last year, the industry has seen almost INR250 crores to INR300 crores at a -- growth at a market level, we've seen growth of INR150 crores to INR200 crores every month from a CAMS RTA level, and I think those are just great numbers.

If they consistently perform for another year or 2, this will continue to impact and grow the foundational participation in the market and obviously will be very accretive for the AUM numbers. NFO, again, very pleased to share with you, a growing 71% share in industry collections. Our clients, as you would have seen almost throughout the year, but specifically in the fourth quarter, going on overdrive through new offerings. These were across various areas, and I think have consistently assisted us in keeping market share and growing it in this emerging area.

Chart number 9, I'll talk about the numbers you've seen this all about a 68.2% market share based on quarterly AUM, INR28 lakh crores of overall assets, absolute assets of CAMS, just over INR13 lakh crores or INR13 trillion in equity AUM. Equity AUM did grow 18% year-on-year, although a very small growth quarter-on-quarter. And again, what we're seeing in the initial

month, these are just green shoots, of course, and you're seeing the same numbers. I think those numbers have to hold and the interest rate regimes have to turn friendly towards equity investing overall. But that could lead to maybe some perceptible change during the year.

From an industry perspective, the industry just crossed INR41 lakh crores, overall industry AUM, and just over INR19 lakh crores for equity. You can see transaction volumes, etcetera,

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I'm on Chart number 10. I think just consistent retail participation metric, whichever way you look, just consistent retail participation metric, the transaction volumes obviously led by SIP triggers. So you see a quarter-on-quarter 6%, annual 8% growth. The SIP book, I spoke about, I spoke about what was a gross metric, not a net, but the net metric is the SIP book. And you need to look no further than to see the 18% year-on-year growth. So you saw 40 lakh SIPs being registered with CAMS service funds in the fourth quarter, which was a gross metric, the net metric. What this leads to after the percentage is a 18% year-on-year growth in SIP book for CAMS service mutual funds.

Again, SIP transactions processed, 16% up, which means most of the SIP book holds similarly, live investor folios, 11% up in the year. And then from a unique investor's perspective, close to 260 lakh at about 12% up year-on-year. So

Similarly, on Chart number 11, you have the same numbers for the entire year. I'm sure all of you are familiar. So I won't spend too much time on this, and I'll move forward.

I'm on Chart number 13. We spoke about the Alternatives business, 21% year-on-year growth for the fourth quarter, 26% for the year-on-year growth overall for annual revenue. We spoke about every other metric that you see here. Of course, INR1.5 trillion of assets under service is a brilliant number, but I think it will go up and will continue to go up just with the increased interest that we're seeing in AIFs.

You've seen that new AIF registration with the regulator in the year has been at the bottom of about 45.25 at the top about 75. That's almost like 1 AIF seeking registration every day in the best of times during the year, of course, not everybody has launched. And launches have been slightly slow, but all of that should come back as the market kind of turns back, and their ability to produce alpha overall to that, I mean over mutual funds and other modes of investment continue to get demonstrated.

Move to the next. And similarly, I spoke about account aggregator and TSP and about the new use case of bank account validation. So all of that has gone well. We are continuing to be under 10% market share right now but building up consistently, and I'm sure we will have better numbers to report to you as we progress during the year.

Move to the next. From a payment's perspective, again, very pleased to share with you greater than 50% market share. In our mutual fund ecosystem, you will remember 3 years or 4 years back, this was a much smaller number, but just consistent, I think tying the product very closely to the needs of the mutual fund market and very intense client engagement has led to this number.

We have over 140 million active mandates, almost INR5,000 crores of monthly transactions. So you will see all of these numbers consistently going up. Of course, UPI A utopay, which is now being used as an alternate to the eNACH mandate to just place a fresh SIP and allow for auto debits has been very, very popular, already 2 lakh plus cases and this will grow during the year too. And from an industry presence perspective, we have spoken about a significantly deep cut expansion in merchant base and a large number of merchant additions. Like we said, we have received the in-principle approval from RBI to set up a subsidiary and move this business there under the new license, which we will be doing now.

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CAMSRep, I spoke a little. I mean, Chart number 16, you can see some of the numbers. The only thing that I would like to add that there will be more excitement during the year as the Reimagine on the platform for doing transactions, and those transactions will be around premium payments, valuation statements around loan against insurance policies, which you know for 1 or 2 of the public sector companies has been a very popular mode for investors to raise money, that will go live sometime in the second quarter and create a special place for us overall in the industry. And then we continue to bid on the market as KYC becomes mandatory for insurance, both for life and non-life.

We continue to facilitate the service for our insurance clients and to make sure that they're riding on our technology as they do live validation and KYC for more and more of insurance consumers. I spoke about CRA, I will just restate, I mean, kind of reemphasize the numbers a little. Gross NPS registrations just under 3 lakh for the industry about 2,86,000, CAMS standing at about just short of 25,000, that's our number 2 position. And from a POP perspective, 9 POPs, think of them as 9 of the top 10, those are the kind we have onboarded, now continuing to add traffic to overall NPS CRA volumes for that.

I will take a pause here and

hand over to Ramcharan, so that he can speak to you about financials.

Ram, over to you.

Ramcharan SR.: Thank you, Anuj. So I'll take 5 minutes to take you over the broad numbers on the financials.

From a quarter basis, we ended the quarter at INR249.2 crores in revenue, which was up 2.5% year-on-year and 2.3% quarter-on-quarter. The comparable number or the sequential as we said last year quarter was around INR243 crores. This is on the back of growth in MF revenue. MF revenue for the quarter was at INR222 crores versus INR217 crores, the comparable quarter last year and INR220 crores.

The growth broadly mirrored the growth in -- on a year-on-year basis, the growth in AUM, as you saw in the earlier part of the presentation. The AUM for the quarter, the average AUM was at INR28.03 crores, which was up 5% when compared to the last year same quarter. But sequentially, there was a very minimal increase, the assets did not grow for the INR 27.83 lakh crores in the sequential quarter that went by. So overall, the MF revenue grew 2% on a quarter-on-quarter comparable last year basis and 0.6% on a sequential quarter basis. We generally break this down into asset-based and non-asset-based revenue. The asset-based revenue, again, broadly mirrored the increase in AUM or the stagnation AUM as the case may be.

So the sequential quarter, there was no change in -- almost the same number in terms of the asset-based revenue was INR187 crores. And the non-asset-based revenue, which was up very smartly quarter-on-quarter, 5%, and -- but down 5% year-on-year. The sequential quarter increase in 5% was on account of the increased billing that we are doing on adjacencies and allied services. For example, the MF Central or the other application services that we give to our customers. There was some increase in the allied services like anti-money laundering, etcetera. So that contributed to a smart increase in the quarter-on-quarter non-asset-based revenue. But overall, the transaction remains static, transaction revenue and the call centre revenue all have remained static over the year-on-year and quarter-on-quarter. From a non-MF revenue

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perspective, we've seen the earlier presentation, we would have kind of shown you that we have seen green shoots in some and smart growth in a few of the verticals where we have placed our bids. It was up 7.7% year-on-year. The current quarter non-MF revenue is INR27.5 crores comparable to INR25.5 crores in FY '22 Q4 and INR23 crores in FY '23 Q3. So which means that there has been a 7.7% growth year-on-year and a 18.6% growth on a sequential quarter basis, driven largely by the growth that we are continuing to see on the AIF vertical.

Year-on-year, we grew about 21% AIF. And payments continued to show a strong performance in terms of additional mandates as well as transaction processing, even from a digital as well as from a NACH and ECS perspective. The payment revenue grew 24% year-on-year on the back of the increased mandates and transaction processing. We've also seen some uptick in the KRA revenue. KRA, as you know, we are the license holders for the KYC verification in the securities market. We have onboarded some new customers on a quarter-on-quarter basis. The KRA revenue has shot up by almost 50 percentage, and we continue to be bullish on the KRA revenue going forward also.

So overall, the asset-based revenue is muted in keeping in line with the growth or no growth in the assets under management, but the non-MF revenue continues to show an uptick. For the first quarter, after many years, we've had the non-MF share of business to be more than 10%, it's 11% in the current quarter and the remaining 89% is the MF revenue. So we are slowly seeing the target state of 15%, slowly, we are coming towards that state.

And with the acquisition

of Think, I think we will get to that place as planned and as

communicated to you earlier. In terms of yields, which is the obvious question that a lot of people may have and how have the yields behaved and what is the reason for it? So on a year-on-year basis, our yields have been static, 2.72% is the yield that we have seen. But one thing to note is the asset mix, over the last year, we had a tremendous growth in the equity component of the asset mix. It was around 46.5% for the quarter and 46.4% earlier quarter, almost static, but on a

year-on-year basis, we kind of grew. End of last year, it was less than 40%. Even on a comparable quarter last year, it was only 41%.

So over the period of the year, the increase in the equity component has had a favourable impact on the mix, and that's kind of nullified to a large extent, the depletion that's happened because of either the telescopic -based pricing or in some -- in a very few cases, some price remission that has been given for long -term contracts. So that trend has sailed out even in the current quarter, there is a small depletion in yield that we have seen in the current quarter, given that the equity has remained -- equity competent has remained almost same from an overall mix perspective. We've seen a small depletion in yields, but that is something on expected lines, and we continue to watch that number as we go forward.

I'll now go into the profitability numbers. As you know, we've always guided that our profitability will be in the early 40s. And we have kind of constantly retained that number as guidance. So even in the current quarter, we have clocked an operating EBITDA of around 44%, 43.9% to be precise at INR109.30 crores, which is our operating EBITDA, which is up 0.9% quarter -on-quarter, down 2.6% year -on-year on the back of increased spending and investments

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that we have done on the various initiatives that we spoke about, including the TSP, CRA, Reimagine platform and we're rearchitecting our current platform also.

So, overall, the margins continue to be stable, continue to be under the -- in the same range as what we predict it will be. From a PBT perspective, we ended the quarter at INR98 crores PBT, which is 38.4 percentage, which is almost flat quarter -on-quarter and year -on-year, and PAT of 29% mirrored the same thing. Our return on net worth continues to be very, very high at around 39 percentage. And we ended the quarter with a cash and cash equivalent of around INR482 crores, at a very healthy balance of INR482 crores in excess cash. And the Board was pleased to propose a final dividend of INR12 per share, which will be paid subject to the approval of the shareholders in the AGM.

So this is also the financial year -end. So just a couple of minutes on the revenue and profit numbers for the year and how it compared with the earlier year numbers. We ended the year with a revenue of INR972 crores, which is up 6.8%. The comparable number last year was INR910 crores, is a INR62 crores increase in revenue in the current year.

On the back of predominantly the increase in assets and the increase in the asset -based revenue and mutual fund revenue, the assets under management grew 7% on this year -on-year basis, and the increase in fee also mirrored that and we actually grew our asset -based revenue at 7.3 percentage. The non -asset -based revenue grew marginally at 2.7 percentage on a year -on-year basis for the full year. It was around INR133 crores, mainly because of the transaction and the other miscellaneous applications that we build, including MFCentral.

And the non -MF revenue, keeping with the numbers that we saw for the quarter also, for the entire year, there was a growth of 9.3% year -on-year, which is more than the asset -based revenue, predominantly driven by the AIF and the payments growth of 26% and

27%

respectively. So overall, the yields on a year -to-year basis remained stable at 2.71%. However, we have seen a reduction in the yields over the last couple of quarters, and we'll continue to watch that number. So from an operating EBITDA perspective, for the year, again, we ended the year with an operating EBITDA of INR422 crores, almost INR421.75 crores, which is marginally down when compared to the last year.

So on a year -on-year basis, our profitability remains same. No big growth in profitability in INR287 crores PAT versus INR285 crores in the current year. The return on net worth continues to be very high at 40 percentage. These numbers are after considering non -cash ESOP charges, which was at INR26.7 crores for the year. That's kind of included in these numbers, the operating EBITDA, PBT and PAT numbers that I spoke about.

So with this, I will kind of end the commentary on the financials and hand it back to Nachiket, if you want to open it up for questions.

Moderator: Thank you very much. Our first question is from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.

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Swarnabh Mukherjee: Yes. So 3 questions from my side. First one, again, just to get a little bit more clarity on the yield

part. So I understand that there is a telescopic pricing, but between the last quarter and this quarter also, given that equity has slightly -- share has marginally gone up and yield has slightly come down. So I just wanted to understand if there were, in fact, any renewals that happened during the quarter that kind of resulted in this? And then going ahead in the next fiscal, given that there has been regulatory development and taxation related development on the debt mutual fund side, I wanted to know your views on how you think this whole yield part will develop, and how would the asset growth be on the debt side? So those are the first 2 questions.

Third one, wanted to understand, also on the insurance repository side, what is our market share currently? And from your point of view, in terms of revenue for all the players whether what could be the opportunity size that we might be eyeing if things pan out the way we are expecting?

Anuj Kumar: No, sure. So what I'll do is I'll try to answer your questions, and then perhaps Ram charan will chip in on the yields. See, on debt MF, and I'm just classifying this into 2 parts. We're not talking of the corporate treasuries, which come into basically overnight and liquids. I'm not talking of that money, but just pure debt where a lot of times the intention of the investor is to hold out for long-term capital gains.

When this announcement came and even till today, you've been reading articles and coverage that the segment will become unattractive for retail investors because of the tax rollback. What we've seen in reality is counterintuitive and it does not align to this line. So between 20th of March to end of March, our debt portfolio grew almost 8% to 9% in those 10 days on the back of intense selling, very easy to understand because every mutual fund was up in the market and all the CIOs were doing webinars just to tell investors that this is your last chance to book yourself into this money before the tax rollback happens.

So on 1st of April, the sales should have evaporated completely. But in the first 5 weeks from 1st of April up to last week, we have seen net sales of another INR9,000 crores to INR10,000 crores, which is a very good number. It's almost -- on our portfolio size, almost 2% up in 1 month from a net sales perspective.

And I think the reason for that -- there are 2 reasons, the industry feels about it. Once -- one, intense selling had not happened so far in debt. In those 10 days, the amount of consumer communication and push that happened at the level of every intermediary was just significantly

higher, consumers almost rediscovered this asset class and have started to come back. And they haven't stopped coming back on 31st of March. They've come back all this while. Now will this play out for the whole quarter, the whole year, for us to see. But it's a counterintuitive trend, which is very important.

The second part of this is that as -- and you know, if you go back to December, January, the markets were expecting that the interest rate increase regime is coming to an end and it did not come to an end. It hasn't come officially to an end yet. So it played out in the Jan, Feb, March, April time period also. But as that happens, the expectation from medium-term and long-term investments in debt is that once the fall in interest rates begins to happen, then the NAV increases and capital gains there will be in addition to whatever else consumers will gain.

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And I think a part of both of these, 1 and 2 of what I spoke have come to play. I think you've just got to watch this marketplace carefully for this entire quarter and coming days on whether this momentum will go away or whether this will continue. So that kind of encompasses the thing on debt funds. But as everybody was expecting that this will evaporate as an asset class for retail investors immediately as we cross over into FY '24, that hasn't happened. On the -- I'm moving now to insurance repository, where -- sorry, go on.

Swarnabh Mukherjee: Sir, sorry to interrupt, just 1 quick follow-up on this. Out of this INR9,000 crores to INR10,000 crores of net sales that you mentioned, any colour you can give on how much is coming from, say, corporates and how much is coming from individual business?

Anuj Kumar: Well, I can give you an approximate estimate that a lot of this money is coming from retail. We will try to pull out the number and give you more specifics. My suggestion will be just hang in for another month or so and see whether this plays out completely in May. But just think of it that this is not so much of corporate treasury money, this is more of retail money.

Swarnabh Mukherjee: Got it, sir. Yes, please go ahead, sir.

Anuj Kumar: Moving to the next, moving to insurance repository, we've spoken to you in the past that the size of the opportunity is about INR2 crores, to INR2.5 crores policies, which are under Demat, growing to over INR50 crores. So the size of the opportunity is 25x. Now honestly, what did all of us expect? We expected that starting September when those announcements were made, there would be in the next 4 months to 6 months almost a regime that would come into play.

What's happened is that we continue to hear from the regulator, of course, we are working closely

with them to make sure that once the regime happens of mandatory Demat, then we have the capacity and the ability to service consumers if the market and when the market grows to the 25x, 30x, which it will.

And we also hear that they are in close discussions with the -- with all the ecosystem participants just to make sure that everybody's view is accommodated as they turn this into a statute and turn this into a mandatory position, which is something which is taking time. So from an overall industry perspective, there are various views that you know there are people who believe this could be a INR500 crores per annum revenue industry opening up.

Our own view is that it will go through some pricing depletion. And therefore, the more reasonable size could be a INR150 crores to INR200 crores industry which will open up, and there will be growth on top of it at between 35% to 40%. We are typically around 35% in terms of eIA accounts and upwards of 35% in terms of policies. And like we've said in the past that if we hold that position for the next few years, we can see a very interesting and large size market opening up for us.

Even without that, you would see that just by themselves, just given the increased coverage in the media and all the efforts that we're making, eIA accounts and policies have almost grown 2x, the new inflows have grown 2x during the year and we're expecting this momentum to continue during FY '24 also. I'll change the topic to yields, and Ram, if you want to take this?

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Ramcharan SR.: Sure.

Anuj Kumar: Yes.

Ramcharan SR.: Sure. So just a broad and then I'll answer your question specifically for the quarter. So broadly, I'll just try to recap for everybody's benefit that the yields could be impacted by 3 things. So one is the -- one is obviously the telescopic pricing that we spoke about, the structure of the pricing with the customers is telescopic. The second is the mix that happens in terms of equity and others, and even within that, what happens between liquid and debt matters to the mix.

The third is the price reductions or remissions that happen to the customers when they come up for periodic negotiations. So in this particular quarter, we have seen a small depletion yield, in terms of, specifically, I think it will be around 0.02 bps is what we are seeing. Now 2 things have happened. One is telescopic pricing has played a part. Of course, you will say that the assets have not grown, so how could telescopic pricing play a part in this. See, you should also understand during the quarter, a couple of our major customers actually merged and got into a single entity. So this does have -- which means that the slab-based pricing for them gets automatically reset to a lower rate because the combined AUM becomes higher than the slab that was there earlier.

So there is an impact of that. And secondly, there was in the last quarter, we also said that there is some price negotiation that's been concluded with our major customers. All of them -- most of them got rolled over, barring 1 or 2, and one was a renewal after a 5-year period. So that has got a structure whereby progressively some discounts are given. So that's also having an impact on the fourth quarter. So these are contributing to both telescopic as well as the small pricing reduction we've given for one customer does contribute to this. However, what has been mitigating so far has been the equity, which as you rightly pointed out, there is not much of a difference.

0.01% difference in equity does not make a very big difference on the overall mix realization perspective. And overall, the pool, that is the decrease or increase was so small that even one small change here and there could have made a difference on the yields, because overall, almost it remained stagnant, 0.67% was I think the growth in assets itself for the entire quarter-on-quarter. So that's what has played out in the current quarter.

Swarnabh Mukherjee: Got it, sir, very clear. Just quickly, if you could highlight, should we expect any kind of such more negotiations happening in the coming fiscal or over the next couple of quarters? And also if you could quickly provide your comments on how to think about the other expense as well as the ESOP costs for FY '24?

Ramcharan SR.: Sure. So in terms of -- it is not a right conclusion to come that every customer contract will have a price reduction, it need not, it won't. A very few exceptions, like what we saw last time, which as you know there was a reset of rates after 5 years for a particular big customer. So the general trend is not to give a price discount. So I do not think that this is a -- this is going to repeat itself in the future frequently. Infrequently, there could be a situation where this may happen, but that's not going to be the norm.

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So while the telescopic pricing will see and will see the price yield under pressure

re to some extent

going forward. We are not for a moment saying the yields will improve dramatically or will remain static if there's telescopic impact. We do not see a situation where the exceptional price reductions or something is going to be given to the customers, which will have a onetime impact on this. We'll have to wait and see as and when the contracts come up for renewal. As I said last quarter, most of the contracts have been closed for a 2-year or 3-year period in the last year. Having said that, there will be a few customers that do come up for renewals and we'll have to wait and see what happens from a TER perspective also. On the other expenses, well, the other expenses are the fixed expenses that you see, and you would have seen an increase of probably INR3 crores in the current quarter and that's what is prompting the question.

See, a couple of things. The other expenses also include the legal and professional fee, our deal-related expenses that we've incurred on the Think Analytics and Fintuple acquisitions, and the increase in business promotion costs that we are doing for the new businesses. For example, the CRA, the act that we do for the NPS, what we do for the events for the account aggregator TSP, and the increased travel and all those expenses that come into it play a part in increase in other expenses. There is also the BCP-related drills that we do mandate by SEBI, this has become very frequent, including unannounced drills for which we incur a lot of expense on travel, on accommodation etcetera.

So all these things are adding up to the increase in the other expenses, it's more kind of a fixed expenses that we see. There is some one-off in this. There is some one-off of INR40 lakhs, INR50 lakhs, which is the deal-related expenses that we incurred for the acquisition, which accounting standards will want us to write off in the particular period which we have done. So that's basically the breakup of the other expenses in terms of what you see in the P&L. Sorry, what was your third question, if I may ask?

Swarnabh Mukherjee : ESOP, sir, the ESOP, ESOP, sir.

Ramcharan SR.: Sure. So ESOP, as I said, in the current year, we have taken a charge of INR26.72 crores of ESOP costs in the current year. The last year, it was around INR25.3 crores. We have 4 batches or 4 plans now valid grants. And we expect the cost for this in the next year to be around INR14 crores. Now -- so that's INR26.7 crores the current year going to INR14 crores the next year. However, the only caveat I will give you is in the course of the year, if the Board does grant additional options, then the cost will flow into the P&L. But as of now, as things stand today, the current year cost was INR26.72 crores and the next year cost is expected to be around INR14 crores.

Moderator: Sorry to interrupt. Mr. Swarnabh, may we request that you return to the question queue for follow-up questions as there are several participants waiting for their turn. Our next question is from the line of Prayesh Jain with Motilal Oswal.

Prayesh Jain: Yes. Just a couple of questions. Firstly, just wanted some view on this. You mentioned that this size of the insurance repository could be INR50 crores. And in terms of number of policies and the overall revenue potential is INR250 crores. So if you're talking about just a INR5 per policy

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kind of a take rate, which to me seems to be much on the lower side, especially with services like you were talking about loan against policies or interest or reminders for policies. There's so many things that can be activated. This INR5 per policy, is that a conservative number or how should we think about that?

Secondly, on the core mutual fund business, could you give us some clarity on as to what is the flow market share in terms of -- on the equity side, in pa

rticular, what would be your net flow

market share in the industry, and how it actually ends up in, let's say, past 1 year or so?

Anuj Kumar: No, sure. So on the insurance repository, just like we've seen in many other markets, yes, so I think the way I would sum it up is, it's okay for you to take it as a conservative answer. Like I said, different people have come in with different views of the size, potential size being between INR200 crores to INR500 crores. We continue to believe that in all such markets which are multi-participant, when markets open up, some degree of price depletion will happen.

It's not been a very competitive market so far. If, for example, depletion does not happen, then you will easily, just from a Demat perspective, looking at a INR500 crores market, but unlikely,

unlikely that no depletion will happen. If prices deplete to 50% of where they are, then you could be looking at a INR200 crores to INR250 crores market. So take it as a conservative answer, let it play out. I think it is best to estimate with conservatism and let it play out and the upside will all be ours. That's one.

Secondly, from a transaction revenue perspective, we aren't projecting much into this yet. And the reason we're not projecting much into this yet is that there are various forces at play. You know that digital transactions from a chargeability perspective is both a yes and a no. I mean, if you just look around yourselves and see the number of platforms which offer free services, you will see several of them. And therefore, we believe that digital transaction charging is first to be inserted in the marketplace, the value has to be delivered to the consumer and to the insurance principle. So all of that will be on top of this, that is not arising out of the Demat alone. That's the way I would like you to kind of picturize this entire thing.

On part 2 of your question on what you should take as equity market share and equity net flow, you did see that equity net flow, and it's there in the presentation, grew from about 63 -odd percent to 73 -odd percent. Now it's a steep increase, I agree it's a steep increase. Can you read a lot into this or 1 or 2 of our large mutual funds and their schemes gaining back -end rankings, etcetera, a bit of that, a bit of that, and the rest I think has to play out over at least a couple of quarters before you and I kind of draw meaningful conclusions from this.

The share of equity AUM went up 0.5% riding on this, riding on SIP inflows, etcetera. So I think we'll have to watch it for some time, the numbers look good right now and improving. And you know that a couple of our large mutual funds have been building out their position in terms of market rankings, etcetera, for the last year or 2, and some of that has to show up now. So -- but I would much rather watch it for another quarter or 2 before I come to a real conclusion on whether the direction is firm here. Does it answer your question?

Prayesh Jain: Yes, it does.

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Anuj Kumar: Okay.

Moderator: Our next question is from the line of Sahej Mittal from HDFC Securities.

Sahej Mittal: Just one question from my side on other expenses. So you alluded to the fact that INR40 lakhs to INR50 lakhs of expenses are one-offs, right? But even ex of that, there is some INR2.5 crores increase on a sequential basis, right? And if I look at first quarter and second quarter, so the run rate -- the quarterly run rate was at about INR19 -odd crores which is now at about INR23 -odd crores. So how sticky these expenses are, because the operating leverage will not play out, given the kind of growth which we are seeing in our top line, right? The growth has been soft, but the expenses continue to grow, right? So for FY '24, if you could give us some guidance in terms of expenses, that would be great? Yes.

Ramcharan SR.: Thanks, Sahej. Yes, apart from that, there is a INR2.5 crores increase. So I'll just give you some perspective on this. Some of these expenses -- I'll kind of split it into 4, 5 things, right? One is the legal, professional expenses that we see, the deal-related, but you should also understand that there is a lot of requirement from us from a SEBI perspective. There are several audits that we are doing now, which we did not do in the past.

For example, a VAPT audit is something that we are doing for the first time as mandated by SEBI, regular ISMS audits, internal audits. So it is a highly regulated entity requiring a lot of spend and everything is on top -notch firms or empaneled firms who are kind of doing it for us. So this is an expense that we will continue to incur in terms of the audits, and this is not a small amount. Just to give you a perspective, only on the capital market-related security audit, IRDA audit, ISMS audit, VAPT audit, cybersecurity audit, etcetera, in the last quarter alone, we would have spent more than INR50 lakhs, right?

So it's not an insignificant amount any longer. And then we also spent money on marketing, and this could be something that you will -- that will be the flavour of the future. For example, the market research for the Reimagine. Reimagine, Anuj was mentioning earlier is the platform that we are launching for the insurance repository, which has got huge benefits and upside to it. So we did spend a lot of money on thinking through the platform, working through market surveys, spend on media from a CRA perspective, including radio ads. So these are things that are the incubation of the business we feel, and we are very, very, very cruel about spending on this. It's not as if we go and spend several crores on it. Wherever it's absolutely required, we do spend money on this. Then there is this traveling expenses and there is this various communication and other expenses. Admin infra, our offices for us to host the software engineers who are involved in this top -notch technologies, like the account aggregator, TSP or CRA requires a different kind of an infrastructure which we have built, and we increased costs for all those things. Having said that, this is not something that you will see a corresponding increase every quarter. That's not

going to happen.

I think we have hit the limit in terms of our admin part of our expenses in the other expenses. What you could see is some inflation-led increases that may happen. I do not foresee a big

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decline happening in any of these expenses, probably a marginal decline could happen going forward, but a big increase is ruled out, it will not happen.

Sahej Mittal: Right. And if you could spell out the marketing spends for this quarter and full year?

Ramcharan SR.: So what we have done in the current quarter is around INR60 lakhs of marketing spend is what we have done in the current quarter. For the year, I'll have to get that amount and give it to you.

Sahej Mittal: Sure. And on staff expenses, so ex of ESOPs, are we looking at further investments into staff cost, and what kind of growth are we looking at the -- for the next year ex of ESOPs?

Ramcharan SR.: So, as you know, the biggest driver for cost increase there will be the annual increment, right?

And we have rolled out an increment for the current year also from April for almost the entire organization. So going forward, the investment perspective, just to give you a -- from an opex perspective, we have spent almost INR12 crores for the year only on the initiatives that we feel will give us revenue going forward, which is your AIF, TSP, CRA, etcetera. We do not see that investment going down.

What we could see is the revenue coming up from these things to a larger extent than what it was in the last year. However, from an investment perspective, we will continue to incur this

money. So we do not see a drop in investments, we do not see a big increase in investments

either on the new initiatives from a manpower or a software development perspective. That is also not budgeted in the current year. We would be status quo on the investments that we're doing on the current resources who are involved in this development of these new platforms, including the Reimagine. But we do not foresee any big increase in the investment that we are doing.

So the increase in the salary cost will be what is driven by the wage increase. Obviously, we will try to offset a lot of that based on our productivity and process improvements, and the increase for the current year would be muted and we are confident of delivering that number.

Moderator: Our next question is from the line of Mr. Anand from White Oak.

Anand: Two questions. One is, you mentioned about a reset after 5 years in one of the clients. So the new rates applicable, is this again for another tenure of 5 years, if you can give us some sense of the typical tenure for most of our clients, is that in the similar range? So that is one. Second is, from the reset perspective, this is the first quarter of impact, so fair to expect that this shall play out through the next 3 quarters as well?

Ramcharan SR.: So, Anand, so typically -- generally, the contracts are 2 and 3 years, but not 5 years, that was kind of a one-off that we did 5 years back. So this is not going to be a 5-year contract. Having said that, without committing on specific customer contracts per se, we do -- we will see some impact of such negotiations going forward, but it will not be as large as what we're seeing in the current renegotiation because this -- simply because it came up after 5 years, right? There is no other reason for this other than the fact it came up after 5 years, in the 5 years, a lot of growth has happened and hence there was some amount of reset that happened.

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You would see a continuing impact of this contract going forward in the next year also. However, this is not unnatural or different from what we see in other contracts also, which is always the rates are predicated on assets growing and the rates coming down. The same dynamics will play out in this contract also. So you will see depletion in yields on this contract if the assets grow going forward also.

Moderator: Our next question is from the line of Mr. Jatin Jadhav from Sahasr Capital.

Jatin Jadhav: Yes. So my question is quietly -- the question is regarding business understanding. So I'm seeing this since March '20 to March '22, your shares went up from approximately 700 crores to 910 crores, 920 crores. But that was also the time of the bull rally. So I want to understand during, let's say, another rally comes and the market picks up, how will you generate more money or how will you generate more revenue? Like, I wanted to understand that, how is the correlation between the markets and more money is pumped into the mutual funds and how that is translated to shares?

Anuj Kumar: It's actually quite straightforward. You just need to watch our AUM because the AMCs are known, monthly AUMs are known. So that number goes up. And the only -- as I mentioned, multiplication of A by B, which is yields multiplied by assets. Like Ram Charan said over a period of time, yields may contract a little because mutual funds have a telescopic pricing, but that's how it works.

If you see the real rally which happened in FY '22, we saw a revenue increase in the range of INR200 crores in a year or about a INR700 crores base. So in an extremely active year, where markets and indices and assets go up and in that year, assets grew up by almost upwards of INR6 lakh crores, we saw that impact. So whenever a bull rally happens and whenever a

assets go up,

you can expect that revenue will go up by the extent of 70% to 80% of how much the assets are going up, mutual fund revenue.

Jatin Jadhav: Okay. So my second question is regarding, since CAMS also acts like a very repository, we already have that infrastructure. Do you see any kind of business opportunity or any kind of opportunity on the ONDC platform where your skills and your -- basically the tech can be used?

Anuj Kumar: You're speaking about ONDC?

Jatin Jadhav: Yes. So CAMS, the entire business setup of your capabilities can be used over there, any business opportunity you see or have thought of?

Anuj Kumar: So right now, one of the obvious things is that when ONDC wants mutual funds as merchants, then obviously they'll need an integration with us, they need an integration with the entire MF industry. And those kind of dialogues are kind of being contemplated and are under underway as we say. Is there something bigger than that, which means can we play a more, you say, central role for ONDC, etcetera, I won't comment on that exactly, but yes, I mean possible, but we haven't tried any of that yet.

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Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Ram charan SR, Chief Financial Officer, for closing comments.

Ramcharan SR.: Thank you, Nachiket. So I thank all of you for taking time off and attending this earnings call of CAMS, and thank you for the continuing interest that you are showing in CAMS. Please do reach out to us to Anish Sawlani or to Orient Capital in case you have further questions or queries, and we'll be happy to assist you. Thank you once again for joining this call.

Moderator: Thank you. On behalf of Computer Age Management Services Limited, CAMS, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

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"Computer Age Management Services Limited
Q1 FY '24 Earnings Conference Call"
August 07, 2023

MANAGEMENT : MR. ANUJ KUMAR – MANAGING DIRECTOR –
COMPUTER AGE MANAGEMENT SERVICES LIMITED
MR. RAMCHARAN SR – CHIEF FINANCIAL OFFICER –
COMPUTER AGE MANAGEMENT SERVICES LIMITED
MR. ANISH SAWLANI – HEAD OF INVESTOR
RELATIONS – COMPUTER AGE MANAGEMENT
SERVICES LIMITED

MODERATOR : MR. NACHIKET KALE – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Computer Age Management Services Limited Q1 FY '24 Earnings Conference Call organized by Orient Capital. We have on the call with us today, Mr. Anuj Kumar, Managing Director; Mr. Ram charan SR, CFO; Mr. Anish Sawlani, Head, Investor Relations. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions, after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nachiket Kale from Orient Capital. Thank you, and over to you, sir.

Nachiket Kale Hi, good morning, everyone. Welcome to the Q1 FY '24 Earnings Conference Call for CAMS. As mentioned today from the management, we have with us Mr. Anuj Kumar, Managing Director; Mr. Ram charan SR, CFO, and Mr. Anish Sawlani, Head of Investor Relations. Before we proceed to start the call, I'd like to give a small disclaimer that this conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date. These statements are not guarantees of future performance and involve risks and uncertainties, which are difficult to predict. A detailed disclaimer has also been published in the investor presentation, which was released to the stock exchanges. I hope everybody had a chance to go through the presentation. I will now hand over the call to Mr. Anuj Kumar, Managing Director. Thanks, everyone. And over to you, sir.

Anuj Kumar: Okay. Thanks, Nachiket, for making the introductions. Good morning, everyone. I appreciate all of you joining this earnings call for the first quarter of the current financial year. We also expect that you have the opportunity to download the presentation either from the website or from other available places and that you have a copy readily available that will you'll be able to reference. I will certainly call out the charts that I am intending to cover while we go through this presentation.

I will start by talking of the overall macro picture in terms of what's happened in 1Q. I am on Chart number 6 of the presentation. You may have noticed that CAMS won RTA mandates, 2 RTA mandates in the first quarter, one from Angel One, the other from Torus Oro, both of them are new to industry entrants, both have applied for a license or in different stages of obtaining that license. This then takes us to a position where CAMS has won 4 of the last 6, like you may have noticed, of RTA mandates coming from new mutual funds or applied for a license. It's a great vindication of the belief the market has in our capabilities, when it comes to our position. And obviously, it's a key highlight for the quarter.

Another noticeable thing apart of these wins that happened was, again, you may have noticed because these are public figures, that our share -- annual share of the market kept up from 68.3%

to 68.7%, largely riding on net sales in the quarter, and I'll cover this later in detail as we skip to the main section after up and down with this. On Alternatives, overall, we had a solid 19% year-on-year revenue growth. And coming on the back of 2 previous successful years, I think this

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quarterly growth, it is again just sound testament to the belief the market has in our capabilities. Overall, 27 wins. I'll go to the link in just a bit when we come to that section. But overall, 27 new wins in the vertical we recorded between the CAMS team and the Fintuple team together during the quarter.

If I move forward on CAMSPay, which is our payments se

vice, we saw a 25% year-on-year revenue growth. So 2 of the non-MF businesses, Alternatives grew 19% on the mark of 2 years of -- previous 2 years of solid growth in revenue in the business; Payments grew 25% year-on-year. And overall, from a share perspective, and from an offering perspective, digital footprint and offered through API, E-mandate, and specifically, UPI autopay, which we believe and the market believes will, over a period of time, become the accepted way of paying for FIPs and other various forms of recurring payments. I think there's significant success in expanding our reach and kind of establishing the offerings among the clientele from a CAMSPay perspective. CAMS KRA, which traditionally for the last -- almost a decade sold to and serviced mutual funds. That was a core franchise. The last about 1 year, we attempted hard to break into other segments. What are the other segments? Other segments of the capital markets, fintechs, brokerages, those 2 essential. And further break-in, I think has been successful, 40%. Of course, 40% year-on-year revenue growth in CAMS KRA, emerging, of course, the solid underpinning of the mutual fund growth anyway is there. But I think the large part of the growth comes from the fintechs and brokerages.

You may have also seen some focused PR and releases from our side on the 10-minute KYC, which is essentially an industry-first, an AI-embedded solution, which helps us onboarding in consumer within 10 minutes, to become investment ready and takes away one of the control scales that industry had for a long time and obviously allows selling entity as in a mutual fund and brokerage to turn around an account very quickly and get the investor to start participating. Rep on insurance, while you know that any final decision on dematerialization of insurance policies is still not firmly out, so we don't know this. There is no firm announcement yet. We continue to wait. I think overall, we saw almost doubling of both EIA accounts and insurance policies, almost unilaterally done between us, the manufacturers and individuals who are buying insurance. So there was just that momentum. It is not momentum driven by regulation. So good numbers. But of course, we continue to wait for them.

I'll slip forward on Think360. Two of the major callouts that this was an investment we had announced in March, concluded in April of this year. So essentially, the first concluded quarter for Think360 to be part of the CAMS Group. We won a contract. This is a third PSU bank. These are extremely competitive, hard fought bids.

The third bank, between Bank of Baroda, Central Bank and Canara Bank, has adopted Kwik.ID as a product for a video onboarding and video KYC. Video KYC, as you know, is fast replacing traditional most of KYCs in banks. And of course, the volumes there are different to what we see in capital markets. So the third PSU bank who had adopted this. And additionally, for our alternative credit scoring product, which is Algo360, we won mandate from SBI cards, one of the top 2 issuers of credit cards in India.

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Amongst the many other wins, but I will not talk of everything. Kreditbee also is one of the top 5, 6 lending fintechs, chose to opt for Algo360.

From an account aggregator perspective, the space continues to bulge. I will talk a little bit more on the specific product and business chart. But 25 overall new sign-ups. And then you must see some focus here from our side, CAMSfinserv during the Technoviti Awards. This was -- Frontiers award for one of the use case for unique Bank Validation.

On NPS, we continue to retain the number 2 position in eNPS. Makes inroads into the POP and corporate segment, almost 48% to 50% of new subscriptions into NPS are coming from the retail POP channel, of course, in eNPS, we continue to hold the n

umber 2 position.

On digital, I think continuing good story. CAMS digital properties continue to climb, about an 8% quarter-on-quarter growth. myCAMS now at over 6 million registrations. And MFCentral APIs, you know that, while the business MFCentral, you can also use the utility in an indirect way through a lot of RIA and fintech kind of partners, over 1.5 million hits on the API side, which is a great multiplication of the API architecture. And that mode of users growing and getting accepted in the marketplace.

It was also a very solid, I would say, very satisfying quarter from an awards and recognition perspective. A lot of this you've seen. Ramc haran, who is here with me, was recognized as one of the best CFOs in the country in a specific segment.

Business World awarded us the HR Excellence award, especially for our work towards employee communities. This is an initiative taken internally over the last about 1.5 years. We won the ET Datacon award. And then I spoke about the Banking Frontier's Technoviti award for CAMS FinServ. Also again, you may have noticed -- very exclusive recognition. Think360 became the only India -- the only Indian company to be recognized by Fintech Global in the list of the top 100 global fintechs. So there was a list of top 100 global fintechs. The only Indian company to get recognized, I think. Like I said, you have noticed some of those.

I'll move on to Chart number 8. And while spoke about market share expansion of 68.3% to 68.7%, what made this happen is a set of foundational metrics instead of metrics which don't just influence the current quarter, but are likely to influence future quarters and future years. And I'll just talk between this chart and next, about 3 or 4 of these key ones.

What you see at the bottom is essentially the flow or the net sales market share. So stock-to-stock Flow at the top of this. On equity, this market share, you can see in the bar chart, it was 73% in the last quarter and went up to 99% in the current quarter. And of course, we're not expecting 99% to repeat itself, but for a quarter, a fantastic number. 73% is also not a bad number, a great number too. So this grew 99%. And this incremented flow, obviously, is a contributor to the market share going up.

Similarly in debt, the share went up significantly as you can see, again, from 37% to 78% debt net sales. So foundational numbers, they have to hold out for a quarter or 2 more. But I think from a quarterly perspective, just gave significance to the overall AUM market share. When you

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see transactions, that's a good story, too. We are holding out very well from about 124 million in the last quarter to about 128 million, so that's almost 0.5 crores quarter-on-quarter growth on transactions.

And when you see unique investors, we added almost 9.6 lakh investors during the quarter, a much larger number than the previous quarter. But again, a large number of unique investors with the net sales flow. In equity, greater net sales flow in debt and an expanding market share in all those places, I think, is just great vindication to what's happened in the market. But it's also foundationally a solid debt, which should continue helping our business in the trailing quarter.

I'll slip to the next and -- what you can -- on the chart you can see to the Chart number 9. Again, I'll talk about volumes and shares. New SIP registrations. You know that this is 1 single metric, which is really represented the middle and border of the pyramid participation in mutual funds in India, growing quite well.

If you see absolute SIP registrations from about 40 lakhs to 47 lakhs, 4Q to 1Q. But again, significant increase in share, 62-and-some-change growing to 65.2%. So in terms of share change in new SIP registration is almost 3% up. And again, a foundational metric, which people

will continue to contribute into our share of the industry for many quarters to come.

Gross sales, similar track. Of course, the growth isn't as big as 3%, but you see gross sales moved up from INR24,600 crores to about INR25,800 crores. So almost over INR1,000 crores up, and a share almost 1% up from 58.8% to 59.7%. So all the last 4 or 5 things that I've shown you, net sales on equity, net sales and debt, absolute count of MS investors, SIP -- new SIP gross registration count and gross sales and SIP, which is great metrics in terms of foundational activity.

Similarly, you see live SIPs growing from, whatever, 3.5 crores to 3.73 crores. New Folios has grown to almost, in terms of being at 65%. And like I said, these are both operating metrics and financial metrics.

I'll move to next quickly. I have spoken about this, so I will not dwell for too long. 68.7% market share, up from 68.3%, largely driven by what's happened in equity, where you've seen -- if you see the bottom part of the right-hand side, in equity, our year-on-year growth is significantly ahead of industry. Industry at 19.5%, CAMS at 22.9%. So that's almost 3.5% up year-on-year. Similarly quarter-to-quarter, almost 0.6% up. That's really the defining trend, which will kind of

change things for us in the last quarter.

Move to the next, please. And again, I will not dwell for too long on all of this. You've seen it across the board year-over-year, high double-digit growth. But also I think quarter-on-quarter, any growth which is upwards of 4% to 5% is significant in terms of -- given a full length to the ensuing quarter, which we will see in the current quarter. So overall strong, point north and all green for the next year.

I will quickly stop by maybe for a minute each on the next 6 charts and give you any commentary that I've not given you yet. We spoke about the 19% , revenue growth in alternatives coming on

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the back of 2 previous successful years. Just in terms of counts, and these counts continue to grow. Over 400 unique funds are serviced by us, almost 150 fund houses.

So a lot of repeat purchase happening there. Almost INR1.75 lakh crores of assets under service, which is a large part of the current outsourced market. Digitally, over 90 installations of CAMS Wealthserv counts -- we're about to announce version 2.0 of this product, to be in the market soon with an expanded suite of capabilities.

But in the last 2 years, almost at the rate of about 1 a week, 1 every eight days . We've got these installations as so many of the funds, both the MF and AIFs. Almost 25% to 30% of the new traffic now comes digitally, which is great a vindication to the adoption of the market has done overall, -- we often continue to remain bolstered.

I do want to call out that we have chosen to go ahead with a very -- I would say, well accepted solid robust platform called Multifonds. This is a product of Temenos. And the reason we brought it here for our own use and for the use of our clients in GIFT city, but also outside of that is that for multi-country, multicurrency kind of fund accounting , we wanted the best in breed to be offered to consumers, which is what we've brought it now and everything is done is now on offer to our clientele. And on between CAMS and Fintuple, we continue to be the digital transformation partners for the alternatives industry.

Our total account aggregators, 25 new wins during the quarter. We were also the first account aggregator to go live with mutual funds. Mutual fund data is now available. And you can try some of those downloading your own portfolios here in South. The industry is growing. Very, very different use cases are emerging, so Multi-FIP Consents, Single journey. You know that in the world of digital and fintech, journeys are very important. You don't want a consumer to

repeat a step 2 times. You don't want them to give 2 OTPs . You don't want them to do more clicks than it needs to. So single journeys supporting multiple flows. So all of this was getting offered in the marketplace.

We now boast for best-in-class amongst the Bitsight score. And I spoke about the Technoviti Award. So doing pretty very well.

On CAMSPay, I'll slip to the next chart, Chart number .14. Over 50% market share. I think this is the built brick by brick when you see the mutual fund ecosystem for recurring payments, RP, recurring payments. I think brick by brick, we brought all those to work for us. And not just in mutual funds, we have expanding share in NBFCs and insurance too, but mutual funds is a significant milestone, so we are following it out. You see a lot of numbers there. But what I want to call out, what I said was 25% year-on-year growth overall in terms of revenue expansion. And then a significant digital footprint. UPI autopay becoming almost a pioneer product in the market, but through API, E-mandate, et cetera, consistently broadening -- consistent broadening of the offering, which has led to the success.

CAMSRep. I said that we don't have yet a firm outlook on when we the mandatory will happen, but 5 million E-insurance policies. Insurance policies and E-Insurance accounts almost 100%.

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We continue to deep tracing product across the industry in terms of finding the beneficiaries of unclaimed amounts and working with the industry with almost INR1,000 crores book for processing this. And of course, in the market -- should be in the market soon for the digital loan assignment production.

On CRA. I've spoken number 2 position in the eNPS sales, about 6.5% market share. Almost 50% of our throughput now coming through the POP route. So action has begun there and expect to report growing numbers and be more.

On Think, there's been a very, very, I would say, credible set of wins. We spoke about Canara Bank for Kwik.ID, and we spoke about others, including Kreditbee and SBI Cards for Algo. But overall, we see that significant growth across product lines amongst clients, very well recognized overall in the marketplace. And then from an overall footprint perspective, number of practices, etcetera, things continue to go up. So we expect to continue reporting better and better numbers from Think.

I'll pause here. That was the commentary on overall company and group and operating

performance. I'll hand over to my colleague, Ram charan who speak to you about the financials.

Ramcharan SR: Thank you , Anuj. Over the next 5, 10 minutes, I will just give you an overview of the revenue highlights as well as the profit highlights for the quarter. The AUM for the current quarter, average AUM, as you saw in the earlier part of the presentation is around INR30 trillion, INR29.95 trillion, which represented a 14.1% growth on a year -on-year basis. Tracking that, our revenue for the quarter was at INR261 crores, which is up 10.4% year -on-year. The corresponding number last year was INR236 crores, and the last quarter was INR249 crores. So it's a 10.4% up year -on-year and 4.8% or almost 5% quarter -on-quarter in terms of the overall revenue.

Out of this, the asset -based revenue, which was at INR180 crores the last year, same quarter, is around INR190 crores. That's up 5.5% year -on-year. On a quarter -on-quarter basis, the revenue is up 2%, the asset -based revenue. The non -asset -based revenue, driven by transaction revenue and some application development revenue that we do is up -- 14.2% year -on-year, which is at INR37.5 crores for the current quarter. And even on a quarter -on-quarter basis, it's very nice, 8.5%. So non -asset -based revenue, a very good uptake at 14.2% year -on-year and 8.5% quarter -on-quarter. The number is now at INR37.5 crores, driven by

transaction and application development.

The non -MF revenue. In the story on non -MF revenue doing better is continuing in large part of it. On a year -on-year basis, this is up 43.5%, INR33 crores. And even on a quarter -on-quarter basis, this is up 20%. The results include the Think Analytics revenue to the extent of INR4.5 crores. Keeping that aside also, there's a very smart growth in the non -MF revenue on a year -on-year basis and a quarter -on-quarter basis. The non -MF revenue now is at INR33 crores . And you would have seen that the creep happening on the non -MF share of the overall business. What used to be sub 10% is now up to more than 12%. So we are on the right track from that perspective on diversification.

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The non -MF revenue growth was driven on a year -on-year basis by growth in the Alternatives or AIF, which is up 15%. On payments, which is up 25%. On the KRA revenue, which is up 40%. And some adjacencies in terms of websites and APIs that we build for, that is up almost 50%.

So overall, the non-MF revenue is continuing its trajectory that we anticipated for it in terms of increasing its share of the overall pipe. The asset mix, while on a quarter -on-quarter basis, it remained very static. The equity component was 46.5%, hence, no big upside from a yield perspective because of the equity movement. But on a year -on-year perspective, it was marginally up from 43% to 46%.

The major issue in this, which all of you will have a question on is the yields. So you would see that there has been some drop in the yields. We have actually been guiding all of you over the last few quarters, and that is a resetting of rates for a couple of large customers. We have indicated our state in the last few quarter calls that this is kind of a glide path that we have, which is spread over a few quarters. We expect that the maximum impact of this has already come into the books with this quarter. And there could be some runoff of some incremental impact in the next quarter, but post which we will be business as usual.

So the takeaway from that is as expected and as guided, there was a guided part of reduction and resetting of the rates for a couple of large customers, which should kind of get largely over by this quarter and some probably incremental impact in the next quarter. But post that, I think we are on a path to get to where we normally are. That's the commentary on the yields in terms of the AUM fees.

In terms of the profits, again, our guidance has always been and commitment has always been that irrespective of what happens from a yield or a cost perspective, we will hold the operating EBITDA margins at between 40 and 44 percentage. And this quarter has been the annual increment quarter, which is that we didn't get more than INR5 crores cost because of the annual increment that we rolled out for all the employees in April. So in spite of eating that cost and in spite of this small yield depletion that have happened, we are happy to say that the operating

EBITDA, we have held at around 42.2 percentage, which is well within -- the range that we had guided for in terms of the operating EBITDA.

As you know, the fourth quarter is the cost quarter, in which you will see the lump of the salary increment cost coming into the P&L. And going forward, we only expect that this margin will get better as the year progresses, given that there is not going to be any incremental cost at that level in the future quarters, but the AUM growth and other revenue growth will continue to happen. It's almost like a step growth in cost that happens in Q1. So given all that, our EBITDA percentage at 42.2% was a satisfactory performance. And we also -- this is compared to 41.4% EBITDA that we had or 92.4 EBITDA in the corresponding quarter last year, which means that we have seen a creep y

ear-on-year on the EBITDA percentage by almost 1 percentage.

And in terms of the numbers, we ended the quarter with EBITDA of 110.24 crores, which was INR98 crores in the comparable quarter last year. So again, an increase of 12.4% year-on-year

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on EBITDA number. And even on a quarter-on-quarter basis, we are up almost by 1% on the EBITDA. PBT, again, we were at 38.4% PBT, up 17% year-on-year at INR101.91 crores. And the PAT, we ended the quarter with a 76.34%, which is up again 18% year-on-year or 2.9% margin of PAT. So overall, from a margin perspective, we have kept the margins in spite of cost pressures, in spite of yield pressures. And we expect that going forward, this is something going to go -- is only going to show an increasing trend.

We ended the quarter with a very comfortable cash and cash equivalent position of INR509 crores and the Board of Directors was pleased to confirm an interim dividend of INR8 per share. This is in addition to INR12 per share of last quarter dividend, which is up for the shareholders' approval in the AGM later today.

So that's the broad summary in terms of the financials. We do have the trends and various other numbers from P&L, which is available in the earnings presentation, which we kind of -- you can have a look at it and get back to us in case you have any questions.

So with this, I hand it back to the moderator, Seema, for Q&A.

Moderator: We take the first question from the line of Mr. Abhijeet from Kotak.

Abhijeet: First question is on the MF RTA business. Just to kind of get this right, what we are saying is that the current number on the yields effectively forms the base going forward, right, barring the remainder impact that will flow in, in the second quarter?

Anuj Kumar: That's correct. That's correct. Because like Ramcharan said, while our prices have been very competitive in the marketplace. We've pointed out to you in the past that there were 1 or 2 contracts where we needed to reset. The reset went on for a period of time. And now we have culminated that reset. 1Q will be the last quarter for that. So what you should see is yields holding fairly steady after.

Abhijeet: Okay. Second is just on the RTA side. There's good pickup on the non-asset based revenues. And Ram mentioned something along the lines of application development and transaction. But just wanted to check if this is really the base going forward? Or there's been some bunching up that has happened this quarter?

Ramcharan SR: So Abhijeet -- when we speak about application development, it's things like the functionalities that we do, value add in terms of, for example, the MF tax or the suspicious transaction portal or the EIC, the front office portal, or things like that. It is a part of MF -- or just in to the MF.

But there is no one-off in this. There is no one-off in this. This has seen a sustained interest in terms of the valuation that we do to our customers, and hence, there is a revenue coming in. So this should be the base going forward. We are sure of that.

Abhijeet: Okay. That's good to see. One question on the non-MF business. So would you see the pickup in revenues here as well. But just from a clarification point of view, this AIF tie up with Temenos. How is that different from what fintuple was doing for you? And a related question

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is that when we kind of back out the yield, it comes to about closer to 2 basis points. So just wanted to check if that is really the ongoing rate for this sort of service in the AIF market?

Anuj Kumar: Sure. So on Part 1, Fintuple's core business has been creating a digital onboarding platform, which is what they started with. And now a very bespoke development of these onboarding platform. So CAMS is a more i

industrialized product. You either buy the product or you don't.

Fintuple is a bespoke product. We work with banks, especially their custody functions to build the entire set of onboarding functions and digitization function. That's what Fintuple does.

Multifonds is a fund accounting software, and it's a fund accounting platform, which is used globally. We were wanting to do something in this area for a long time, especially with GIFT City requirements also emerging to be able to do fund accounting and multicurrency for people who are either raising or deploying monies in multiple countries in multiple currencies. So that is a fund accounting product, which will now -- which has now become available to us. It's very, very different to what Fintuple does.

Abhijeet: And the question on yields?

Ramcharan SR: Yes. So see, the way we charge -- business yields on AIF, if that is the question. Then the way we charge AIF is not entirely based on AUM, right? So almost 60%, 70% of the billing happens on the number of investors who are onboarded to a scheme. But from a calculation perspective, I think the yields that we are showing is consistent. It's been always between 1.75 and 2, effectively. Although, let me just clarify, the way we charge most of the AIF, it's not based on the AUM. It's more based on the number of investors in a particular scheme, and a slab -base depending on the number of investors and the permanent charge that we do.

Moderator: We'll take the next question from the line of Mr. Devesh Agarwal from IIFL Securities.

Devesh Agarwal: First question, a gain, on the mutual fund yields. So we see on a sequential basis, we see a 5.5% decline. The yields are more like 2.57 basis points versus a growth of 7% on the overall AUM. Now my question is you said that this moderation can continue even in 2Q. So are we kind of expecting a similar kind of moderation even in 2Q?

Anuj Kumar: Not really, Devesh. So what we have said was, I mean, think of a longer period, think of maybe the last 5 to 6 quarters. Whatever moderation you have seen was largely emanating, for I like we said, 1 or 2 contracts. That process is concluding -- have almost concluded, will conclude in 1Q. So whatever impact you've seen in the past is on the books. You will see a small impact in 1Q. But after that, the yield should hold very steady, which means we are at the tail end of that adjustment process. The last step is getting executed in this quarter, in 1Q.

Ramcharan SR: We had to add -- the -- most of the impact has already been seen, Devesh. So to see that there'll be 0 impact is not true. But at the same time, we will be nowhere near what you are seeing for the current quarter.

Devesh Agarwal: Understood. And sir, any sense in terms of adjusting for this one to account, what would be the moderation that we would have seen in the quarter on a sequential basis?

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Ramcharan SR: So in fact, given that most of the other customers are in line with what we expect, which is that, in fact, the AUM -to-AUM fee growth, which generally we expect around 70%. And most of these customers are upwards of 80%. So the moderation has been less on the other customers that we have seen. Almost 70% to 80% of the moderation has been because of the resetting of the yield that's happened in these 2 or we would have seen a much larger EBITDA number that you're seeing now.

Devesh Agarwal: Understood. Secondly, on your non -mutual fund business, this quarter, we saw an inch up to 12.5%. So one, your target of reaching 20% over what duration? And secondly, if you can help us understand what is the margin profile that we have currently in the non -MF business? And what can this be, say, over the next 2 years?

Anuj Kumar: Devesh, we have said that -- and this we have said about a year, take it 6 quarters back that we want to

get to 20% non -MF contribution over 4 to 5 years. We think we are tracking well. We are tracking well to get to 20% in, let's say, the coming maybe 2.5, 3 years, we will get there. Some of the increase that you found this quarter is obviously going to think because that revenue has come in for the first time.

The rest you have seen because you've seen revenue growth, and I showed you the numbers, you've seen Alternatives grow ahead. You've seen Payments grow ahead. And you've seen KRA grow ahead. And over a period of time, there could be others, which will grow ahead of company growth rate, which is where the contribution is coming from.

From a profitability perspective, some of those businesses are at company profitability levels. So for example, AIF is certainly over 40% of EBITDA. But at an aggregate, I would still put this non -MF business in the mid - to high 20s, which means that there are small subscale businesses like account aggregator, et cetera, where obviously, we may not have large margins. Over a period of time, as we stabilize and grow this unless the current non -MF revenue, which is in the early to mid 30s, will grow up to, let's say, INR50 crores a quarter. We are expecting all of this to converge to about 35% to 40% EBITDA. So it will not be very different to company EBITDA levels. So of the subscale businesses, obviously, do not feel a lot of margin today,

which is the reason why we are at the 20%.

Ramcharan SR: Just 1 more point to that. We have constantly been saying that we will continue to invest in the new businesses. And we specifically mentioned that last quarter was -- when I say last quarter, means that 4Q of last year was the quarter in which the gap between the income and the expense for the new businesses will be the largest. And I'm happy to say that, that's been the case. Because in this quarter, we will continue to spend this INR6 crores per quarter on these new initiatives, but the revenue has started flowing, and although it is not at a scale that you'll probably get a higher margins. So we are on the right track on that, Devesh. So we will get to a place where these would also mimic the other platform-based business margins.

Devesh Agarwal: Understood. And the final one, sir, this Think analytics, we acquired 55%. So are there plans to acquire the balance 45%? Or this is how it will continue?

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Anuj Kumar: So the plan is that we've had the same playbook in both Fintuple and this acquisition that we buy a little of a majority and then we have the call option over a year 3, 4 and 5. We want the founders to stay and continue growing the business. So a larger part of the pie for them will come in year 3, 4 and 5, that make sure that the founders stay and scale the business. And it gives us time so that we are able to create a management team which will be able to learn and operate the business once the founders choose to exit.

So it's a long exit period plan, unlike by 100% upfront in most of those cases, as you are aware and you've seen many other companies that the founders tend to exit after the second day. We don't want that. So we have a call option, and obviously, we are expecting to 100% at both these companies.

Moderator: We'll take the next question from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Sorry to harp on this yield question again. So in your negotiations, are you -- are we seeing any change in the kind of telescopic structure that you have discussed in the past. So now that the rates are being set on the lower side, is the band being expanded with regards to the telescopic structure? Or it's still the same? So the main thing I'm trying to understand as to whether we see -- if the AUM continues to grow, how much more fall can we see from the telescopic structure standpoint.

Anuj Kumar: Sure. So before

we get to the telescopic structure, Prayesh, I just wanted to be sure about 1 thing, which is that, what has given us all this? What has given us, that there is a telescopic structure. We want the mutual funds to buy slightly cheaper as they grow and we will sell slightly cheaper. And that depletion is part of the overall plan. So there's no change to that. However, the slightly steeper depletion that you saw in the last 5 to 6 quarters was going to a reason that we've given you. So the answer to your question is that there is no change in these telescopic structures. They are more or less what they used to be.

And you have seen that we had a very healthy figure in incomes -- almost -- you've seen that 70% to 80% of the AUM growth turns to revenue growth for us. And that formula will broadly hold. So don't expect that yields are under any pressure. But I would say that outside of the couple of contracts that we're referring, yields have been holding very well across the portfolio for the last almost 1.5 to 2 years.

Outside of the telescopic structure, we see no other stress. For the 2 contracts or 1 that we're talking about, it was premeditated and agreed. And like we said, most of this impact has now been taken. What you will see is a small adjustment in 1Q, which is the current quarter -- sorry, in 2Q. And after that, you will not see much. So that's really the message overall on the yields profile.

Prayesh Jain: Got that. That's helpful. Secondly, on the -- if I look at your expenses, both operating expenses and the other expenses have seen a very sharp jump on a Y-o-Y basis. And even on a sequential basis, where operating expenses have increased, the other expenses have been flattish. But the operating expenses have been surging. So what's the reason for that? And what kind of run rate we should look at it?

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Ramcharan SR: So, Prayesh, the operating expenses -- see, operating expenses for us, there is some variable component to it. So 2 things: for example, operating expenses, the major contribution for the increase has been out-of-pocket expenses, okay, which is reflected in a similar number in the

top line. That is the sponsored bank charge expenses, if you see the small uptick that happened in the payment businesses, that's the corresponding variable cost that we incurred by paying the banks. That's also been a part of this.

And the entire software cloud charges that we're investing in, right? The new businesses that are there are, be it CRA or account aggregator or all those things are on the growth and the tools that we buy or an operating expense. So these are expenses which are either variable or done from an overall business long-term perspective. And hence, you will see a small uptick that keeps happening on the operating expenses even on a quarter-on-quarter basis.

But if you remove the OP part of it, and if you see the percentage of operating expenses, they are -- generally operating expenses to be around 11% of main. But if you move to OP part, the same number as the numerator and denominator, we are quite appointed as an income and expense. The operating expenses always are around 7.5 to 7.8 percentage. And that's the trend that's been holding throughout, right? Even if we see the last year or this year, it's been within this range of 0.5%, 7.5 to 8 kind of percentage if you remove the OP part of it. OP is more kind of a compensating entry.

From other expenses, these are the real fixed expenses. These are the expenses on power and fuel, the legal, consultancy, et cetera. Largely, as you said, we have had this number last time in the earnings call, we again said that you will see only a small inflation-driven increase. But overall, you won't see a large increase. We stick to the same commentary. The only point that you note there is there's a lot of req

uirement now for an audit, right? For example, PFRDA will recover a CMMI audit. There will be a VAPT audit that is required. All these are very expensive. And there are 3 other things that we've done from an information security perspective. These expenses are in the base now. So these were some things which are not there probably 1.5 years or the year earlier, which are in the base now. And then there is all these things also, just recollect 1 thing that we include the Think Analytics numbers. For example, the other expenses include around INR63 lakhs of Think Analytics numbers. So -- but for that, you have to be very flat or lesser. The operating expenses also includes around INR65 lakhs of Think expenses. So if you take that away, the increase is a little more moderate.

So 2 reasons: one is from operating variable plus Think Analytics expenses coming in. Other expenses is broadly fixed expenses that you will see a small inflation-driven increase going forward. But in the case, we have various other audits and information security-related orders, power and fuel. There is a big tariff increase that's happened in the state, which is cutting a lot of increase from our power-base tool. These are that the base now. So going forward, I don't think you will see such a big increase.

Prayesh Jain: Okay. On the non-MF side, on the E-Insurance thing, you've mentioned that the digital loan assignment is a new service that you've started. Does -- so what I'm trying to understand is, does this kind of give you additional revenue or it's part of the existing charges that you would get?

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So trying to understand whether from a longer-term perspective, this could be an opportunity, which will be, say, larger than the account opening for EIA charges? So that is the question.

Anuj Kumar: Right now, so you know just like the re is loan against security, and loan against mutual funds. Loan against insurance is today an experimental product, which means that as of now, it does not have IRDAI permission for people to go ahead with in this format, in the digital format.

What we had done was along with the regulator and a few key clients, we set up a sandbox, and this is demonstrating the success of the sandbox. We have now applied to the regulator to allow us to convert this into a commercial product, which is where we are.

And if it's converted to a commercial product, it would, perhaps, mirror the success of, let's say, loan against mutual funds. Of course, the scale could be bigger. It will mirror the success of that. We are expecting to hear from them, let's say, in the next quarter or 2. And then there will be enough commercial viability of this. But today, this is not a revenue source per se.

Moderator: The next question is from the line of Dipanjan Ghosh from Citi Group.

Dipanjan Ghosh: Two questions from my side. First, on the new deal wins, I just wanted to get some sense. When you onboard this new customers, is there any front-loading of cost that is associated with it, while obviously, I mean I understand that this will be yield accretive from a medium-term perspective. But I wanted to get some sense of the upfront cost from setting up the business and all.

Second, if I can get some sense of -- you mentioned that in the near term, your margins on the non-MF businesses are around mid-20s and gradually maybe scaling up to 35% to 40%. In the period when you kind of scale up these businesses and take the share up from 13% to 20% of revenues, should one see the overall margins maybe compressing a bit or do you kind of expect some leverage benefits to play out in the domestic mutual fund business?

Anuj Kumar: Okay. So let me answer the second one first. If you take the last 2 years, and I'll give you order of magnitude, we've perhaps been investing annually in the range of INR18 crores

to INR20

crores in the new businesses. This is essentially account aggregator in TSP as one, NPS as a second, MF Central as a third and some amount in insurance. What started happening now is that we are seeing the color of revenue, which means -- some color of revenue. So let's say, a business which had INR20 crores cost and maybe INR1 crores of revenue will grow from INR20 crores and INR1 crore to INR20 crores and, let's say, INR4 crores revenue this year and probably will grow to INR7 crores or INR8 crores next year.

So the gap between what we are spending and what we are earning will become narrower. And that should contribute to the overall profit pie of the non-MF businesses. At the peak, like we said, we have a steady state shift in Alternatives, which is making upwards of 40% EBITDA. We have Payments, which is making upwards of 30%.

And then we have others. KRA would also be making close to 40% and above. So when they become steady state and get to a certain mass, the expectation is, because the labour component will always be small, they will be platform-based businesses, and they have a steady kind of cost and revenue profile, they will get to 40%.

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So you have 2 examples there. You have KRA and AIF, which are both in that range, you have payments, which is a lot more competitive. It's somewhere in the 30s. And then you have others, which may not be making margins today. And what I have given you was an overall basket level margin yield.

As we continue the journey, obviously, there will be some profile improvement in the scaled businesses. And the smaller ones, which are subscale where we're actually investing money today, will start returning some additional revenue. So we're expecting that overall margin profile, I have to give you a single-line answer that the margin profile of non-MF should improve from here. And therefore, at a company level, it will be a net contributor, slightly net accretive than net depletive.

Dipanjan Ghosh: On the first part regarding new deal wins and if there is a front-loaded cost attached to it on the MF side?

Anuj Kumar: Correct. So all the new deal wins, what happens is that typically when an AMC sets up business, of course, there is a lot of preset of work to be done. But they get set up, and then they launch what is called a new fund offering. Typically, people come out with a single new fund offering, most of the times it's equity.

Most of the times, and don't take it as a rule, people will target, let's say, INR400 crores, INR500 crores accumulation from that, a very successful first, and it could be a INR1,000 crores, but they're not very, very common. So you have a new AMC which comes in, we do the prep work. And then, obviously, we deploy all the technology capability, which is getting them to plug into our platform, but doesn't really create a lot of cost.

Of course, we have to employ that unit, and we have to employ a set of people. Let's say, starting maybe 12 to 15, 20 people will get into a unit. We'll wait for that INR500 crores to INR1,000 crores of AUM to happen, let's say, in Year 1. So there will be a bit of a response in terms of when that AMC becomes revenue accretive and when you put in costs, but those are not chartering numbers. Those are numbers that we can manage in the overall book quite comfortably.

Moderator: We take the next question from the line of Lalit Deo from Equirus Securities.

Lalit Deo : So on the Think Analytics business, like, could you give us more color like how do we earn revenue and in terms of the new contract and what kind of margins do you make in those businesses?

Anuj Kumar: So when you think of Think, they come from a very different segment, although they are within financial services, largely cater to fintechs, banks, NBFCs on the lending side, not so much in the

capital market. So it's a very complementary operation. Four core products: Algo360, you saw that mentioned, is a core platform. We have perhaps one of the 2 in the country who offer a commercial service, where based on Android SMS inboxes etcetera. Information contained there.

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We give analytics based on what is the behaviour of the person from a financial metrics point of view in terms of income spending investments and a lot of related things. So that's a very popular platform. That's product number 1, for which you saw, we mentioned things like SBI Cards and Kreditbee to be the new entrants. Of course, there are many established customers.

There is a second product called Kwik.ID, which is basically a video onboarding, video KYC product, where you saw us mention Canara Bank as the third public sector bank in the country, which has joined hands with us. Of course, there are many other private sector clients, but we choose to make these 3 or 4 big ones. And as you know, the paper-based KYC will continue to be displaced by video-based and electronic KYC. And that just creates significant scale opportunities for that product.

There is a third product called Flow Expert, which basically helps companies integrate a number of external feeds coming through API in a straightforward way. It's a new product, has about 3 or 4 installations. And then there is Analytics where we sell business intelligence kind of products and platforms to both the financial services industries in India and in the U.S. and then we have a few pharma and health care clients too.

So those are the 4 product lines. The first 3, you can think of them as a product. Analytics, you can think of it as a service, more a consulting and doing service. So it has attributes of service, which means it needs headcount. The others are typically product based, the first 3. From an acceptance perspective, you've seen some of the clients. And of course, if you go to the website, you'll be able to get a lot more view in terms of what they done. But a very, very promising young company, no debt, completely bootstrapped. And then from a public profile award recognition perspective...

Lalit Deo : Yes. Sir, currently like what is the kind of revenue potential do we expect in this business like going ahead over the next 3 to 4 years?

Anuj Kumar: So broadly, think of them as a company at a current year run rate of maybe INR28 crores to INR30 crores of revenue. Over a period of time, of course, we would expect it to grow in high double digits, so upwards of 30%. On that base of INR30-odd crores. So in 3 to 4 years, you can expect that in a reasonable way, it should be at least a INR50 crores operation of that form.

Moderator: The next question is from the line of Mr. Chandragupta, an individual investor.

Chandragupta : I just want to ask 1 question about this Slide number 36 that you have, proprietary technology platforms and mobile applications that you have mentioned. So is there -- have you explored the option of monetizing these platforms at any point of time, like outside India, of course, like a supply product company that -- could there be another revenue vertical for us? Is there such a potential?

Anuj Kumar: We have made a small attempt in the past to open up European office and one in the Middle East, too. And we had some success. So then we've been completely focused on India domestic right now. As you would see, we have 1 core business and about 7 adjunct businesses. A couple coming from acquisitions, the rest of our own core business. So we've chosen to focus on India

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domestic. But right now, we are not selling overseas. So there is no go-to-market attempt to sell these platforms overseas.

Chandragupta: Okay. But it can

become in future if we choose. I mean, if we decide to, then that's also possible, in case?

Anuj Kumar: Yes, will certainly be possible. Think Analytics, by the way, has a small American subsidiary, where we do consulting contracts with financial services and health care people. That's a very new and a small part of the overall mix, so I didn't call it and it has nothing to do with this chart. But just so that there is a small amount of U.S. revenue. But as far as this platform is concerned, right now, we are not selling it overseas.

Moderator: Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to Mr. Ramcharan, CFO of CAMS. Over to you, sir.

Ramcharan SR: Thank you, Seema. And thanks a lot to all the participants for your participation and involvement in this earnings call and your continued interest in CAMS. In case of any questions, please feel free to reach out to Anish Sawlani or to Orient Capital or our IR. Thanks once again for the time you spend.

Anuj Kumar: Thank you, everyone.

Moderator: Thank you, sir. On behalf of CAMS, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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"Computer Age Management Services Limited Q2 FY-24 Earnings Conference Call"

November 09, 2023

MANAGEMENT : MR. ANUJ KUMAR – MANAGING DIRECTOR .
MR. RAMCHARAN SR – CHIEF FINANCIAL OFFICER .
MR. ANISH SAWLANI – HEAD, INVESTOR RELATIONS .
MODERATOR : MS. SHIVANI KARWA T – ORIENT CAPITAL .

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Moderator: Ladies and gentlemen, good day and welcome to the Q2 & H1 FY24 Earnings Conference Call of Computer Age Management Services Limited hosted by Orient Capital.

As a reminder, all participant lines will be in listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call you may signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Shivani Karwa from Orient Capital. Thank you and over to you ma'am.

Shivani Karwa: Hi, good afternoon everyone. Welcome to the Q2 & H1 FY24 Earnings Conference Calls for Computer Age Management Services Limited. As mentioned today, from the Management we have with us Mr. Anuj Kumar – Managing Director; Mr. Ramcharan SR – CFO and Mr. Anish Sawlani – Head, Investor Relations.

Before we proceed to start the call, I would like to give a small disclaimer that this conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date. These statements are not guarantees of future performance and involve risks and uncertainties, which are difficult to predict. A detailed disclaimer has also been published in the investor presentation which was released to the top exchanges. I hope everybody had a chance to go through the presentation.

I will now hand over the call to Mr. Anuj Kumar – Managing Director. Thanks everyone, and over to you sir.

Anuj Kumar: Thank you Shivani and good afternoon, everyone. I thank each one of you for taking time out to join our 2Q Earnings Call. Like we've done in the past, we will take you through a structured presentation. And then we will have about 35 to 40 minutes for Q&A. Once we are done with the presentation. This has already been uploaded. So, I estimate most of you have already gone through it. But just to expand on the performance of the company during the second quarter. I will say it was a great sustained story of growth in the second quarter. Like you said we saw several historic highs, I will talk about them expanding the business share across both mutual funds and outside of mutual funds in terms of how we got share and then we achieve several key milestones across businesses. You want to see in that we reported, we have been sharing with you five mutual fund wins, four company which were just starting off in the market. Now we are the fifth, of these four both Helios and Zerodha went live this was of course outside 2Q this happened in October. But it's worth sharing with each one of you that both of them have formally launched in the market. So, we expanded our account of active A MCs, other A MCs that work

with us .

On the overall mutual fund AUM, the first six months of this year and the quarter have been the best ever in recent times in terms of absolute and percentage expansion of assets. Our overall Computer Age Management Services Limited
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assets at the end of the quarter stood over Rs.32 lakh crore you 'll see an overall 32.2 trillion. This went up 20% year-on-year and on the large base that's certainly a very significant number. Overall market share continued at 68.5%. Our equity AUM crossed 15 lakh crore, end of the quarter was 15.2. This registered at 28% growth year-on-year as you are aware, and our equity market share, expanded by almost 120 basis points. So, it's now 65.5% a year back this would have been 64 some change. So, that's been a sustained increase , also in the first quarter we 've shown you our equity net sales market share which was in the 90s in the first quarter, which obviously a 90% share of anything can look like an aberration but very happy to share with you

that, it's holding up quite well. Net sales is really the net money that comes into the market from investors. We had 80% share in the second quarter and this is probably the reason why the equity as a market share has gone up .

Outside of mutual funds. Our overall and I 'm giving you a one year picture from second quarter last year to this year. About 3% or 300 basis points increase year-on-year in the share of non - MF revenue. This was in the range of 10% just short of 10 one year back in the second quarter, it's now about 13%. How did this happen , non-MF revenue, if I take absolute numbers grew 47% year-on-year. If I take out the one time contribution of Think3 60, it is still 30%, which is the very salutary number that we 've been talking about an overall earnings compounding of 15% in non -MF should be growing in the 20s or beyond that. So, this was a great occurrence , 30% non-MF growth. In alternatives which has been a sweet spot for us, we went past two lakh crore or two trillion overall assets under management under administration numbers. And then CAMS KRA , which is a product where we were focus on mutual funds till about a year and a half back, we started planning a complete revamp of the platform and from a product perspective to stay ahead of the peers. And also to make a strong go to market efforts, all of that has done very well. CAMS KRA has grown almost 100% in revenue in the last one year 2Q. So, that's been a great story, too.

So, you have seen the financials highlight, you have read all of this , revenue is up 13 .5% and EBITDA up 15.5% , EBITDA percentage at 44.5 % is almost up 70 basis points up year-on-year. And then profit after tax grew 17%. So, overall, just a stock story across all key metrics, across businesses. Some of the stuff that 's on the other chart, in summary I may have covered but I 'll just go through this , transaction volumes you see was a historic high, crossing about 14 crore transactions in a quarter. Similarly, on the unique investor growth, we are now getting very close to three crore unique investors at about 2.83 crore . Equity gross sales again you see about 67% share in the market. But what stays back with us , gross is of, always gross of redemptions when you have net it out , that's a 99% share in the last quarter . 80% in this quarter , and again, this is a great number to have on our side. Of course, we have to continue watching. This is the cumulative impact of how our AMC and their schemes are performing in the market in terms of their relative share of sales. But , I would say a great number for us to have on our side.

And similarly as you have seen the SIP juggernaut continues to move in terms of overall SIP registrations in the market. CAMS individually is now registering anything between 60 to 65 lakh gross SIPs, in a quarter you see a number of over 30 lakh or 3 million net SIPs, this is net Computer Age Management Services Limited
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of redemption , net of SIP expiry and withdrawals. So, that's a great number to, we've never had a number as large as that and writing on all of this a live SIP share like you can see has grown from 56.1 in 1Q to it's grown about 0.7% per day in the September quarter.

Similar numbers when you juxtapose them with a market, I 'm sure you 've been watching these numbers closely. So , I will not go through this individually. But , overall equity share gain and equity net sales. Overall share has been a great story for us so has been the SIP collection and net SIP is registered. From a transaction volume perspective, you can see almost a 24% year-on-year growth , points to a degree of retailization when productions are moving faster than AUM and moving faster than revenue growth , but that's a great story again, because the middle of the pyramid and going towards the bottom is really where a lot of

participation is welcome in these

markets as individual transaction sizes and commitments by investors continue to become smaller. But that 's a great sign of participation. SIP book , I spoke about that , grew about 24%

year-on-year, 8% in the quarter. You'll see similarly live folios grew about 18% year-on-year and unique investors about 17%.

Systematic transactions process this is the SIPs that we trigger and collect grew about 13% on a year-on-year basis. From an overall and I'll give you a short commentary of each of these businesses. As you can see on alternatives, the story continues to be very strong and steady. We won from a full service perspective 50 new to CAMS logos in 2Q. Wealthserv now we have introduced, Wealthserv 2.0 which is a several notches and steps ahead in terms of digital onboarding and servicing of investors. Now, we have (+100) clients that we have been naming in the past who have now adopted our digital onboarding capability on AIF. Temenos Multifonds which is part of the fund accounting suite which we announced in the last quarter is now ready to take on clients. So, we expect to report this to be live and in service in about two months from now. We have also build out data beta limited launch of our first analytics platform WealthTrak which will aggregate data on the alternative side largely on AIF and then provide contrast just like we do on our backs of you versus industry for industry participants.

But also very importantly Fintuple which is done and we have told you in the past, we spoke work is near conclusion of a very large transformation in one of the top private sector banks, you will see some announcement come from us in December. So, this is the starting from the custody operations, this basically integrates every other component of the alternatives operating arena. And creates the ability for them to share data, onboard investors and just takes out all the wrinkles and creases from the operating setup. So, you'll see this announcement in December and as the platform goes through a formal launch, This is a very synergistic offering so whether it is video KYC capabilities from both CAMS and the Think360 and several other things including capsules or RTA operations for AIF, it blends in all of that and you will see some media and press from this is in December.

From a Finserv perspective, the great number is that we are holding at about close to 10% market share this used to be small single digit till about two to three quarters back. On number of live FIUs continues to expand and have crossed 50. And I must say that while this was thought of Computer Age Management Services Limited
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mostly as lending use cases in terms of small ticket lending, largely digital lenders, adopting account aggregator for creditworthiness of individuals. The other use cases are now becoming very popular. So, large broking houses are using this for F&O account opening for pulling bank statements. PFM use cases are now getting bolstered. Similarly, third party verification are use cases of now live in several of the brokerages and MS, etc. So, non-lending use cases are now kind of gearing prominence of course, this will happen over a few quarters or years, but it's a good first sign to see in the market.

From a payments perspective, we've continued to expand and do well. UPI, auto pay like we had said last time was continuing to get adopted and may become over a period of time as the preferred option for SIP payments and recurring payments for individuals. CAMS KRA, this is something that I alluded, and you may have seen some press and a lot of information on our website, etc. So, we brought out this 10-minute KYC solution where it enables almost instant onboarding from a brokerage Demat accounts and MF perspective with our very popular solution. And when you bring in all the compon

ents of technology that we've done, which is things like OCR and face match, Liveliness checks, et cetera which used to happen in a latched in time kind of format, which is all now getting done quickly. The algos and the technology enables all of this. And that's what has enabled us to broaden out the offering to bring in both FinTechs and brokerages. It was largely a mutual fund focused offering, we were selling largely to MF, but we've gone beyond that. So, we've seen a 3x increase in monthly volumes, but importantly almost over 100% year-on-year revenue growth. This of course was on a small base, the base was larger. But we expect to see more growth in the coming 12 months, saw these operations stabilize, large customers continue to opt for us and then existing customers scale. We expect this to continue growing in the next 12 to 24 months.

From a repository perspective, you will see and this is now available in both. It is available in both the Play Store and the App store utility called Bima Central, which essentially allows you to open an AI account and then start linking your policies but over a period of time, it will allow you to do various other things, including like you said making a payments as the regulatory precedents are received. To do loan marking, and borrowing money against your policies, single screen with all surrender values, etc. So, various augmented capabilities now this requires us to tie up with all the almost 50 odd insurers both in life and non-life. The good news is that the top five have now been signed up for this. Also, from an overall policy perspective, we are 40% up year-on-year in terms of eIA addition. And like we said there is sustained interest while the eIA was a relevant product for the life insurance sector now the non-life insurers are showing sustained interest on this. So, as we continue our journey, continue expanding the number of eIA

accounts, maybe journey of opening an account frictionless, linking all your policies and then value-added services of the kind that I said, we will see a lot more interest of course we prerequisite to bring every insurer on board. That's a process that will take some time. But happy to report those are unique product, this is not available with any of the repositories today. And we are expecting to scale on the back of these capabilities of course there is no change in the overall regulatory position on insurance policies being pushed into Demat. So, that remains as an item which is under work, under progress but has not finally been declared as.

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From a CRM perspective, we continue to make inroads into the POPs and some progress in the corporate segment. We continue to retain the number two position in A&P. And then from a Think360 perspective, we've continued to sell quite well, the three key products and that story is going well. From an intellectual property perspective the PFM module on account aggregators are fully built by Think and we have acquired several customers. Think has also introduced into the market a geo wealth index, which is able to take an address and through various direct and surrogate means is able to establish the potential wealth capability of the individual who resides or ranks in that place. And similarly, we are doing some work around generative AI and finding use cases in the market to be able to sell this profitably. So, that's the overall story on Think. Like, I said both from a algo 360 quick ID perspective, we continue to scale and find new relationships.

So, that's really it in terms of overall operating highlights, and what's happened to the different businesses in terms of scale, shares, volumes, etc. I will hand over to Ramcharan so that he can speak about the financials.

Ramcharan SR: Thank you Anuj. Just spend a couple of minutes on the b

road financial numbers. And as Anuj

mentioned, this was a strong quarter from revenue as well as from a profit perspective. So, revenue for the quarter was 275 crores, which was up almost 13.5% year-on-year and 5.3% quarter-on-quarter. The revenue last quarter if you recollect was around 261 crores and the last year same quarter was 242 crores. This was on the back of a smart growth in the AUM. And the mutual fund revenue, the AUM on a year-on-year basis grew more than 20% translating into MF revenue growth of almost 10%. And on a quarter-on-quarter the AUM grew by 8.7% translating into MF revenue growth of 5%. So, tracking this smart growth in AUM we have been able to grow the revenue almost in-line with the growth of AUM on a quarter-on-quarter basis.

The asset based revenue grew 9% and 6% on year-on-year, and quarter-on-quarter, we are at 202 crores almost of asset based revenue. The non-asset based revenue grew 13.6% year-on-year. We have seen some uptick coming in the applications that we run including MF Central and various other application and some platforms that we license to the mutual funds. So, that seen a good momentum and continued momentum on the revenue and there has been some increase in the call center to on both year and quarter, translating into a smart growth on a year-on-year basis of 13.6% on a non-asset-based revenue.

Currently, the non-asset based revenue per quarter is around 38 crores. Non-MF revenue, Anuj touched upon this, we have seen a good growth in our non-MF revenue almost 47% on a year-on-year bases, equalizing for Think analytics acquisition, which was not in the base, even then it's at 30%. So, we have seen what we have estimated a little ahead of what we estimate in terms of the non-MF revenue growth. And that's translating into the percentage of non-MF revenue being close to 13% for the quarter. On a quarter-on-quarter basis we saw an uptick of 7.4% on a non-MF revenue. If the non-MF revenue is currently around 35.5 crores of the overall revenue. So, we continue to see positive trends on this, especially on the KRA business, we are seeing stable to improve growth revenue from a AUM perspective. Payments is continuing to do well

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in terms of the ramp up that they are seeing in the number of transactions. So, all in all, we are on track to meet our targets in terms of increasing the pie of non-MF revenue.

The asset mix for the quarter is actually very favorable. The equity component which used to be around 45% last year is around 47.7%. And hence this translates into some benefit for us in terms of yield. On the yield commentary in the last couple of quarters or more than that we had indicated that there is a large contract that is being renegotiated after five years. And we had indicated some impact of that will be felt and during the last earnings call, we had clearly stated that there'll be some spillover impact in the current quarter post, which we believe that it will be business as usual. Happy to say that that's been the actual case and we have completed the contract and we are seeing some spillover impact of the marginal decline in yield in the current quarter. But going forward, our estimate is that we will not see any unusual yield moments and

it will be illustrated to the impact of the telescopic pricing against for the foreseeable future or the next few quarters. So, that's the commentary on the yield. Hence, you will see a small decrease in the yield but we feel that the impact of all the renegotiations has already been considered and we do not see any big impact going forward on the yields, other than the telescopic impact.

On the profit perspective, backed by the growth in revenue as well as some operating leverage productivity and automation and some cost control measures you will see that we have entered t

he quarter with a 44.5% EBITDA, which is equal to or better than the margins that you saw in the earlier mini quarters. So, we ended the quarter with an operating EBITDA of 122.5 crores as opposed to 110 crores and 42.2% in Q1 of FY 24. And last year we had 106 crores or 43.8% EBITDA. So, we are seeing an uptick in the margin, as well as the absolute number in terms of the operating EBITDA. Which is translating into a margin growth even from PBT and PAT perspective and for the quarter our PAT percentage was close to 30% at 29.7% with a PAT of 84.5 crores. Again trending upwards in terms of the margin percentages reflective of our cost control as well as the operating leverage that we feel is flowing into the bottom and in spite of small depletion schemes that we are seeing at the top line.

Our return on net worth continued to be impressive at more than 42.4% percentage and we ended the quarter 30th September we had a cash and cash equivalent of 528 crores. This was after the payment of a dividend of 98 crores during the last quarter. And the board was pleased to declare an interim dividend of Rs.10 per share in the ir meeting yesterday, for which the record date is announced on the 17th. So, this, when you see the trend going forward also, when you see the trend in the later part of the presentation, you will see that the margin trend as well as the revenue and the PBT percentage absolute numbers are seem to be trending upwards, which is reiterating the commentary that Anuj and me have given in terms of this being a strong quarter and looking forward to maintaining and a minor improvement in margins going forward, as we think we have seen the worst of all days over in terms of the yield compression over the last few quarters. So, this is the commentary I had on the revenue and profit numbers, I'll hand it back to the moderator they can open it up for questions.

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Moderator: Thank you so much. We will now begin the question-and-answer session. The first question is from the line of Mr. Santosh Keshri from Keshri Finance. Please go ahead

Santosh Keshri: So, I had just one question when you say that telescopic impact of the revenue negotiation what exactly you mean by that, I do not understand the term telescopic?

Anuj Kumar: Sure. So, let me just try and explain that, the pricing structure that we have with our mutual fund customers is actually scale based, which is that there is no single bps rate that we charge for the assets under management. So, we broadly divide this and while the rates may be different for different customers, the structure is broadly the same for all the customers. There are asset class based bps that we agree upon, for example equity, debt, liquid and others or ETFs, PASS, etc. So, for example, take the equity, the rate of which that we arrive at for a particular customer is not the same and as the AUM keeps growing, for example if you had a 5000 crore AUM of equity assuming that your bps was say seven bps, if you get to the next 500 crores the rate will fall from 7 to 6.5 bps. So, as you grow in AUM the marginal billing that we do or the marginal cost for the mutual fund customer keeps decreasing, This is an deliberate inbuilt structure that is there in the pricing agreements with our customers, to ensure that the benefits of scale gets passed on to the customers without them having to come back to us every time that there is a big growth in assets. So, typically, what we see is, as the assets keep growing for the mutual fund customers, if your asset growth to say 10 then my asset fee growth is generally between six and seven, which is that we have a 30% depletion that generally happens, sometimes 25%, sometimes 30% that happens between the growth that you see in the assets versus the growth you see in the asset fee, which is what is called th

e telescoping pricing structure.

Santosh Keshri: Then what exactly is meaning of telescopic in fact, the grade wise increase or decrease is not going to happen anymore?

Anuj Kumar: No, sorry what I said was, barring the telescopic pricing impact because the rates generally go down because of a #A telescopic pricing because of any renegotiation, large renegotiation that happens on the base rate itself with the customers. We had indicated during the last few quarters that large customers contract for the last five years was renewed just now with a decrease in rates. What we indicated was, the impact of that will not be felt further, the only impact you will feel will be the impact of the telescopic pricing.

Moderator: Thank you so much. The next question is from the line of Mr. Sanil Desai from ICICI Securities. Please go ahead.

Sanil Desai: My question was related with the yield movement as you said that there was some effect of the yield reset in this quarter. In a way going ahead also in this quarter, we also saw a big AUM jump. So, part of the impact would also be because of telescoping and part of it would be because of the yield reset, any color which you can share on the extent of decline that we have seen in this quarter because of the yield reset, which will give us a better idea about what to take the yield assumptions for the coming quarters and also the year ahead?

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Anuj Kumar: So, the way to think about this, you saw a 20% AUM expansion Q2 to 2Q, last year to this year. Normally, you would have seen about a 14% to 15% revenue growth, what you saw is about a 10% revenue growth. The 15 minus 10 is perhaps the broad equivalent of what you are asking for. If we did not have that onetime adjustment, then we would have delivered the 14% to 15% on the overall asset growth, which was only 10%, the 15 minus 10 is then approximately the impact of whatever we are talking about.

Sanil Desai: Understood. So, going ahead, it will fall back to our historical way of decline which is in line with the telescopic thing right?

Anuj Kumar: That's correct. So, if assets let's say in the next 12 months grow 20%, there's no reason that revenue will grow only 10% revenue should grow 14% to 15%.

Moderator: Thank you so much. The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Sir, just a few questions, first if I look at your non-asset based mutual fund revenues, this quarter, on a quarter-on-quarter it seems to be on a flattish side, given that there are a lot of activities going on in the mutual fund space in terms of be it NFOs, or market being buoyant and so I would have expected that mutual fund at least spending a little bit more on the spreads. If you can give some color on that, that's question number one. Question number two is, on your non-MF revenue so if I chip off the KRA business, and look at the other businesses from a momentum perspective sequentially. Like if you look at the Think360 over it has seen relatively flattish down on a Q-o-Q. So, the other businesses have also been not that great in terms of momentum of take on the revenue side compared to let's say, the client variant or logo variant for business expansion sir. So, I just wanted to get some color on that. Lastly, in terms of expenses, can you give some color on incremental cost that we need to incur on the new businesses and what sort of trajectory should we all see on that?

Ramcharan SR: Thank Dipanjan, I'll take the question on the non-asset based revenue as well as the expenses and I will request Anuj to comment on the non-MF business. See on the non-asset based revenue, that there are four components, major five components major of it, which is the transaction based, the miscellaneous application based the call center. The NFO

s that we built for and the out of bucket expenses. What we have seen as a trend is in the last quarter, we have not seen any big increase in the transaction based as such from a paper transactions perspective. What we have seen is some moderate increase has happened from a call center, and from a miscellaneous application perspective. So, while year-on-year we do see a good increase in terms of revenue, quarter-on-quarter it has been flattish, what we expect is and again as I was earlier mentioning, we do not expect the non-asset based revenue to kind of propel any growth for us or to propel any profit for us, because basically the transactions being up or down does not increment or incrementally impact the profits. So, would assume that they will be static within the same level that we are seeing now. The only upside that we could see is some increase because of the MF central related revenue that is paired with the application base. That's the only increase that we

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could probably see to be profitable growth in this entire bucket that we see there. because of some reasons in terms of regulatory issues and all those things should go up and come down to crore here or crore there. But all those things are compensated by increase or decrease in revenue. So, that's the reason for the non-asset-based revenue remaining static on a quarter-on-quarter basis. From a expenses perspective, the major expense increase that you will see will be the salary expenses, even on a year-on-year basis my entire salary had increased by 7.6 crores and that includes the salary impact that we have given an April which is more than six crore. So, we have been remarkably disciplined in terms of adding manpower or regulating the cost from a manpower perspective. It includes the ESOP cost increase, it includes the Think Analytics cost, everything put together on a year-on-year basis we have increased cost and salary to the extent 7.6 crores. So, we feel that going forward, there will be stable cost that you will see, in fact our quarter-on-quarter basis if you see the increase in revenue is almost like 13 crores, and the increase in EBITDA is 12 crores. So, that could not be replicated every quarter going forward,

we feel that the incremental cost will be measured, and we generally expect 50 % to 60% of the increase in revenue to flow down as the EBITDA in a normal quarter. So, from a fixed cost perspective or from an operating expenses perspective, operating expense generally remain at around 7% to 7.5% of revenue . Definitely less than eight that 's what they will continue to remain if you remove the OP part o f it. With OP they will be around 12 %, the trend has been remarkably stable across the last many quarters that we have seen. The employee expenses as I said, since we were able to cover , we are in fact seeing a downward trend, it 's a little more than 34% o f overall revenue and your f ixed expenses even on a quarter -on-quarter basis you have seen this decreasing and a couple of quarters back there was a concern raised regarding why your fixed expenses gone up. And we set expectations saying that you will see this is the peak and you will not see a lot of increase other than inflation driven increase going forward , that's what it played out the last couple of quarters too. I will kind of wait for any questions from you on this or Anuj can probably take the ques tion on the non-MF front.

Anuj Kumar: So, on the non -MF revenue , while we have stated that overall year-on-year growth is 47% , netted for the one time Think analytics revenue which started accruing in the first quarter that 's about 30%. You are right in this quarter KRA has really driven a lot of this growth. Now, last quarter also KRA driven growth this has been a substantial quarter from a CAMS KRA contribution perspective. Ho

wever, from our overall sales focus and signings pipeline , etc. We are very sure that the others, which is CAMSPay, Think 360, AIF and insurance will be large contributors in the coming two quarters but in this quarter, you are correct the large part of non -MF increase outside of Think has been driven by CAMS KRA .

Dipanj an Ghosh: Sure. Sir, just if I can ask two more follow up question s, one on your AIF side, on an incremental sign ups your competitor highlighted that they have moved from a flat fee based slab to more of our AUM linked class, the ICICI M utual Fund, just wanted to get some color on whether you have also made some changes on that part. Second, is more of a structural question, let say in this quarter for example mutual funds, or last two quarters mutual funds have seen very sharp growth in AUM and some of them have seen change in slabs for themselves on the gross TER side. Your contract more from a two, three -year perspective. So, when they say change in slab, Computer Age Management Services Limited
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is it like a direct translation that you have built -in in the contract or how does it happen or do you expect pre-negotiations to be much more frequent is this sort of market trajectory , let's say for hypotheticals?

Anuj Kumar: Sure. So, when you take the first part another AIF moving from flat pricing, to a bps pricing, we are not seeing that and you must, I 'm sure you appreciate that the market if I ju st suppose what it was two years back to what it is now , is a lot more competitive there are a couple of global players who are competi ng, the domestic both us and our key competitor. So, also of the ante , so in that kind of competitive scenario is not easy to change a pricing paradigm. The current pricing model works well for us. So, it is continuing the way it is. No large changes, we are not reporting any large changes . On the mutual fund side, just think of these as two separate trains . And how do those two separate trains move , mutual funds when they grow, they will charge as per the T ER slab, but T ER slab can continue fa lling from about 2.25% all the way down to let 's say one and some change. So, that is something that the mutual fund experiences. What we experience is our pricing contract with them, which says that the telescopic impact , I'm just throwing a number may no t be very accurate, let 's say the telescopic impact is 2%. So, we will see our contraction irrespective of what change in fees they are underg oing. Are they using the argument of their change in slab and their change in fee to negotiate something else, with us the answer is no. While they are seeing , I'm sure there are many schemes which have crossed over to higher and higher slabs. It 's also a fact that our telescopic methodology keeps rates at very, very affordable levels, but it 's not a 1:1 mapp ing between what they experience and what we experience.

Dipanj an Ghosh: Got it sir. And if I can only one question on the account aggregator side have rates stabilized in the pricing , or how is the pricing pressure of that, that's all. Thank you.

Anuj Kum ar: They have stabilized , the rates are maybe 20%, 25% of where we had started. So, they have stabilized to a certain level. Competition of course in both A and PSP is intense. But, we are seeing some stabilization of rates.

Moderator: Thank you. The next question is from the line of Mr. Lalit Deo from Equirus Securities . Please go ahead.

Lalit Deo: So, coming on the AI F revenue piece, so if you see the overall AUM growth in the AI F segment that has grown materially during this quarter, but since the revenues have not grown , have remained broadly flattish on a sequential basis . So, do we expect that from this growth in the AUM the revenues could come up in the coming quarters , that was the first question. And second, like you mentioned b ecause of the renege

otation happening there were some kind of

pressure on the revenue yields . So, what is the pipeline over the next 12 to 18 months, is there any major contract negotiations going to take place with our mutual fund plans ?

Anuj Kumar: Correct. So, from an AIF perspective, we've seen a steady pipeline of filings. And therefore yes, we are expecting that the growth numbers that we've been reporting in the past should be back

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in the coming two quarters, we are quite confident of that. The AUM does continue to grow , every pricing is not AUM link, a lot of it is activity link pricing, But that notwithstanding we are seeing significant growth coming back in the next two quarters. From a MF perspective, you can see that we had stated that there was a large contract where we were resetting prices, because of some historical context , that exercise is now over in the second quarter. There is nothing major which we believe and that was like once in a 10 year event. And you've seen that we saw price depletion in a sustained manner for about four to five quarters , in the next four to five quarters we did not see any event like that happening again. So, like Ramcharan said, you can expect a marginal small telescopic rate lead depletion, but nothing major from a price association perspective.

Lalit Deo: Sure. And sir just last, one data question you mentioned , a clarification you mentioned that the fixed expenses will be 12% of our revenue will be below 12% of the revenues , or was it something else?

Anuj Kumar: Sorry, can you just repeat your question please , sorry.

Lalit Deo: Sir, the other fixed expenses, like as you mentioned that the operating expenses will be like we are doing but below 8% of the revenues and then there was some 12% of the revenues . So, I just missed that part.

Anuj Kumar: What we mentioned was operating expenses if you take the out of pocket expenses, which was included the operating expenses as well as in the revenue, if you just do a division of the two, it comes to 12%. But if you remove the out of pocket expenses from the numerator and denominator just from the sales as well as the expenses, the real operating expenses that you incur, which is mainly some data entry cost, the sponsor bank charges that they do for the payments businesses, and some things like that , the amount will be less than 8% is generally between 7.5 % to 8% , that was what I was mentioned on this 12 % and 7%.

Moderator: Thank you. The next question is from the line of Abhijeet Sakhare from Kotak Securities . Please go ahead.

Abhijeet Sakhare: I joined a bit late so some of it could be repetitive , sorry for that. So, first question is that , on the non-MF side there is little bit of volatility on the insurance , if you could explain that first. And secondly, let's say on a 12 month basis, is there a visibility could be the growth all of these businesses put together , we are delivering somewhere close to about 20 % , 25% so does that run rate still hold when you look forward one to two years. Second question is that , when we look at the overall EBIT margin at around 40%, is it possible to kind of break it down , how the RTA business is doing and the rest of the business is doing. And the related one is that , are we largely done on the investment front on the non -MF businesses so from here on the translation of revenue growth to bottom line as Ram sir mentioned earlier, that should kind of continue as well?

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Ramcharan S. : Sure. So, on the insurance side while we have been reporting growth in eIA accounts and policies, you are aware that there's a large fraction of the revenue which still comes from outsourcing services. In our persistency operations, there was some fall off from last year to this year, w

hich is why you've seen a small diminish in the overall insurance revenue. From a long MF perspective, we've stated that we would like to grow 20% in revenue terms. And right now for the next 12 to 24 months, we'll be just holding that number , we expect to grow +20% in the overall non -MF portfolio for the next one to two years. So, we are holding that number. On the third part of the EBIT, so Abhijeet on the EBIT part of it. As a bucket, the non -MF, if you kind of combine the non -MF versus MF, that was your question in terms of what will be the split between the two. See, your MF EBIT is obviously on the highest side , it is much higher than the 44% EBITDA that you're seeing there . But having said that, if you look at the single bucket non-MF might be less but within that AIF is also equally profitable, and CAMSPay is reasonably profitable. So, non-MF, MF, yes MF was higher EBIT than the remaining things. But within non-MF there is a pocket like AAF or payments which continues to be very profitable.

So, that's basically the numbers how they pan out. Our KRA is actually very profitable . Now KRA is a platform based business , so that possibility is really high. So, that's how it breaks up.

Abhijeet Sakhare: And that 20% growth rate on the revenue front for non -MF, does that deliver even better growth

rate on the EBIT or EBITDA front?

Ramcharan S R : It will for sure because, as we said from an insurance perspective, or from payments the platform is ready. And the incremental policies that come on board and the Be ema Central, if it goes in a minute goes live this quarter and start getting some traction from a revenue perspective. We feel that it will be accretive to the EBITDA and hence as a business , both insurance and the payments business could see some uptick in margins, insurance definitely , payments maybe.

Abhijeet Sakhare: Got it. And last one, the core RT A business from a OPEX front. There is nothing like a lumpy expense in the pipeline , like all the cloud tech related expenses, regulations, all of that is behind us right?

Ramcharan SR : So, yes, that 's right from OPEX perspective, we do not see a big lumpy expense that needs to be done from our side. However, if there is a big project that we are doing from a technology perspective, we would probably have to think about it and that , so that will be more long term . So, in the immediate a few quarters from OPEX perspective, we do not see any lumpy expenses that is going to come to you, although regulations do continue to come. In fact, even from a KRA perspective there have been regulations on segregation of infrastructure and momentum to cloud , etc. But we are confident of keeping those things under check and you will not see a big lumpy expense that's coming in.

Moderator: Thank you so much. The next question is from the line of Mr. Prayesh Jain from Motilal Oswal . Please go ahead .

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Prayesh Jain: Firstly on the core business, we see a lot of strict addition coming in from the Fin tech platform, and the transactions that we are doing are coming in from FinTechs more than or year where we do a lot of paper weight transactions. So, do you think , does that incrementally contribute in any form to the revenues apart from the AUM that the y add or how much of our revenues would be kind of , have some linkages to the number of transactions as well any clarity there?

Anuj Kumar: So, Prayesh think about this way that, that train has been moving for many years now, think of it as having been moving for the last five years. We have single AMCs whos e paper transactions are in single digit, which means that digital electronic is 90 , 91, 92, 93 that kind our cross portfolio level paper is 12. So, 88% is non-paper, paper like we 've said is revenue accretive , but not margin ac cretive , it also creates risk

because once we digitize the paper then everything else remains identical in our system, the process of digitization takes effort , cost and it reduces the form . So, we are very happy with the way th ings are , also do remember that the FinTechs have brought unprecedented scale to this market, the scale was not available to the market and the traditional distribution paradigm, the FinTechs have brought scale and have brought target sizes which are much smaller. So, overall if you see , we do book revenue from paper transactions which is not a very large number and even if it is drying up, pilot is drying up for the last, as long as I can think last seven, eight years every successive quarte r it would have dried up but the scale , the efficiency that it brings into the system is accretive to us and takes out a lot of labor and a lot of risk . So, that's a positive movement for us, the revenue fall off is a very small sacrifice to bank.

Moderato r: So, what I 'm saying is, Rs. 100 SIP will still get you , fetch you a 3.5 basis point yield and same say Rs.1 lakh to buy an HNI who will fetch you the same yield, is that the fair way to look at it or is there some or from a cost angle both would require same amount of effort or from your side or is that the right way to think?

Anuj Kumar: Yes, absolutely. That is a right way to think , that from an AUM perspective the Rs.100 SIP will be much smaller, it will take a long time to create a mass . An HNIs Rs.1 lakh SIP will be very different in character because it will create AUM much faster but think of the Rs.100 SIP to be coming in millions, while the HNNI SIPs will be a few 100 or a few 1000 s. So, when you see the scale we have crossed now 10,000 crore of net monthly SIP collection at just CAMS level , during the COVID phase this number used to be four. So, in less than three years, we are almost 2.5x. That kind of scale has been built on distribution and built o n, this creation of small sachets is not built on HNIs part of the patient in this market as you can see. So, that's really the right thing for the market , it's going in the right direction.

Ramcharan SR: The only thing I 'll add to your question is Prayesh , is that the process of this S IP collection trigger is largely automated. So, if your question is whether you will incur the same cost, is the incremental cost it will incur and hence Rs.100 is not very beneficial to you. The process is largely automated and hence, that should not be a big part in this.

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Prayesh Jain: Got that. Okay, the other part was on the account aggregator piece, we 're hearing that the PSU

banks are still finding it challenging or apprehensive about coming on board on the account aggregator platform. And so what's your sense there and earlier, whenever we used to interact, you said that FY 24 we will have much more clarity about when this account aggregator will start contributing to our revenue stream. So, any thoughts on these two aspects of the account aggregator business?

Anuj Kumar: So, for participation perspective, every PSU bank is on board, each one of them. In fact, most of the private sector banks are on board, the smaller regional rural banks are coming on board, what you're observing, but you're partially correct, what you are observing with public sector banks is that they may not have built the capacity, or the finesse in technology for data transmission to be 100%. So, if we send 100 requests will all 100 get answered, the answer is no. Typically in an exchange like this 60 to 70 should get answered if you are answering only 10 or 20, then there is something wrong with needs to be fixed. So, there are small incidents of that kind, but from a signing and formal participation perspective, all of them are there. We are seeing signs of revenue and that revenue will be this year would

be maybe a few crore rupees. So, it could be a two, three, four crore rupee number as we progress, but it's a good number to have because it's the beginning of the revenue stream. We are pushing through transactions, we have integration charges and signup charges so all of that is happening. Of course, like we told you that price depletion has been almost 80% what used to sell for Rs.10 is selling for Rs.1.50 and Rs.2 so revenue has contracted to that extent, it still remains a very exciting market. The good thing to focus on is, how many use cases are emerging for how many physical, actual labor intensive processes can you find a substitute through account aggregator, like I said, whether it is a small ticket digital lending, whether it is account verification, part of the KYC process, NFO onboarding, third party verification of bank accounts, there are multiple users. So, if you keep your eyes on that, you will find that slowly the manual process will get phased out from the country and the revenue scales will be much larger than what I'm talking about right now.

Prayesh Jain: And last bit on the EBIT margins, you mentioned around that, there are the non-MF businesses are at lower margins as compared to the MF businesses. But some of them are doing reasonably good margins but any of these businesses that can scale up to the levels of the MF business margin, say in the next two or three years, any thoughts there?

Anuj Kumar: Sorry. So, I will just give you one example that wherever we have achieved a platform capability, which means I have hundreds of small users plugging into the platform, I don't have to deploy too much labor, a new development all I need to deploy is storage, servers, connectivity, ability to manage API's, businesses start delivering 40% EBITDA, a great example is our KRA business, which is delivering that margin as of today. After the recent scale up, our AI of business is a very close to that margin. So, they are very close to the MF margins. Payments has undergone some pricing pressures, et cetera recently, so maybe a little low, but as payments grows let's say another 30%, 40% in size it will start mirroring these numbers. So, the good thing about the business and so the insurance repository be. So, you can think that as a business I don't have to scale it to 100 crore, as I scale a business to let's say 25 crore of revenue, 20 to 25 crore, it is Computer Age Management Services Limited
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possible for that business to be at 40% margin. And we are seeing that in MF, we are seeing that in KRA, we are seeing that in AIF, and the ones to watch out for our let's say payments and insurance where you'll start seeing similar character, maybe three or four quarters from now. Moderator: Thank you. The next question is from the line of Mr. Jeet Suchak from Nuvama Wealth Management. Please go ahead.

Jeet Suchak: So, for mutual fund business transaction volume grew year-on-year 24% and Q-o-Q 10%, so how is it contributing to revenue or cost if you can give me an idea about that?

Anuj Kumar: Most of this is digital volume, most of it is digital volume. If you say we do about 60 crore transactions in a year 55 to 60 crore, over 80% of this is SIP triggers and that's a completely digital process from the time we collect all the information about the SIPs being live, to do a KYC check of them, to placing them with a sponsor bank, NPCI, et cetera to collect the payment, to create the units it's completely untouched by hand. So, there was no real cost implication there, I used to trigger let say two crore SIPs, a few years back I am triggering four crore, I could also trigger eight crore but the quality of processing that we built and automation is not really cost accretive, from time-to-time we will add server capacity and storage, et cetera but there's really no labor

in this which is managing anything.

Jeet Suchak: Okay. And any increment in revenue for the transaction volume?

Anuj Kumar: So, generally, most of the digital transactions, triggers, SIPs, et cetera do not result in any incremental revenue also, it's only the paper transactions that generally are giving us revenue in terms of per paper transaction being processed. So, these could not have a large impact on

revenue and cost.

Moderator: Thank you so much. That was our last question. I would now like to hand the conference over to Mr. Ramcharan, CFO for closing comments.

Ramcharan SR: Thanks, Sagar and thank you to all the participants for your participation in the call and the continued interest you are showing in CAMS . Please feel free to reach out to either Orient Capital or Shri Anish Sawlani , investor relations for any questions that you may and Anuj and me are also reachable in case you need any clarifications. So, once again thank you for being part of this call .

Moderator: Thank you . On behalf of Computer Age Management Services Limited that concludes this conference . Thank you for joining us and you may now disconnect your lines .

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"Computer Age Management Services Limited
Q3 FY '24 Earnings Conference Call"
February 07, 2024

MANAGEMENT : MR. ANUJ KUMAR – MANAGING DIRECTOR –
COMPUTER AGE MANAGEMENT SERVICES LIMITED
MR. RAMCHARAN SR – CHIEF FINANCIAL OFFICER –
COMPUTER AGE MANAGEMENT SERVICES LIMITED
MR. ANISH SAWLANI – HEAD, INVESTOR RELATIONS –
COMPUTER AGE MANAGEMENT SERVICES LIMITED

MODERATOR : MS. SHIVANI KARWAT – ORIENT CAPITAL
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orient capital

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Mod erator: Ladies and gentlemen, good day, and welcome to the Q3 FY '24 Earnings Conference Call of Computer Age Management Services Limited hosted by Orient Capital. With us today, we have Mr. Anuj Kumar, Managing Director; Mr. Ramcharan SR, CFO; and Mr. Anish Sawla ni, Head of Investor Relations.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference ca ll, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Shi vani Karwat from Orient Capital. Thank you, and over to you, ma'am.

Shiv ani Kar wat: Good morning, everyone. Welcome to the Q3 FY '24 Earnings Conference Call for Computer Age Management Services Limited. Before we proceed to this call, I would like to give a small disclaimer that this conference call may contain forward -looking state ments about the company, which are based on beliefs, opinions, and expectations of the company as on date. These statements are not guarantees of future performance and involve risks and uncertainties, which are difficult to predict. A detailed disclaimer has also been published in the investor presentation, which was released to the stock exchanges. I hope everybody had a chance to go through the presentation.

I will now hand over the call to Mr. Anuj Kumar, Managing Director. Thanks, everyone, and over t o you, sir.

Anuj Kumar: Good morning, everyone, and thank you, Shi vani. Good morning to everyone who's joined this 3Q earnings call of CAM S. I appreciate you taking your time out. We will follow the standard format for this call, which means that there is a structured presentation. I'll take you through that, 7, 8 slides. I hand over to Ramcharan for his commentary on financials. And then we should have about 20 to 25 minutes available for taking Q&A.

So I will begin. And on the chart, if you downloaded th e pack, this is chart number six . I'll start by sharing with you that CAMS has won the mutual fund RTA mandate of Unifi Capital. As

you know, Unifi is a very prominent PMS provider based in Chennai and has aspirations to operate a mutual fund. They were one of those 10, 11 entities which had applied for a license in the last about 18 months.

So very happy to share with you that this has recently got announced and adds to the set of significant and marquee new logo wins in the mutual fund arena in the last 18 to 24 months period. So this makes it one of the last 7 new mutual fund mandates which have been declared in the market. Overall, from an AUM perspective, you are aware that we still significantly during the last 9 months -- and mutual fund assets stand at about just short of INR34 trillion, INR33.95 trillion.

This is a 22% growth year -on-year. You would have seen in the release. Our overall market share stands at 68.2%. What is significantly heartening is that equity AUM has scaled much, i Url Vlo

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faster, which means it does scaled ahead of the market, and it has scaled ahead of our normal base growth. This now stands at INR 16.9 trillion. It has registered a 31% growth. An

d when you

compare it with the rest of the industry growth, equity AUM to our equity AUM growth, the 31% is significantly ahead of the 24% which the industry has achieved.

From a market share perspective, equity AUM market share, we grew by 140 basis points on an annual basis and about 40 basis points quarter -on-quarter to touch 66%. You would know that this number has been creeping up steadily for the last about 2.5 to 3 years, but at 66% is a fairly significant number to quote. Also you're aware that SIP collections and SIP registrations are really the formative elements which are driving the growth of this market from a SIP live book perspective, which basically covers the counter SIPs that we have.

This grew 29% year -on-year, again, at a significant delta. Industry grew by 19%. We grew by 29%. And as you are aware, this really adds heft to monthly collections, net sales, AUM growth and all of that. So again, a fairly foundational number to continue watching. And as I come to collection numbers, etcetera, you will see how this number of SIP registrations and live book are really influencing asset numbers. Also the fact that of the, I quoted 5 out of 7 wins, out of those 5 wins, Helios Mutual Fund and Zerodha, both went live during the quarter.

And again, fairly racing away towards the finish line, Helios grew to about -- very close to a INR1,000 crores AUM number. Now you know that for a new mutual fund to grow to INR1,000 crores, it sometimes takes years; not just 1 year, but sometimes even longer than that. So for them to achieve this in a short while, again, fairly significant milestone from an achievement perspective, both the mutual funds went live during the quarter.

If I move a little to beyond mutual funds, which is the non -mutual fund businesses. You are aware that we've had a sustained focus on expanding share of non -MF in the overall book. Also, we've stated to you that we will continue scaling non -MF ahead of the MF book. Again, very happy to share with you that year -on-year, this has grown about 3.3%, so 330 basis points. Share of non -MF is in the rate of 13% now. What comprises non -MF and what has significantly scaled? One of course is Alternatives.

And I'll talk about Alternatives as we move forward, but at a broad bullet level, grew 21% year -on-year, added a significantly large number of new mandates, which is 32, this includes 4 in GIFT City. So again, from a market win perspective, a very satisfied quarter across all aspects. The other business, which has done extremely well and where we have sharpened our offering and also sharpened our go -to-market route is CAMS KRA, where you've seen that we've declared over 100% revenue growth at 129%.

From an entity, which used to largely cater to CAMS service mutual funds, we've gone to beyond CAMS service mutual funds across all of them. But now that alone, from a fintech brokerage, wealth advisory perspective, all these entities need KYC and KRA services and CAMS KRA has brought in a large number of customers in the last 12 months to both broaden our clientele and scale revenue, which is why you see that process on a smaller base. But that notwithstanding, the revenue has grown over 3% in the year -- in the quarter year -on-year, is a very, very significant achievement. i Url Vlo

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Moving forward from an insurance repository perspective, we have declared that CAMSRep has gained entry, and you know that the non-life segment also now has KYC as a mandatory step

before you purchase insurance. So we have won mandate for Oriental Insurance to do KYC for them, digital KYC. This is a joint go -to-market and a joint offering between CAMSRep and Think360.

As you know , Think360 has had this product called KwikID, which was selling quite well in the financial services, which is NBFC and banking arena

, but this is a nice entry into insurance. So

that is what CAMSRep has won. And also very pleased to share with you that just broadening of the business for CAMSPay, we have won an exclusive partner status from LIC to execute customer account authentication.

This is largely third -party verification of accounts of people who wanted to buy insurance that are stepping in digitally. But again, a fairly marquee contract, and it's an exclusive partnership. Riding on all these wins and all the tailwinds that we have faced from a SIP growth and AUM growth perspective, the financial highlights are pretty good. CAMS, the overall revenue book grew just short of 19%, at 18.9%. Within the MF, revenue grew 14.6% year -on-year. Non -MF grew a staggering 59% year -on-year.

If I take up the impact of Think360, which is still a onetime addition to the book, we still grew about 41% year -on-year on a non -MF basis. Four out of the 6 non -MF businesses grew by more than 20%. So that's a significant achievement. Four of the SIPs grew by over 20%. Riding on the revenue growth, EBITDA grew 19.7% year -on-year. EBITDA percentage is historically at the highest. You would remember a number of 44.5% in the last quarter. And a year back, that number scaled up to 44.8%, that's about 30 basis points up. And profit after tax grew in absolute terms 21%, in percentage terms grew 40 basis points year -on-year. So that's a very solid set of financial metrics, just riding on strong sales and operating performance almost across the board. I will move forward. You would have -- once you've downloaded the pack, you would have seen that there is a significant financial data. I will just cover the chart number seven , and then what is there on 8, 9, 10, 11, I will leave it to you for reading. But on chart number eight , you will see that we saw historic highs in transactions.

And the continuing lift in SIP numbers, equity AUM and new investor account, all of which, like you know, our foundational metric and our overall SIP registration was at a lifetime high of 43.9%. So broadly, a 9% transaction volume growth, growing from just short of 141 million to 153 million, vindicating all the activity which is happening in the market.

Equity AUM, like I said, grew significantly ahead of RBS growth and the market growth of equities grew 31%. Equity AUM from 12.9% in last year's third quarter to 16.9% now. Equity net sales, which is a good measure of what is the fraction of net sales coming to us through CAMS service fund was in 3Q '23 was 73.2% , still holding quite well at 72%.

Absolute growth of 26% but holding share. And like I said, our equity AUM market share is 66%, while the net sales share is 5% or 6% ahead of that. It simply means that equity AUM share will continue to grow. So that's a good number. SIP registration, new SIPs, we crossed the ,i Url Vlo

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highest single month number of 2.5 million, INR25 lakhs SIPs were registered in December of '23.

And from an SIP registration perspective, we were at a 61.8% market share in 2Q, which grew slightly by a small margin to 62%, but still holding up quite well. Live SIPs, we know net of calculations, in 3Q this number was 3.3 million, which is again the highest ever and again, bodes very well for future collections and future SIP -related growth.

2Q, the absolute number of live SIPs was 40.5 million, like I said, grew to 43.9% in this quarter.

And then SIP gross sales, which is the number you end up reading about every month as the releases come out, was 283 million in the second quarter, grew to about 312 million.

So it crossed what is a magical number of INR10,000 crores a month and is heading in the direction of INR11,000 crores. And from a market share perspective, SIP gross sales was just over 60% in 2Q and that scaled to 60.5% to grow about 0.4%. So all of t

hese are nice growth

numbers to continue backing us in the story beyond this quarter.

And like I said, they are all foundational numbers, which will perhaps continue to define growth as we move forward. After these two, I'm just skipping chart number 8, 9, 10 and 11, assuming that you have a copy and you would have gone through it .

I will take you through individual businesses, just chart by chart, maybe about a minute on each. Starting with Alternatives, where we are reporting a revenue growth 21% year -on-year. I spoke about 32 new wins during the quarter, which is a very sustained new logo onboarding performance .

CAMS well Served continues to herald the digitization momentum in the industry and has over 110 sign-ups. There is now enough trend to see that over 30%, something -- 40% of new customers in AIF and PMS are coming through the digital route. So that's just revolutionizing the way onboarding happens in this asset class.

In GIFT City, we now have over 15 clients. We added 4 new during the quarter. And then with Multifunds because we brought in the multi-country, multicurrency fund accounting capability, moving some of the existing and new clients on that platform, just to gain experience and gain heft in that class.

Also from a Fintuple perspective, you know that Fintuple has been building these large platforms, connecting custody programs of large banks with domestic PMSs, and then followed by domestic AIFs. The first of these programs has -- with a very large bank has just gone into live. They are onboarding PMS -- AMC is now on to the platform. And all of this is now growing beyond just AIF and PMS and is growing into things like FPI, forex and treasury services. So Fintuple has been able to, however taken some time, have been able to build these four platforms, which have multiple components of assisting large custodians to integrate with FPIs, to integrate with AIFs and PMSs, as we believe that the offtake in terms of onboarding will now, i Url Vlo

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start getting momentum. Also, overall, we've declared a INR2.2 trillion assets under service for our Alternatives business.

From a CAMSPay perspective, I spoke about LIC onboarding CAMSPay as an exclusive partner to execute customer authentication services. CAMSPay registered strong revenue growth year-on-year, onboarded a significant number of new clients for UPI Autopay. UPI Autopay is now emerging as a preferred mode. It has got significant strength and this quality is over the traditional NACH and E-NACH. So that portfolio continues to grow. And from an overall volumes and revenue perspective, it's been a strong quarter for CAMSPay.

I'll go to the next, which is CAMS KRA. This, we have said, has performed -- I mean, has delivered a very strong performance, growing over 100% during the quarter over last year. You would have seen enough news in PR around our 10-minute KYC, which I think, is the foundational component which has helped us penetrate brokerages and fin-techs. So a large component of new PANs or -- which is really the gun powder that KRA survives on, have started coming from all these other sectors outside of domestic mutual funds.

Also from an AI-embedded offering perspective with the assisted face match, OCR, liveness check, liveness APIs, etcetera, we are finding that CAMS KRA is now getting accepted across the board as a skilled product in the marketplace, and the growth then just vindicates all of that. There are 25 new financial institutions of various colours, shapes, and types, which have now commenced business with us, which have signed up.

And the onboarding journey now, the front end of the journey is powered by Think's KwikID. So that's a product which has earned its spurs across banks and NBFCs. Now we're using it as a standard front-end onboarding journey, while CAMS

KRA provides all the back-end services that a KRA will.

Going to the next on CAMSR ep. We spoke about CAMSR ep's entry into KYC and of the Oriental Insurance to do all the -- execute the entire digital KYC process through CAMSR ep. This, again, is powered through Think's KwikID. Also from a Bima Central perspective, although progress isn't as fast as we had expected, the first few insurance companies are now fully integrated on to the Bima Central program.

And this app is now available in the App Store and the Play Store and that's something you can try. From an EIA perspective, we continue to maintain a market share of 39% for policies and 31% of the EIA accounts. As I move forward, I'm on Chart number 16, on CAMSfinserv. We've shown a sustained expansion in market share. You would have seen that. We have started with single digit. And now happy to share with you that we've grown to over 13% in the AA ecosystem in terms of share.

We are the preferred AA partner when the account aggregator thing started. Very few people expected that things like F&O account opening will become a large use case. We are now the preferred partners in the industry, servicing multiple number of brokerages for this particular use case where a bank account has to be refreshed every year for all live F&O accounts. 25 FIU, i Url Vlo

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clients were live in 3Q. And then we continue to report a number of new deals, both from an AA and TSP perspective.

So, a solid quarter, still small revenue. But from a market share, total number of pulls, penetrating various segments, demonstrating new use cases, things like F&O and now finance management, I think a very satisfying period for the team. I will move forward from a Think360 perspective, you would have remembered that we have declared that for the flagship product, which is Algo360. We have signed a deal with SBI Cards.

That engagement is now live, which means usage will begun. And this was a very marquee customer for usage of this product. So we're expecting clear dynamics to now continue showing as time progresses. Similarly from a digitalization perspective, we now have contracts with three of the top 10 public sector banks in India for overall digitalization. This is largely the digital KYC journey.

This is now fully kind of Canara Bank to -- we won -- these are both analytics, address management contracts, one with CreditAccess Grameen and the other with DCB for augmenting the overall risk analytics expertise. CAMS and Think360 have also built a product called Influence360, which is a geographic data product, which helps business strategize in terms of understanding buying power of the consumer and how the consumers are dispersed across cities and PIN codes.

So that product is now ready for the market. And lastly, I will talk about CAMS NPS. We've seen our 2x growth in overall subscriber count year-on-year. We continue to hold the number two position in overall new eNPS sales. Our overall innovation in terms of making the CAMS-enabled UPI Autopay, all of those things continue to be playing out in the market. And then from a POP perspective now, we are linked with several POPs and almost three-fourth of the overall traffic is now getting contributed by these 4Q, as you know, is this season for NPS. So we're expecting to continue broadening out and expanding the numbers as far as NPS is concerned. So I will pause here, hand it over to Ramcharan for his commentary on financials.

And then once you are done, then we will take questions.

Ramcharan SR.: Thank you, Anuj. The financials, Anuj touched up on the highlights in the earlier part of the presentation, I will just try to get into one level of detail of this. From a revenue, as indicated, we have kind of had a strong revenue growth during the quarter, 18.9% year-on-year at the ba

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of growth in assets and the mutual fund revenue. The mutual fund revenue grew by 15%, almost 14.6 percentage, again, on the back of growth in assets.

On a quarter-on-quarter basis, our revenue grew by 5.3%. And mutual fund on a quarter-on-quarter grew 5.4%, which is, again, backed by high growth in the AUM. This is actually a good point to us. If you remember, over the last few quarters, we have been indicating that from a yield pressure perspective, which was a common question from a lot of people, that the onetime reset of the yield, onetime large reset of the yield with one of our major customers has been completed, you will see the impact of this in the next few quarters. ,i Url Vlo

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Happy to say that it's played out like that in this quarter, and you can see yield compression in this quarter. And thanks to the equity mix being favorable. The equity mix for CAMS is 50% almost, 49.9%. Were, in fact, on a quarter-on-quarter basis, seeing a very, very marginal increase in yields, which is, again, playing out the way that we anticipated. And going forward, we also do not see any large depletion in yields other than what will be driven by the telescopic pricing. So from a revenue perspective, the asset-based revenue, which is a major part of the mutual fund revenue, grew 13.2% year-on-year and 5.1% quarter-on-quarter, and INR212 crores of asset-based revenue. The non-asset-based revenue on the back of a good climb in transaction revenue as well as miscellaneous and applications value added that we sell to our customers, both had a very smart growth rate.

So which means on a year-on-year basis, we grew 23% and on a quarter-on-quarter by 7%. So our non-asset-based revenue is currently at INR40.8 crores. So INR212 crores and INR40.8 crores, the overall MF revenue stands at INR252 crores for the quarter, again, up almost 15%. The non-MF revenue, I think the earlier slides were kind of getting into the detail of the individual business lines that we have.

But the highlight is being that we continue to deliver on non-MF growth, which we had kind of suggested -- a big increase of around 60% is what you saw on a year-on-year basis on non-MF revenue, which includes the revenue of Think Analytics, which we acquired at the beginning of this year. Even keeping this aside, the overall revenue growth is upwards of 40%, which is, again, tracking to our entire projection of getting the non-MF revenue to 20% of the overall

revenue within the next few years.

We are well on track to achieving that. On a quarter -on-quarter basis, too, the non -MF revenue grew by 4.5%. Into the conference, Anuj touched upon in the earlier slides. Good growth on a quarter -on-quarter basis on a AIF, on a payment perspective. KRA grew more than 100 percentage and the AA and TSP. So we had four businesses, which grew more than 20% quarter -on-quarter with KRA doing very well with more than 100% growth when compared to last year the same quarter.

So all in all, a very strong revenue growth of almost 19 percentage, driven by growth in MF as well as in the non -MF segments, which again leads to our profitability. Over the last -- for the seven quarters, this has been kind of the highest profitability that we have seen. On operating EBITDA, we ended the quarter with almost INR130 crores, INR129.6 crores of operating EBITDA, which is almost 20%, 19.7% growth over the same quarter last year. And sequentially, it was a growth of almost 6%, 5.8% growth.

The margins crept up again, as we had indicated, as and when the revenue starts growing into the non -MF as well as along with the operating leverage, we will have an operating EBITDA creep -up, which has again played out in the current quarter to as opposed to 44.5% in the earlier quarter, we are at a 44.8% operating EBITDA. PBT is in line with us.

It's almost at 40%, 39.9%.

And PAT, we ended the quarter with INR89.29 crores of PAT and 29.8%. ,i Url Vlo

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Good growth of 21% impact on a year -on-year basis and 5.7% quarter -on-quarter. As I said, if you take the last seven current quarter, this is the highest margins that we have seen, not only in terms of absolute numbers, but even in terms of margin percentages, which again indicates to a very strong financial performance.

On the return on net worth, as, we are used to the 40% kind of return on net worth, which we are continuing to see -- and we ended the quarter with a really cash and cash equivalent surplus of around INR580 crores in our balance sheet. One item on the cost that we would like to highlight is the cost, comparable costs for this year. Just like we eliminated the revenue for Think, that's the comparable cost of almost INR5 crores for the year.

Hence, you will see some increase in the individual expenses. But that is a onetime -- that is the inclusion of Think for the first time in our consolidated financials. And also, we had the final tranche of the current ESOP scheme rolled out during the quarter. So you had a noncash charge of around INR4.3 crores that is coming into the current quarter books, which was INR1.7 crores more than what it was in the last quarter.

So if you see overall from an expense creep perspective, if you consider the noncash charge of ESOP of INR1.7 crores and if you consider there is an increase in out -of-profit expenses or OPE, both from a CRA as well as MF perspective to the extent of INR2.5 crores, the expense growth quarter -on-quarter has been extremely muted, which is the reason why you see some amount of creep up in the margin.

That is also playing out on a year -on-year basis. Year -on-year basis, you had the OPE expenses low by almost INR5 crores. If you actually take that out, you'll see a strong transmission of the increase in top line to the bottom line. That's the broad commentary on the financials. I will now hand it back to Tushar, and he may open it for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta: So my first question is, you gave some color on how costs have tracked in this third quarter. But just if you could give us a split between the cost, how much of that is for the core MF RTA business and how much is for the non -MF business, that would also help us understand how the profit and the profitability is tracking in those two segments? That could be one of the questions . The other question is on the KRA business, you indicated that you have entered into 25 new relationships with fintech's . Now I wanted to understand that what is driving your ability to enter into these new relationships with fintech's ? Is it product differentiation that is helping you here? Because from a KYC record perspective, you are still significantly lower than the market leader. So I wanted to understand what's your differentiation there? Those are the two questions. Ramcharan: Okay. There are two parts. I will take the first part on the non -MF profitability expense, and then Anuj will comment on the KRA and what's happening in that for us to grow this much. See, I will give you broad guidelines in terms of how the non -MF actually stand. We had indicated in ,i Url Vlo

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the earlier quarters, too, from an investment perspective, we are investing in Bima Central, which is the CAMS REP platform.

We're investing in the AA, TSP. We are investing in the CRA platform. And we're also kind of continuing to make enhancements from a payment's platform perspective. And AIF, we are launching new products. So

what we had indicated was in the last year that the investments that we are making, and we do not kind of capitalize or amortize, we kind of take most of it to the P&L.

On a quarter-on-quarter basis, our spend was projected to be INR3 crores or INR4 crores. So for the current year for all these initiatives put together, we have spent more than INR5 crores, okay? What has changed is the top line growth. So what used to be very minimal, less than a very small revenue component from AA, TSP, is now almost tracking to INR70 lakhs per quarter. What is happening from MF Central perspective is tracking to over INR60 lakhs to INR70 lakhs per quarter.

So things like that -- our AIF growing 21%. A lot of it is because of the new ramp-up that's happening on the products. So from a cost perspective, I don't think it's very different from what it was in earlier quarters. We continue to spend around INR5 crores, INR6 crores on these platforms that we are building out. But the revenue has crept up, which means that the profitability from a non-MF perspective, considering it's not a homogeneous bucket but just from an ease of understanding perspective, if you take the bucket non-MF business, the profitability has crept up, and it will be in the high single digits -- high double digits -- less than teens.

So we'll be around 10 percentage to 15 percentage of the bucket profitability, which is higher than what it was in earlier quarters. And as we get more and more revenue from a top line perspective, this is kind of getting closer to the profitability. That's basically the understanding that we have. Whether it will happen in 2 quarters, 3 quarters, 4 quarters, it's how fast the revenue will ramp up, but that's the trajectory that we are foreseeing. On the KRA perspective, Anuj?

Anuj Kumar: Yes, sure. So when you look at the KRA business, think of it as it's the entire capital markets. In the capital markets, the large participants or brokerages and depositories, who you know that they add customers at a pace which is significantly ahead of what the mutual funds add, new customers add.

Historically, we had rooted this business and designed it to serve CAM Service mutual funds.

So a subset of the total. In the last 1.5 years, especially after we brought in Navi as a customer, we have now been going after the entire set of mutual funds, but also large brokerages and large fintech's, some of these fintech's are selling mutual funds, a lot of them are just registered brokers.

So we have expanded the game to, let's say, the playing arena is 3x or 4x of what it used to be.

And within the brokerage business, as you know, there are significant lumps, there are 5 or 6 entities which are very large. And then there is a medium size set of entities and there's a long tail. So as you go after these, and you just can't go after these through a sales effort because your ,i Url Vlo

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product and your overall servicing turnaround times, quality of onboarding, time taken, etcetera, has to be world-class.

We have built all of that, which is why we're seeing gain in share. Now are we going to become the number one very quickly? The answer is no, because it takes a period of time. The delta between the number one and number two today is significant. There is an incumbent number one. But what I can certainly assure you on is that there is not a flash in the pan performance. We've grown revenue 100% on the back of onboarding new PANs.

When these investor PANs are reused either in the MF market or to -- for brokerages of opening demat accounts, that is really revenue accretive. So we are doing the right foundational things for the business. This year, the revenue growth is one indication. But my expectation is that we will continue to see this sustained in the same manner. You will see the gap lessening between the leader

and -- when do we scale up to really challenge the leader, etcetera, that may take some time.

But I think the initial metrics of onboarding high potential customers, expanding the number of PANs in our armoury and being able to sell them to reflect on revenue, I think those are great momentum causing events which have happened in the last 4 to 5 quarters.

Supratim Datta: Got it. Just a quick follow-up on one of the first question on investments. So on the non-MF

side, I understand you are spending INR5 crores to INR6 crores additionally for some of these initiatives that listed. Now going forward, should we continue to see this these new investments and new initiatives and spend them in the next year?

Anuj Kumar: If I may ask, can you just repeat the question? And because the -- I was not able to read you fully because the voice was not very clear. Is your question on yields? Or if you can please repeat it for us?

Supratim Datta: Yes, yes. So on the -- just this is a follow-up on the first question. So on the investment, so you said INR5 crores, INR6 crores towards new initiatives. Just wanted to understand how should we think of it going forward? Should it continue at this level? And what would be those initiatives that you would be spending on this INR5 crores, INR6 crores? And on the MF side, if you could list how our thinking about the investment work to be some of the things that you would be investing in the MF side? That would my question.

Ramcharan: So what we have kind of said consistently and will continue following is that the investment amount would not go down -- while this is a journey, this is not -- we've not yet reached the destination in terms of where we want to be in terms of the product. So basically, we will continue to invest in new products in AIF.

We already have rolled out the onboarding platform. We are doing the wealth track and we are doing the fund accounting platform. Similarly, from other businesses, the CRA platform will get further embellished. We are doing various journeys on that. We will get -- we have started the POP; we will get the government and other schemes and flavors into it. ,i Url Vlo

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And from AA, TSP, several use cases are emerging. We are re-architecting a lot of these things. So the investments will not slow down. We will continue to invest this money in the platform that we are speaking about and we will see the beneficial impact in terms of ramp-up in the revenue. But you should assume that the same amount will continue to get invested on a quarter-on-quarter basis, adjusted for obviously some inflation in salary costs as we go forward. On the second question of investments in MF, and what we are doing?

Anuj Kumar: So like Ram said, you can't do well in the marketplace until you build cutting-edge products and until you've taken them to market. So sales and product development. and some degree of just PR spreading the news around are just natural investments. We've said in the past, non-MF, that will be in the range of INR15 crores to INR20 crores a year, which I think continues.

The point that Ram has made is that against that, there used to be small offsetting revenue, as increasingly the offsetting revenue increases because those markets are growing. You've seen that in KRA, in AIF and in account aggregator definitely. We will see that offsetting revenues grow. And therefore, the quantum of the investment remains constant, but it becomes revenue accretive.

On the mutual fund side, there is a significant amount of work that we continue to do to scale up and add leadership, which is, of course -- leadership and manpower. But from a risk, antifraud, cybersecurity, BCP, just the way we treat data and we are able to organize data and get analytics and insight from the m. Those are standard, I would say, now you c

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investments inside the P&L, they continue to happen all the time. The sophistication that we need, let's say, from a security perspective continues to scale up in this world where you have to guard your perimeter very effectively and make sure there is no intrusion.

So that will continue. But inside the P&L. I don't think you should read it as a separate line, which is kind of asynchronous to the growth of the business but is synchronous to the growth of business and will continue. Did that answer your question?

Moderator: I think he's disconnected. We'll move on to the next question. Next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead, sir.

Sanketh Godha: My question is just if you can give an indicative number. Since today, we are at EBITDA margin of 44.7%. If I want to split the EBITDA margin of MF and non-MF, how it is? And as Anuj highlighted, if the growth starts picking up in the non-MF business, then how you see the overall EBITDA margins to play out from the current levels? Or we see -- or what the numbers what you are looking at are like peak numbers, significant expansion you don't expect to happen? Just some outlook on that.

And second question is largely on non-MF revenue. If you look at AIF business or CAMSPay business, it seems to be plateauing on sequential basis -- around INR74 million, INR75 million, and even CAMSPay. Just wanted to understand how to see these numbers to pan out, though on year-on-year basis, this looks healthy, but on a sequential basis, it seems to be holding up at these numbers. Just if you can give a little better outlook on these businesses will be helpful. ,i Url Vlo

And lastly, on fund accounting, I think our competitor is a little aggressive on that particular piece. So if you can speak a little more on fund accounting as a new source of revenue, how you want to build this, it will be great?

Ramcharan: Got it. So I'll answer the question on margin first, Sanketh. I think there are three questions that you asked, I'll just take the margins one first. So yes, we have seen a creep up in our non-MF margins what used to be -- even as a single bucket, and I would like to clarify again, they are not a homogeneous business or a unit.

But for the purpose of ease of understanding, suppose we kind of club them under a single bucket and say it's non-MF bucket, our margins now on an EBITDA perspective are less than 15 percentage, right? What used to be a single-digit number has now kind of gone up to close to 15 percentage. And so the MF is kind of much more than the 44% that you're saying.

Mathematically that's when your average is 44.8 percentage.

Now going forward with trajectory, again -- this is again consistently what we've been saying for the last few quarters is that we will get the margins of the non-MF business creeping up as and when the revenue starts ramping up. Whether it happens rapidly over one or two quarters or over four, five quarters is what the market will tell us. But our trajectory of the non-MF margins, given that the spend is going to be plateauing and the revenue is going to be increasing, we expect that they will get 10 towards the 25 percentage in the next few quarters, for sure, right? There is going to be no dilution in margins as such from a pay perspective because of some investments, AIF margins could come down a little. But REP, once the Bima Central starts and some revenue starts kicking in and the other AA/TSP businesses, and the Sterling Software external businesses could actually give us an incremental 10 percentage increase in margins as we go forward. So that's the expectation. And obviously, I would just like to caution you with one thing, which is that the April quarter has always traditionally been the quarter in which we have

had a close 2.5% increase in cost because of the annual appraisal.

Now whether that is 2% or 3% or 2.5% and when that will happen? It's obviously a decision to be taken when you're closer to April. But the long-term trend suggests a better increment on quarter 1. This is across the industry, it's not obviously unique to CAMS, is going to be around 2.5 percentage. So keeping that in mind, I would not kind of predict that our operating EBITDA will go to 49, 50 percentage.

But what we are confident of doing is see this creep up in the EBITDA, and we keep let's say the salary increments for a moment to see this EBITDA creep up by what we assume is 20, 30 basis points over the next few quarters for sure. So that's the expectation. And we will see. We obviously hope and think that the revenue ramps up further, we will see a further ramp up in EBITDA. But I would still not suggest that we will be close to 50 percentage any time soon.

Sanketh Godha: Yes. But now...

Ramcharan: Sorry, you have a follow-up on this? Or shall we go to the next question? ,i Url Vlo

Sanketh Godha: So basically my simple point is that -- means if I include even the annual presence in FY'25, then you're saying that current margins can potentially be at least, if 20, 50 basis point improvement in the third quarter, then we can see probably a 1% better margin than what we can expect in FY'24 is what I wanted to just check?

Anuj Kumar: So historically, Sanketh, you've seen that operating EBITDA has grown by about 1% a year. That is irrespective of the puts and takes, whether we've made investments, whether revenue has grown or not grown at the same pace. So just extrapolating the past into the future, you know what to expect, right, with what you said 30 basis points in the quarter and the 30 basis points repeat itself in all the four quarters.

I think the only point Ram was saying is, in the first quarter, always tough to repeat the act. But we are at it and expecting about a 1% increase in the year just from a historical perspective is just par for the course. It's happened for the last four, five years, likely can happen in the next year too.

On CAMSPay and AIF, I think the formative metric you should look at is what are the pace we are winning at? Are we able to hold our prices? And are we introducing new products into the market? Because if you're doing these three or four things consistently in any marketplace, and then AIF you know that we come from a place of leadership, then it is not tough to expand

revenue. You can always have a quarter which may not look the most stratospheric. But I would just encourage you to look at the numbers that we've shared. We said that four of the non -MF businesses grew over 20%. Alternatives on a large base at about 21%, pay even higher. So a narrow comparison, just in terms of overall growth I think is a good number to look at. We've shown you that the AIF business won almost 32 new clients. Look at the scale, our digital onboarding now has over 114 customers. And these are all revenue yielding contracts. Of course, revenue per sale isn't -- it's in line with what it used to be in the past. So I'm quite confident that we will continue delivering the growth numbers that we have spoken about in the past for non -MF. Non -MF is a lump, we want to keep it over 20%. And from what I see coming, I think there is significant confidence that that will continue happening. On fund accounting, today, we service almost 70 to 80 unique consumers from a fund accounting perspective. Earlier, this was done in a certain way. Three quarters back, we decided to bring in the Multifonds platform, which is now going into production. And about three or four of our clients are going to migrate on that. So again, very confident that we have the right offering, the right go-to

-market strategy and the right teams to continue scaling this. That is how I would characterize fund accounting. I'm personally very excited with the alternatives business, both what the CAMS team is doing and what the Fintuple team does. And collectively between them, we are quite positive about the acceptance of the products in the marketplace and how we would scale? ,i Url Vlo

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Ramcharan: Just one thing, Sanketh, if I may just add. I think from an AIF perspective, the quarter-on-quarter growth is not bad. It's I think upwards of 10%, if I'm not mistaken. So I think the foundation metrics, as Anuj said is -- number is also decent from a quarter-on-quarter growth of AIF.

Sanketh Godha: Got it. And last one, given this Multifonds platform, I'm believing it is built completely in-house. So if you try to cross-sell to more AIF or other funds, then do you expect the revenue realization from the existing funds given the cross-sell opportunity, I believe you are largely in TA, transfer agency, it's RTA business in AIF. Now fund accounting, do you see this will play out much better than what we are anticipating or the run rate could be a little better because your ability to cross-sell?

Anuj Kumar: So cross-selling was always happening. Like I said, we have about 80 unique consuming entities, which were buying fund accounting. The gap in the offering was that we did not have multicurrency. So think of someone who's trying to redomicile themselves from an overseas location into, let's say, GIFT city, etcetera. We did not have multicurrency reporting, etcetera. Multifonds, therefore, closes out that gap. So it is a niche. It is a part of the overall fund accounting offering. Will it create revenue scale of its own? The answer is yes. Will it make us more scalable? The answer is yes. But from a base perspective, that business will continue. And in domestic, pure single currency asset -- it will continue the way it has continued.

Sanketh Godha: Perfect. And this largely will be keeping to AIF, right? Or you want to expand this platform beyond AIF?

Anuj Kumar: Yes. Right now, I think one thing at a time. You know our approach, right? We don't try to spill into 100 places at the same time, one thing at a time. We want to make it a success. Have a number of market customers talking good things about us. And then if you're thinking of pension and MF, etcetera, it's a natural sequel, but we just want to get it first right in the base among the AIF and then move forward.

Sanketh Godha: Perfect, Anuj. Thanks for the answer.

Moderator: Thank you. The next question is from the line of Abhijeet Sakhare from Kotak Securities. Please go-ahead sir.

Abhijeet Sakhare: Good morning everyone. My first question is, coming back to the non -MF businesses. Just putting all of them together, how would you kind of characterize the recurring or annuity nature of revenues versus something that is driven by volumes or transactions, if you can kind of give us some sense, broad sense on that piece of the business?

Anuj Kumar: So if you are asking whether there is a connected to sale or recurring sale component? I would say some of things businesses which are more project based, you win a 6-month or a 12-month analytic outsourcing contract, will perhaps characterize for that. But I would say that that's under 10%. ,i Url Vlo

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If you want to see the annuity character, KRA is the best example, where once I have, let's say, a base of 2 crores PANs, these individuals can go and open accounts anywhere. But the exchange of the PAN information of the KYC information that I store is revenue accretive. So theoretically, even if I stop selling for a day or a month, that revenue continues. Similarly, if you see CA

MSRep and you see the insurance policies that we have in the base. They continue to be revenue accretive because we continue charging an AMC, even if theoretically, I were to stop selling for some time. So a similar trajectory goes through in payments, for example, if I have, let's say, a few crore SIPs in the base, so the SIPs have to be triggered every month or every week. If I theoretically stop selling to new clients or stop downloading new SIPs, that remains in the base.

So the project base, non -annuity, self -sell revenue, which I would characterize it as not more than 10% to 15%. The rest of it is base revenue once you bought a logo win and once you master this basic metrics. Yes, most of it is not AUM related. Most of it will be transaction related. But those transactions are recurring in nature and the prices are fixed, that I see it as annuity revenue.

Abhijeet Sakhare: Got it. That's helpful. Secondly, I think Ram mentioned a couple of times on the account aggregator business, something like a reworking of the platform. So if you could talk a little more about it because I thought -- I mean, this was anyways sort of a fresh investment that has happened in the past couple of years. So from a monetization point of view or from a revenue accrual margin point of view, do we see this platform sort of the monetization getting right shifted because of whatever investments that are happening?

Ramcharan: So Abhijeet, let me clarify. So what I meant was with the several use cases and onboarding of various customers, we're just kind of making changes in the platform, which will make it easier to onboard new customers. And there'll, obviously, be a rationalization, of course, as we go along in terms of scalability, in terms of capability. So it's not as we are taking and trashing the platform and building a new platform.

I think it's more kind of an enhancement that we do and make it more efficient to keep onboarding or adding. For us currently to take a customer go -live is when things start getting interesting. Sign -ups are okay but go-live is when we start getting revenue. So this entire go -live process with all the disparate IT systems of so many people would require some amount of reorientation from a platform perspective.

That's what I was mentioning. And it was in the context of why further investments would be made in these? I think that was the question. So in that context, I was saying that this could be what we are doing. However, we don't intend trashing the platform, building a new platform and obviously, it's a cloud-based scalable platform that we have, we continue to enhance that platform. And there is no -- in fact, we are at a very interesting place from a monetization perspective.

The rates have sort of stable, the sign -ups are happened and now the go -live is happening from various customers, use cases are evolving. So there's not as such change in the model of monetization or the trajectory that we foresee for monetization. We have grown 100% quarter -on-quarter. And there's nothing that prevents us from repeating the tweak in the next few ,i Url Vlo

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quarters. So it's in a good shape now. The usual investments will continue to happen in tweaking the platform and making more efficient for onboarding.

Abhijeet Sakhare: Got it. That's helpful. One couple of again, smaller data point questions, sir. Would you have the period -end AUM handy by any chance, overall and equity?

Ramcharan: Oh, period end. So can I just refer that and get back to you, period -end AUM?

Abhijeet Sakhare: Yes, yes. Not a problem.

Ramcharan: It was on an increasing trajectory, if your question is it going to sustain, I think empty the numbers will show that. The average AUM was much less than the period closing AUM, if that's your question. But I'll get back with t

he exact number.

Abhijeet Sakhare: No problem. No problem. And then one more, again, sort of a clarification. When I look at the non-MF revenue breakup, for AIF, particularly, the -- the 21% number seems to be higher than what we get when calculating the number using the mix that you have disclosed. I think the calculated number seems to be somewhere around 14%, 15%. So are we missing something?

Ramcharan: So I'll just clarify. So from our perspective, the segment is AIF. We will probably make the

change in the presentation. So I feel people text service in the same segment. So that put together, you see, 21% that we are talking about.

Abhijeet Sakhare: Understood. Understood. And then last one is that under insurance Repository, the EIA piece that you mentioned, that -- that's not -- that doesn't make money, right? It's the other piece, which is where you make revenues on a per policy basis, right?

Ramcharan: So I'll just take a minute. Yes, on a margin basis, I think the entire insurance repository business is close to breakeven. It's not making money. On the insurance repository, which is your EIA account and the per policy billing that we do, it's not at a critical stage where it's starting to make money. That is accurate.

The other business which we have in the -- outsourcing business, which is a more pure outsourcing kind of a play where we do some policy servicing, persistency, calling, feet on street, etcetera, and implant of resources. So that's the thing that is making a small margin. But the AIF segment, which is the AMC for the policies that we have, the policy conversion charges that we have and the transaction charges that we have, currently is not making money.

And that's why we're looking to the Bima Central platform, which should -- already started integration with a couple of -- 3 of the insurers and one has gone live. By April 1 when it's kind of a little more rounded in terms of an offering and transactions start flowing in, we hope to kind of see breakeven and start making money from the first quarter of next year.

Abhijeet Sakhare: Ok, thanks a lot.

Moderator: And the next question is from the line of Santosh Kesari from Kesari Finance . ,i Url Vlo

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Santosh Kesari: Okay. So I have 2 questions. One is about -- 1 question and 1 summation, actually. So the question is about EIA business and your alternatives business. So if you can share with us what is the total addressable market that we are trying to handle in terms of 2 years down the line, 3 years down only, it would be very helpful in valuing this business? That's one. And secondly, in terms of solution, I have -- that now that CAMS have a lot of businesses.

If you can share data points around these businesses in the PowerPoint itself in the presentation that you have, wherein the profitability of the different businesses and the operating drivers are also placed, it would be very helpful in terms of consistency of the information that is coming from your team, and we been able to look up quarter -to-quarter, year -to-year with focus.

Anuj Kumar: Okay. So from an EIA perspective, think of it that you've seen in the past some statements made by regulators of the re being a compulsory demat regime potentially to be ushered into insurance.

That is when the entire effect of EIA and electronic policies will kind of play out. That count of policies in the country is close to INR55 crores, which means if you want to look at the base of business, which at one time could accrue to insurance repositories, that's about 55 crores policies. What accrues to them today is about INR3 crores. So that's about 5% of potential, which means the balance 95% has not been realized. Also the fact that because it has not become as popular as it could have and the level of integration with insurance companies, etcetera,

is what it is,

one's ability to transact, which is to do either select a new policy or to make a claim, or to pay premiums or to look at a single screen and look at all your maturity values, etcetera, it isn't where it is, and that is why the transaction revenue is also not kicked in.

So that market is potentially a 15 x to 20x market compared to what you're seeing today, taken with pinch a salt, that as a normal consumer movement, it has been going at a certain pace, making it mandatory at the regulatory industry level, will have a completely different impact. When will it happen? We can all collectively guess. So that's on e.

AIF on the other side, have been significantly embracing outsourcing. You will see that from a total registered count perspective, there are almost 1,000 AIFs in the country, everybody may not have launched. We service about 200 of them. A lot of them may have outsourced or may have bought outsourcing services only for onboarding and TA kind of services. Now of course, you know that demat has become mandatory. So that and then fund accounting and other fund administration services, I would still say that the non -outsourced part is still quite large, it is sitting there.

Most of the new funds that get launched are getting launched in a captive manner, which means that they are priced and not coming to us, still they scale to, let's say, beyond 100 investors or beyond a critical mark. So that, again, from an outsource versus non -outsource revenue perspective, you can say that we've perhaps touched less than 50% what is out there. Most of the large AIFs, of course, have outsourced. So they are customers, but there is a significant number, several hundreds of them, which can potentially become clients over the coming years. That's fairly the addressable market for you. ,i Url Vlo

Santosh Kesari: Okay. great. Thank you so much. And regarding my suggestion on giving information in a tabular format for different businesses in the PowerPoint. That will be helpful.

Ramcharan: So, yes, thanks for the suggestion. So we will give a tabular format of the revenue. And the other part of it, we will definitely have a look at it, sir, at the end of this quarter. Yes.

Santosh Kesari: Yes, okay. Thank you so much and wish you all good success.

Ramcharan: Thank you.

Moderator : Thank you. That was the last question. I would now like to hand the conference over to Mr.

Ramcharan for closing comments.

Ramcharan: Yes. Thanks, Tushar, and thank you for the participation and continued interest in CAMS. We appreciate your time spent on this. And for any clarification, please reach out to our IR agency,

Orient Capital, or Anish Sawlani, and we'll be happy to answer any questions that you may have.

Once again, thanks for your time.

Moderator: On behalf of Computer Age Management Services Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

Ramcharan: Thank you. ,i Url Vlo

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MANAGEMENT : MR. ANUJ KUMAR – MANAGING DIRECTOR –
COMPUTER AGE MANAGEMENT SERVICES LIMITED
MR. RAMCHARAN SR – CHIEF FINANCIAL OFFICER –
COMPUTER AGE MANAGEMENT SERVICES LIMITED
MR. ANISH SAWLANI – HEAD, INVESTOR RELATIONS –
COMPUTER AGE MANAGEMENT SERVICES LIMITED

MODERATOR : MS. SHIVANI KARWAT – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY'24 Earnings Conference Call of Computer Age Management Services Limited hosted by Orient Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and zero on your touchtone phone. I'll hand the conference over to Ms. Shiwani Karwat from Orient Capital. Thank you, and over to you, Ms.

Shiwani Karwat : Hi. Good morning, everyone. Welcome to the Q4 FY'24 Earnings Conference Call for Computer Age Management Services Limited. As mentioned today, from the management we have with us Mr. Anuj Kumar , Managing Director; Mr. Ramcharan SR , CFO; and Mr. Anish Sawlani, Head of Investor Relations.

Before we proceed to start the call, I would like to give a small disclaimer that this conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on date. These statements are not guarantees of future performance and involve risks and uncertainties, which are difficult to predict. A detailed disclaimer has also been published in the investor presentation, which was released to the stock exchanges. I hope everybody had a chance to go through the presentation.

I will now hand over the call to Mr. Anuj Kumar , Managing Director. Thanks, everyone, and over to you, sir.

Anuj Kumar: Thanks, Shiwani, and good morning, everyone. Appreciate all of you making the time to join the earnings call today morning. Like we do in the standard format, I will take you through presentation. Ramcharan will cover the financials over the first about 25 minutes and then we will have the rest of the time open for Q&A.

I estimate all you have seen the results by now. We had a very strong quarter, perhaps the strongest in the last many years. And I think the great news is that we had all cylinders firing. And I'll explain to you what that means. But we had most components of the business, whether on the mutual fund side or on the non -MF side, firing in terms of revenue growth and share. And then profits obviously followed given the fact that we have managed to exercise just significant prudence and control in managing our costs.

But looking at Chart 6, on the mutual fund business, you know that in the last year we've had a clean sweep. So we have won every single mutual fund that decided to set up operations for business. This is AngelOne, like you all know, Torus Oro and Unifi Capital. With one large mandate whose decision has not been announced so far, we are, of course, very positively and strongly engaged there, which we will declare in good time. But these three , all of them coming to us has been a very soothe experience. With these three wins, the culmination is that we have an aggregate of five wins among the last seven new open mutual fund AMC bids which has

happened in the country.

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Our mutual fund AUM has scaled sharply. It is now at the end of the quarter worth INR37.2 trillion. This was a 10% quarterly growth and about 33% year -on-year. The overall market share stands at 68%. Equity AUM had a fantastic run. It stands at the end of the quarter at INR19.3 trillion or INR19.3 lakh crores. This registered almost a 50% scale up, and all of you have been watching this number and know the constituents. So this had almost a 50% scale up. The good news is that our equity AUM, which represents the retail part of the franchise, which represents the highest yield, and therefore, profit accretive component of the mutual funds business grew ahead of the industry and continues to gain share

. This gaining share has been a phenomenon for the last about six quarters, but it continues to stay there, which is great news and indicative of how these stacks are laid out amongst the AMCs in terms of growth of equity AUM.

This then is supported by the live SIP book. And you know that, that is one of the key things, the engine of the car, which is moving this whole thing ahead. Our live SIP book grew 37% ahead of an overall industry number of 32%. So that was very satisfying.

And then our unique investor base crossed INR3 crores or INR30 million. And this again is a foundational metric, if you get more investors, they come into more SIPs. I think growth over the years is almost assured because this is sticky money, and they're not prone to any knee jerk reactions. So unique investor base for CAMS serviced Funds grew 25%, again, at a significant advantage over the rest of the industry, which grew 18%.

On the non -mutual funds side, again, very satisfying for us because there are several components there. We've described that as mutual fund plus 6. And within this, most businesses scaled and scaled very well, the ones which were profitable improved profitability. So the sustained focus has seen a 2.5% or 250 basis points year -on-year growth. This was about 11% contribution to revenue last year.

This quarter, it's 13.5%, so it scaled up about 2.5%, which we have said that we'll be happy doing 2% every year, so as well into non -MF, do remember that non -MF has gained a bit of share despite very, very sharp run -up in MF assets and significant growth in MF. So that was not an easy task, but we've managed to do that.

Within that, Alternatives grew 20%. That is CAMS AIF and what quadrupled as 32 new mandates, including the several in GIFT city. CAMSPay, the payment franchise has been doing well. We've got the in -principle, as you know, last year this quarter we got the final authorization or license to operate as a PA from RBI in 4Q, which was great news during the year. We will figure out how to transition the business over time. So that was done well and has had in excess of 20% revenue growth.

On the insurance side, if you read the statute, IRDA has mandated electronic issuance of policies. Now, this does not mean a mandatory holding in Demat. What this also means is that you could -- the only thing it stipulates is that physical policies will be insured only on request of the policyholder, if he specifically wants, he or she. Other than that, you can issue it in the DigiLocker, you could keep it in the EIA which is the insurance account, it could also be a PDF,

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which goes with an e -mail, but it's a cut down on paper issuance. It is still not a mandatory Demat . But a good announcement. I think the markets are noticing and that will give some fill - up to overall momentum in creating EIAs and accruing policies in that format.

KRA continues to broaden its offerings, and more importantly, broaden the go -to-market. We've said that outside of mutual funds, we have now for the last about 1.5 years been focused on onboarding fintechs, brokerages, wealth entities, wealth advisers, investment advisers, those kind of entities. Revenue grew a stratospheric 90%. And all of this adds up to the 52% non -MF growth that you've seen, of course, on a small base, but very gratifying to see that part of the franchise really come out on top in terms of broad revenue growth .

So in terms of highlights, just broad highlights. Overall company revenue grew about 25%, MF at 21%, you have seen all of this, non -MF at 52%. Even if I yanked out the Think360 contribution, which accrued to us starting April last year. If I take that out it is still 38% on a constant base, and with Think that's 52%.

In non -MF, the other gratifying thing is that 4 of the 6 non -MF businesses grew more than 25%. Overall EBITDA

, and you'll see in the number, is at 31% year -on-year growth. EBITDA percentage, I would say, is at 46.1%, largely given the run -up in assets and in revenue. This was at about 44.8% last quarter.

And we believe there is a more moderate number between 45% and 46%, where it should show up in the next couple of quarters, 46% is slightly stratospheric. So look at it that way. PAT grew 38.7%. And then overall PAT percentage just like I spoke about the EBITDA percentage is 32.2%, which is 320 basis points up. Again, an exceptional quarter, we will see whether we can hold out exactly these profit margins, maybe a little slightly moderate in the coming 2 quarters, but all of that, all of us can watch closely.

Go to the next. I will cover Chart 7. Again, this presentation has been uploaded. So most of you have seen. I think the retail growth has played out across the board, and this plays out in gross SIP registration, where you saw that our overall gross SIP registrations are almost INR265 lakhs , so upwards of INR2.5 crores.

And when you see this is ahead of the industry metric, 73% versus 70%, very, very foundational. If I see gross SIP sales, so when you register more gross SIPs, obviously, one expectation is that you will get increased collections and increased sales. That has gone up from a 58% share to a 60% share. And at the bottom of the chart, overall increased share in SIP collections, which is 32% versus 28%.

And similarly, when you see all of this leads to just an exceptional gain in equity net sales share, which has grown from 65% in FY'23. If I take the whole year, this is at 75%. So that's a significant scale up. This has also led to transactions growing. And when you see transactions on the top chart, INR13 crores transactions in April to June, not too long back, less than a year back, April to June INR13 crores. INR14 crores, July to September, close to INR15.5 crores October to December, INR17.5 crores Jan to March. So INR13 crores going to INR17.5 crores growing in excess of 30%. What this creates is just a significant focus on getting things right.

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As you know, operationally we opened -- like I said, we opened over INR2.5 crores new SIPs, several crores new folios, everything has to go right, including making sure that every SMS is delivered, every e -mail is delivered, every format of customer interaction is fully recorded. So it just takes humongous amount of focus to get all of these things right, it's almost a near zero error environment.

It also means that both the people capability in making the Angel run and the technology capability in solving these very, very complex problems of making sure that INR100 crores SMSs land up where they are supposed to land up. And if a couple of lakh did not land up, then we have enough backups to make the investors aware of what happened to those -- to their transactions either through a e -mail, if an e -mail doesn't work then a voice blast or a letter. So it also means a significant investment in data centers, capacity, availability, storage, processing, perimeter security, monitoring. Just think of every aspect of it. This just needed tremendous focus, tremendous investment, just happy to share with all of you guys that that's come out very well. In my tenure, I think in the last several 7 or 8 years, I have not seen a quarter which had just so much activity, and which has such significantly bolstered financial results. Next. I would quickly take you through the key businesses. On Alternatives, 4Q revenue grew over 24%. Clients continue to indicate the preference for CAMS, 32 new mandates. The digital onboarding platform WealthServ has now ended at over 132(13.39mins) sign-ups. So think of about a 1,000 AIF industry. And then within that, almost over 10% of the constituents are using our digital onboarding and they continue to

scale the participation.

GIFT City, total client tally to 17, it scaled up a little more in the last month, but going well. We had announced, you may have seen an exchange filing that we are setting up a larger office, which should be opening in July, the space etcetera has been leased. We see potential, a lot of potential there, and we've hired a much larger team. So all of that will play out over the next 45 to 60 days.

Fintuple's platform integrates now Custody, custodies of the basic constituents then combining with both PMSs and AIFs. And now they're building capabilities for digital onboarding of FPIs and FDIs for these custody banks. So that part is growing well. Fintuple has also turned at EBITDA level profitable last year, which is great news for that business. On payments, just a set of positive happenings, of course, the license is one of them. In addition to that, in excess of about 20% revenue surge, for the year, about 24%.

Across the board, over 80 new client wins. UPI AutoPay where we were the pioneers and now of course, other people have learned and they're doing the same things, but we were the pioneer in proposing UPI AutoPay as an alternate to NACH and eNach as the way to collect SIP money. So a lot of momentum there. And then specifically from a PSU perspective. Now you know that there's great salience in PSUs. These are large clients. We had gone live with the authentication services for LIC and they are doing -- planning to do PG kind of work with Indian Bank, Bank of Baroda and Canara.

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Go to the next. KRA I think has perhaps been the best story, again, coming off a small base for the last 6 quarters, all of you've seen just fantastic results. The 10-minute KYC. Again, all of these things are copyable, there's nothing which someone else can't copy. But there is an advantage in being first to the market because that just creates salience and thought leadership in the minds of the constituents that we can do the best job, and we can do it ahead of anyone. So we were the first to kind of bring this out, makes the job of account opening much faster. You can open the account to start transacting, especially enough on the same day. And then all the constituents of artificial intelligence, including almost instant name match, face match, OCR, etcetera, Liveliness checks all of that is built in. So we delivered a robust 90% year-on-year growth, even quarterly, we grew almost 30%, 28% quarter-on-quarter. Continue to add fintechs. I think mutual funds are significantly penetrated. Most of our mutual funds are with us. Fintechs and brokerages -- although we still don't have the first 1 or 2 names. Those are expected to at some time start working with us, but the 1 or 2 or 3 top brokerages are still not there. This has happened despite that. Once we are able to crack one of the top funds, I think the results could be even sweeter. And then from a -- just from a collaboration, cooperation between Think and KRA and Rep, etcetera will all continue to work closely in the market because we are not rebuilding any components which are available in the group. I think Think's KYC solution, which you know has been a cliche for public sector banks, very active in fact. That is now acting as a front end and then CAMS KRA brings up the real -- in all our KYC promos and sales. On Rep, CAMSRep, we were hoping and expecting that there could be some definitive move towards Demat. Now, as you know, in the recent announcement, that's not happened. Digital issuance, of course, will become mandatory, but that means many things. What it has certainly done is that a lot of people, including consumers have read the circulars, read the news, the inquiry about EIA is more sustained. People want to understand what's happening there. So we've crossed about 80 lakh policies, we've crossed 60 lakh e

-insurance accounts, overall about
40% market share.

The other thing is that Bima Central is now live, now of course, integrating insurance companies is a job and building data exchange with them. So it is a small set of companies. Now, insurance company is live but its ability to help you manage your personal data in e-insurance and over a period of time as regulation and market frameworks align to it, allow various things, including premium payments, renewals, lien marking, borrowing of monies, etcetera. All of that is slated to occur on the platform. So that is a good thing. We would have expected a little more action here, which may happen in the ensuing quarters.

And then on Finserv, again, very nice story playing out, you will remember 2 years back, when we had gone live. Sometime in the beginning of FY'22, we almost had 2% to 3% market share. That was the time when the brokerages started, adopted this, things like on the TSP side, PFM etcetera wasn't selling as much. It was largely a lenders market. So we were finding gaps in the fence to enter. Pleased to share with you that we now have double-digit market share.

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I've shown this figure in the past to you. The number scaled to about 13% in a hypercompetitive market with a lot of incumbency and incumbency wasn't ours, it was someone else's. To scale to 13% has been sweet, F&O Account opening, most people tend to prefer us. And we continue to onboard high-quality marquee customers in this area. We have the largest number of Live SIPs. This is a nice selling point because SIPs are the ones giving data. If you have large SIPs, you -- large number of SIPs, you become intrinsically attractive to anyone who's trying to pull data. So that's a nice commentary to have on our side.

So again, I think while revenues are still very small, it is perhaps not worthy of a mention here, but just the scale up, the quality of teams we built, the quality of integration and APIs, consumer journeys, market share are very, very positive. Think continues to -- so like KwikID, which is the video KYC product, continues to scale up with the PSU banks. Also the good news is that we've got empanelled by State Bank of India and should be able to go live with them. Think and Rep, as you know, won these insurance KYC contracts, both from SBI General and Oriental Insurance, Oriental is now live. And that part is going well. They commenced an analytics transformation deal worth Moneycontrol. And overall then, Algo360 had a start with AngelOne so sustained, I would say, client level movement at the -- across products and of course, we continue to stay focused on building the team and making sure that the partnership with CAMS and various subsidiaries of CAMS can lead to meaningful expansion of business. I will pause there and then hand over to Ramcharan to speak a little about the financials. Ramcharan SR: Thank you, Anuj. I'll just take a couple of minutes to go through the broad financial numbers and the trends. As you would have noted, the AUM grew significantly year-on-year to up by about 33 percentage. So the overall revenue tracked at -- overall revenue grew by around 25 percentage for the quarter, INR310 crores, out of which INR269 crores was MF revenue again grew by around 21%, tracking the growth in AUM. The good -- AUM was that the equity actually grew disproportionately to the overall growth. So we had almost 50% growth in equity AUM, which is beneficial to us. So tracking that the revenue, mutual revenue as well as overall revenue grew by 25% and 21%, respectively. Out of which, the asset-based revenue grew by around 20% year-on-year and sequentially by 6%. And the non-asset-based revenue, which is predominantly one-third of the transaction revenue and then the application revenue, the call center and the referables that grew very well

to around 28%, which is kind of higher than what we have seen in the earlier quarters. So overall, from an MF perspective about 21% growth, that's the increase in AUM as well as some increase in the transaction revenue and the call center revenue.

The non-MF revenue has been a sweet story for us. As Anuj was mentioning, the growth has been significant. It's been 52% growth year-on-year and even on a sequential basis, 13% growth. The strategies that we put in place a couple of years back is starting to play out in actual number terms.

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Even eliminating things for a moment because it was an acquisition we did in the year, the non-MF revenue has grown 38%. This is driven by growth across the spectrum, it is not limited to one sector, which is AIF has grown by around 24%, Pay by 24%, and KRA by 90%. So across all the investments that we have made, the growth has been seen, which is heartening to see given that it's not just one area.

So the non-MF growth over and above the base of MF, MF has grown 21%, but non-MF grown 52%. So which means that overall, the share of non-MF is at 13.5%, this is what -- it's from the initial slides, it has gone up from 11% to 13.5% on a year-on-year basis. That is 250 basis points up on the back of a huge growth in the AUM and AM revenue also. So which is very creditable from our perspective.

On the yields, the yields have broadly been in line with probably in the lower end of what we expected, but broadly been in line with the growth in AUM. We do not see a big disruption happening or depletion happening in the yields going forward. What you will see is what we guided last quarter, which just continue to see some depletion because of the telescopic pricing and probably minor price adjustments, but no big disruption or depletion in yields is seen over the next few quarters. So that's from a revenue perspective.

It has been a very strong performance from our profit, EBITDA, PBT, PAT. Operating EBITDA of 46.1% is the highest we have seen in the last 2 years. It's up 220 basis points year-on-year. So not only have we seen the margin grow in terms of absolute numbers, the mark-in has also expanded in terms of the percentage. So 220 bps up year-on-year to 46.1%.

And even on a quarter-on-quarter basis, we've seen more than 100 basis points uptick in the operating EBITDA. So INR143 crores is the highest that we have seen in terms of EBITDA numbers for the company. Going forward, we see that there will be some -- there could be some moderation because of the annual appraisal cycle coming in, in April.

However, now we will look to mitigate it to the maximum possible extent. However, 46.1% is probably the higher end of what we will expect going forward. There could be some moderation in the next quarter or 2 because of the salary impact. However, we will work to kind of keep it within range bound around 45% to 46%.

From a PBT, again, we've seen a big increase in the margins and are 350 bps up year-on-year

and 200 bps up quarter -on-quarter to 41.9%. And the PAT for the quarter, for the first time, we crossed the INR100 crores number of INR103.5 crores of PAT, it's a very healthy 32.2%. PAT is up almost 39% year -on-year and 16% quarter -on-quarter.

So again, a very strong growth that we have seen in profit higher than what we have seen in the revenue numbers, which is, again, pointing out to the good cost control and the operating leverage that we are seeing. The return on net -worth was around 47%, again very high on a quarter -on-quarter basis, and we ended the quarter and the year with a very comfortable cash and cash equivalent position of around INR618 crores of cash.

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The Board was pleased to recommend a dividend of INR16.5, which will be taken up by the shareholders

for final approval at the AGM on July. Overall, it is a strong quarter, even if you see the trend that has been there published in the earnings presentation, you will see for the last 2 years, there has been a consistent increase in the margins, starting with 41% we saw in FY'23 Q1 to 46.1% that we are seeing now. So it's been kind of an increase across 2 years to the margin profile to what we are seeing now.

Here, I'll just spend a minute or two on the yearly numbers. We ended the year with a INR1,136 crores overall revenue number, which is up 17% year -on-year. This i s up INR165 crores in overall revenue. It's a very healthy growth year. And you've seen the last couple of quarters have actually accelerated this growth when you compare to the first 2 quarters. So we're on a good wicket on that.

And overall, MF has grow n by INR115 crores, which is again very healthy. And non -MF even on a year -on-year basis, as grown by 51%, which is we are at almost INR150 crores of non -MF revenue driven by -- across all sectors, which is AIF, payments, KRA and the software businesses, e verything has grown more than 25 percentage or close to that to ensure that overall non-MF growth comes to around 51%.

The annual profits also again very healthy. We have entered the year with a PAT of around INR353 crores, a margin of 30%, which was aroun d 28.5% the last year. So the story has been strong revenue growth, mutual fund driven by assets, yield broadly holding in line. The non -MF growing very high to 50 -plus percentage of year -on-year growth and the profit margins reflecting a good control over expenses as well as operating leverage and a very, very healthy numbers of 46.1%. So this is a snapshot of the financial numbers for the quarter and for the year.

So I will just hand it back to the moderator , Neha, and she can open it up for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Supratim Datta from Ambit Capital.

Supratim Datta : I had two questions, particularly on the insurance repository business and the CRA business. So on the insurance repository business, you talk about how the current regulation do not mandate Demat -- storing policies in Demat account. Just wanted to understand then how will you drive consumers towards moving away from PDF copies towards EIA accounts? How would this journey be facilitated by a player like CAMS or it has to be facilitated by the insurance company? In which case, this could take longer to happen, the t ransition from PDFs to EIA accounts? That's the first question.

The second question on the CRA business. We understand that recently, the government has opened up the APY business to other players as well beyond Protean. So just wanted to understand how d o you see the opportunity in this business? And how do you look at scaling that up? Those are my two questions.

Anuj Kumar: No, sure. Thanks, Supratim. So on the first part, think of it this way that any digital issuance or electronic issuance of policy li ke an attachment to an e -mail or a DigiLocker etcetera , does not

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have the intelligence that an EIA account has. So for example, you can have a single EIA account and within that, all the policies can be managed together, which means you can manage your metadata, which is your contact details, name, address all of that, if you make a single change, it flows to all the policies and then it flows back into your insurance records, which is not how PDF attachment works, that is just a PDF, dumb PDF attachment yo u'll have to store somewhere. But more than that, as you scale up, can you set reminders for payments of insurance premium. Can you pay an insurance premium through the EIA, the answers is yes. Can you set up of

reminders, the answer is yes. Over a period of time, can y

ou make claims through this utility?

The answer is yes.

Whenever statute allows today, digital lien marking is not allowed in insurance, it is allowed in MF, in the securities market, it is allowed not in the insurance market whenever that happens. You know that a large part of the market borrows money to pay their premiums, which means you have an annual premium due on 1st of June, and May you just borrow against your policy where you have, let's say, a surrender value of INR10 lakh. That kind of thing is still done on paper.

To facilitate all of those things. And today, you know in the securities markets very elegant APIs are available where in 3 or 4 minutes, you can get lien making done and identification of assets. And then the limit is made available to you or the money lands up in your bank account. All that is not available in insurance. So those things can only happen through the EIA account. Think of it as exactly the mirror image of what happens in the Demat account, the securities Demat account. So the advantages are legendary, and are fairly significant and consumers will start adopting.

But to create financial infrastructure, what do you need? First of all, each one of us should have an EIA account, and I'm very sure that amongst the people on this call, everyone will not have. You should have moved the policies there. And the third is that all the insurance sector participants, largely insurance companies, should be on a seamless data exchange just like today, the mutual fund companies are, the RPAs are and the repositories are, that's journey to be undertaken. Will not take very long. Will not take -- I don't think it will take 5 or 6 years, may take a couple of years. As that happens, the significant advantage of EIA will get established. That's part one of that first -- the first of your questions.

The second is that on the CRA, there's this policy class, which is APY, the Atal Pension Yojana, which has been eyeballed for quite some time now by the regulator in terms of allowing the CRAs to participate. They have made a formal notification recently. It's a mass-market product. It is consumed in large numbers. But of course, the pricing, etcetera, is very, very thin. Like you know, in most of these markets pricing is thin. But this is significantly thin because it is targeted as a social advantage delivery to a certain fraction of our population. So we are excited. We are excited that APY is opening up.

We have the capability because all of that is a base requirement to you getting the license. So we have the capability to participate and we will soon begin participating. How the numbers will

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pan out, how do you penetrate those markets, etcetera, will become visible in a period of time.

But yes, it's a great announcement, and we are excited by it.

Supratim Datta : Perfect. And just one question over here. So could you -- the existing customers who would already be on APY with Protean, could you get a share within that existing customer base? Or is it mostly in the incremental new customers will be getting the share?

Anuj Kumar: So what happens is that inter-CRA capabilities switch is available as a part of the architecture, just like you've seen in mobile number portability, etcetera, most consumers do not switch. So getting consumers to switch to build a marketplace isn't an easy task and isn't perhaps the cornerstone of our strategy, selling new is. So that's how this market will also progress.

Supratim Datta : Understood. And just 1 last question on the MF business. So just wanted to understand that like going into FY'25, are there any major contracts which are coming up for renegotiation?

Anuj Kumar: So like you know, typically, these contracts hold out for 3, 4 or 5 years, some for 2. So there are some contracts where the dialogue is undergoing, which we

re due either on 1st Jan or 1st of

April. And we are in the process of speaking to the client and then second down on a price regime, which will hold out for the future. So there are a set of clients.

Supratim Datta : Understood. Can you quantify what would be the share of AUM or the number of contracts that would be up for renegotiation?

Ramcharan SR: So I'll just say a couple of things, Supratim. Yes, there is a cycle, right? So if you have 20 customers, you would assume that every year at least 4 or 5 will come up for renewal. So I don't think this year is going to be any different, given that we enter into this renewal at different periods of time. So nothing extraordinary from that perspective.

The one thing that I will add is that it's not going to be something that's going to be a steep kind of a discount or give away given that a lot of these customers have reached a stage where the marginal cost for them is actually not huge, right? While there could be some impact that they will have on the TR ratios and all that stuff.

But what we expect is a moderate kind of a impact on all these things. And I don't think this will disturb the usual formula of AUM growth that is AUM fee growth that we have been used to. The only thing that I will say is that this is a routine development that keeps happening every year. Nothing exceptional is expected on this.

Moderator: The next question is from the line of Devesh Agarwal from IIFL Securities.

Devesh Agarwal: Many congratulations on great set of numbers. My first question is on the mutual fund business. We see that there's a 2.3% sequential decline in the yields for a 10% growth in the AUM(37.30mins) , and this is despite the 200 basis points increase in the equity share of the AUM. So just wanted to understand it better is this you think the new normal run rate for a 10% increase in the AUM that we should expect or were there any adjustment in 4Q that led to a slightly higher moderation in the yields?

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Ramcharan SR: So Devesh, I will answer that question, no, there was no adjustment or anything that happened. We've seen that, in fact, earlier quarter, you saw more than normal kind of a AUM fee growth to AUM growth. It was kind of almost like 90 -plus percentage. So me quarters, depending on which customer grows from a scale perspective, there will be some adjustments. Yes, it is on the lower side of our expectation in terms of what the yield will be, but not very different from what you see. If you say AUM growth, to AUM fee growth, we are again plus 60 -plus percentage in terms of this, 70% is the normal.

So I don't think that we need to make any adjustment on our assumptions. I think going forward, what we have projected in terms of AUM to AUM fee growth, plus or minus a few percentage will play out. You will see that in Q1 also. So no adjustment is needed, and it's not as if a big price reduction was given or something happened in the last quarter. It's more kind of a growth that's happened in some of the scale customers, which marginally add the lesser yield to us. I don't think that -- that's normal, so over a period of plan has been our experience. So no major change in assumptions is actually needed for this.

Devesh Agarwal: Understood, sir. And secondly, sir, within the mutual fund non -asset based revenue has been growing in line with the asset -based revenues at least for the FY'24. So do you expect this to continue that the growth in the non -asset based revenues will be similar to what we're seeing in asset -based ? Or this is expected to slow down, given that there's an increase in digitization of transactions and the revenues from paper -based will go down?

Ramcharan SR: So Devesh, there are 4 aspects in this non -AUM fee, right, which is: one is the transaction fee , which is again going up. But we see that overall pe

centage of say static, right? It's between 8% to 11% of paper transactions still continue to come. On an absolute number, they are not going down at all. But there are other components of this also, which is the call center, which is kind of more and more regions do get added and then there is this entire miscellaneous and application fee. As we kind of broaden our base, we have more and more people subscribing to our applications, to our APIs, etcetera which is a part of this.

And then there's out -of-pocket expenses it never goes down because always, there is an increase in the volume of transactions, which is linked into it, right? For example, you'll never stop -- you'll never send lesser SMSs or e -mails or lesser postal when they are quite -- they are low, etcetera . So while I do understand that the growth this quarter has been a little higher than what we are used to, I don't see any big moderation happening in that growth given that the paper transactions continue to be range bound in terms of the percentage of total transactions. And the other components of this non -asset based revenue being on an upward trajectory even when the digitalization happens, because it's not related to the average.

Devesh Agarwal: Understood, sir. And sir my last question would be on the non -mutual fund business. Again, we have seen a very healthy growth especially in the fourth quarter. So one, I wanted to understand what would be the segments which will see the maximum growth in FY'25? And also your thoughts around the growth through acquisition given that both Fintuple and 360 have been good acquisitions for us. So what are the areas that we will target, which will kind of grow through acquisitions or inorganic growth? Yes , that will be my last question.

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Anuj Kumar: No, sure, Devesh. So if you see last year, which is FY'24. What added to the momentum of non -MF growth is KRA as the biggest engine, pay as the second and AIF as the third. And I think in

this year, I'm expecting the same to happen, which means these 3 will remain the engines, which will drive the growth.

Account aggregator as a fourth engine was great in percentage growth, but the base is so small that absolute growth at company level has not been impacted. I'm expecting that in FY'25, account aggregator will also start making its presence felt in terms of making at least some increment to company financials, very small, but it will do that.

So think of it as pay, KRA and AIF in the lead, account aggregator some where there. So then what it leaves is 2 franchises, 1 is insurance where we have said that the -- while environmentally, everything sounds very good, the exact niche to enter and the start scaling the adoption of EIA is perhaps still not 100% clear in the marketplace, not just with us, with everyone. You are holding out the large share. But absolute growth in terms of policies and EIA accounts, etcetera, is still a moderate number.

So something has to happen materially as the Bima Central becomes a large franchise, adoption is very great or consumers wake up and they want to start adopting EIA accounts. That's 1 part which can play out and Think is the other one, which can also play out. Fintuple is a small constituent. But like I said, is doing some very meaningful work.

So when you look at MF plus 6, which is non-MF of these 6 constituents, I think Pay, KRA, AIF as the 3 leaders, account aggregator coming as the fourth, driving the engine. And then between insurance repository and Think where percentage wasn't very high last year, if they are able to kind of be the penetration and scale up, then we could have them also participating. But the first 3 really will continue to lead the charge. That was the first part of your question.

The second, you asked about acquisitions and whether we have an intention whether we

are

shortlisting things. So yes, we are looking at the market. As usual, finding a good candidate in a good segment is always our intention. I can also tell you that while Fintuple was largely on the alternate side working with custodians and with AIFs and PMSSs. Think, a core franchise, is more on the lending side not so much on the capital markets.

We believe that a good target could come out of payments and insurance. And more than that, I don't have much to share because we haven't really thought sharper than that. We continue to scan the market all the time. But I believe between payments and insurance, it could be a nice segment for us to think of the next target company. When and how, we will update you whenever that happens.

Moderator: The next question is from the line of Abhijeet Sakhare from Kotak Securities.

Abhijeet Sakhare: Question on expense growth. Last year, we delivered about 15%. So looking forward to your FY '25, how should we think about it? I mean, part of it would obviously be driven by the revenue growth that we're able to achieve. But anything that's already kind of committed and part of the investment pipeline?

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Ramcharan SR: So Abhijeet, yes, we do not -- 2 things. One is that I indicated earlier, which is that the usual increase in salaries and given the market and given the technology focus that we have, will continue to happen, that's a given in terms of what we do. So our overall expense growth, I think last time it was around 18% is what including 15% in terms of year-on-year. I do not foresee that expense growth will be much larger than this.

We do not have -- we continue to invest in the products, as I said, the run rate is around INR 7 crores a quarter is what we invest in the new platforms. We don't see that changing drastically either upwards or downwards in terms of what we invest. Obviously, the revenue that's coming out of it just next to nil a few quarters back, it's now ramping up. So that will have a beneficial impact. But from an expense perspective, I don't think we're going to cut down on our investments or moderate that to any extent.

So I don't think that you will see any difference in terms of expense growth for the next year for your projections. No exceptional expenses are being planned as of now from a revenue perspective. If and when there is some concrete plan on re-architecting platforms, etcetera, we will come back with a proper explanation for that.

And that will be more kind of a long-term platform building, not a short-term operating expenses kind of a ramp-up that you will see. So the short answer is we don't expect exceptional expenses coming up for the next year, and it will be in line with what you are seeing now. Obviously, as we go along, we might see some strains on salary cost or we might moderate salary cost that depends on how the market behaves, but overall, not much of a difference.

Abhijeet Sakhare: Understood. And one data question, what's the current headcount? And if you can split it up between MF and non-MF business?

Ramcharan SR: Yes, the current headcount is around 7,800. This includes around 1,200 people in the front office

for MF and around 2,500 people in the back office for MF, then that includes around 800 technology-related resources. And then there are about 100 in risk and compliance. And the rest are split into corporate, support, the new businesses that we are into in terms of pay, Rep. Pay will have around 100 people, repository will have around 250 people. KRA will have 150 people. So that's how it gets split into.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal Financial Services Limited.

Prayesh Jain: Sir, congratulation on a great set of numbers. Firstly, on the margin front, the -- what would you attribute more to and if you could give some

granularity as to how much of the increase in margins is coming in from the new businesses? And how much is from the scale-up in the MF business? So some understanding as to -- and that will help us think about the margins in FY'25 and beyond as to how should we kind of think about margins.

But Ram did mention about the cost and you'll be able to maintain margins between 45%, 46%. But if you could help us understand the quality of margins in the MF and the non-MF business, that would be helpful. And just in that context, it would be great if you could start sharing some

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information on the subsidiaries on a quarterly level in terms of profitability. That's just a feedback, yes. That will be my first question.

Ramcharan SR: No, thanks, Prayesh. We've taken that feedback. And just we do track from a -- I'll just give a caveat that all the non-MF business are not homogeneous, and we don't follow the same pattern in terms of market, pricing, target markets, etcetera, revenue model, etcetera. But then just for the ease of understanding, I kind of put it into MF and non-MF buckets.

We have seen a creep up in the margins of non-MF given that the platform businesses are -- predominantly are all platform businesses. We've seen what used to be a 15% kind of overall EBITDA level across all businesses, that's now crept up to more than 20%. We still feel that there is room for growth on that. We feel the steady state is probably close to 35% to 40% given the nature of these businesses, but it will take time to come there.

But we've seen a good growth from an overall perspective from the non-MF business also. But the bulk of the market increase is flowing from the mutual fund business. What you see is obviously earlier it used to be a depletion in margins because of the non-MF business. What we are seeing now, they're also starting to contribute incrementally to the margin growth. And hence, we don't see this reversing. The only reason why I kind of wanted to moderate, and Anuj also mentioned this earlier, to moderate the expectations for the next quarter or 2 is the annual cycle that comes from the salary increase.

So traditionally, our impact has been about a couple of percentage on the sales has been the impact on the salary appraisal. Obviously, we would try to mitigate that to the extent possible with productivity increases and automation, etcetera. But the caveat has always been that in a quarter or the next quarter or 2, you might see some moderation in margins.

But I feel that a steady-state margin would be around 45%. In a good quarter, it comes to 46%, in a bad quarter it will be a couple of basis points less than that, but that's a range bound number that we are seeing. On your subsidiaries performance and profit margin, we've considered that feedback, we will kind of definitely consider that while publishing the results for the next quarter.

Prayesh Jain: And coming to the AIF business, and that has been one of our key focus areas and drivers. What I look at is quarterly, there is -- on a sequential basis, there is no major increase in revenues.

That is the way we calculated it other -- on whatever percentage share you give, we calculate the numbers, applying that to the total revenues. From that, I'm seeing that the revenues are kind of flattish, right, sequentially. Why would that happen in a market where equities have done well and AIFs would have done well. So any or -- any thoughts there?

Ramcharan SR: Prayesh, I think we have grown reasonably well quarter-on-quarter. Even in the last quarter, I think we grew on a quarter-on-quarter basis 5%, which is I think a decent number to grow. The nature of business is that you will have to keep repolishing the business as and when the fund's life goes away. I think we're doing a decent job of that. And we have the newer lines coming in,

in terms of the WealthTrak and the WealthServ, this onboarding as well as the analytics module.

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And GIFT City, the lot of sign-ups have happened, but the ramp up in business is expected to start off shortly. So I think we are doing decently well on a quarter-on-quarter basis. And we only expect this trajectory to be higher as we go forward as we just -- the products that we have launched become more industrialized in terms of adoption. As far as the GIFT City revenue going up, which we have a lot of sign-ups in the GIFT City, but I think for the actual operations to start will take some time. So I think we are on a reasonably good wicket on that.

Prayesh Jain: Sir, even this would be -- revenues wouldn't be linked to AUM growth in this business, too?

Ramcharan SR: So most of our billing is -- actually less than 25% is AUM-based billing. Most of the billing is dependent on the number of investors who are onboarded to a particular scheme, which is the way that the customers are moving towards. I know that competition has got a different view on this. But what we are seeing in the market is that the customers are preferring or, in fact, are insisting that the revenue for the RTA be linked to the number of investors being serviced rather than the AUM.

And we see that that's also reasonable given the nature of the AIF business, given the large ticket sizes and one-time drawdown and investor servicing requirements being tied to that rather than to your commitment or AUM. So that's the way the revenue model is developing in AIF.

Prayesh Jain: Okay. Last question on the cash is, what would be your current cash position? And how -- is there any -- so the entire cash would be available to shareholders, right? And what would be the plans to utilize the same? That would be my last question.

Ramcharan SR: The closing cash position we had at 31st March was INR617 crores. This is before the recommended dividend. The dividend, I think the board recommended INR16.5 per share. That's a -- if the shareholders do approve that, it becomes a payout around INR80 crores, INR81 crores. So if you -- and even after that, we will have excess of INR525 crores, INR530 crores of cash on the books. That is the minimum net worth requirements for specific businesses. It could be INR25 crores for the pay business. It's probably a little less for the RTA businesses. But keeping all those things aside, the cash question is extremely comfortable and surplus.

Anuj was mentioning this earlier, that there is -- we are -- on scanning the ecosystem for possible inorganic growth opportunities. So 1 possible use of the cash is when we arrive at a candidate for this inorganic growth, and at that point of time the Board will take a call on whether that's an appropriate way to move forward for us. But for that, the entire cash is definitely available for the shareholders barring some minimum net worth requirements for the individual businesses. And the use will be dividend and more dividend and if at all we decide on inorganic acquisition, which definitely we are looking out for, that will be the better use for the cash that we have.

Moderator: The next question is from the line of Dipanjan Ghosh from Citi Group.

Dipanjan Ghosh: Just a few questions from my side. First, going back to the AIF segment. You obviously don't give the number of investors in your disclosures and AUM is only data point that we get. On that, over the last let's say, first half versus third quarter versus fourth quarter, we have seen

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some increase in yields, if I calculate revenues as a bps of AUM. Now is it a function of new clients getting onboarded or the WealthServ, platforms on the modules, digital onboarding modules that you have kind of may be sold to y

our customers?

So just wanted to get a sense of what is a recurring sort of revenues growth in this segment versus, let's say, if there is any one-off sort of upfront income that you're booking because of this rapid growth in the new clientele that you're onboarding? Second, as you said -- correctly alluded that your competition has taken a different view on this segment. So from a structural perspective, do you really see pricing being stable in this segment? Or should -- or can one see some amount of volatility out there?

Second question will be on the entire non-MF businesses. Now you alluded to the fact that first movers in this segment obviously have some advantages in terms of both client recognition and trust. Having said that, you also alluded to the fact that it can be replicated over a period of time by competitors. Given that some of segments are quite nascent and maybe not duopolistic in nature, what is the pricing you are seeing in any of these non-MF business?

Is it sustainable from a perpetual perspective or can there be some amount of volatility? Lastly, two data keeping questions. One is if you can give your KRA revenue mix for FY 2024 as a percentage of your -- sorry, for FY 2023 as a percentage of your overall revenues? And the second will be the 7,800 employee base, if you can just split it between permanent and contractual?

Anuj Kumar: Okay. So that's quite a few questions. I'm just thinking which order to answer them in. But let me just take your question on non-MF and non-duopolistic markets. And that is true that across these markets, pricing plays out in a very different way. There are 1 or 2 markets where you could have a base pricing or more uniform pricing. KRA is 1 example where there is a set of 3 or 4 participants. And therefore, selling on price hasn't been an endemic feature of that marketplace.

That marketplace can be counted as a stable marketplace despite having several competitors. But if you go anywhere else, if you go to repository, where the price of converting a policy or the annual maintenance is perhaps half to one-third of what it used to be 5 years back. If you say account aggregator where the price of a single data pull is half to one-third to one-fourth and sometimes lesser of what it used to be at one-time.

And if you take payments where, as the ticket size falls, the INR2 to INR3 per trigger that is the standard price, we try to accommodate our clients, let's say, if somebody is launching INR100 of SIP collection or even smaller ones, we do accommodate. So therefore, not that in the MF RTA business, there is some great advantage of price. You have seen that despite being the two-player market, it does see a bit of price erosion.

In the others, I think they are as competitive markets as you've seen anywhere else. And for a lot of them, pricing is perhaps getting to a stable place. Because if you've seen a -- pricing is perhaps sub INR2 at times and INR1 per pull. If you see policy conversion and maintenance,

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which used to be upwards of INR10, there are places where it could get sold for half the price, and that is true of payments, too.

So we don't worry too much about predatory pricing because a lot of these competitors are stable, which means that one guy trying to just gain share basis asymmetry in price is something we don't see often, prices have -- in general, as consumption goes up, prices dwindle down. You've seen that in all these 3 markets. Even in the new market, we've seen that, Rep is a stable market, more than 10 years old, we've seen that, and so is payments. So I don't think there is cause to worry about pricing depletion is one force of nature, which is going to hit us on the face. It is something that you deal with it every day or every month. It's like 4 gifted manufacturers or 4 car manufacturers perhaps

behaves the same way, the threats are the same, the opportunities are the same. We have a stated position of not being a price player. So that is one thing we do not sell unless it's a relationship deal or a client we really want to be with, we don't sell price. What our competition does is obviously evident to you, a lot of them are listed, and therefore, you see how they strategize in the markets. So that's how I would answer your question number 3. I'm thinking of -- do you want to take that?

Ramcharan SR: Yes. So on your question on AIF. So it is -- well, almost all the revenue is annuity (1.00.39mins) in nature. It's not as if there is a onetime revenue that we book. There is some amount of implementation for the onboarding platform, but that's insignificant when compared to the overall revenue. And even in WealthServ not only do you have implementation cost, you also have an AMC cost that we bill. It's not some one-time revenue that's booked to ensure -- that is kind of causing the increase in yield or growth that you're seeing.

It's kind of -- what happens is that fund's life will fall off and new funds will get launched. So if at all, there is some fluctuations in the revenue, it will be because of the life of the fund and not because of our billing model. And we continue to see whatever the plus or minus, I think on the assets we see around 1.5 bps of yield that we continue to see across a reasonable period of time, probably it might vary from 1 quarter to another quarter.

Again, that's not how we bill, but just for reference, you can probably have that as the number. From -- I think you also asked revenue -- or 7,800 employees and how many are -- I think we have a policy that most of the employees are in-house. We have less than 500 people who are probably vendor staff and all those things. So most of the employees are on roll and -- on the roll of CAMS or its subsidiaries, and that's the split that we have. KRA 2023 revenue, I think some more detail, I can probably share the detail with you in terms of how the revenue was ramped up. But suffice to say that this year has been exceptional in terms of revenue growth with a 90% growth, and our strategy has also changed on that. But the exact revenue on '20, '21, '22, '23, I will probably share with you separately.

Dipanjan Ghosh: Just one small follow-up. With this employee number of 7,800, what total we did in '23 last year?

Anuj Kumar: So we have added on average around 550 headcount over the year-on-year basis. When I say average, I mean for average for the period. It's not start to end.

Moderator: Ladies and gentlemen, we'll take this as our last question. I would now like to hand the conference over to Mr. Ramcharan sir please for the closing comments.

Ramcharan SR: Thank you, Neha. And we thank all the participants for taking time to be a part of this earnings call and your continuing interest in CAMS is appreciated. In case of any questions, please do reach out to Orient Capital or Anish Sawlani in Investor Relations in CAMS, and they'll be happy to respond. And thanks once again for your time and hoping to stay in touch and engaged.

Moderator: Thank you. On behalf of Computer Age Management Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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MANAGEMENT : MR. ANUJ KUMAR – MANAGING DIRECTOR –
COMPUTER AGE MANAGEMENT SERVICES LIMITED
MR. RAM CHARAN SR – CHIEF FINANCIAL OFFICER –
COMPUTER AGE MANAGEMENT SERVICES LIMITED
MR. ANISH SAWLANI – HEAD, INVESTOR RELATIONS –
COMPUTER AGE MANAGEMENT SERVICES LIMITED

MODERATOR : MS. SHIVANI KARWAT – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY'25 Earnings Conference Call of Computer Age Management Services Limited hosted by Orient Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Shivani Karwat from Orient Capital. Thank you, and over to you, Ms. Karwat.

Shivani Karwat: Hi. Good morning, everyone. Welcome to the Q1 FY'25 Earnings Conference Call for Computer Age Management Services Limited. As mentioned today, from the management we have with us Mr. Anuj Kumar, Managing Director; Mr. Ram Charan SR, CFO; and Mr. Anish Sawlani, Head of Investor Relations.

Before we proceed to start the call, I would like to give a small disclaimer that this conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on date. These statements are not guarantees of future performance and involve risks and uncertainties which are difficult to predict. A detailed disclaimer has also been published in the investor presentation, which was released to the Stock Exchange. I hope everybody had a chance to go through the presentation.

I will now hand over the call to Mr. Anuj Kumar, Managing Director. Thanks, everyone, and over to you, sir.

Anuj Kumar: Thank you, Shivani, and good morning, everyone. I'm pleased to welcome all of you to this earnings call of CAMS. We will discuss the financial results of the first quarter. As has been the usual practice, I will take you through a structured presentation, dwelling upon the highlights of the business, and then we'll hand over to Ram Charan, our CFO, to talk about the financials. All of this will take about 25 to 30 minutes, leaving us with about 30 minutes to go through Q&A. So I am on the presentation on Chart 6. I trust all of you have had the opportunity to download this for yourselves. Very pleased to share with all of you another quarter of what I would call strong sustained performance from the company. Overall, revenues grew just short of 27%. You see a number of 26.8%.

While MF was expected to grow because all of us know that the underlying assets have risen handsomely in the past one year. So MF revenue grew by 26.3%. But I think the icing on the cake is the non-MF revenue, which is now firing across cylinders and that grew a short of 31% at 30.7%. As we maintain our focus on expanding the non-MF franchise, not through just efforts made in a single business line, but across businesses, you've seen those results.

And despite the fact that MF itself grew 26%, non-MF on a year-on-year basis expanded share to 13.3%, we still reaffirm our commitment to grow this, scale this to at least 20% in the next 3, 3.5 years. I believe we are on track. We'd like to grow this by about 2% every year. So about

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0.5% every quarter. It also depends upon how fast MF grows, but that's notwithstanding. I think very pleased to share the growth with all of you.

All of this was done extremely efficiently. So EBITDA absolute numbers grew upwards of 36%. So revenue growth of 27%. EBITDA growth of 36.6%. EBITDA percentage at 45.4%. Now do keep in mind that this was the first quarter. Our expansion and employee cost and some other leases, etcetera, they get reset on 1st of April. So this was also the quarter traditionally where we eat a lot of that cost. We will drop that, and we still have 320 basis points up directionally in terms

of EBITDA percentage year -on-year.

And then PAT grew just short of 42%. So revenue up 27%, absolute EBITDA up 36.6%, PAT almost 42%. Despite eating the annual inflationary cost that happened in the first quarter, all these results have been achieved. And again, in line with EBITDA percentage growth almost 300 basis points plus growth in PAT at 330 basis points. So all of this was just a compelling story of what's happened in the company in the quarter, and that this has taken some time and a lot of effort in the making, but very pleased to kind of share the progress report with you.

I'll flip to the next Chart, number 7. You know that we crossed the INR40 trillion or INR40 lakh crore s milestone. This is an absolute AUM if I just take quarter -to-quarter, that's about a 35% growth. It's also a staggering 55% -plus growth in equity AUM. You know that traditionally, these numbers are in the 18% to 20% range, a very good year could be 25%. So we are talking about significant scale on top of the base.

Our market share in equity assets, I think, is very heartening. And again, like I keep saying, if there's one foundational metric in the market, you want to see, this is the metric, reached 66% in the quarter, ahead of what it was about a year back, 65%. So that's a significant leg up in terms of that number, with the overall equity market share. Equity net inflows, if you see crossed INR90,000 crore s in the quarter, this was 70% of industry's equity net inflows. And of the INR1,27,000 crores, this was INR90,000 crores, so a strong number.

Within this new fund offerings, we were at a staggering 82% collection. So this is a number upwards of INR20,000 crores, upwards of 82% collection and just vindicates the overall direction in terms of the market share and market growth. On SIPs, which are, again, a foundational metric, we've grown to almost 90 lakh plus SIPs registered during the quarter. You know that this number was in the 40 lakh to 50 lakh range, later grew to 60 lakh. But 1 year back, it was about half this number. So we've grown almost 100% in SIP. Like we've said in the past, it still does not include any momentum, which could be built out by micro SIPs of these follow -ons, which may get some broad blessing at the regulatory and industry level in the coming days.

You would have seen that we also announced a strategic partnership with Google Cloud. This is to rebuild our RTA platform ground up. You've seen perhaps some of the PR or exchange releases, stuff on LinkedIn, etcetera, and our website that we are planning to completely build a brand new system. It will be very, very accretive from an efficiency perspective, accuracy, freedom from risk, all of that. But it also creates a very interesting possibilities of business expansion. The current platform, as you know, is several decades sold. So we build this, of

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course, it will take time, but I'm very excited personally and very close to the project just to drive this what could perhaps be one of the largest things I would have done in the last year.

If you see beyond mutual funds, CAMS KRA I think, is a compelling story, a compelling story, have posted over 100% revenue growth, never easy to do that in any set of circumstances. And I think 2 engines kind of propel in this. One is just natively MFs. Natively MFs have almost doubled the account of new investors coming in. And as that happens, the KRA see more business.

And the other thing is like we've said in the last 1.5 years that we've started getting into servicing brokerages, depository participants, at least those two segments. That's perhaps still between 10% to 15% of our revenue contribution. So hasn't really been the prime mover, is one of the 2 prime movers, but as we scale outside of the MF capability and franchise in KRA, I think, I believe there's still a s

team to grow like this for some more time at least in this year.

So that's a very heartening story. On the alternative side, we reported a total of 36 wins. We got our first overseas fund, largely an inbound. People who would like to work with CAMS will figure out. So this is one of those where inbound calls have led to a contract, which has now got

signed.

On CAMSPay, we posted a 44% revenue growth, again, led by the expanding count of SIPs, but also led by all the other stuff that CAMS Pay has done. I think a very, very happening 44% growth. We've emerged as one of the top players in the country in BFSI for UPI AutoPay. Now that again position happened because we were the first to craft an offering for MFs and first to scale it. And then we continue to take it to other places inside the BFSI segment. Very pleased to share that with you.

On Rep, we had a great quarter. I still would not say that you should read a lot of revenue or profit contribution from insurance coming in yet. I think that all the market-led activities things started very good. For the first time ever, we opened 1 million electronic accounts for insurance, added 1 million policies. Our traditional run rate used to be about 0.5 million a year back. About a quarter or two back we scaled this to about 7 lakh to 8 lakh for the quarter, but hitting over 1 million, seeking to do the same hitting.

This quarter, Bima Central has gone live. 40,000 -plus downloads, almost 150,000 unique active users coming with various requests to be performed both on the insurance account -- actually larger of the insurance account because from an insurer perspective, we have a small number integrated. As we scale this from now 1 or 2 insurance to about 7 to 8 by the end of the year.

I think Bima Central should see significant scale up and acceptance. Some of these transactions, et cetera, will be revenue accretive, the policies are. So it's -- insurance is still slower than what I would have thought. But again, at the base level, very good work happening done by the team.

Account aggregator, I think another great emerging story what gives me a lot of happiness to share with you that we've expanded from two years ago, I reported a 2% to 3% market share.

Last quarter, we would have spoken about the 13%, 15% market share. Customers look to

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ecosystem, continues to scale across offerings, including in the analytics led Amaze offering, which is largely the personal finance management and lending use cases.

Revenue is still in the range of INR1 crores to INR2 crores a quarter, so not a very significant number. But I think from a percentage growth perspective, does please me that's on the right track and doing well. So as you can see, as I said, look at this as multiple cylinders firing. Core MF grew at about 26% revenue. KRA at 100%, Pay in excess of 40%. Account Aggregator, we're not reporting percentage revenue, percentage growth will be upwards of 100% on a small base.

And this still then leaves insurance to kind of add to GIFT City. Right now, there's not a lot of lift in the insurance business yet. It will happen, let's say within this year. So very, very positive on the non-MF portfolio. We've said earlier that we'd like to scale MF 15%, non-MF 20%, non-MF to scale 31%. And I think for a quarter or 2, we could expect mid - to high 20s, maybe up to 30% growth from non-MF.

Some of this data you guys have seen, so I'm not going to spend a lot of time on this. I think one thing I'd certainly like to call is there are significant high win transaction volumes, which is, obviously, from a relevance perspective, very good for us. From a readiness perspective, both staff, offices, PCP, data centers, processing capacity, we've made the investments. We continue to make the investments. You're seeing almost a 50% growth in transaction

volumes year-on-

year, which talks about -- by itself talks about retailization because it's grown faster than assets have grown.

All the other numbers I've spoken about, I think the other number I'd like to call is that from a unique investor growth perspective, I call it a foundational metric because more unique investors you get in, more of the chance that they will come and register the first SIP, then the next and the next of bringing money, we did very well, 28% growth versus 20% of the industry overall. I think apart from that equity net sales, the fact that we're holding share at 71%, NFO, we were at 82%. Overall, equity even we expanded share, all of those are just good metrics to have an offer. Move to the next. Chart 9, I think it's the stuff you know as this comes from this. I'll talk about the individual business. All alternatives on the back of healthy savings, both CAMS Alternatives and Fintuple have done well. New client acquisition, almost 36 new clients. This was a mix of people who want to do AIF for us. Also GIFT City, the onboarding platform, which is well served and well tracked, so essentially more of those offerings have all scaled as I spoke about the first overseas fund administration contract in GIFT.

Fintuple platform is doing well. It is already active with one of the large banks. The other banks are now. So the private sector banks are expressing interest to broaden this out and to adopt the same offering. So very hopeful of signing a couple of new contracts with Fintuple. They've also built an offering for pension fund managers and POP, largely from an onboarding perspective.

And again, we're expecting to sign the first order shortly. Just keep your eyes close to this detail. But again, very pleased with the way the team itself scaled up that business.

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Move to the next. On KRA, I think I've spoken. 100% revenue growth annually, can happen in subsequent quarters or Q-on-Q. Continue to sell. I think one of the things, which is good and which will add heft over a period of time that the fintechs are coming in large numbers to do business with us. Just broadly, I would say, it's not just a CAMS KRA phenomenon. It's a CAMS KRA payment account aggregator at least those three. And then we've now blended the onboarding journey, powering it through Think 's Kwik ID. So I think that's become a compelling solution. 18 million plus, about 1.8 crores just short of 2 crores unique plans. We're expecting to cross that sometime in the calendar year.

On Rep, I did share with you that we crossed for the first time ever in our history, 1 million electronic accounts, 1 million new policies. We still haven't done a lot of marketing from a Bima Central perspective or an eIA perspective. So this has gone well. We are reporting a market share of 40%. This is kind of over between 35% to 40% as you know. Our traditional base was getting 0.5 million new policies. That's up a 1 million. We've done about just short of 8 lakh policies in the last quarter, expecting that we'll be able to hold this method.

Also what was very heartening was that one of the leading life insurers just migrated the entire in-force policy book to CAMSRep. These are those insurers who instead of going to their customers one by one by one and inducing them to open eIA. We just shake hands with them and say, why don't you open an AIF for everyone, and then they move the entire policy base. So obviously, those kind of deals we like to do. This one was unique that the entire in-force policy base has come to us. So it does impact market share and the healthy attractiveness of the product. Several other contracts were added. And I think Bima Central is now active, which means it has like I said, 40,000 app downloads, almost 7,000 people coming to do transactions. Although the number of integrations, it's

still small as we expand integration, it will still take place in the October, November, December time frame. It takes some time to do the integration. So we are expecting a significant leg up in terms of number of transactions that we do there.

Move to the next. On payments, like I said, it's the product offerings are fortified quite well. We spoke about payment aggregation being a core business, adding payment gateway to that. And like we've said, in a niche manner, trying to open the educational segment as another addition to NBFC. Of course, we will remain a bit confined to scale and profitable niches in the payments business. The revenue up 44% annually. Very heartening at 21% quarter-on-quarter. I think digital payments and UPI in particular, scaled very well. UPI is also becoming -- the AutoPay is becoming popular instrument for payments of SIPs and regular insurance premium payment. So that part is done by.

I think across the board, we continue to add clients, like I said, fintechs, non-fintech, housing finance companies, all of that. And you will remember in Feb-March, we had announced the deal with LIC for authentication services. This is something that we alone are doing, and this has gone live and will continue to scale over the times to come. So payment, I think, just got the act right in terms of basic work. And while our stated position is to grow not MF upward of 20%, I think there is a possibility to continue growing at least for the rest of -- both pay and

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KRA in the range that we have reported and they could continue to fuel non-MF growth in the year.

Next. On finserv, again, very pleased to share with you that we continue to add FIU users. We, of course, on the F&O segment for the first to start the use case. But across people wanting to do the personal finance management use case, both RIAs and now you will see mutual funds. So our first couple of deals are actually signed with large mutual funds.

You will see active participation from them in showing your portfolios on the website, doing some models and product comparisons. I suppose around the 16% market share of customers successfully linked to the ecosystem, and then the data deliveries have crossed now 1.25 lakh per day, it's almost 1.5 lakh. And on the Bank Statement Analyzer platform, we continue to scale up with new signings, largely NBFCs right now people in the lending space.

Revenue growth looks at a spirit on a very small base. We would like to have similar numbers

as we scale. So we will talk about revenues, I think starting next quarter in a more meaningful way, but very happy with them. NPS, I think, has been a slower portfolio for us. We got our first corporate client, by the way. So we got the first corporate client and got several thousand corporate subscribers that added to the numbers.

We're also now becoming -- just given the style of offering and the automation becoming more popular with the PoPs, so trying to get the non-corporate business, the retail business from the PoPs. And of course, onboarding fintech. So we reported -- continued to report a 2 position in eNPS and just under 7% market share. So that part is going okay, slower than what we thought, but happy with the progress.

Think360 has as you see, we penetrated LIC through payments. Now Think has been enabled as a fintech enabler. We launched a product called Affluens360, which is the data analytics, the market-led data analytics platform for mutual funds. We won the first mandate. We continue to scale the TSP++ part of account aggregator made and sold by Think.

So the GST analyzer, the bank statement analyzer and the personal finance management, all these three use cases are built by them. And then Kwik ID continues to expand. You know that we are operational with some of the largest PSU banks. So we continue

to expand both banking

and NBFC clientele and Kwik ID is now becoming a standard kind of front-end module for all the KYC ones that we do across the group.

So I will pause here and again, just reiterate, it's been immensely satisfying for me and for us as management team to bring forth these kind of results. Like I said, this is segment after segment after segment, which has performed. Of course, it's taken us more than 3 years to get here. We made the investments and things like account aggregator and things like Bima Central and started building the payment gateway platform, MF Central, those kind of things and NPS. We started in all honesty back in '20, '21, '22 over time when we were scaling cost and scaling investments. But today, we have sales teams very, very comparable and sometimes better products. A lot of times better products than fintech competition, which means classier, the

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journeys are smarter. The buyer just prefers us over others, not just in the traditional MF or MF-led segment, but in several of the newer segments.

And we also believe that riding on tech product superiority, all of the controls posture, and the technological fitness of the group that we can continue sharing similar numbers with you, of course, MF did support growth through the very large -- both the revenue growth and the AUM growth, but very satisfying for us as a management team to share these results with you.

I'll pause here and kind of hand this over to Ram Charan. He'll speak to you about the financials.

Ram Charan SR: Thank you, Anuj. Let's just take five minutes to go through the broad numbers. So most of it will be a reiteration of what Anuj said in the earlier slides in terms of growth and profitability.

Our revenue grew 27% year-on-year, almost. It was on the back of the growth of the assets. The assets as you would have seen, has hit the INR40 trillion for the first time, INR40 lakh crores.

So on the back of growth -- that is almost 35% year-on-year, we grew the revenue of 27%. On a quarter-on-quarter basis, the revenue growth was 6.7%. The assets actually grew in tandem with that.

So it's almost INR70 crore's revenue increase on a comparable year-on-year basis. And most of it is coming from the asset growth, which is the mutual fund revenue. And on a quarter-on-quarter basis, we grew by 7%, which is almost INR21 crore's increase in revenue.

The asset-based revenue again, mostly in tandem with the growth in assets that you saw, grew 27% year-on-year. INR242 crores is the number and 7.7% quarter-on-quarter. Again, the quarter-on-quarter number is almost in line with the growth in assets, and we see that the yields, which we have guided earlier, would stabilize over a period of the last few quarters.

You've seen that play out actually, and the leads have been largely stable with the quarter-on-quarter depletion being less than 1%, right? It's 0.7% depletion in yields. And we also had said that there's not going to be a disproportionate reduction in price or price discounts. And kind of the last few quarters have been in line with what we have guided.

And of course, the equity mix is helping us in terms of the yields not depleting and being stable because the equity mix currently is upwards of 3%, which is kind of helping us in the overall mix perspective. The non-asset-based revenue grew by 24%, almost year-on-year, which is largely driven by increase in transaction revenue. Transaction revenue is almost 40% of the non-asset-based revenue. Both transaction revenue and our application revenue and our call center revenue, all of it grew more than 20%. In fact, the transaction revenue grew more than 30% and call center grew more than 30%.

So all that is contributing to a healthy growth of 23.4% on a non-asset-based revenue. The non-

MF revenue, Anuj was me

mentioning that the heartening part of the entire picture of non-MF revenue growth is outpacing that of the mutual funds for the second consecutive quarter. So the non-MF revenue grew by 31% year-on-year, driven largely by a very impressive growth that we are seeing in both Pay as well as in KRA.

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The AIF and Rep(28.00) revenue growth is a little muted, but you've heard the plans that we have for both, especially with the Rep with the Bima Central going live only in April and more and more integration is happening. We expect that the revenue growth will be more substantial going forward.

Our overall as a non-MF bucket, we grew impressively to almost 31% year-on-year, which is higher than what we grew from a mutual fund perspective. So from a revenue perspective, order on growth we are seeing, very satisfactory quarter, excellent quarter in terms of growth of numbers in both MF and non-MF segment.

If you come to the profitability, excellent quarter in terms of profitability. We had -- we have completed the quarter with a INR150-plus crores EBITDA for the first time, which is a 45.4% quarter. You will also understand that April is the time when most of the company goes through its annual salary increment(28.50).

Traditionally, the impact of the increment has been upwards of 2 percentage of revenue. So even eating that cost, we are able to kind of come to an operating EBITDA of 45.4%, which come back with the 46.1% in the last quarter. So what generally is a 200 basis point drop is that only 0.7% drop in operating EBITDA.

It's kind of highlighting the cost competency as well as operating leverage that we enjoy in the business. So overall, a very good performance from an operating EBITDA perspective. In line with that, the PBT is at INR134 crores or 41% year-on-year and PAT has gone almost 42% year-on-year with a healthy rate of 32% in terms of margins.

So overall, return on net worth is again continues to be very impressive at 44.4% and we ended the quarter with a cash and cash equivalent of INR718 crores. The INR718 crores is before the disposal of the final dividend, which was INR81 crores we have done in the last month, very healthy cash and cash equivalent closing at around INR718 crores. And the Board was pleased to declare an interim dividend of INR11 per share in its last meeting.

So from a profitability perspective, we have seen -- could climb up in the operating leverage. In fact, on an incremental basis, the EBITDA grew almost 58% of incremental revenue versus incremental cost. So we had a tight leash of the cost, too, given that the salary increment is almost like more than 2% of the revenue, we have managed to retain the cost at reasonable levels and the margins at a very nice level for the current quarter.

The remaining comparative trends are given in the presentation for you to have a look. We've all seen an increase in the trend in terms of profitability, in terms of growth, in terms of PBT and PAT. All this pointing to a good year coming forward given that asset is continuing to build.

With this, I kind of conclude this financial part of the presentation and hand it back to the moderator and open it up for any questions.

Moderator: The first question is from the line of Prayesh Jain from Motilal Oswal.

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Prayesh Jain: Congrats on great set of numbers. Sir, firstly, on this, the cloud thing that you are implementing, what are the kind of costs that will be involved? What will be the time line period and -- so this is basically the entire RTA platform that you are moving to cloud. So what -- so are the customers on board with this?

Ram Charan SR: So, Prayesh, the cloud is a multiyear project. It's a reengineering of the entire platform to make it future ready. It's the

architecture of the platform. It's expected to be a longer project. The entire project would get completed in four to five years. However, there's a module-based approach that we are taking, which means that we will not wait for the entire five years to go live with the entire platform. It will be a staggered phase-wise implementation that we are doing, which will also give us enough time for us to test it out.

Yes, the customers have been communicated and they are largely on board. We have

communicated to all the stakeholders. However, this is something that will take some time to be implemented. Even the first module will go live probably only a year from now, and the entire thing would take four to five years. As you know, there's a very complex architecture project. And we are very cognizant of the fact that it needs to be future ready.

From a cost perspective, we have done the numbers and we do not expect the significant on a net basis post the reductions that we get from the existing resources that we are deploying from an IT perspective. We do not expect, at any point of time, the net impact margin to be more than 0.5%. It could be higher in the initial one or two years closer to 0.5%. But going forward, because of the rationalization that is going to happen on the various resources that we are using for this platform, we expect that from the fourth or fifth year, this will become, in fact, very positive to us from an overall margin perspective.

And even in the interim, I know it is not going to be a significant impact at most in a given year, you could have a 0.5% impact on profitability. Those are the numbers that we have worked on. We are confident of kind of living up to those numbers.

Prayesh Jain: Got that. Secondly, on just a very basic question. With the markets correcting the way they are today, possibly and if there is further correction, your yields move back, right? The telescopic structure, if the AUMs correct below the threshold levels, you get a higher reset, right?

Anuj Kumar: That's correct, Prayesh. Although it gives us no joy that the fees going up. But yes, on lower assets, we charge higher just like on higher assets, we charge slightly lower.

Prayesh Jain: Okay, got it. And from an expense perspective, how do we see this year panning out, so employee cost that has come -- should we maintain that kind of run rate? And also on the opex, if I look, the run rate has gone up significantly from -- as compared to last 3 or 4 quarters, it's been moving higher. How should we look at this? And where is the bulk of it going the incremental opex where is it going?

Ram Charan SR: So I'll just break it up into two, which is the employee cost and then the operating expenses and other expenses. From an employee cost perspective, as we mentioned in the earlier part of the presentation that this is the quarter in which you see the employee cost going up because of

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appraisal. Overall, on year-on-year, it's gone up by almost INR18 crores, if I'm not mistaken, out of which most of it is -- almost INR8 crores of it is because of the increment that came. And part of it is because of hiring that we have done. We have invested a lot on talent. There's a fuel program where we've invested by getting in people from IIM, IITs almost 45 people are there. They're new gen leaders who are going to take this company to the next level. So we continue to invest in talent.

However, from a run rate perspective, if you were to kind of model it in, I would say the current base cost will hold good. There could be an increment of probably a couple of crores coming in the current quarter because of some part of the management gets this increment effective from July but apart from that, we expect that the employee cost would not go up significantly for the rest of the year. It will be

the base that you could go up. If at all, there is an increase that happens, it will be largely driven by some investment in talent, which I think we have got on board in the early part of the year.

So barring a couple of crores increase because of the usual increases in manpower over the next quarter, I don't think there can be significant increase towards the base cost, what you are seeing in the first quarter. The other part of it, yes, there have been -- you would see that almost like all put together INR10 crores - INR11 crores of increase of expenses. I think INR12 crores of increase in expenses year-on-year happened on operating and other expenses. See part of it is driven by the variable part of the cost.

For example, you see the CAMS space growing 40%. And most of the variable costs are incurred, which is what we paid to the sponsor bank for its charges, et cetera, that will go on currently. Similarly, there is this data entry cost, which goes up because there is a higher cost from a NFOs and firms perspective.

And we have all our businesses barring MF is on the cloud. So this is an entirely cloud-based model, opex based model we have for our Pay businesses, for our Rep business, for our account aggregator, ESP, CRA, everything is on cloud. So there will be some proportional increase that happened.

The only comfort I will give you is that generally, our variable cost is operating expense including the OP. And if you see out of the INR8.5 crores increase, almost INR3 crores in OP expense, which has got a corresponding revenue line item.

Keeping that aside, our growth in operating expenses is generally in line with -- generally correlates with the revenue very even. It's around 7% to 8% of revenue is my operating expense. And that

relationship has been that in this quarter too. So we don't see any disproportionate increase there. The absolute number, yes, you will see it going up because of the year will you increase on these particular verticals that we spoke about, which is the cloud-based verticals as well as the NFOs as well as the expenses that pertain to CAMSPay.

Apart from that, it's largely in line with the overall trend that we are seeing. The fixed expenses, yes, this time, there was a few crores -- I think more than INR3 crores of increase on a quarter -

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on-quarter basis -- sorry, on a year-on-year basis. Mainly, this was also the year in which -- month in which we kind of do some leases renewal, we do increase in the insurance claim, insurance facility for our employees, and some such travel, etcetera, or CSR expenses. So that's seen this increase.

Broadly, I do not expect this base to be altered drastically in the coming months. The 12%, including OP and 7% to 8% other than OP correlation with the revenue will exist for the operating expenses. And the fixed expenses barring some 5% increase here and there, I don't think the base is going to change drastically.

Anuj Kumar: Sorry, the only thing I would add to this is that just remember that we are also in a very competitive talent market. In that competitive talent market, this year, we chose to give right-sized increment to what we've done because it's a workforce, which has several options. And like Ram Charan said, we are now in our quest to modernize and transform the company. We're getting top-tier talent from the IITs, from the IIMs, we are now for the re-architecture program, we've hired doctors, people who applied for patents with those set of profiles coming from Indian Institute of Science and IITs.

All of that is foundational because when you get people of that kind, you can -- I mean the one man will do 5 people's work, but you have to pay them the money. So the expansion in labor cost, I think, was well anticipated. It was in preparation for the future. The good thing is that all

of that has happened in the first quarter. A lot of it has happened in the first quarter.

I wouldn't say all, but maybe about 70%, 75% of that expansion is already in the books. So you're seeing the results post that. The productivity from this work force, the failings in the market and the wins, et cetera, will follow. But I think it's just fantastically right thing for us to do which is what we've done.

Moderator: The next question is from the line of Abhijeet Sakhare from Kotak Securities.

Abhijeet Sakhare: Anuj, you mentioned about your excitement around the new business opportunities this new platform can create. So if you can elaborate on that, please? And a related question is that, generally, we viewed the RTA business as a business model, which has fairly stable fixed cost but with Google coming onboard, does it significantly variabilize your cost? And how does that -- what does that mean in terms of what you charge to your clients and how clients also look at your profit margins? That's the first question.

Anuj Kumar: So on the first part, I think of very interesting possibilities emerging from the platform rebuild because, like I said, the current platform is a few decades old. Our ability to bring in components of taxation, charges, currency, data management, querying the data, insights and reporting will become significantly superior. Why would it become significantly superior because today for everything, I have to create a server bank in-house. And then on these things, I may have the payload for a day or two or three every month, but I still have to build it, and it still cannot match the finesse and the scale of what you can do on the cloud.

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So one is just the heft offered by the cloud from a computing scalability perspective. And if we need temporary capability, that can be easily bought for a few days or hours, weeks in a month. But the second is given the fact that we are rebuilding and reimagining everything from ground up, I think a lot of components that we had bolted on from outside.

So think of WhatsApp communication, for example, you got to bolt it from outside. But if you're natively building a platform, all of this can be just part of the base, which is how we are thinking of it and imagining it. So that's point number one.

Point number two, at the levels of scale that we are seeing, so 8 years back, when I joined the company, we used to register 3 lakh SIPs. In a month, we registered 30 lakh SIPs, and I don't know whether this will scale 3 or 5 times. So some time, just given the volumes and the

retailization, you've seen that the transactions are growing ahead of assets. That's just 1 metric of retailization.

We want the capacity model, which can scale up as we need. And beyond the point, building your own data sciences and scaling your own data centers is a job that most people have stopped doing globally, right? It's a specialized job, you either go into a co-located data center built by a global major or you just think of cloud computing.

We've done at the colo centers for the last five years. We've decided to now go into the cloud instance and like Ram Charan said, every other business, although you can argue they are small and none of them is even 5% the size of the mutual fund business. But uniformly across payments, insurance, CRA, account aggregator, MF Central, all of them are on the cloud. So we have enough experience in the group.

Does this change anything as far as the charging model is concerned? The answer is no. Because the charging models are neither predicated or operating model nor on the model of the cost. So from a slightly capex-heavy model, this will march into a more opex kind of model over the coming years, but I think as far as the marketplace is concerned, their belief and agreement is that we will be significantly

cantly more efficient, faster, more contemporary and modern and our capability to both ingest technology and deliver outcomes consistent with that.

So like I said, when you bring a set of IT graduates, postgraduates and doctorates who have applied for patents, it's our desire that we will deepen that effort, right? So to usher in that era into our operations, obviously, we had to do something different, which is what we are doing and I don't think from a marketplace perspective, this is going to materially alter the charging capability on the start.

Ram Charan SR: Just to add, Abhijeet, if anything -- and we spent a lot of time on the drawing board with this strategy. If anything, I think it gives us some flexibility of cost management, right, in terms of making this cost variable. So I think we have what it takes to kind of monitor that on a continuous basis. Obviously, cloud is a different animal altogether. So I think from a cost perspective, we do have -- we will at least get flexibility on managing the cost as we go forward.

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Abhijeet Sakhare: The second one is on the alternatives. Just wanted to get some sense how is that market evolving in terms of pricing? If you could with some examples around the large deals that you've done, whether these are the project level pricing or license type of deals or there are some AUM-linked pricing, if you could explain that will be very helpful.

Ram Charan SR: So the pricing, see if you do have a close-ended fund and given the number of investors is not going to be more than 1,000 at any point of time, the preference for the market, and I know you're hearing a different thing from the competition, but the preference for the market very clearly has been to do this pricing based on a number of investors, right?

Barring open-ended funds or Cat III funds where there could be upside in the terms of assets under management. We see a marked preference, in fact, a condition that the pricing would be determined by the number of customers. So the deals that are being closed, are slab-based but the slab is not determined by the assets under management, but determined by the number of customers onboarded.

Like, for example, 0 to 100 could have INR80,000, INR90,000 or INR1 lakh per fund. So it is always per fund customer-based generally, our customer base kind of pricing that we are seeing in the market. And that's been the trend in the last few quarters, in fact, large -- more than a year, for sure. And we don't see the fund managers being open to some other pricing module for such kind of funds. That's the experience that we have had in this sector.

Moderator: The next question is from the line of Devesh Agarwal from IIFL Securities.

Devesh Agarwal: Congratulations on a great set of numbers. I just wanted to dwell a little bit more on the non-MF business and continuing with the alternate question. So as you also acknowledged that this quarter, the growth was slightly subdued. So just wanted to understand, are there any onetime implementation fee that we generally have and that can lead to quarter-on-quarter volatility? That is one.

Second is basis your revenue model where you said it will be on the number of investors. Do you get any benefit if additional capital is drawn from the existing set of clients? And lastly, what is the expected growth for this particular segment that you think you can achieve?

Ram Charan SR: So Devesh, I'll try and answer your question. If I do miss out, please do alert me. See, on the growth yes, obviously we -- from a growth perspective, it's a decent growth year-on-year. We did get to 12% to 13% growth, but probably we would have liked it to be a few percentage points more than that. The nature of the industry, and we have been saying this. This is a sell kind of an industry, right, which is that the fun

ds unlike in mutual funds, will have a life and the life will end and the fund will shut right and then we'll have to be replenished. We'll have to replenish and we'll have to grow 20% more than that. So the dynamics are a little different when compared to MF in this particular industry. And so there will be some period in between where you will see funds shutting down in terms of their life being over, not shutting down -- I think their life being over and liquidated and the new funds coming in, and there is the lag between the two. So this will play out for some time. And

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we do not see this drastically reversing in the next few quarters, too. So that's the outlook. Outlook is that we will try and kind of optimize the growth, but I don't think we will see a 25% growth in AUM over the next couple of quarters for sure, we will kind of maximize it and get it as close to 15% to 20% as we can. So that's the endeavor internally at least. From a billing perspective, we do not -- barring the few funds and less than 20% of our funds are priced based on AUM, barring the few funds that creates additional capital, I think the initial cost is built on. The way you look at it is while we don't see the yields as the basis of billing. The effective yields actually remain stable, which is that whether you bill it based on the number of investors, in a particular fund or based on the AUM, the effective bps or yield always stays between this 1.25% to 1.5% kind of a thing of the RTA business, right? I think that remains stable throughout and the way we price and the way we implement may be different, but the yields remains kind of stable on this business with respect to how we bill it. That's been our experience.

Anuj Kumar: The only one thing I will add, Devesh, to this is that as a group, we don't like to over-engineer pricing. And that means that we are used to long-term annuity. We are happy with long-term annuity. If there is an opportunity to break INR100 of long-term annuity and get INR80 of upfront price now, we don't do that because that just creates all kinds of lumpiness and trouble for you to understand and for me to explain. So we never do that. I mean, you've been watching our results for the last 4 years. For the next 10 years, you will see that we do not, as a principle, create any lumpiness ever, even if it is in our control.

Ram Charan SR: Sorry, I missed that question, sorry, which is that no, it is not skewed because of onetime implementation fee. Our model does not ask for a disproportionately higher implementation, just to add to what Anuj said.

Devesh Agarwal: Perfect, sir. That's very clear. Secondly, sir, on account aggregator. All those very heartening to see on a sequential basis, we are gaining market share. But in terms of volumes and revenues, your expectation, say, for the year FY'26, some sense if you can give us on that?

Anuj Kumar: So Devesh, what has happened there is, frankly, things are ahead of where I expected them to be. That's the first statement I would make. It's a great market where users are using this for several purposes. That's -- so it's a market where the user uses things and he is willing to pay. Where is he using? He would ask for a bank statement, which I would give from my e-mail, etcetera and send in the password. He is using account aggregator for that.

Like we said, the asset managers will not start showing you your portfolio live on their website. They're going to pay for that. And there are multiple use cases including what Think is building, which is producing a credit promo, which I sell for INR20, which a bank will take a week to make. So that's a fantastic thing, which has happened.

Quarterly revenue, like I said, is still in the INR1 crore s to INR1.5 crore s range. So we will be lucky to close the year at about INR7 crores

to INR8 crores. That's the first time. We are telling you the numbers because they were less than meaningful earlier.

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In FY'26, we will certainly target to be double digit. I mean I'll be happy if I can get to INR15 crore s, it will be tough. But the INR11 crores, INR12 crore s number looks entirely possible from account aggregator as a family. At that level, we will be at a breakeven. We may make some margin on the overall product.

We've kept up the market share, which is a great thing. So the only thing we don't like about the market is that pricing is significantly lower just competitive price. It is not that the buyer is asking for it, the buyer is getting a lot of value. But the sellers are scraping the price at some time that has to end.

What started as INR10 per piece product sell to INR1, and at times we sell for less than INR1.

If it stabilizes INR1 too, I think it's a great business to make if it stabilizes to INR0.20, then it's not a great business. So pricing will perhaps recover where this goes. But broadly, apart from pricing on every other aspect, I'm very, very pleased with what the people do.

Devesh Agarwal: Very helpful, sir. Sir, one last question. On the non -MF side, you said this will be like a 20% of your top line by FY'27. So just wanted to know, given the strong growth that we are seeing on the domestic MF side, one, is there any rethink on this number? And secondly, how important would be the inorganic opportunity to achieve this number? That will be the last one from my side.

Anuj Kumar: So Devesh, you've seen the company closely. It's our endeavour that every year, we should have a 2% [inaudible 0:52:45]. Non -MF, if it is 13.5%, should go to 15.5% this time next year, which means I should be able to take 0.5% of growth and move it to non -MF as it is contribution to revenue. Now that model, when we thought of we were confident of growing non -MF let's say, 21%- 22%. We expected MF to grow 13%, 14%, 15%. It looks possible in paper to do that. When MF grows 26%, then non -MF has to grow 35% to 40%. Never easy. This quarter, we were at 31%. Like Ram said, second successive quarter, we may repeat this in the current quarter too.

So we will hold on to our prediction. We will hold on to 20% 3 years from now. While this is not the objective why we would do an acquisition, the acquisition will lead this to as an end result, we will not do it just to claim diversification.

I think like we've said, there are interesting opportunities like we've always said that while insurance as a part of our portfolio, isn't yet doing what it should do, but it does not mean it cannot do. So that's one area where you could see us make a move. Payments is another area. And of course, alternatives remains the third. So you will see us do something. Will that scale up our ambition? I think it will help your ambition to get to 20% in about 3 years' timeframe. That is the way I would look at it.

Moderator: The next question is from the line of Supratim Datta from Ambit .

Supratim Datta: My first question was on this transition to cloud. Just wanted to understand what could happen to the data centers that you currently owned and operate? So is there a thought process that these

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data centers will be done away with and hence, there will be some capital that will be speeded up. And what would happen with that capital in that case? So that's the first question.

And the second question would be on the AIF side. Now I understand the growth -- when we then look at the AUM growth quarter-over-quarter that has also been weaker, just wanted to understand from a competition perspective, given this is a multi-tiers market, are you seeing anything different from competitors when it comes to pricing or

when it comes to aggressiveness. Just wanted to understand that. Those are the 2 questions.

Anuj Kumar: Sure. Thanks, Supratim. So on the first one, think of it this way that gradually, like in any other cloud implementation, we will slow down our investments in data centers. And over a period of time, we will migrate the payloads to cloud. Can I migrate a payload today? The answer is no. What can I migrate a year from now? I think a lot of our, for example, analytics, reporting, all of that can move in a year. Even after we migrate to the cloud, statute will require me to have a copy of the data on -prem. So I cannot get rid of all the data centers.

We have 3 instances. We are setting up an ad-hoc firm which is a fourth. So of the 4, you will still see 1 continuing. For our core MF business, we will need to have a copy of the applications. I mean fit to perform and our database on -prem itself. But broadly, think of it this way to like any other implementation over a period of time, success -- successively every year. You will see our investments come down. You will see us migrate payload to the cloud still we are fully done, let's say, in a five-year timeframe. So that's the first thing to expect.

From an efficiency perspective, like I said, it creates scalability much better. You know that there are months beginning and month-end payloads in our MF business for which we create 2x capacity. Where do we create it? I created in three data centers. So my baseline would be 80 units. My spike maybe 100. I create 200 units of capacity in three different instances across the board.

That scaling and the optimization of that scaling will become a lot -- I mean it will become easier in the cloud format because once I can predict that I will have greater payload between the 1st to 5th of every month and between the 20th and 30th; theoretically, I'll be able to manage capacity let cost better, then I would do at 2x level in 3 data centers because once I buy a server or storage or a switch, I just have it and I pay for it fully. I can't do part use of it. So that's how the entire thing will play out.

On AIF, like Ram said, our expectation in line with the non -MF portfolio is to scale that business

over 20%. This quarter was more like the mid -teens. Not that we could not scale revenue. I think the gross scaling was all in place because we have the oldest portfolio in the country, and this is a closed -ended business, which means no fund will remain for less than or more than 10 years. So any fund which started, let's say, in 2014, '15, '16, '17, one of those will come to an end in 2024. When it comes to an end, of course, the provider would have launched another fund at some time, but we'll take this money and then pay them back. That impact of falloff was a little more in this quarter, in the first quarter; may also be a little more in the next quarter. Otherwise, I mean, so that perhaps explains best 20% minus, 15% growth, 5% is on account of that.

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Are we seeing any other dynamics from a competitiveness perspective? Nothing specifically. It's a market, which has already seen some price down. So we're expecting prices will stay here, but will further price down happen, not expecting that to happen.

Ram Charan SR: And our reading is that we have not -- from a domestic RTA perspective, we've not lost market share. Obviously it's very difficult to make out from published numbers of competition on what exactly is the win ratio of the share in the domestic RTA as such. But based on our market intelligence and our computation, I don't think from a domestic RTA perspective we have lost share as such.

Supratim Datta: Got it. And sir, one follow -up to your commentary on the data center that was very helpful. Just wanted to understand, currently, you own three of the data center

s, right? And so when you slow down the investments and at 1.5 years down the line, you will be migrating all the data to cloud, then these three data centers will become redundant. So would there be a scope that we will be selling off these data centers anywhere maybe say four or five years out?

Anuj Kumar: So I don't think I got your question completely. If you think there will be some salvage value of the stuff in the data center, some small stuff will be there. But I mean don't count it on any projections that's not the myriad amount of money. Was that the question? Or the question what makes sense?

Supratim Datta: Yes. I'm just trying to understand that what happens with those data centers when you might -- once you migrate to cloud completely.

Anuj Kumar: So two of them are sitting inside our premises in our buildings. Obviously, that space will be used for something else. One is in colo center which obviously is bound by a contract. We will decide which one to retain. One, like I said, we will have to retain. Give the significant salvage value of the hardware, the answers don't even count it. I mean there may be something, but we don't want to bring any focus to that number saying that's the P &L and answer for us.

Ram Charan SR: Just to add to what Anuj already mentioned is relevant for this question, which is the investments going forward in hardware will be moderated depending on our progress in their ER, right? So that could be an impact that will play out as we go forward.

Moderator: The next question is from the line of Sanketh Godha of Spark Institutional Equities Private Limited.

Sanketh Godha: I have a few questions. So first question is that if I look at our KRA business, the number of KYC records seems to have not grown in last week quarter, it's been stagnating at 1.8 crore s accounts. So I just wanted to understand, do you see this number going up or you continue to mine these number of records to deliver the revenue growth going ahead?

And the second question was with respect to non -MF asset -based revenue which seems to have grown a little lower compared to the overall asset -based MF growth, which is around INR45-odd crores if I do the math. Just wanted to understand that how do you see the trajectory of this number to play out going ahead. And the next one is on Think360. This piece has declined both

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on quarter -on-quarter and year -on-year. Anything to read there? How do you see these numbers to play out?

Ram Charan SR: Yes. So Sanketh, so I will take the second question, which is the non -asset -based revenue, and Anuj will probably give you details on the remaining. See, non -asset based revenue, as you know, consists of transaction fee . It consists of the call center revenue, consists of our application fee that we charge for our software tools like MFDEX and [inaudible 1:02:48], etcetera , and the OP, right? So it generally does not move in tandem with , and that's why we have a separate tandem with asset -based fee. What we have seen in this bucket is, and obviously this is not a

single kind of driver for all these things. But what we have seen in this bucket is transaction fee, which is almost like 40% of the non -asset based revenue has grown more than 30%, which is again a reflection of what's happening in the market in terms of transaction growth as well as NFOs that are coming.

And our application fee, which is the software license fee that we charge for the various [inaudible 1:03:22] that the customers use has also grown by more than 21%. And the call center has grown by more than 33%. What will kind of bring it down will be the OP. And obviously, OP cannot be linked as such to the asset right? That will be fourth quarter in which generally the OP expenses are much more -- if there's the regulatory guidance that the SMSs and em

ails are

much more if there is a risk score meter that need to be sent in bulk, if there is some nomination -- communication.

So a lot of drivers are there for OP, it's very difficult to kind of tie it up to 1 metric. But the overall from a transaction growth perspective, we are seeing it's in tandem with the assets growth, which is more than 30%. And the call center is also growing well, given that people are adding agents from an inbound and outbound perspective. So I do not think that you can map it to the asset -based revenue but given the transaction is 40% of the overall bucket, healthy growth in transactions, as you see, would translate into a higher non -asset based revenue, but it cannot be mapped on to the asset -based revenue.

Sanketh Godha: Sir, if you can break down that INR45-odd crores into OP and the core revenue kind of thing, that would be useful.

Ram Charan SR: Yes, yes. So from the INR45 crores, recoverable is more than INR11.2 crores because the OP is more than INR11.2 crores, and your transaction based revenue was almost INR18 crores and application revenue is almost INR8.5 crores. Call center is around INR7.5 crores.

Sanketh Godha: Perfect. Okay. Got it. And on Think360, if you can add, yes.

Anuj Kumar: So your first question was on the KRA. On KRA what had happened was -- you are right, there was a onetime cleanup that happened across the industry. As you know, among the participating KRA, one single individual can occur only in one place over the years, over the last 13 years of the occurrence of the KRA, they discovered that there were some individual records, which were in more than monthly. Once that cleanup happened, you see the current number, but you've noticed it right? That is the way it had happened. Now we have a constant base, and you should be able to see a growth on top of it.

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Sanketh Godha: You expect this 1.8 crores accounts to grow only because of MF or sir, basically, I just wanted to understand, you've got onetime jump from 1 crores to 1.8 crores. So this 1.8 crores to go further up, what would lead to it in that sense? Basically, it will be MF story only or you will go beyond MF to drive the KYC business?

Anuj Kumar: Like we've said that we are now actively engaged with the rest of the market, brokerages and depository participants to sell KYC services and the KRA services to them. That is perhaps 10% revenue contributor right now. It isn't that large, but it has helped. We still haven't got one of the top 4 or 5 brokerages. We actually have one but not the other. We are actively pursuing the larger accounts should be able to report something in the rest of the year, and you will find that even if we get a fraction of those volumes, that could be a large contributory number. However, what has contributed right now is also a 2x lift in new clients coming into MF.

CAMS service funds used to see 3 to 4 lakh new and the PAN is an individual, not known to CAMS service funds 3 lakh to 4 lakh a month. That number is almost doubled, right? So when you see that number from 4 lakh is almost between 7 and 8 lakhs, a large part of the fillip has come from CAMS service funds, we started actively selling to non -CAMS service funds, the KRA services about 2 years back. Part of the growth is from them, but that's small, that will not be more than 5%, 6% and 10% revenue contribution would have come from us selling to brokerages and depository participants. So that's how you can add up the 100% growth and most of these clients are sustainable.

Sanketh Godha: And on Think360?

Anuj Kumar: On Think360, you're right. The scale up hasn't been -- not much scale up has happened in the first year. One of the large reasons is that Algo360, which was kind of a precursor to account aggregator. We were expecting that for some time, there will be a mark

et for both the products,

both for Algo and the account aggregator. Now we have seen that the account aggregator market is definitely showing the preference for AA kind of offering, not so much for the algo offering. So we are continuing to engage with the market itself. At some time, that question had to come

on whether we keep selling the core or we start selling the value -added services under the brand Aamaze.

I think we've seen some of that impact. Also, one of the large -- although it's not a major contributor, but one of the large U.S. -based analytics contract had -- hasn't seen the scale up it needed. We are now not actively selling in the U.S. We are largely focusing on the Indian market that has come from the U.S., we will service them, but we're not actively selling yet. So that explains what's happened at Think.

Sanketh Godha: Got it. And maybe just one thing. You said the non -MF business, which is around 13.3%, will go to 15% by same quarter next year. So is it fair to assume that the heavy lifting has to be largely done by two businesses, which is CAMSPay and CAMS KRA. That's a fair assumption to make because AI probably will grow mostly in line with the MF business, given it is limited to a number of investors rather than AUM based.

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Anuj Kumar: So again, no, you're getting it right. I would say from a percentage contribution basis, although I don't state the AA percentage revenue contribution, because I have the highest. It is even more than KRA. So from a percentage revenue contribution driving the 13.3% to 15.3% or whatever number we get to, I think it's clear to me that in the next year -- next four quarters, between KRA payments and account aggregator, all three of them should contribute and should contribute ahead of the market.

In the case of alternatives, we have said that we are aiming for a 20% plus growth, at some time, maybe a quarter from now, we should come back to that. So that's really the sum total of what will contribute to non -MF. If there is any acquisition opportunity of this is adding on top of this. But right now, this is within the art of the possible.

Moderator: Ladies and gentlemen, due to time constraint, that was the last question. I now hand the conference over to Mr. Ram Charan sir, for closing comments.

Ram Charan SR: Thank you, Deepika, and thank you for all the participants for your continued interest and participation in this call. If you have any further questions, please feel free to contact Anish Sawlani or Orient Capital IR, and we'll be happy to get in touch with you and clarify your doubts. Thank you once again.

Moderator: On behalf of Computer Age Management Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

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"Computer Age Management Services Limited
Q2 FY'25 Earnings Conference Call"
October 29, 2024

MANAGEMENT : MR. ANUJ KUMAR – MANAGING DIRECTOR –
COMPUTER AGE MANAGEMENT SERVICES LIMITED
MR. RAM CHARAN SR – CHIEF FINANCIAL OFFICER –
COMPUTER AGE MANAGEMENT SERVICES LIMITED
MR. ANISH SAWLANI – HEAD, INVESTOR RELATIONS –
COMPUTER AGE MANAGEMENT SERVICES LIMITED

MODERATOR : MS. SHIVANI KARWAT – ORIENT CAPITAL

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Moderator: Welcome to the Q2 FY '25 Earnings Call of Computer Age Management Services Limited. We have Mr. Anuj Kumar, Managing Director of CAMS; Mr. Ram Charan , SR, CFO; and Mr. Anish Sawlani, Head, Investor Relations. As a reminder, all participant line will be in the listen -only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded. I now hand the call over to Ms. Shiwani Karwat from Orient Capital. Thank you, and over to you, ma'am.

Shiwani Karwat: Good morning, everyone. Welcome to the Q2 and H1 FY '25 Earnings Conference Call for Computer Age Management Services Limited. As mentioned today from the management, we have with us Mr. Anuj Kumar, Managing Director; Mr. Ram Charan SR, CFO; and Mr. Anish Sawlani, Head of Investor Relations.

Before we proceed to start the call, I would like to give a small disclaimer that this conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on date. These statements are not guarantees of future performance and involve risks and uncertainties, which are difficult to predict. A detailed disclaimer has also been published in the investor presentation, which was released to the stock exchange. I hope everybody had a chance to go through the presentation.

I will now hand over the call to Mr. Anuj Kumar, Managing Director. Thanks, everyone, and over to you, sir.

Anuj Kumar: Hello, Shiwani. Good morning, and thank you very much. A good morning to all the participants. I appreciate it like always, all of you making time to join the earnings call of CAMS. I trust that I'm audible and that you've been able to download the presentation and have a copy of it, because we'll continue to reference to that and refer to the individual chart numbers.

But broadly, as you would have seen in the press release and the other releases yesterday, we had a fabulous quarter. There were a number of reasons what led to that happening. And I'll take you through those. But historically, perhaps our best quarter ever across metrics of asset growth in MF, revenue growth in MF, revenue growth in non -MF.

And overall success in the marketplace in acquiring business and expanding the installed base. And then from a margin profile perspective, again, has been a very strong story. I am on Chart number 8, and we'll take you through some of the key highlights.

Overall, at company level, enterprise level, revenue grew 32.7%. MF was slightly ahead of non -MF. You know that it's been our endeavor to scale non -MF faster, but MF grew 32.9%. Non -MF by itself, just short of 32%, I think, is a very credible number because early 30s, early to mid-30s is the number we've been reporting now for a few quarters.

There are foundational aspects to this number scaling up. And also, there was a time when this was a small base number, not anymore. It's a relatively large base number, so very happy to continue sharing with you the revenue growth profile in non -MF at just short of 32%. Share of non -MF revenue, which has hovered around 13%, was 12.9% of overall revenue. I think a good Call(3:45) why it did not expand because MF expanded just ahead of everything else. Absolute EBITDA. And you know that in these results, this is our standard policy of recognizing revenue. There are no lumps. There are no onetime payouts by clients. They're none of those. It's exactly the way we've been reporting revenue for the last many years. Based on that, absolute EBITDA grew almost 40%. EBITDA percentage, grew 240 points up on

an annual basis, just short of 47%, about 46.9%, but I think, very heartening. We've said in the past that it's our endeavor to go this margin number about 1% a year, but at 2.4%, that's a great success.

And absolute PAT grew 44.9%. PAT percentage at 32.4% was 270 basis points up. So EBITDA percentage 240 basis points up. PAT percentage up 270 basis points. And historically, I can't remember a quarter when all these numbers lined up straight to tell a story like what I'm telling you right now. Based on all of this, I'm very happy to share with you that the CAMS Board has approved an interim dividend of INR25.

This INR25 is essentially 2 components. INR14.5 is what traditionally we would have paid for a 65% payout policy. But just given the fact that we've had a strong run overall from an earnings perspective, we did believe, and the Board did believe that it was time to kind of signal to the markets that we want to reward them out.

So the balance INR10.5 is part of what we call a special interim dividend, which obviously, from a reference perspective, the 65% is the policy we will be staying true to. The INR10.5 is special. So INR14.5 and INR10.5 add up to INR25, and that's the dividend that has been approved and declared as of yesterday.

I'll move to the next. I will move to Chart number 7. Just the key highlights, and I'm sure all of you have processed this quite well. But in aggregate, at just close to INR45 lakh crores or INR45 trillion AUM. This is the fastest quarterly growth. We added almost INR5 lakh crores in a quarter.

Now traditionally, you've known that that is almost like a year's increase. There are years when I felt happy about growing AUM by INR5 lakh crores to INR6 lakh crores in a year. This time it happened in a quarter, which is a historic high. And of course, that's linked to the state of the markets, but a great appearance for us.

Equity assets, and this is active equity, which kind of defines the P&L because it's almost upwards of 60% of overall MF revenue contribution, grew almost 60%. So equity assets grew almost 59.4%, much ahead of the rest of the industry of 53.5%. This then defined a share gain in equity AUM, obviously, it would. So equity AUM is up about 100 basis points up to about 66%. That's a very relevant metric. Of course, any asset growth is a relevant metric, but equity

is decidedly so because it's the core of the retail markets and it's core of the revenue base for the MF business.

Net sales, which have been kind of creeping up in the industry at one time. Net sales used to accrue largely from SIP monthly collections. This time, CAMS has got a number of over INR1 lakh crores, industry about INR1.5 lakh crores, so we are 66% of industry net sales, and I think that's just a very good measure of retail participation continuing to enhance.

New fund offerings, which have now become a good kind of go-to-market theme for the domestic mutual funds, CAMS grew sold NFOs, our funds sold NFOs were about INR27,000 crores, industry was about INR45,000. There was a slew of large sectoral fund launches. And I think some of the benefit of these does show up in other parts of the business, especially in payments of KRA because a lot of these are new to the MF industry investors, who walk in through the NFO route. And then when they're onboarded, we get enough on the KRA PAN accretion and revenue and also on the payment side, especially if some of these people coming through NFOs and the SIPs.

Record high SIP registration. Again, a fantastic metric, which is about the middle and bottom of

the pyramid, just buying into this theme, which I think is what all of you know and continue to believe in, is the theme for the times to come as MFs and SIPs become more and more retail products. INR1.2 crores new SIPs were registered during the quarter. In 1 month, it was INR45

lakh, we are bracing ourselves for shortly for that number to get to INR50 lakhs in some months. About INR1.2 crores, again, just to remind you 3 years back, this used to be a nother number, became quarterly number now.

And again, given the fact that SIPs are kind of asset accruing for almost a lifetime -- a large part of them, some will attrite, the rest will stay for a lifetime but a very, very solid foundational metric. SIP collections, you've been reading, we were up 54% year -on-year compared to 48% for the rest of the industry. So I think each one of these, the reason I continue calling them foundational metrics versus what happened in the quarter, that none of this is about a quarter or what will happen only in a quarter and then vanish. These are stable, almost lifetime flows of assets lifetime foundational revenue creators for the enterprise.

Beyond mutual funds on the non -MF side, alternatives came back. We reported some falloffs last quarter if you're running a business, which is almost a decade and a quarter old, you will have some falloffs. I think this time, 21% year -on-year revenue growth has the highest number of quarterly wins, 57 new mandates. So this covers everything that we do, includes WealthServ, includes GIFT city and includes the base AIF and PMS.

You would have also read that about 2 weeks back, 1.5 weeks back, that we opened our second office in GIFT city. And again, you would realize we are putting our money where our mouth is. So we opened this office. We had a small office. We now have almost a 50 -seater, very good inauguration and it's a good signalling to the market that we are serious about this.

We're putting our money where our mouth is, filling it up with both infrastructure and digital.

On the KRA side, I think the good work done by the team continues to unfold. You will recollect

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that last year, we had sequentially on an annual basis reported just short of 100% revenue growth. So FY '24 over FY '23, was about a 95% plus revenue growth. Now when you expanded a base and that's the reason I said that these are not small -based stories.

You see a 56% year -on-year quarterly growth, which I think is, again, one, it is a vindication of what's happening in the core market MFs where individual investors are not buying a single MF, but they go to the second and the third and the fourth. And the second is that all the new sales we had done, the new logo sales, which obviously hasn't happened too much in MFs because we've already sold to everyone, who is eligible.

So this is largely on the fintech, broking Demat side. You see that we added about 26 new fintechs, platforms and those kind of companies to the client roster, significantly adding non -MF PANs to the overall stock, which is very heartening because that's a true diversification of revenue and clientele and then helps us in other ways as we go and sell other services apart from KRA to the same client.

On a similar theme, again, I think just a fantastic foundational story from a CAMSPay perspective. Revenue of 69%. You know this is on the back of about late 20s growth last year, but CAMSPay is seeing adoption, similar story to the KRA, the base is buying more and more. I think the base growth story is led by SIPs, but is also led by recurring payments and housing finance, insurance and other recurring payments avenues.

And then you know that, in general, the digital payment story is expanding. We have now some revenue getting reported by the educational segment, small numbers, but we are taking on a more aggressive view for FY '26. And of course, UPI AutoPay continues as to kind of lead the charge because it is almost becoming the preferred way to pay for recurring payments, especially in our backyard which is in MF SIPs.

Bima Cent

ral unique user base has grown over 2.5 lakh, mobile downloads of 50,000. Small milestone but notable milestone, which is that we process 1 lakh service transactions, which is people coming and doing the renewal kind of payments or doing an address change through Bima Central. Of course, we have to -- this number has to be to 10x to be meaningful, but we always make a start in life. And I think this 1 lakh, we are treating it is a very nice milestone. So remember that there are only 2 or 3 insurers integrated right now.

That part has to expand quite a bit. But as it expands very hopeful to scale this number to several x times. Also, I think heartening to me and to us is the fact that we have doubled, and this is a number I spoke about last quarter. But we used to have, you would remember, 5 lakh new policies accruing to e -insurance every quarter. That was a baseline for about all of FY '24. FY

'25 1Q, we crossed 10 lakhs, which was 1 million in the first quarter, 9.8 lakhs close to another 1 million in the second quarter.

Hopefully, we will keep this and make it a baseline, which means you will continue seeing not 5 lakh or 6 lakh, but maybe 10 lakh or 11 lakh conversions every quarter. You know this is the base of what the comp any of what the businesses as we get more and more individuals into insurance.

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We get the conversion and the maintenance fees, we then come on to Bima Central, pay their premiums to renewals, we'll file the claims. So it's the basic core formative block and that part has behaved very well. Record aggregator, we continue to hold 16.5% market share. So year-on-year large growth quarter-on-quarter almost flat. But again, I think we're very happy with the way the business is progressing.

NPS, around 2.5x of year-on-year growth. I will show you some of the numbers across 1 lakh subscribers. We've held the position of number 2 in eNPS. And then you would have read this that we formally -- this was due for some time. We've formally approved and are in the process of capitalizing forming this JV, should happen soon. The MF Central JV along with the other RTA KFin. And this platform will then have scope to kind of expand and do a lot many more things than what it has done so far.

It opens up a much broader playing field for the property to scale. So that's in summary, just given the time we have, I will breathe through some of the other stuff, transaction volumes, I'm on Chart number 8. I don't want to draw you into a lot of details. The only thing I'll say is that the company has grown all this revenue growth that you're seeing has happened on the back of almost 60% transaction growth, 60% transaction growth, whether you're selling cars or registering SIPs, and triggering payments is never easy.

And you've seen the exemplary level of control and compliance and everything else that the team has been able to deliver based on these numbers. I just wanted to kind of just speak about that a little. Unique PANs. These are unique investors coming into the industry and into CAMS, 31% up again ahead of the industry. And the reason, again, I'm telling you this is formative and foundational because the same people who come in once, we'll do the next transaction and the next and the next will continue expanding. So that's foundational.

SIP collections obviously grew very well, 54% up compared to 48% for rest of the industry. Equity AUM grew 59%. Equity net sales grew above 90%, just touching about 1 lakh core. New SIP registrations saw a 30% growth overall on a year-on-year basis. Sorry, on a first quarter to second quarter basis, let's move forward.

You've seen these numbers. I'm on Chart number 9. So I will not spend too much time quarterly AUM market share, about 68%. Equity, of course has grown faster than the industry that you've seen. Go to the next.

I'll

I quickly take you maybe a minute each on the individual businesses on Chart number 11, we spoke about alternatives. Good growth returning, 21% revenue growth on the back of healthy signings, 57 new signings. I think the thing I just want to call out is that we were kind of the pioneers in digitization starting in '21. During COVID, the WealthServ360 platform, 165 sign-ups. This number is close to 175 now as we're progressing in the quarter, but 165 at the end of the quarter.

A large quantum of our intake is becoming efficient, not just for CAMS, but for AIF and PMSs. Their interaction with their customers are becoming more efficient because it's all being done digitally. If someone in Delhi has their customer in Moradabad, you don't have to really go there.

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You can do all of this digitally. So it's changing the face of the industry and also making it a lot more productive and a lot more digitized. I spoke about GIFT City, 20-plus clients, second office, the 50-seater having been opened. And then Fintuple, which has had strong success with the custodial operations and bringing in automation on the custody side for custodians to integrate with PMSs and later with AIFs to onboard their customers has now built out and is launching its NPS product.

It's an NPS POP automation and onboarding product, which integrates all the 3 CRAs. Also, eUdyog (18:54) is a platform, which integrates the strength of e-documentation, e-signing, e-

stamping, can create electronic workflows and then you can take this either through a standard integration or API. So trying to move into adjacent markets, which offer opportunity. I think I'm very, very pleased with the way the team has kind of thought this out and is implementing these things in the market, both from a CAMS AIF perspective and the Fintuple perspective.

I'll move to Chart number 12 on CAMS KRA. I spoke about the upward trajectory, that's 56% year-on-year revenue growth with 26 new fintech non -MF additions, that's the point I want to disclose. I think it's a very strong combination. Think360 is Quick ID at the front. That's a fantastic KYC solution, very slick and then the KRAs seamless onboarding journey.

All of that is great news. I spoke about the GFF launch of Nexus, which is a KRA dashboard and the WhatsApp KYC which we are now bringing out in the market, which will further ease the interactive flow of new capital markets consumers just joining up and doing a new KYC, whichever entity they're signing up with, the entire flow can happen on WhatsApp and move forward.

On wrap, I'll give you the highlights, about 7.5 million in aggregating insurance accounts. About 9 to 4 lakh policies out of which just under 10 lakh came in this quarter, 10 lakh came in the last quarter, 40% market share. Now have SBI General and ICICI Pru as the 2 integrated insurers and Bima Central, 2 more insurers. We should be able to report, I think, maybe sometime by mid to late November.

And you know that as each of them come in, they then strongly start promoting Bima Central and that then becomes a preferred way for customers to interact with their insurers. 47 out of the 55 licensed insurers. And this will just say about the breadth of acceptance. This is not a depth metric, depth, I think can be a lot better than where we are at 1 million policies in a quarter.

We could be at 2 million or 3 million. But from a breadth perspective, 47 out of 55 insurers regularly contributing policies on Bima Central. So Bima Central also was awarded by ASSOCHAM, recognized for best use of technology in the insurance industry.

I'll flip to the next, spoke about payments, revenue up 69% year-on-year. UPI Autopay, and you know some of this is being also used for small ticket SIPs, etc (21:45), over 100%, significant amount of product enhancement occurring 23 new

products in 2Q. I wanted to mention LIC. You

will remember that LIC was empaneled for hot services. We had announced this in Feb, March around that time, Jan, Feb, March.

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Those services have gone live. Delivery has commenced. Even for payment gateway devices, LIC has empaneled CAMSPay, which is a good starting sign of for a large behemoth to be wanting to work with us. I think that could turn to a large client account for us over a period of time.

From a FinServ perspective, I spoke about 16.5% market share holding Q-on-Q. 9.6% last year for significant growth, about -- again, small numbers, but about 170% year-on-year revenue growth on small numbers, so we're waiting for them to scale a little more. But I think, by the fourth quarter, these numbers should be much larger from an absolute revenue perspective.

I think the analytics part of the entire stack, which is the Amaze platform both bank statement analyser and the Personal Finance Management is now finding enough traction. We're just crossing about 1 lakhs points in a month. Of course, the numbers can be 10x of that number, but we've crossed 1 lakhs. That's a good metric, a good starting metric to have, and we're expecting we should see multiple x of scale up within the year.

On Think, Algo360 won a mandate from LTFS and from Stable Money. So we will see go-live happening by December, January. I spoke about Amaze, both the PFM and the bank statement analyser both are run by the Think team, continue to see expansion. The entire thing that I spoke about Fintuple, the platform that they are building, the onboarding and video KYC parts will be with Think so that from a synergy perspective, continues to expand and do well.

Go to the next. And then NPS, I spoke about, and I underscore us crossing overall 1 lakh CRA accounts. This is largely retail and private sector employer-led. We haven't yet cracked much in government, bringing in a variety of POPs on the platform, I think Indian banks starting off with us is good news. But we continue -- although it's a long-haul business. We continue to focus on this and focus on scaling it.

Next. Okay. So this is what I had. I hope this is useful. I am now handing over to Ram Charan, who will take you through the financials. You should have about 25 minutes for Q&A after that.

Ram Charan: Thank you, Anuj. Anuj just covered the salient points of the financials in the first slide. So I will just take 5 minutes for one level of detail. As you would have noted, AUM had a very (24:40) growth of 37% during the current quarter, we ended INR45.27 lakh crores. On the back of it, the overall revenue grew 33%, almost 32.7%. We ended the quarter, INR365 crores and the mutual

fund revenue also grew around 33% at INR318 crores.

So overall INR365 crores consisted of MF revenue of INR318 crores and non -MF revenue of INR47 crores. The good part of this is that growth has been uniform across all segments. From an MF perspective, and even within MF, you had the asset -based revenue grew at around 32.7% and non -asset -based revenue grew at 34%. The asset -based revenue tracked largely the growth in AUM. We've seen a quarter of stable yields.

We generally say that the growth of AUM to growth of AUM fee is around 75%. At this time, you had the AUM to fee proportion to be around 84%. So yields have been largely stable, back of obviously good growth in equity mutual fund, the mix is favourable. And also happy to say

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that we have concluded discussions that we have concluded with some large customers are well within expectations in terms of what the yield will be.

So overall, we see stable yields. We see good growth from asset based and a non -asset -based revenue. The non -asset -based revenue was driven large

ly by increase in transaction revenue, a

big increase in transactions, both digital as well as paper and also MF Central is a part of this and also some increase in NFO revenue as well as call center revenue. So that's contributed to a healthy increase in the non -asset -based revenue on a year -on-year basis, 34%.

Noninterest revenue. Again, we went into details and Anuj went into the details of each and every business. Just to add that we had AIF coming back to a good growth trajectory in 21% year-on-year and 7% quarter -on-quarter. Similarly, payments has done very well in terms of revenue growth, 69% growth year -on-year and 15% quarter -on-quarter. And KRA has also continued its strong performance with a 56% growth year -on-year and 18% quarter -on-quarter. So overall, 3, 4 businesses are firing very well in the non -MF front, and the growth is 31.9% year-on-year and 7% quarter -on-quarter.

On the profits perspective, we've had a very, very strong EBITDA quarter. One of the biggest margins you've seen in the recent past at 46.9%, INR171 crores. This is up 140 bps seeing on a sequential basis. So very strong performance from a high margin perspective. PBT, again, is INR163 crores, 43.4% and PAT was very strong at INR122 crores for the quarter at a 32.4 percentage. So almost 270 bps on a year -on-year basis and about 100 bps on a quarter -on-quarter. Our costs have been largely on expected lines. The employee cost grew around 20% on a year -on-year basis and driven mainly by some hiring. Obviously, hiring has not been in proportion to the increase in transactions or complexity. It's been a little muted when compared to the growth. Overall, but there has been some increase in pay for the employees. So the employee cost however remains very well within target with 32% of overall revenue.

Operating expenses, again, well within expected lines. Some increases we have seen in OP, which is again billing items. So it will not affect the bottom line as such. And some increases because of transaction in SMS costs and cloud has been -- because all our new businesses run on cloud, there has been some increase in the cloud cost.

The other expenses are fixed expenses. We did see some onetime expenses this time, because of activities like the MFCentral incorporation or data privacy preparation that we are doing, given the ramifications that has got for the entire industry. So there's some one -off professional charges in this for a couple of crores, but otherwise largely in line.

The only exception that we going forward is yesterday, there was a grant of equity of options, the ESOPs that went to employees. So going forward, post, there could be some increase that you will see on the ESOP cost. Incremental cost for the year could be around a little more than INR4 crores. And next year, you could have some incremental cost because of that.

Barring that, we see usual hiring costs coming in. We've already invested a lot on talent. You've got top -tier colleges people coming and making a difference on the ground over the last couple

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of quarters. So costs should be broadly stable. The variable cost will increase in line with revenue, which is the sponsor bank charges that we pay for the payments or the cloud cost that we incurred for the new business or the data entry charges that we incurred for physical transactions. Those will increase in line with the revenue. The other expenses and employee costs should remain broadly stable.

So that was a short commentary I wanted to give on the profit and the cost. And as you would

have noted, the Board has granted a special dividend of INR10.5 and overall dividend INR25 per share. Before that, my cash and cash equivalent as on balance sheet was very healthy at INR732 crores as of 30th of September.

So I will now pause and hand over back to the moderator and open it up for any questions.

Moderator: Thank you very much. The first question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Congrats on a good set of numbers. Sir, just a few questions from my side. Firstly, on the MF side, we've heard AMC is talking about rationalization of commission structures. And basically, that is to kind of protect the yields falling further materially because of the telescopic structure. So this is more of a fundamental long-term question. Do you think that the industry is moving towards that our yields should also be kind of protected at the current levels?

Or how should we think about this because I think that could be one of the key things to be thought about from a medium-term perspective? Second question was on CAMSPay. If you could split up your business into, say -- one is SIP and the other is non-SIP, and that would be helpful.

Third would be on Think360, we see revenue decline in this quarter. Could you highlight the reasons for the same? And lastly, just a feedback, if you could give some profitability numbers across the key segments at the EBITDA level, that would be a great help for us.

Anuj Kumar: Sure. Thanks, Prayesh. So I'll try to take your questions in sequence. On the yield profile, I think you have the history of the company now for almost a decade, right, published history for a decade. And my estimate would be that yield behaviour is not radically going to change because we are not expecting any other radical event to happen.

Our delivery continues to become immensely complex, as you know, with process, regulation, risk management, etc (32:35), going up. And we continue to sell at slightly cheaper rates because of the telescopic pricing in successive years. As a result of that, whichever metric you look at, whether you look at the portfolio price, which is at the right price, it's not the price.

But if you look at the portfolio price of cost, if you look at a per transaction cost, in absolute rupee terms, they are diminishing, and they don't diminish anywhere else in the world or in any other form of procurement that any of our clients does. So I think the telescoping impact will continue more or less in line with what we've seen happen over the last decade, et cetera.

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Of course, everybody wants to buy it cheap, but it's not that anybody is trying to buy it there from us. So we are not expecting any radical shift in this profile from now onwards.

Your second question was on CAMSPay. Think of CAMSPay as about a little over 50% of the business accruing from mutual funds. So between 55% to 60%. And the balanced business is non-MF business. In MF, you can assume that most of this is about SIP. SIPs have grown significantly, as you've seen in the last year. So the business does get some fill-up from that, which was looking to happen.

So that was your question on trying to split the activity and revenue levels. I'm not giving you an exact revenue number because prices may be different. But in essence, you can think of about 55% around that to be MF contribution and the rest is non-MF to the overall CAMSPay book.

Ram Charan: Yes, Prayesh, on the question on your question on the breakup of non-MF margins. So we've actually said that it has been creeping up over the last few quarters. And this trend continues in the current quarter. We have a non-MF margins. We said it was around 15%. So it's gone up to closer to 19% this time. Obviously, on the back of good growth on pay and the KRA, right? So this is again on a higher trend. We listen to your feedback on publishing these numbers, we'll have a look at it and probably next quarter, we'll have -- we'll kind of do something.

Prayesh Jain: Just on Think360, could you mention as to what -- why was the revenue lower in this quarter?

Anuj Kumar: Yes, absolutely. So Think360, as you know, the Quick ID part has been the growing part, which is the video KYC. The Algo360 part where I shared that we won new contracts with LTFS and Stable Money. Part of that is seeing some cannibalization from account aggregator. Our view was that account aggregator will cannibalize some of that, but we have to the entire Amaze part, which is the TSP++ in sync, thinking that the puts and take will almost be the same, but looks like some of the revenue down has not been made up in that close space.

So think of account aggregator taking away some share from Algo360, and we're making up to AA analytics, but that makeup is not completely that much. And then there were some U.S. analytics contracts, which they are done on a 6-month, 1 year, 1.5 year basis. They're not annuity contracts, they come to an end. And some of those, 1 or 2 of those have come to an end. So that

really adds up. But we are expecting that revenue from here should show growth.

Moderator: The next question is from the line of Supratim Datta from AMBIT Capital.

Supratim Datta: So I'll start off first on the MF RPA side, just looking at the trends over the last 2 weeks where the AUM has come off. So is there a mechanism built into the pricing wherein if the AUM decline or deals go up? Is that amongst them also built into the pricing model? That is the one thing I wanted to understand. Two is, if I see on the account aggregator side, RBI is launching a unified lending interface, which is similar to an account aggregator platform, but backed by the regulator. So how do you see that impacting the account aggregator industry and our business?

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And the third question is on the expenses front, there has been a significant pickup in the other expenses. I do understand that you have explained that some of this is linked to transactions going up. But just wanted to understand what proportion of this would be variable increase that is due to flows versus what is a permanent increase. If you could give us some sense around that, that would be very helpful.

Anuj Kumar: Sure. So the first part of your question was that you've seen equity assets come down over the last 15 days, which is true. There has been an asset down over the last 2, 3 weeks. Does that impact pricing and do prices go up and assets go down? The answer is yes. Think of it like anything else that we buy in bulk. If you're paying INR10 for 10 units, but you're paying only INR14 for 15 units. When you go back to 10, you're paying INR10 for 10.

And when you come up again to 15, you're paying INR14 for 15. So it is that telescopic, which means when assets fall, the previous higher rates play out. Do we have to negotiate for them? Or are they hard quoted in the price? They are hard quoted in the contracts, so we don't have to negotiate. Think of any slab-based pricing that you have seen in life, it is exactly like that. You buy so much, and you get this price, but you go buy only 90% of that, your price goes up. So that's an automatic adjustment which happens in the invoicing. We haven't faced this too many times, but during the 1 year of COVID, all through calendar 2020, this happened to us. So that's the answer to your first question.

On the unified lending interface, will that start impacting AA as a model and us as a company? You have read everything in the press. And obviously, there are common areas. Obviously, there are common areas. We are also watching the space very closely. But yes, for me to say that it will not have any impact that is ruled out, will not right. We are observing it carefully. If the regulatory platform starts doing exactly what commercial areas are doing, then obviously the impact will be there. There's no question about it. But I suggest we just watch it and see how it

emerges over a period of time. That's on number 2. On expenses, I'll just ask Ram Charan to. Ram Charan: Yes. So I think your question was more on the non-salary expenses and how they are variable. So I'll just split into two. If you see there is an operating expenses that we incur, which is more variable in nature. So traditionally, if you take away the out-of-pocket expenses or the reimbursed expenses, that is around 8% to 8.5% of the overall revenue.

And that has been the -- our experience and trend over the last few years. So we don't see that changing a lot, especially given that we are into cloud for the new businesses, and which are ramping up and the bank charges that we need to pay for the ECS and the UPI Autopay stuff. So that kind of relationship continues to hold, and we don't see any reason why that will break in the future, which is operating expenses being around 8% to 8.5% of revenue.

The other expenses is a fixed cost. And I think over the last few quarters, we've been around INR25 crores to INR28 crores of absolute numbers during a quarter, which was around INR21 crores, INR22 crores in the last quarter. So you will continue to see inflation-led expenses, the AMCs that we continue to pay, the rent increases that we continue to incur.

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Last time, as I was mentioning, there is some one-off expenses for a couple of crores in these INR28 crores that we have. But again, some of the expenses have a habit of repeating as a different one-off expense in different quarters. So I wouldn't read too much into it, except that these are stabilizing around INR25 crores to INR30 crores of other expenses and 8% of operating expenses.

Moderator: The next question is from the line of Uday Pai from Investec.

Uday Pai: Most of my questions have been answered. Just one thing. You mentioned that the new JV with regards to MFCentral will open up some opportunity -- new areas that can be explored. Can you put some light on that?

Anuj Kumar: Yes, sure. So as you know, this was envisioned as an industrial platform for easing out issues of investor connects, servicing, transaction, origination, all of those things for MF industry, MF investors at an industry level and was launched in 2021, has ran the last about 2.5 to 3 years in that format, where anyone who wants to use the APIs or wants to connect with MFCentral as an enterprise, would come and do individual contracts with KFin and CAMS. Although they would deal with the platform, the platform did not have an entity, an organization, an op structure, capital of its own to think of promoting or marketing itself or really building very large game-changing assets of its own.

Today, the servicing and the revenue base is essentially of 2 types. If you, as an individual investor, come to a MFCentral, then you can transact. If you come through APIs, which are given to other platforms, you can take a cash, you will do nonfinancial transactions. But financial transactions haven't really built themselves out in a meaningful way, other utilities like loan against mutual funds, which are other revenue possibilities are also in the launch stage, but haven't really hit the markets.

When we create the entity, it will take another few more weeks. I think with an independent organization, its own capital, very, very focused market-facing decision-making on sales force. The ability of the JV to work with the market on especially the things that I've said, which is financial transactions, loan against mutual funds and other emerging areas that may come up. I think that ability will get enhanced and will be much more sharper.

So we are expecting that to be generally growth accretive for the JV, but also a lot better and, I would say, a wider frame service to the industry because that is the real objective of the platform.

Uday Pai:

Okay. Sure, sir. Just another question with regards to this. How much would -- is there any revenue from mutual fund MFCentral that we are booking into our books? Or is it just right now servicing how is it right now?

Ram Charan: So currently, the model is more kind of API based. So we have consolidated account statements or capital gain statements and nonfinancial transactions APIs, which are consumed by some intermediaries. Yes, we are booking revenue in our expected books. In the current quarter, the revenue will be around INR1.7 crores of -- it's 50-50 revenue split between the 2 RPAs. So the

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revenue is just in the books. Going forward, once the JV is incorporated, this will be handled by the JV company as a 50-50 joint venture.

Moderator: The next question is from the line of Lalit from Equirus Securities.

Lalit: Congratulations on a good set of numbers. Sir, just on this non-MF business, like within CAMSPay and CAMS KRA, could you give us the unit economics of this business like at a per transaction level, what kind of yields are we making in these segments?

Ram Charan: So your question was on CAMS KRA and?

Lalit: CAMSPay.

Ram Charan: CAMSPay, okay. So well, there's no uniform basis for CAMSPay, and I can't obviously give you exact numbers, but I can tell you how this works. From a CAMSPay perspective, you have an ACH mode of transaction where we charge for a mandate registration and then we charge for a per transaction processing, out of which we have to pay some money to the sponsor bank for us to access the NPCI backbone.

So that's how it works on per transaction basis and a mandate registration. The mandate registration could be INR5, INR4, INR6, depending on whatever the commercial arrangement we have. On per transaction basis could be INR3, INR2, INR5, depending on whatever the volumes and the arrangement we have, right.

That is from a CAMS ACH perspective. We have UPI Autopay. UPI Autopay, the commercial models are very different. Some have a transaction based. A few have a value-based billing also. So it's very difficult to get into a per transaction mode. But broadly, it is transaction-based billing and a mandate registration that happens. So the base is the same. Only thing is there is a variation on the value-based billing for some of the UPI customers -- UPI Autopay customers.

So that's how the unit economics works largely platform-based where we have to pay some charge to the bank for processing the transaction, and then we get paid for putting through every time -- putting one of these transactions, doing the reconciliation and crediting the amounts from a CAMSPay perspective. CAMSPay, there are 3 broad pieces of the revenue model. Number one is when you get an upload, which is basically a new person comes and uses either e-authentication or in a physical form gets his KRA or KYC done, and the PAN actually, which

is identifier resides in the CAMS KRA, it's called an upload.

We get paid for the upload by the AMC. And then there is this download, which is that if the person goes to another, say, a mutual fund and then he wants to open a folio. Based on that download that happened, they don't have to do the KYC again. So that is called a download revenue.

And third is the interoperability, which is -- it goes -- comes through another KRA, into CAMS KRA and accesses the KRA information, then we get paid on the interoperability charge. So there are 3 basic unit economics, again, a platform-based business. Once we kind of put it into

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our platform every time that PAN is with drawn or downloaded for some other investment, we get paid by the asset manager. So that's how the model works.

Lalit: Sure, sir. And sir, similar to like what you mentioned for CAMSPay

like about 55% to 60%

comes from the mutual fund business. Now in the KYC business, as we understand that we are also adding on new financial institutions, like we are significantly expanding into the non-MF business as well over there. So could you give us some color like what is the revenue coming from the non-MF side of it?

Ram Charan: Yes. Yes. I think what used to be close to 0 has now reached around 20 percentage. So 80% will be MF-based customer and 20% will be non-asset management companies. And that's on an increasing trend.

Lalit: Sure, sir. And sir, like this old segment, the KRA business has been expanding very -- has shown some strong growth over the last 18 to 24 months. And now we are hearing that from our peers that they are also trying to enter into this space. So any comments around that things like how should we see the overall industry going from here on?

Anuj Kumar: All I can say is that we are happy to inspire others. So the rest, of course, it's a good business to do. So I will not specifically comment on how they are thinking about it. But, yes, the industry is on an expansion trend. And onboarding, authentication, will always have a strong goal to play in regulated markets. We also remember that while we do the KRA business inside CAMS KRA, there is a large piece of the front end, which is a KYC part, video KYC, which we do for some of the largest banks in the country, including Central Bank, Bank of Baroda, Canara and RBL, is sitting inside things. It's a large portfolio for us. And I'm sure others are noticing what we are doing and are thinking of getting in.

Moderator: The next question is from the line of Abhijeet from Kotak Securities.

Abhijeet: I have one question on costs. How do we think about the flexibility in costs, especially as we get into more uncertain growth environment. I'm sure some of it is linked to how the business grows, but some of might be literally more sticky commitments going into next 12 months. So some guidance there will be very helpful.

Ram Charan: So Abhijeet, again, this is -- I think we are conscious of the fact that there has to be some flexibility on the cost, but there are limitations to the model. So what we always do is we don't obviously go over more in terms of recruiting for -- in terms of recruitment costs or hiring more people for that. We rely on automation. As you know that some amount of variability is there when we move to the cloud cost also for the new businesses.

See, the flexibility in cost exists because -- on 2 accounts. One is obviously, the flexible cost is the data entry and the people who clean the data, which is variable depending on the number of transactions that we get. With a lag, there is some optimization possible, and we have done it in the past too, right? We even -- you know that in the peak of COVID, our margins never dropped below 30% when everybody was floundering to keep their head above water, right?

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Even in that situation, our margins never went below 30%, right? I'm saying that is the extreme kind of scenario that you're thinking of. So with the lag, we have some flexibility on some part of the variable cost. As I said, that almost 8% of my cost is variable currently, and we have some flexibility on most of those components. Barring that, I don't think that we are overspending. So what we are trying is continue to focus on automation, continue to focus on enhancing the platform capabilities to handle.

For example, the SIP transaction that you are seeing, it's not that we spend for every trigger that we do, right? It's an automatic process. Almost like end-to-end automation is back on the SIP

process, which is where we put through all the crores of transactions without incurring additional costs. So individual parts of businesses are continuing to be automated. We are

conscious of the

fact that at some point of time, cost rationalization will be extremely -- it will be very important to maintain the margins, and we have never lost sight of that fact.

So we continue to have some 8% variable cost, which you can optimize, continue to automate in terms of platform. And we are sure that when it comes to it, we'll be able to be flexible enough to retain the margin targets.

Abhijeet: And what would be the margin range you would want to maintain?

Ram Charan: So we don't want to be very aggressive on margin target. We've never been, and you know that. So we have kind of come to around 46.9%, and we'll have to see it obviously depends by how much assets grow in the future. But if current trend, I would assume that to get to end of year get to more than 47%, 47.5% is something that is well within reach to go beyond 48%, I think will be difficult given the pulls and pressures of other items like investment and cost and all that stuff. But if things do continue getting to a less than 48% margin is something that is doable within this year. Definitely, 47.5% is doable in our mind.

Moderator: The next question is from the line of Devesh from IIFL Securities.

Devesh: Sir, just 1 question. If we see the yield decline on a sequential basis, it has been much lesser in a core business compared to the AUM growth. Now obviously, there has been improvement in the AUM mix and that is leading to this cushion in the yield fall. A couple of things that I wanted to understand. One, as the AUM grows, does the decline in the yield is linear or for the AMCs which have crossed certain threshold, the decline in the yield would be lower, is that the case? And secondly, what should be the -- basically a rule of thumb that we should follow in terms of going ahead, if there is a growth in the AUM, how much yield moderation should one build in, say, for FY '26 or '25?

Ram Charan: So Devesh, yes, I think this is an observation that I also made in the beginning saying that the yields have largely been stable. And to be honest, this is not totally unexpected. I think when we went through this large yield, we said in the last year, we continue to kind of have a stand that you will see this one -off drop -off, but over a period of 1 year, they will stabilize. And the last couple of quarters, we have seen this stable. As you -- I know the thumb rule that we use is that the asset-to-asset fee growth is around 75% is what we say. It's been around 83% this quarter. But I will continue to urge you to use the same thumb rule of 75%, right?

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Because while we have completed the discussions and closed deals with a lot of the major funds, this is an ongoing exercise, right? We will have a couple coming up within the next year and a couple after that. So I would continue to say thumb rule of 75% growth should hold good, and there will be quarters where we will do much better. And there will be probably a few quarters where we won't. But on average, this thumb rule should hold good. You could actually expect positive surprises in a few quarters, but I think that's something that we have to live with.

Apart from that, we don't see any major developments on yield. The -- as we grow, I don't think the relationship is going to change drastically because, yes, a lot of the AMCs have reached the highest slab in terms of their -- in terms of when the rates will go down. For example, it could be INR1 lakh crores of equity, which means a lot of AMCs would have reached that stage of INR50,000 crores. So going forward, we have reached a stage where additional slabs are not there, but that doesn't preclude them from inputting it in the future, too.

So I don't want to change the assumptions or the basis in which you are estimating. I think that will remain true for the next few quarters also in the

next year also for that matter.

Devesh: And sir, at the asset level, if you can give us some sense on a blended, we are not able to get the right picture of the decline in the yield. But if you talk about pure equity, what was the decline in the yield in this quarter?

Ram Charan: So I don't know whether I should -- Okay. It's broadly in line. So on a quarter-on-quarter basis, the equity yield hovered around 3.4 to 3.5 percentage. And the overall decline and equity decline -- equity decline was almost broadly on the same lines.

Moderator: The next question is from the line of Dipanjan Ghosh from Citigroup.

Dipanjan Ghosh: Just a few questions from my side. First, in the CAMSPay business, you mentioned that today almost around 55% to 60% is from the MF side and rest from non-MF. So if you can give a similar number for, let's say, the first half of last fiscal, so that will be great.

Second, on the alternate business, it seems that there have been some yield pickup over the last maybe 3 or 4 quarters including this present quarter. A similar trend probably what we are seeing

in case of some of your competitors also. So I wanted to get some sense of is it like more value - added services being provided to the alternates or more schemes coming in from these alternates or new client additions. If you can give some color on that? And lastly, on the KRA business, again, you mentioned that non -MF is now 20% from almost 0% few quarters back. So would it be a fair assumption that the MF piece of the KRA business is going at 30% to 40%?

Anuj Kumar: Sure. Sure. So let me take the second part of your question first. On AIF, you're right that it's become a lot more competitive. There was a time, 6 or 7 years back when CAMS was the only port of call when new people launch to the AIF or PMS, it then became a little more competitive from a domestic perspective. Today, you have overseas providers selling in the same market. And whenever an industry becomes competitive, you will see a bit of price down. You'll see it everywhere, whichever broad market you go to, so this is no different.

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However, we're mitigating it, of course, things like GIFT City are a natural mitigant where unit economics will be better. And then things like WealthServ, which is digital onboarding. There's essentially built like -- it's a digital stack, which means that you don't deploy in terms of legal processing source or accountants. So any of those people to do the work. That work is done by the platform. So like we said, we were the first to enter that. We've scaled it significantly. Of course, a lot of money raised still happens in the physical format, but we are very confident that this -- with this 175 -plus set of buyers. This will -- the trend will accentuate and a lot of money raising bill will start happening digitally.

So those kind of mitigants in terms of selling a richer digital stack, charging for APIs, building out websites, Wealth platforms, all of that is an attribute to doing a business where there is some amount of labour and especially for accounting practices, etc. So that's the standard way of doing it.

You asked a question on the revenue mix of CAMSPay a year back, I would still think that think of the business is about 55% to 60% skewed in favour of MF. I don't think a large change has happened in the recent year. Of course, the SIP momentum has gone up, it is showing up with the overall volumes. But like I said, we have now begun selling to education, and we will deepen that segment in the coming year. So you will see this number to be stable around that point.

You had a question on KRA. Whether KRAs MF business is growing 30% to 40%. I think, yes, it's fair to assume it's growing 30% to 40%. One good surrogate metric you can catch on to is the 31% MF new PAN that we spoke about because th

at's a sizeable PAN when it comes in, the first time. And of course, everything else is when that PAN stays and it has downloaded multiple times on mutual funds. So you think of it as about 30% to 35% growth in that base, too.

Dipanjan Ghosh: Sir, just a small follow-up on the Pay business. So the Pay business, which was let's say growing at somewhere around 20-ish sort of high 20s sort of a number in 3Q, 4Q of last year or maybe 2Q also, now that has scaled up to like 50, 60 -plus percentage Y-o-Y. And you say that the mix has broadly remained stable between MF and non -MF. So would it be fair to assume that this is like more non -MF clients coming in and whatever organic growth you're seeing on the MF pay side, I mean natural client additions you're seeing or volume additions?

Anuj Kumar: Yes. You can think of that being true. We go deeper into NBFCs, housing finance and insurance. That is one of the trends, which will continue to play out.

Moderator: The next question is from the line of Aman Soni from Nvest Analytics Advisory LLP

Aman Soni : Congrats for a good set of numbers. Most of my questions are already answered. Just one question, like I was checking on your quarterly numbers 2 years back. So we were in the range of INR200 crores to INR250 crores kind of numbers. But we see last 4 quarters, we are consistently delivering decent numbers and currently quarterly run rate is approximately INR350 crores. So from here on, how do you look -- how this trend is going to be for the next, say, 2 to 3 years?

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Anuj Kumar: So think of it this way that a large part of the fortunes are still linked to the cycle in the capital markets. There is no denying that because the MF market drives the core business. The MF and the (1:02) broking market drives the KRA business. The MF market drives about 55 % of the payments business. There is a significant diversification too, but we will be married to this. A lot of this, therefore, is about what view you take on the domestic capital markets. If domestic

capital markets have similar growth, then you will see the revenue up the way you have seen it in recent years. Of course, there will be some periods of ups and downs in terms of like someone else said, growth cycles will never be certain and will never be in the high 20s and 30s. So keep that in mind. But I mean, one thing I would certainly agree with you that a lot of revenue up has been contributed by MF, but the non-MF part has started kicking only in the last 2 years.

That only started kicking in the last 2 years in the last 8 quarters, you've seen stratospheric growth from KRA and payments. AIF has done a good job continuing to grow over 20%. We are waiting for one of our other markets for insurance to become a sensible contributor to revenue, and that will happen. Like I've always said, we are taking a bit of that, that will happen.

I think the diversified part is growing. The non-MF part has delivered quite well. So our ability to define revenue scale is better than what it used to be 3 years back is what I was saying.

Moderator: The next question is from the line of Dev Shah from Haitong Securities.

Dev Shah: Congratulations on a good set of numbers. Just a couple of questions from my side. The first is a data keeping question. Can you give us the SIP book value that you used to provide earlier as well as the SIP transactions processed and the live investor folios that you used to give earlier.

Second is, do we still stand by the guidance of the non-MF proportion reaching almost 20% by FY '27? Do we see some kind of variations in that since the MF portion has grown so strongly? And lastly, could you throw some light on the new Fintuple Nivru NPS venture? And what's happening on that front? That's it from mine.

Anuj Kumar: (1:04:20) , sure. So your question was

how do we continue -- how do we continue growing in the future, this one.

Sorry, let me take the second part first. Your first was about the data we'll just see if we can give you some data. On the second part, you have said about MF and non-MF, whether we are holding on to the 20% guidance, we're certainly holding on to do the 20% guidance. Just think of it this way that traditionally, the MF market has grown, our own revenue base would have grown early to mid-teens. That has traditionally been true. And our call was that we will make the non-MF part grow in excess of 20%.

So if you take those 2 parts in isolation, what you will see is that the non-MF part has grown beyond 20%. It's now been growing 30%. And for the ensuing 4 to 6 quarters, although we don't want to make any specific forward-looking statements, we are confident of mid- to high 20s growth continuing to happen in non-MF. So we are delivering the core metrics. What I control is the revenue growth in non-MF, which we are saying we'll continue growing at mid- to high 20s in a lucky quarter like we've had in the last 2 or 3 will grow upwards of 40%.

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Now MF is a very large base. So for MF revenue to continue hurting forward at 30% plus is perhaps a quarter or 2 phenomenon, it's unlikely to be a 2-year phenomenon. We expect that at some time, the MF revenues will go back to their teens and will not stay at the 30% plus that we are at. So we're holding on to a forecast that we will continue driving diversification through this skew growth rates and investments and drive the non-MF contribution -- revenue contribution to 20%.

On the first part, are we able to give any number?

Ram Charan: Yes. So the live investor folios as of end was around INR8.6 crores. And the unique investor service was INR3.7 crores. This is again, investor folio is a growth of 31% year-on-year is as of 30th of September. And the SIP transactions actually processed is around INR17.8 crores systemic -- not the SIP, systemic transactions processed is INR17.8 crores, again, that's up around 30% year-on-year.

Moderator: The next question is from the line of Santosh from SKA HUF. Please go ahead.

Santosh: Congratulations for a good set of numbers. My question was about the previous participant when he asked about Fintuple and Nivru NPS. So if you can just explain that what does Fintuple do?

Is it into mutual fund business? That's the first question.

Anuj Kumar: Fintuple, like we have stated in the past is in the business of building large bespoke platforms, for large banks, that is what they've done in the past. When you see CAMS WealthServ product. So WealthServ product is sold to PMSs and AIFs so that they can automate and digitize the process of onboarding individual customers to the PMS. What Fintuple sells is to large banks, let's say, ICICI bank.

They've built a large platform, which is used by the bank to have their PMSs, the ones for whom the bank is doing custody, for them to onboard customers to the same platform. So that's the core product. It's live with one bank, getting built with another large bank. Nivru is a diversification where the same capability of being able to onboard the customer is then sold to a POP, a point of POP for pension. If they are able to integrate with all the 3 CRAs and are able to onboard

digitally. New customers coming in to buy pension.

Santosh : Okay. Great. So can you think of this as a software production company specifically for banks and AIFs?

Anuj Kumar: No. So it is a platform product. It would be -- I mean, it can be charged in different ways, basis assets, this is the number of customers who come in on basis of license fees. So the charging can be different, but it is obviously a platform or a software product.

Santosh : Okay. Great. Great. And what is the market share we

may be holding here, sir?

Anuj Kumar: Project is getting launched. We have still not reported the first win. The product is getting launched.

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Santosh : Okay. But we are reporting in the PowerPoint presentation, that new 57 new mandates you got in quarter 2 FY '25. So it's like what quarter and there's no revenue yet?

Anuj Kumar: The 57 that you have reading are total wins in AIF. These are a collectivity of core AIF and PMS RTS servicing win, fund accounting win, WealthServ platform wins, WealthTrack analytics wins and custody wins. So it's a sigma of those. Right now, Nivru doesn't have a live client. We are in the process of closing the first deal.

Santosh : Okay. Understood, sir. And my second question is about are we object to any compliance audit by regulator? And if so, then by what date or year this has been done?

Anuj Kumar: So you will see that all of CAMS's businesses are related -- small parts may not be. So I think Analytics may not be directly regulated. Almost every part is regulated, SEBI regulates and licenses the MF RTA and the KRA businesses, RBI governs and licenses the account aggregator and the payment aggregator, PFRDA licenses and governs, the CRA NPS Business and RDA licenses and governs the CAMS rep business.

I don't know how to answer the second part of your question because the regulatory obligations, reporting obligations are very vast. It is not that it is a once in a year audit, where we get the audit done, we sign off and then all of us go home. So think of it as a -- in your portfolio of companies and whatever you see, think of how many companies you can count, which have all the 4 regulators governing them, and which have 6 instances of these 4 regulators. I'm sure you won't even find a handful. The regulatory scrutiny and the controls posture is extremely intense. It is not just at a bare regulation level. It also exists at the level of how we manage cybersecurity, how we manage BCP, how we manage employee screening, it's a cumulative of all of those.

Santosh : Truly, truly sir. Yes, I understand that. So there's no like closure of audit for a particular year, let's say, till FY '24, it's been closed, nothing like that. Is it?

Anuj Kumar: Yes. Just think of it that last year would have been closed by a regulator.

Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over to Mr. Ram Charan sir, CFO, for closing remarks.

Ram Charan: Yes. Thank you.

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MANAGEMENT : MR. ANUJ KUMAR – MANAGING DIRECTOR –
COMPUTER AGE MANAGEMENT SERVICES LIMITED
MR. RAM CHARAN SR – CHIEF FINANCIAL OFFICER –
COMPUTER AGE MANAGEMENT SERVICES LIMITED
MR. ANISH SAWLANI – HEAD, INVESTOR RELATIONS –
COMPUTER AGE MANAGEMENT SERVICES LIMITED

MODERATOR : MS. SHIVANI KARWAT – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 and 9M FY '25 Earnings Conference Call of Computer Age Management Services Limited hosted by Orient Capital. We have with us today Mr. Anuj Kumar, Managing Director of CAMS; Mr. Ram Charan SR, CFO; and Mr. Anish Savlani, Head, Investor Relations. As a reminder, all participant line will be in the listen-only mode and there will be an opportunity for you to ask question after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Shivani Karwat from Orient Capital. Thank you, and over to you, Ms. Karwat.

Shivani Karwat : Good morning, everyone. Welcome to the Q3 and 9M FY '25 earnings conference call for Computer Age Management Services Limited. Before we proceed to start the call, I would like to give a small disclaimer that this conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on date. These statements are not guarantees of future performance and involve risks and uncertainties, which are difficult to predict.

A detailed disclaimer has also been published in the investor presentation, which was released to the stock exchange. I hope everybody had a chance to go through the presentation. I will hand over the call to Mr. Anuj Kumar, Managing Director. Thanks, everyone, and over to you, sir.

Anuj Kumar: Thanks, Shivani, and good morning, everyone. I appreciate all of you taking time out to join the third quarter earnings call for FY '25. I have Ram Charan and Anish in the room with me today.

We will commence the presentation, spend about 20, 25 minutes on the content, which I'm sure you've gone through, and then have enough time left in our hands for questions and answers.

I will commence. Overall, I would classify this as a strong quarter despite the fact that, especially in the capital markets, not just in the mutual fund space, but across broking and other related businesses, there was some element of slowdown and some element of -- the past trends would not sustain with the same momentum.

Despite that, I think the team has done a stellar job in reporting revenues, profits, wins, product launches, market share gains at a level which frankly has been unprecedented. I will just take you through individual products and businesses so that you begin to appreciate how this looks like. But as a brief summary, revenue grew -- overall cap revenue grew just short of 28%. This number was about 32% in the last quarter.

At 28%, it remains one of our best quarters so far, but of course, lower than the last quarter. MF revenues on the back of about 38% - 39% growth in assets were in excess of 28% growth. So

that translates to the standard yield to asset expansion ratio, 28.5% revenue expansion or about 38% AUM expansion. Non -MF revenue, which was upwards of 30%, was 32% last quarter, is at about 22%.

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It's a great number not as good as it was in the last quarter. If we had the momentum in some of the markets, this number would have been closer to 30% or in excess of 30%. We believe that we have all the intrinsic foundational components of product, sales, delivery technology, all of that in place to get back to that number very quickly. So I would attribute some of this compression over the last quarter to what happens in the market.

Share of non -MF revenue, therefore, because MF expanded faster, is at about 12.5%. In the face of all of this, given the fact that we had almost 7 straight quarters of significant revenue expansion, I think the overall book w

as managed very well. EBITDA grew by 34%. So in excess

-- significantly in excess of revenue growth.

Despite these times, we had EBITDA percentage at 47%, almost 220 basis points up year -on-year, which I think from an execution discipline, cost management perspective is very sound. PAT grew over 40%. And the PAT percentage is at 32.6%, and this is almost 300 basis points up year -on-year.

So I think overall, from a cost efficiency delivery perspective, despite the large investments we are making across product lines in technology, in data centres, in security and in talent, especially, including some of the money, which we continue to spend on the re -architecture of the core platform program. If I put all of that together, I think the opening numbers at this level is just a very strong outcome of how we run the plays. Over to the next.

I will take you through some of the operational highlights. I'm very, very pleased to share with you in the large revenue base of mutual funds, I think the way things are panning out, and this is not just about quarterly performance, all of this was foundational, the way the market perceives our performance, our superiority, capability to deliver the very stringent outcomes that the industry now needs.

I think there's everything pointing in that direction, and need not to give more than I have on the chart. We won all 3 MF -RTA mandates on offer. Jio BlackRock, which was kind of agreed some time back. We were waiting for the execution, so we're formally announcing now. Pantomath MF, which is an emerging but large AIF player in the country.

Choice, which is a listed holdco, which has a large broking operation, but also a lot of stuff in distribution and other live capital markets activities. So with these 3, while we have claimed the superiority, the significant, I would say, undeniable superiority over the last 3 years, I think winning 6 out of the 7, including the very prestigious deal to win, which was Jio BlackRock, is very, very pleasing.

We also won, and this was an inbound. I think we've shared with you in the past that right now, we are not doing any formal bid process for overseas contracts. But this is inbound, the CEO wrote to me on LinkedIn. And there was competition, obviously, but they were kind of predisposed. And I think that's the other thing which pleases me immensely, that a lot of the buyers are predisposed towards us.

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It means that they have a strong reason to buy from us. Of course, you have to win every contact. You have to fight for it. It is not that it gets thrown in our laps. But getting an inbound like CeyBank was extremely pleasant. So we close this. We're going live in some time in the next 2 months.

Overall, AUM grew about 38%, equity assets, which have had a green stellar run grew 51%, but at 38% strong growth, although slower than some of the past quarters, but still very commendable. We also won the second MF -RTA migration mandate from competition. I think a lot of you about knowing the name, tenure and some of the salient details about this.

So while we have a signed contract, I think we're still waiting for a formal assent from the client to disclose their names. It's a smaller AMC, again an inbound. You know that as business strategy, we are busy expanding in new clients and new areas, which will be defined. So churning the base has not been a core strategy for us.

Whenever somebody comes with an inbound and it looks worthwhile, and then they're

determined to migrate because migration of an MF -RTA operation is not simple, then we move it. So this is a name that we will announce in a bit. But it also kind of does one more thing that for a long time it's been said in the market that CAMS is perhaps more positioned for very large AMCs and that's a franchise .

And that's also kind of a headline, which got cr

eated for some time. In the last 3 years, we've been conscious that you -- we must give the impression that we are good for emerging people, and we will pay them the attention and the focus that they need to be successful in there businesses because actually an RTA is not just a supplier or a, I would say, a partner. It's also an enabler in their success.

Very happy to state that all of these are not licensed mutual funds, some have got in principle, some -- most are in operation. Some of have got final licenses and are about to launch in the next 2, 3 months, at least 3 of those. And there are 2, 3, which have got an in -principle approval, whose names we already told you. So that takes us to 26 out of 50.

It's again, you've known that we are not in a habit to chase for any number. We are not doing that. We want to build our portfolio and continue sustaining it so that it is right design for the future. There are deals we want to win. And some of this is just good enunciation of our strategy in terms of how things went.

So 6 out of the 7 new AMCs in recent times, all the 3 MF -RTA mandates in the last quarter, including the very prestigious name of Jio BlackRock, CeyBank with an inbound the first official international contract, second migration from the competition. I think this just gives you a flavour of how things stand in the core.

And when I go outside the core and tell you what the other businesses, I think your excitement will be as sustained. But this is just great building the franchise and building insurance for the future. Overall again, equity assets crossed the INR25 lakh crore mark. I know that till about the

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month of September, but even till December, you know that net sales and collections in the number in the markets have been pretty good.

So our equity assets crossed INR25 lakh crores. This number used to be about INR12 lakh crores in March, April of '23. So it's taken 18 months for this entire number to double. Equity net inflows were at about INR97,000 crores. So close to a INR1 lakh crore number of equity net inflows is a staggering remarkable number.

Remember that this number has typically been half in a year, 1.5 years back time frame. So it's grown from the late 40s to about mid to high 90s. NFO sales, which you know, I mean, new AMCs have to do that, but some of the established AMCs do that just to broaden the product portfolio and right -size the offerings, 35 new schemes. So almost a scheme every third day. It just creates significant operational demands in the team, but we've come out very well. 70% share of NFO collections.

You know that NFO collections, this metric has largely been favouring class -based service funds. So that 70% has been a great number. SIPs, new registrations, while they climbed almost 50% year -on-year, were not as strong as the second quarter. And again, you know that some of the sentiment of the market started correcting in late September. So we had a full quarter of what I would say is correcting settlement. But within that growing 50% year -on-year was a great number.

Again, for the quarter, very neat share gain. Net registration share increased to 64% from 60%. And similarly, a very similar trend on unique investor base, which touched INR3.9 crores, just short of INR4 crores. Our share grew 31%, industry was 25%. So again, significantly ahead of industry competition.

On the non -mutual fund side, again, I would say, a very sustained story. And you know that we have often described this business as our prospect . And I think quarter after quarter after quarter, in your eyes, too, the credibility of how the individual businesses are performing would have gone up. This is not just some area of, what I would say, marginal work. It's becoming core work. A lot of these businesses are growing ahead of the market.

We are taking

share from a logo win perspective and inside the base, they're taking share in terms of transaction and revenue. And there's never a better description of success than that because you have to be unlike some people who may just sell on price for some time just to show some numbers. I think this is sustained now almost a 2 -year history, 8 to 10 quarters, and I can assure you that you will keep seeing this in the coming years and quarters. CAMSPay, you know we reported a 26% revenue growth last year, and FY '25 has been touching

50% plus. So stellar revenue growth of 53% despite the fact that any slowdown in consumer investments might be kind of things that does impact us. But the business grew 53%. Digital payments as opposed to the physical lines, etcetera, have been driving this.

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CAMS KRA, which grew almost high 90s last year had been growing 50% plus in the last quarter, grew 27%. And I would say they grew -- we grew 27% despite a slowdown in new account opening. Where did the slowdown happen?

The slowdown happened, obviously, in MF being bought and new folio creation, in demat(13.55 seconds) accounts being opened, which is a consumer for the service and F&O accounts opened by consumers to trade the stock markets, all of those things slowed down. You track the sectors, so you know the numbers.

And despite that, I think the 27% year-on-year growth has been a fantastic achievement. We continue to take share in this market like you know, and continue to grow revenue ahead of market. New client acquisition from the non-MF segment has scaled. We have some of the smaller brokerages.

I think you guys have often asked the question, do we have one of the top 5 brokerages. One of the top 5 was signed during the quarter, at least one more should follow in the next 3 to 4 months. So I think this is a good starting, a very strong investment and scale-up on the non-MF side, which is a segment we started focusing in the last 2 years.

But the product is being bought, which means the brokerages we bought similar like this, and that's pretty strong. On alternatives, we've continued to scale. We've added 21 new clients, 21 new clients during the quarter. GIFT City has been a great story. We now have 25 clients managing over \$1 billion of AUM. We continue -- although I'm not naming specific contracts, I know it's possible to name them, but we're not naming specific contracts.

We've got the churn mandate from the competition, which means they have won a contract 1.5, 2 years back, the clients are churning to us. And again, base churn is not a core strategy. If somebody is unhappy with the provider, they come to us, and we will take them. But in the GIFT City, decidedly underscoring our leadership, having set up a new office back in October with the capability to seat over 50 people.

In AIF adding 21 clients during the quarter. In digital, onboarding, and I'll show you the numbers next, we are at least 4 to 5 times bigger than any competitor. I think all of that is very, very gratifying in terms of how the business is built. On repository, on insurance, you've seen the INR1 crore number that we declared some time back.

So you know that our organic pace of building policies under management used to be about INR0.5 billion or INR5 lakh a quarter. We've now scaled it to INR10 lakh a quarter, and I'm sure this number can scale further. Our aim is to bring it in line to about INR15 lakhs. But the thing I also wanted to mention is that we now have a second life insurer.

Now you can ask me why it's not 1 of the top 10, but this is the second life insurer in our history who's opted to give 100% of their policy base to us. So you can argue that there is conviction, not just in our mind or in some end consumers' mind, but insurance companies and life insurance companies who are complete believer are

bringing 100% of their policy base to us, so Star Union
Dai-Chi is the second one. There is a small life insurer there already.

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And we expect this is part of a trend. It's not a flash in the PAN. It's not a one-off event. So in the year, we expect 1 or 2 more deals of this kind of come. And to me, it's very heartening because it's the shape of things to come. As more and more insurers continue to believe in insurance repository and choose to take the whole decision of handing over 100% of the coverage policy with us.

I think that's a great place in. Bima Central unique base crossed 4 lakh consumers, volumes grow 40%. Of course, the base is very small. So percentage growth isn't the right metric, but I'll show you how the overall things have done.

And then CAMSfinserv has just won a mandate recently, both the account aggregator, TSP and analytics from one of the largest scale banks in the country. And Think360, where the account aggregator analytics and business Think360 because they are the experts and they have the capability.

We won a TSP++. This is basically an analytics mandate from one of the largest banks in the country. It's a long-term 3-year contract with some fixed billing terms. So again, very heartening to see not just in MF, I think as I told you the entire story of how the thing has happened. But in payments, in KRA, in alternatives, those 3 significantly because that uptrend has been there for more than a couple of years. But in repository, I'm continuing to see investor and insurer interest and scaling, and then in Finserv, some very, very high-quality deals have come our way. So that's on the summary, performance.

I know you've seen these numbers. I don't want to inordinately spend time on taking you through these individual numbers, but suffice to say that a big metric of scale is how many transactions we processed a year back, in a quarter INR15 crores. This year same quarter INR24 crores. So it's grown 40%. You haven't seen anything coming up. You haven't seen missed payments, delays, bad service, any negative press of any kind.

And I think that's just a commendable job done by the entire team. So between technology process, compliance, operations, all of them have done well. Overall unique invest or growth, I spoke about, 31% against, so ahead of industry growth. Equity AUM 51%, net sales almost doubling in a year. And new SIP registrations also in a year (19.45 mins) growing about 50%. So I think that this is a good annunciation of what a great product can look like.

Now obviously, the markets will have great times and not great times. And I think you have to live through them. And in this quarter, it's not a slowdown, it's going away in a given day. But I think there's a third quarter, despite the slowdown, I think on individual metrics, very, very heartening for me to see the way things have gone and what the team has been able to accomplish.

Go to the next. Again, you've seen these numbers. I don't want to inordinately belabour any one of them. If there are any questions, we're happy to take questions during the Q&A session. I've spoken about all of this, so at the cost of not being repetitive, we are just driving in a little more detail some of the individual businesses.

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I spoke about CAMSPay's percentage revenue growth. I think from a logo addition perspective, I didn't speak about that, almost 24 new logos added in Q3. And some of those win records, for 21 in AIF, 24 in payments is unprecedented because some of these are real scale clients. Also happy to share with you about 3 quarters back we had said, we've been empanelled by LIC for auth services, authentication services. These have gone live. We've also got empanelled for payment gateway services. These

are extremely high-quality, high-tenure clients that we certainly wanted to acquire. So the good news is they're beginning to use us and scale up the services. Obviously, it takes some time to go live, but that's a good thing.

On the KRA side, I spoke about the revenue growth, added almost 20-plus different financial entities, fin-tech's, MFs, continue to scale up and not have a ban. And added one of the top 5 brokerages. One of the emerging brokerages whose name we will disclose over a period of time from India's largest corporates, they have chosen CAMS KRA as a partner.

So good set of wins. You saw some mention of the NEXUS dashboard in the last presentation. We launched WhatsApp KYC, all future-ready, futuristic things that will help us scale business and be of service to our clients and especially gain share at good price. I spoke about alternatives. We spoke about 22 -- 21 new wins.

But including CAMS WealthServ, which is onboarding platform, almost 53 new mandates. WealthServ almost 185-plus sign-ups. So if you think of that industry, AIF domestic PMS at about 1000-1,200, serious operating at least almost one-fifth of the market buys from us. The competition probably have, any competition, not one main competition has maybe one-fourth, one-fifth of that number.

GIFT, we said we are putting our money where our mouth starts. We set up new office. We've crossed 25 clients, planning to add another 2 or 3 in a month's time and then Fintuple is now in addition to everything else that they build and sell focusing on NPS as a segment, where we will build and sell some integration tools.

With that, I think I've spoken about most of the things. So one of the fallouts of having 1 crore e-policies that we also have 80 lakhs EIAs or e-insurance accounts. We all understand that every citizen and every investor is allowed to have one. So some of the opposite of this is that those 80 lakhs investors now come and add a second and a third policy, which means we have to do a small campaign from the policy growth is not just sell, sell, sell growth.

It's all organic growth because the investor we insure now has EIA account with us. He has won (23.42 mins) life insurance policy. Policy as [Inaudible 23:45] the policy. Some of the growth you're seeing is also of this base growth. Bima Central, we're beginning 3 integrations, fourth in

progress. Of course, we would have liked the speed to be higher than this, but it takes some time to just get the physical integration on.

So that did 4 lakh user base, transaction volume grew about 40%, some of the recognition including that we have set up stronger [Inaudible 24:15]. Think had a strong quarter. This is TSP++

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mandate is from, well I can say, the top -- 1 of the top banks in the country. Very competitive, won against competition. So that was great.

BOB Financial Services, which is a subsidiary of Bank of Baroda, for whom we already do KYC, came in with expansion in video KYC for BOB cards. Algo360 won a contract from Unity Small Finance Bank. We're building some smart, cool, Gen AI led ad-surveillance solutions for regulators, depending upon their willingness to spot early whether there any influencers who are making claims.

So even financial service houses or product houses who are making claim some products that aren't exactly right. The AAmaze analytics solution for account aggregator again the business fits inside Think360. It's always tied with multiple brokerages at NBFC this is largely used for the personal finance management, portfolio management this year.

And then some recognition for Think360 so they were covered as a challenge by the analytics system as we grab hold of the finance part. Finserv (25.39 mins) we spoke about the length and the overall year-on-year revenue growth, CAMS NPS grew over 100% on subscribing

onboarding. Over to the next. So that's what I had and happy to take questions. Handing over now to Ram Charan so now that he can take you through the financial numbers.

Ram Charan : Thank you, Anuj. So I'll just spend a few minutes on elaborating the financial numbers. So we did post very strong numbers this quarter with the growth in MF revenue largely in line with the AUM growth with stable yields, and the non-MF also growing on a year-on-year basis closer to a long-term expectations of growth.

We also posted strong profitability. In fact, our PAT increased by 280 bps quarter-on-quarter.

The EBITDA increased by -- on a year-on-year basis, the EBITDA increased by 230. And there's a small creep up in the quarter-on-quarter margins also in spite of it being a quarter where assets did not grow as much as it did in the earlier quarters.

So we ended the year with a revenue of around INR370 crores, which was a 27% growth year-on-year and a 1.3% growth quarter-on-quarter, largely driven by the AUM growth. It was INR46.77 trillion average AUM versus INR33.95 trillion in the last quarter. So that's a significant growth in AUM, which has contributed to the increase in mutual fund revenue.

The asset base and the non-asset-based revenue largely grew on similar margins, similar percentages with the transaction revenue on a year-on-year basis, growing significantly. Also on quarter-on-quarter, as you would have noted, the transactions did not grow a lot. From a non-MF revenue, I think the details were given to Anuj in his earlier discussion.

So we did grow 22% on a quarter-on-quarter basis with almost all the verticals posting growth on a year-on-year basis while there was some slowdown in the quarter-on-quarter because of the underlying market conditions for KRA and payments. But overall, year-on-year, 22% growth, largely in line with what we actually expect.

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So that to make our non-MF revenue 20% of overall revenue within the period of 5 years, which is probably another 2 to 3 years from now. Asset mix was again favorable. Equity did have a mix of 54.6%, which was again favorable from a yield perspective for us.

From a profitability, as I mentioned, we actually posted very strong numbers on margins aided by our cost control as well as the operating leverage that we have. So on operating EBITDA, we actually closed the quarter with a 47% operating EBITDA, which was, in fact, slightly higher than the earlier quarter in spite of the challenges we had on the AUM growth in this current quarter.

On a year-on-year, there's significant growth from 44.8% to 47% in terms of the overall margin. So there has been a slight creep up in margins even on a quarter-on-quarter basis with the operating EBITDA growing around 34% year-on-year and 1.5% quarter-on-quarter. And the PAT showing a similar trend of more than 40% growth year-on-year and at 32.6%, we are close to the historic high that CAMS has achieved in terms of bottom line.

Our return on network continues to be extremely impressive with 48%, and we entered the quarter with a very comfortable cash and cash equivalent of INR770 crores. The Board was pleased to declare an interim dividend of INR17.5 per share. With this, the total dividend pay-out only for the current year, which is the first quarter dividend, the special dividend that we declared in the second quarter.

And this put together is INR260 crores of pay-out of dividend is what we are doing only for the current year, keeping in line with our dividend policy. So overall, it has been a very, very strong quarter. I just wanted to end this with a small commentary on the yields. So yields have been largely stable for the last few quarters, right And in fact, some quarters have surprised on the positive side also.

We have, over the last year, renewed a lot of the major

contracts and the other customer contracts

with a limited impact on the yields. And we do expect, however, in the future, there could be some stream, more than usual reduction in the yields over the coming year due to some price changes. While we are in discussions, and we will know the exact impact once the discussions conclude, but we think it is prudent to kind of alert this point that there could be a more than usual reduction in yields over the next few quarters.

Of course, we will ensure that the impact on margin is not material. Obviously, we have a lot of tools at our disposal including automation and the process improvements and the operating leverage that exists in the business to ensure that the impact on margins is muted. But I think it's just prudent to tell you that, that could be a reduction in yields more than usual over the next few quarters.

We will get back to you with details in the next quarter when there's more clarity on this particular point. But for this, this has been a very, very strong quarter, as Anuj said, a lot of foundational things are happening, which ensures that the long term -- the financial metrics of the company will continue to be impressive, whether it's in terms of wins in the new MF logos,

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in share in the equity flows or new logos that we are winning in the non-MF and MF business. All these things point to a very positive future in terms of financial metrics also.

So with this, I will just pause and hand it over back to the moderator for any questions that you may have.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain : Congrats on a great set of numbers. Just a few questions from my side. First one on this international mandate first of all, what is the size and what are the realizations, yields, and what can be the time frame that we will look at and whether it is the entire asset base or one particular geography that you have won the mandate, that would be helpful. That would be my first question.

Second, you mentioned on the shift of AMC, right? So does this kind of open the can and increase the competition or allow third player to start entering this space? Does the competitive landscape change because we've been -- that has been one of the key strengths that the shift of AMCs in RTA business is a very difficult one and generally does not happen. But does this mean that if it is a meaningful one, then there would be further more transitions?

Third one was on brokerage. You said that you -- on e-KYC, you added one of the top 5 players. Would this -- is it more clarificatory whether this would be replacing an existing one? Or you're getting the -- you would start getting share of incremental business, or it's an exclusive deal that you would get only -- you would be the only one. And last question is just on this yield pressure that you mentioned.

Ram, what has changed in the recent past that is causing this change? Because on the other hand, if you look at this quarter, the AMCs have reported flattish to marginal improvement in yields.

And we are talking about and the corrective actions that they have taken, some of the AMCs which have taken for the commission structures that is benefiting the yield.

So why in this kind of an environment, we are taking the pain and we are taking the pressure of reduction in yields? Yes, those would be my questions.

Anuj Kumar : Sure. So on Ceybank, it's, I think, an operation which will -- think of it like as a INR1,000 crore AUM Indian client. So approximately that size perhaps a little smaller. This is not a sign. We are not announcing some big bank global entry. So like I said, an inbound inquiry. We've just right sized the software because we need some of the regulatory

setup to get into this currency,

those kinds of things and the processes that they follow. We should be live by April.

I think right now, you have to think of it as a contract which will bill a few crore rupees a year. It's not a very large contract. It will bill a few crore rupees a year. So the only reason we're stating it here is that it's a nice inbound for us to get because there was inquiry. And then it came in, we don't have yet a dedicated sales force to go after these things. So that's point #1.

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Point #2, you asked whether clients will begin to churn a lot. If you want my honest answer, the churn in MF -- the movement between 2 RTAs continues to be as tough as it used to be, perhaps tougher. It is despite the digital era. Actually, the digital imposes a lot more constraints than the physical world did. So it's not that there's anything easy in terms of shifting.

I think these cases, you saw one (35.34 mins) case about 2, 2.5 years back, we're seeing the second case now where people -- and none of this is for commercial considerations. Now of course, you know that came across in public, you can also see what prices are being charged. It is just that people want to work with us. I mean, I think because the evidence that people who want to work with us seek us out. That's how this is happening.

Can a third player come in? A third player cannot just come in because it's either easy or tough to churn. They need to have the product and the entire suite, which is we've told you in the past, it's so comprehensive, but it's very tough to build. It's maybe a 5, 6, 7, 8-year duration process, maybe longer than that. And you see some examples of competitive entities, which came up that could not sell.

So this does not make churning any easier, this does not create any room for a third player. I would still say think of it as a very uncommon event, someone with great determination and grit would like to cross over. So those were your first two.

Prayesh Jain : Yes. The third one was on brokerage.

Anuj Kumar : On the brokerage part, so this question has been asked of us often for obvious reasons because some of the large brokerages, Zerodha and Angel, happen to be MFRTA clients. So we are often asked this question are they coming in.

Right now, this is someone else. They will come on at some time. This is someone else, one of the top 5. Typically, how a KRA or a payment operation inducts a second partner. Broadly, think of it as about 20% to 25% share, which means they will still keep the first guy. They will keep the first guy. They will not yank at and rip them out. So it doesn't work like MFRTA does, where you have a single partner. You can easily have a 2-partner solution.

They start giving -- nobody does this to just add 5% or 10% volume. So the expectation should be that about 20% to 25% of the payload will start coming to us. That's item #3.

Well, item #4, I think what Ram Charan said, I'll just divide the argument into two parts. One part is that it's almost the entire renewal cycle of large, medium and small contracts done. The answer is yes, you know that last year was part of the asset test here, we had a lot of these contracts come up, and we have successfully renewed all of them or almost all of them. So there are 1 or 2 where there may have been a historical backdrop of uneven prices. And given the fact that in the last 6 quarters, after March of '23, so starting April of '23 till December of '24, we have around 6, 7 quarters of extremely strong growth. We may be doing something for 1 or 2 clients, I think that's the mention. For most of the base, the renewals are all done. They're

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typically 3-year renewals. So that large task, which belonged to 2024 and early '25 has been accomplished.

plished.

Prayesh Jain : So this is like a one-off fit that will come to your book for a very long period basis? Is this kind of resetting of the base also of the back? So this will all come in probably one quarter or something, they will impact?

Anuj Kumar : No, no. It won't be like that, whatever adjustment we do. So I think the bottom line is like this. We have assessed, obviously, the task at hand. I think the broader statement from us is that we are confident that we will hold margins and everything else. You know that we've done -- we've had to do these things once or twice in the last 6, 7 years from time to time as the market expands. And if there are any, I would say, pricing unevenness, it plays out. So it will play out in our case also. Don't read it bigger than what it is. But yes, it will happen over financial year '26, FY '26.

Prayesh Jain : Thank you and all the best.

Moderator: Thank you. Next question is from the line of Abhijeet Sakhare from Kotak Securities. Please go

ahead.

Abhijeet Sakhare : The first question is coming back to the yields part. So if it's possible to quantify your comment around higher than usual compression. And putting that in context, I think this 9 month so far, we have seen on a calculated basis, almost like a 5% to 6% compression. So does that mean it's higher than this number is how we should look at next 12 months?

Ram Charan: So Abhijeet, the way we look at it, the long -term compression of yields, if you see over a longer brand I don't think 1 or 2 quarters will do justice to it, is to actually look at it at a number closer to 3% to 3.5%, right? So that's been the long -term range in terms of the yield's compression.

What we feel is that the 3.5% might not hold good going forward, at least for the next year.

And so for the reasons Anuj mentioned, that there could be some pressure on it subsequently, whether it will be double of this, unlikely. But that could be something that is higher than that.

As I said, the impact will have to be assessed after we do it. So we don't want to give a better or worse picture than what it is going to be finally.

But as Anuj said, we should not read more than what it is intended to be, which is our guidance to you , saying that if you're building your models using the usual yield depletion, please add something to it so that it becomes more accurate. So it will not be double of what it is now, it's not going to be a depletion like that, but it's definitely going to be higher than the 3.5% that we are seeing historically to be the year in depletion .

Abhijeet Sakhare : Got that. Moving on to the KRA question. So here , just wanted to understand what would be the mix between mutual fund -related revenues as against broking? Because we've seen, let's say, similar growth in terms of mutual fund account additions in 3Q. But obviously, I think the broking side has seen like a 20%, 25% dip, which is similar to the decline you've also seen on that revenue line. So a mix there would be helpful.

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Anuj Kumar : Sure. So largely look at it this way that non -MF is about 18% to 20% of revenue contribution. It's a much larger market, so we want to scale it. But right now it's about 18% to 20% of the KRA business in terms of revenue.

Abhijeet Sakhare : Got it. And last one is how should we look at the expense growth for the next few quarters or next 12 months or so?

Anuj Kumar : So I'll let Ram Charan answer this. I think from a broad perspective, we have been in an investment mode on products and technology for over the last 2 years. We spent and you've seen some of this that we spent for workforce modernization, we brought in, we did get in a substantial number of IoT kind of hires in the last year.

We continue to work on the platform re -architecture program, which continues to advance. And although a lot of t

he cost will get capitalized, there will be some offsetting of the P&L. Our capex this year has been larger than usual, also the IT opex . But I'll let Ram Charan kind of give you a little more detail in terms of exact numbers.

Ram Charan: Sure. So Abhijeet, you would have seen that during the current quarter on a quarter -on-quarter basis, the expense growth was a little muted, right, especially on the salary cost. This is after considering the talent infusion that's happened in terms of the IIT, IIMs and other senior hires that we've done. So what we expect overall is -- there are three things I'll split it into, the employee costs, the operating expenses and the fixed cost.

From an employee perspective, we've seen it to be stable around 32% to 33% of revenue. So barring this one quarter in April, May, June, where there could be some increase because of the annual appraisal impact, it has traditionally been around 2% of revenue.

Apart from that, we don't see that to be very different. I think we have a fully staffed organization. Whatever we do in terms of talent diffusion will continue to happen. But I don't think it's going to be significantly increasing the cost by 4%, 5%. At most, it would be a couple of percentage increase there.

But I think you'll see remarkably stable operating expenses. It has traditionally been if you take away the OP, it's traditionally be around 8% to 8.5% of the revenue, be it the sponsored bank charges for payments or the data entry charges for CAMS or for software -related direct expenses that we're incurring. So we don't see any change in that ratio too. And fixed expenses, it just goes with inflation.

So the short answer is, I think in the next quarter, we see very stable expense. We've been around the INR195 crores, INR196 crores other than depreciation at the total quarterly expenses. You can say you'll see probably a couple of crores of increase in expenses, but we see a stable expense base. And the year after, barring the salary increase that we see, we don't see a big expense in the opex part of it.

The capex , will continue to make investments in terms of the Rearc , in terms of the other

compliances that we need to do for SEBI purposes or for IT infra purposes . But from opex

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perspective, in spite of continuing to invest in talent and in spite of buying the latest cybersecurity tools, etcetera, we continue to invest in, we don't see a significant change in the cost base. It will be probably driven by the factors that I mentioned earlier.

Abhijeet Sakhare : Very helpful. Thank you.

Moderator: Thank you. The next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal : Thank you for the opportunity. My first question is on the yield that you mentioned about. So can you just clarify whether this is limited to 1 or 2 clients or this is slightly more broad-based?

Anuj Kumar : No, Devesh, this is not broad-based. As we mentioned, almost all the contracts have been renewed even with most of the major customers. This could be limited to 1 or 2. I think broadly, we have reached a stage where we are in equilibrium in terms of rates for almost all of our base, right? So I think this will be limited to probably 1 or 2 customers.

Devesh Agarwal : Okay. And historically, you have always mentioned for a 20% AUM in growth, one should assume a 15% kind of a revenue growth. So in that parallel lines, if you can quantify for a 20% AUM growth, what could be the revenue growth that we should be assuming, post these changes in the yield?

Anuj Kumar : So I think this indication was more to do with the 3 year, 5 year, 10 -year kind of projection, right? So we say on a medium to long term, we would always have this 20%, 15% playing out. I don't see that will be significantly different, probably 1 % point down

and, at most 2 % points could be the impact. But I think on a best-case scenario, I don't think it will be down by more than 1 % point.

Devesh Agarwal : Right, sir. And this would be playing out over the coming 3, 4 quarters. Is that the understanding?

Anuj Kumar : Yes, it will play out over the next financial year. Probably for the next 3, 4 quarters, you will see some impact. Again, I do not expect that this should alter -- just reiterating, this should not alter our projections for the profitability per se, right, which I don't think will be range bound. It will not be very adversely affected because of this. But yes, this will play out over the next 4 quarters or so.

Devesh Agarwal : Right, sir. And sir, recently, SEBI has come out that they want to ensure that every AMC is kind of coming up with a INR250 SIP. And they've also announced some incentives for those. So that in a way kind of increase your scope of work and even the number of transactions are likely to go up. So how would that kind of impact your cost structures?

And also, given this entire thing that the AUM growth is slowing down. So again, the timing is very precarious that on one hand, the AUM growth is slowing down, your costs are likely to go up because of the new regulations. And then at the same time, you are facing some yield pressure. So how do you see the overall thing?

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Ram Charan: So Devesh, we are extremely bullish on the overall market. I think AUM growth has slowed down maybe for a quarter. But the entire building blocks are still intact. And I would say that the micro-SIP or the INR 250, whichever name you want to take, is a very foundational building block.

The thinking behind that is that SIP has been a salaried person's product, somebody who gets a payroll on the first of every month. And now this is distributing it to people, who are non salaried, maybe daily wages or weekly wages. So it significantly expands the market.

When it expands the market, so think of it like this, that when the AUM comes in, so there are 3 parts to it. The AMC obviously incurs KYC charges. They incur trigger charges, and then they pay us for the AUM. I think once you get the money in the door, it's part of your assets, then that's a great place to be in because that will grow like the rest of the money will grow, and you will charge on it.

For SIP triggers and KRAs, there is a more beneficial rate regime only for those customers, only for those customers, which is a onetime gift from us. But we are very confident that we would like to scale it in partnership with the marketplace.

And think of it as a foundational building block. Just like you saw the normal SIP changed the market in these 10 years, let's say, in 2014, 2015, think of this small ticket SIP to be the next

change agent for the next decade. It's a very positive occurrence.

Devesh Agarwal : Right, sir. And sir, in terms of new mandates that you have won. We see over the last, say, 2 years, some of the names like Navi, Zerodha, they have kind of now ramped up in terms of AUM. I think these 2, 3 new mandates that you had won, are contributing INR13,000 crores, INR14,000 crores of the AUM. So can you share some bit of what is the revenue yield that we have here or what is the profitability of this account?

And secondly, in terms of your newer AMC's that you have won, which one do you think has -- looks to have a good potential in terms of revenue and which is the one which is likely to start operations soon?

Anuj Kumar : So think of it this way that in the base, Zerodha and Helios are the two which launched in about the last 12 to 15 months, Navi migrated again in the last 2 years. So those are new. But what's likely to happen in the next 6 to 9 months is that a large number of ones are readying to launch because they've got final approval. And what i

s visible on the horizon, although the dates are still not announced is Jio BlackRock, Angel and Unifi. I rate at least the first two of them, who expressed their ambitions to be scale players, and they have been scale players in various markets by now. So those two will certainly be scale players. Unifi has been not a mass market player so far. So they are moving from niche market to mass market. So they are a very high-quality operator, very popular in their set of customers and franchise. And we're expecting all the three to be very strong launches.

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Outside of this, then we have the other customers who've signed up whose names you've seen, which is Choice, which is a scaled player in broking. Pantomath, which is an emerging player but is scaled in AIF, significantly scaled with several thousand crores of AUM. And then we have Cosmea license. They haven't got final license yet.

So those are the next 3. I think the first 3 will certainly add significantly to scale and profitability.

Some of them are already speaking to you and to the media about their impending plans.

Ram Charan: So on your question on the scale they are in and do they actually contribute to your profitability and revenue. See, the philosophy has been that the -- and it is -- thumb rule is that AMC will start making money for you once they reach a particular scale, a threshold, so to say, could be INR10,000 crores. It could be INR15,000 crores when they start making money to you. But understand a lot of this is also platform, right, which is that just because a new person is getting added to the platform, you're not going to create an entire new infrastructure for them.

So there will be some incremental people costs that go into it, and there will be obviously some improvements that we'll do from a process perspective to what customization we do from a process perspective. But the philosophy for new customers has been that we will kind of take it slow on the first 1 or 2 years, help them grow to a particular stage, and then we will get to the steady state pricing, right? So a significant revenue contribution generally will come from probably year 2 or year 3, in some cases, year 3, after which I think it will be a question of ramping up profitability.

Within that, given that the investments will not be extremely significant on a new customer coming on board, it actually does not impact our profitability or revenue too much. Yes, there is definitely some increment that happens. From day one, they'll start using our allied services and some of RTA services. But for it to make a difference, I think our threshold is generally, around close to INR10,000 crores, we start actually making some interesting contributions to the bottom line.

Devesh Agarwal : So these thresholds that you talk about of INR10,000 crores, INR15,000 crores, will this also hold true in case of somebody doing only passage? Because some of the newer names, they're talking about only passive strategies. So will this number hold through for that as well?

Anuj Kumar : This could be much lesser in terms of breakeven for people who do only purely digital, only passives. But so far, we have to see on the ground how this works out. We have never seen an AMC specifically like that barring to an extent, Navi.

So once this passive only, or like Zerodha ramps up beyond what it is now, you will get to know. But our confidence comes from the fact that we will be able to make it reasonably profitable in quick time. And post that, it is going to be kind of an increasing trend of profitability. And that's been the philosophy in which we have been handling these accounts.

Devesh Agarwal : Right, sir. And one last one on the non-MF side. So you did mention that KRA is because of a decline in revenues, we have seen some moderation. But payments, I thought, is

largely an annuity kind of a revenue stream because it's more driven by the triggers, and which hasn't seen

any decline in terms of your number of transactions. So despite that, we have seen a sequential decline in the revenues for payments. Any particular reason for that, sir?

Anuj Kumar : No, no. This is basically a one-off. There will be some annual maintenance revenue that they get from NPCI that they have to collect from the customers and give it to NPCI. So that kind of was a higher number last month. But from a trigger perspective, we have not seen a decline in either UPI autopay transactions, which has shown an increase or in the ACH transaction, which has broadly remained stable, right? So those two have kind of been.

There has been some validations in terms of IMPS that we have done for mutual fund customers that has come down a little and some AMC revenue that has come down a little. But the UPI and the ACH continues to remain very stable. UPI, in fact, autopay has in fact grown in transaction over quarter-on-quarter.

Devesh Agarwal : Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth Management Limited. Please go ahead.

Madhukar Ladha : Thank you for taking my question. So most of my questions have been answered. Just one on this move by this AMC from your competition to you, can you elaborate a little bit on why this is happening? Is it because of pricing? Or is it because -- what is the value that we are seeing in CAMS? Is it because your platform is more robust, quality of service, what is driving? So a little bit more specification and color around why this move, that will be very helpful.

Second, by when do we expect this move? And if you could give some sort of number in terms of how much revenue potential this has immediately in FY '26 and there on. So yes, those would be my questions.

Anuj Kumar : Sure. So Madhukar, broadly think of it this way that in a competitive market, yes, things sometimes sell for price. A lot of times, customers buy value. Like we have said, and I want to practically reiterate, that we do not actively churn competitive basis. We don't. So we don't -- write to them that we can do this at a cheaper price. Would you like to get it done? None of our competitive wins you will see that color, whether new or in somebody's base.

Both Navi and this contract were inbound inquiries, which means they wanted to explore a change, came to us. We wanted to see their determination in terms of whether they're really determined or not. And once we believe that this was a dialogue, and we always end up charging a premium. There is a consistent philosophy that we don't sell it any cheaper than we would do it to our base clients because that's just being unfair to your own base if you sell it any cheaper. So we sell it at a premium.

While do they come? I mean, I will not get into the gory details of this, but it could be the quality of the platform, the service, the business controls, incidence of consumer complaints, other things going wrong, our ability to integrate KRA impairments much better because that's in -

house. Our ability to scale digital properties, which allows them access to a much larger customer base.

I think it's a mix of all of these, and people will always have one or two reasons. Nobody has a set of 10. And that's how they take a decision. I think the vindication of what's happening in the marketplace, how I see it is that when we predominantly win at a price differential in new contracts, when we win at a price differential in somebody's base, I think that then just creates a very nice feeling, and things like Ceybank are just adding gravy because that's a market

which

we don't even cover, which others cover but we don't cover. We don't have a sales force.

But people who have heard about CAMS just want to come in and talk to us and work with us.

At our end, we are focused. Like we've said in the past, that we have a large growing portfolio.

We're very happy with the quality of the portfolio. So we are also reasonably selective in terms of what we want to go after, and we are not taking on every piece of work which comes our way.

The last thing is through price discounting. We don't do that as it happens.

Madhukar Ladha : Understood. And any indication of the size? Yes.

Anuj Kumar : It's an old AMC. It's a small AMC. The annual billing will be a few crore rupees. Think of it as that size. So we will announce the name maybe in the next week or two.

Madhukar Ladha : Understood. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh : So just going back to the yield part. When I look at your equity schemes and the RTA schemes that you charge let's say for your top 5 partners or top 6 partners, there seems to be clear distinction between 2 players versus the remaining 3 or 4. And if they were to realign with the other top 3, 4, it seems that the overall impact on the book, be it this year or the next 3 to 4 years, can be maybe around -- maybe as you said, it may be 0.1 to 0.2 basis points on the overall book. Is that a fair assumption that one should work with? And am I thinking in the right direction? Second, on the non -MF businesses, you have a vision to kind of scale it up to 20% of the mix. So if your MF business with this yield pressure, let's say, grow at 10% to 15%, that calculation will suggest that non -MF has to grow at 30% to 35%. While currently, this quarter has slowed down to 22% sort of a percentage. Now obviously, the capital market activity momentum is something that maybe we can't really forecast. But if markets are to remain subdued or maybe the last year's euphoria doesn't repeat, how is this feasible? I mean, what are the levers that you really have to drive the sort of a revenue growth on the non -MF side? Third, on the AIF business, your AUM, if I look at it for the last 7 quarters, has been almost stagnant at INR2 trillion to INR2.3 trillion in spite of new logo wins. So is this new client wins, smaller in size or has there been some sort of change? Just wanted to get some color on that?

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And lastly, on the non -MF businesses, has the pricing across multiple business lines really stabilized or should one continue to expect that the revenue growth may lag the underlying volume or asset growth in this segment?

Ram Charan: So there are I think 4 questions you had, Dipanjan. So I'll probably try and answer them, and Anuj can obviously come in when needed. So on the yield pressure, I think largely after the reset that happened over this year, basically the April, and you see the results of that for the first -- top 2 -- 3 customers in the top 5 have been reset.

When it's a reset, I mean, the pricing contracts have been renewed for the next 3 years. And we did one for 1 of the largest customers a couple of years back. So while there is some amount of difference between and you can never have the same yield across all customers, obviously because of various factors, including kind of retail intensity, the additional work that we do, the allied services that we provide or don't provide, what we do from a software perspective. So there are several other things like whether they are KRA, non -KRA, whether we do payment services, don't do payment services. So there are several tentacles to this, and it's not a base -to-base yield comparison, that is the way that both of us look at, customers and us look at. Having said that, is there a

difference that exists? Yes, there is a difference that exists on probably 1 or 2 people. And which is the commitment that we have to kind of get it this towards a negligible level over the next few years. The impact we calculated is not as much as you have. It's much, much less than what you have, which is based on our discussions with our customers and all those things.

So I don't think that the impact that you have, which is 0.1 bps, is going to be the impact that we face. It's going to be much, much lesser than that. What it is, we'll know only when the actual price discussions happen over the course of the year. But this is basically where we are. The difference is absolutely explainable for at least 3 of the top 5, 6. And probably for 1 or 2, we are getting there. That's basically the comment that I leave on the yield part of it.

On the non -MF, mathematically you are right, we have to grow at more than 30% for us to get this. And we do have visibility to do that, that a quarter here of 22% down. But then if you see earlier few quarters, it was much more than 30%. So I don't think we should read too much into 1 quarter of 22%. I think the building blocks are in place and the new logo wins are what Anuj actually explained in the earlier part of the presentation.

And a lot of it is annuity business. It is just that you get attached to them and they grow along with you, be it a payment kind of a business or being a KRA kind of a business, where multiple downloads happen. We get paid for every download. And we are getting into new areas like cars and we are getting to new areas in KRA, like capital markets and that products are getting embellished, so very, very content of doing it.

Of course, across -- along the way, there could be a scope for an inorganic acquisition that will happen. But all put together, I think we are reasonably confident that we will reach this 20% in terms of the non -MF share of overall revenue.

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In terms of non -MF pricing, see, it's largely stabilized. If you see the basic churn we were having was on the account aggregator stuff, I think they have reached a stage where, obviously, there could be some variations here and there, but it's not a steep decline of, say, 50% from what it was in the earlier years or something. It's largely stabilized with a small variation here and there. In terms of payments, it's all gain largely stabilized, or could be there would one -off deals because of volume that, that could be a higher discount half. But otherwise, I think these dynamics are largely settled, and we don't see much of a difference. And we already had a reasonable amount of visibility and stability on the AIF pricing, which over the last 1 year. So that kind of continues.

So rep is barring some large insurance company contracts, which may come where there could be discounted prices. I think the pricing has again stabilized at INR1 to INR5 in terms of the new policy conversion or for AMC. So I don't think we'll see significant, significant pricing pressure on the non -MF businesses, although there could be pockets where for large deals, that could be less than usual price that we will charge.

On the AIF, our AUM has grown more than 15% percentage in terms of -- it was less than INR2 trillion, and we have kind of come to INR2.38 trillion or INR2.35 trillion is the current AUM that we service.

Yes, there is no -- Anuj, you want to add?

Anuj Kumar : Yes. So when you see the large base that we have acquired over the last 10 to 12 years, while other companies where the base may be just 2 or 3 years old, some of the old funds do fall off. So you will have a part of the AUM, which is falling off. It does get made up from new launches too. But sometimes, in a quarter, these numbers may not exactly be the same. Secondly, it also takes some time for people to

launch and scale. Some are in very, very aggressive entities, which will launch the scale immediately, and some will take time. I think on balance, both for domestic and for GIFT City, from a quality of the franchise, we almost own the entire -- a significant part of the market in terms of names, you can go through that. We are very happy with the quality of the portfolio, the way it is growing. And net of falloffs, we believe, it's a reasonable growth in terms of AUM.

Dipanjan Ghosh : Got it. But the reason I was asking about the AIF portion is because if you repeat this sort of a revenue run rate or maybe a marginal increase in next 1 or 2 quarters, then suddenly, the Y -o-Y revenue trajectory starts looking quite weak. And so maybe the only way you can do it is more schemes or more logo wins. So is that a fair assumption? I mean, some of these things will play out over the next few quarters?

Anuj Kumar : So broadly, what we have said is that we would like to grow MF revenue at 15%, non -MF in excess of 20%. Last few quarters, we've grown in excess of 20%, sometimes in excess of 30% too.

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AIF, our belief is domestic AIF and GIFT City is perhaps a 20% growth market, is not a 30%, 35% growth market in AUM. At that level, we are confident we should be able to deliver a baseline 20% growth in the AIF revenue over the coming quarters.

Moderator: Next question is from the line of Supratim Datta from Ambit.

Supratim Datta : My first question is on the MF -RTA business and it's pertaining to yields, but a bit more fundamental. So if I look at some of your large mutual fund clients, they could be paying somewhere roughly around INR100 crores to INR150 crores in revenue to you based on their AUM size.

Now at this size, if it further grows, like you expect AUM to grow within a certain period of time, it could start touching INR200 crores as well. Now at this size, why don't they start looking at maybe in -housing these services? Because after a certain threshold, they could potentially spend this much money and build some of these services in -house. So what stops them at maybe INR200 crores, INR250 crores when the fees becomes INR200 crores, INR250 crores to in -house this service, spend that on capex and maybe build in -house? That's my first question. And the second question is on the repository business. While there has been a strong pickup in the policy numbers, but the revenue growth has still been only around 12% Y -o-Y. So just wanted to understand how does the policy growth really translate into revenues? If you could help us understand that, that would be very helpful.

Anuj Kumar : Sure. So outsourcing versus in -sourcing, I think, not just for MF -RTA, globally you see anywhere, any industry. The trend has always been outsourcing irrespective of the size of the book or the amount of money that people spend, and that's largely because in our kind of

outsourcing, when you see, we run a common platform, it's a common platform.

Our assets are in the range of INR46 lakh crores, INR47 lakh crores. The cost of the entire platform and the operation, the common cost is spread over almost a INR50 lakh crore base. Even if you have a single mutual fund, which is less a INR10 lakh crores or INR12 lakh crores of active money, it is very difficult for them to mimic the efficiency, the steady state efficiency of doing this kind of work because in rupee terms, it will not compare.

Just to give you a number, we have over INR9 crore folios with balances and about a INR1,200 crore plus overall AUM and mutual funds. It translates if I divide the revenue by folios, it comes to about INR130 per folio per year cost and it's a falling cost. And we do all the work that in the world of direct equity, the stock exchange, the depository and the clearing corporation do. So owning the scope, delivering the

results at this cost at the accuracy levels that we do, amortizing the cost of the platform over a very large and growing asset base, I think those are the determining building blocks of the business. Even if somebody was willing, wanted to put the money and was able to build the capability, the net result of having the economic layout the way I'm describing to you will not be possible. And that is 1 of the strong detriments, not just here, but in any part of the world for this work to get in-sourced in a large way. So that was your first question.

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On the second part, on the repository growth, I think growth has been very, very consistent. Almost half the REP portfolios got built in the last 18 months. And we believe in the next maybe 2 years, we will build the next INR1 crore policy, so the growth is very steady. The revenue is still split between repository, which is the platform-based business and outsourcing which is a labor-based business. There is still some labor-based business sitting there.

I think the real kicker in scale, so repository by itself is perhaps still not a INR10 crore business. If we just take the platform part, getting close to breakeven, but still not there. I think the next 1 year is crucial as we move from INR1 crore to INR1.5 crores, INR1.5 crores to INR2 crores policies. Close to somewhere in this year, you will see a revenue spike in the pure repository business. It is very efficiently run like any of our platform businesses.

You know that most of our book is platform, whether it's a KRA, RTA or payments or whether it is things like Bima Central or MFCentral. With true attributes of being a platform business where you have a common platform, common infrastructure, the users continue to double or triple, but your cost remains almost the same apart from IT infra. That part will start playing out. I think we are perhaps 6 months away from that point.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: The EBITDA margin improvement what you have seen in the current year or for the quarter. Is it largely because the profitability of the non-MF business has improved? Or is it largely led by MF-RTA itself?

And second, the reason I'm asking this question is that next year, there is actually yield pressure because of the re-pricing. Then is it fair to say that if it is MF-RTA driven then the margins could be under pressure next year or your non-MF business will compensate for any loss in margin because of yield pressure? So that's my first question.

Anuj Kumar: Yes, Sanketh, it is contributive in both. As we have seen that as the revenue is ramping up for the non-MF platform-based business, the profitability profile of the non-MF bucket as such has seen an increasing trend. But however, this is obviously, MF is still 87% of my portfolio. So the profitability increase has also contributed to a big extent by the MF increase also.

The confidence that we will let -- we will not let any yield pressure have a disproportionately higher impact on the profitability stems from 2 things. Number 1 is this is basically, we are reached a stage where a lot of automation is done. For example, there was a question earlier on SIP and increase in cost assets. It's not as if we pay incremental cost for every SIP trigger that we do, right? A lot of these processes are automated in terms of not requiring additional manpower.

Obviously, there will be some hiring that will happen. So that will be 1 lever that we have in terms of ensuring that the profitability depletion is not seen. The second is what you mentioned. It is a non-MF asset business. And as I told you, they are between 10% and 15% EBITDA. And there is nothing that prevents us from increasing this towards 20% plus EBITDA in the next

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year, given that we have reached steady state in some of these businesses. It is going to be a disproportionately higher increase in profitability going forward on a lot of these businesses. Whether it's a reduction of loss in some cases or it's an increase in profitability in some cases, at least from the base – bottom line perspective, it is going to be very beneficial. So a combination of these 2, we will ensure that the impact on profitability is not going to be significant. It's a combination of these.

Sanketh Godha : But Ram, is it fair to say that because of the yield pressure given 87% of the business is MF. So there is a fair probability that margins what you saw in the current year might not hold up largely for the next year even if you see an improvement in non -MF business?

Ram Charan: So what you have seen over the last 3, 4 years, Sanketh, you will note is that we have seen a creep up in the margins of more than 100 basis points on a yearly basis .

If you remember, when we did these calls for the first 1 or 2 years, we used to say that we guide a margin of around 40% and a good year probably 42%, 43%. Now in the last couple of quarters, we are clocking margins of 47%. So there is an inherent way in which we run the business as well as the business model, which ensure that there is a creep -up in profitability that happens. And we've also said that we are not in it for profit sharing and we don't expect a margin of more than 50% also.

So I think inherently, there is a profitable bias in this model, which has continued to play out. The fact that there is a yield depletion that happens will probably eat into some part of it. But on an overall basis, yes, there -- obviously, there could be some pressure on margins, but we don't expect that this will be significantly declining or that will be an impact on the margins even when we account for these yield pressure. That is basically reality you've seen over the last 4 years also.

Sanketh Godha : Got it. And the next -- second question which I had was that the 1 or 2 contracts, which you said, 2 mutual funds which will see re -pricing, so after re -pricing, is it fair to say that these companies' yield will be very similar to the similar size AUM what you already charge? Or there still will be a gap and so there could be 1 more round of negotiation in the future to bring it to closer to the similar sized AMC?

Anuj Kumar : So look at this way, and this is the right process that we are following in the market. In any perfect market, all buyers get to know the price that others are paying. Pricing asymmetry is difficult to have for a cluster of customers, a cluster of customer s who have assets of, let's say, greater than INR5 lakh crores in the range of INR10 lakh crores, there are people who are between INR1 lakh crores and INR5 lakh crores, there are people who are smaller than that. And I think we have been able to rightsize these clusters.

We do not have pricing, I would say, asymmetries anywhere in the market apart from those 1 or 2 cases. It's always good to attend to them. Like Ram said, we attended to some of those this in '21, '22. There was some impact for 1 year. We've again rightsized everything. So you see

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profitability in the range of 47% because intrinsically, incremental assets come at very small cost and efficient operation will turn a lot of that revenue into profit.

So look at it like that, it was the right thing to do. We will be doing it over this year. And don't read too much into it in terms of having a large impact on profitability, etcetera, we are taking measures so that most of that will be contained completely.

Moderator: The next question is from the line of Pranuj from J .P. Morgan.

Pranuj: So just a couple of clarifications. One is on your KR

A business model. So I think the revenues

are largely linked to if you get any pings for the record that is already there in the system. So if new account openings, you've already seen the demat account opening slowing down. So if that happens on mutual funds also, does this remain a risk for this particular business going ahead?

Ram Charan: No, that's correct , that's correct. You have to think of the business as being tightly coupled to the capital markets and the right metric to look at it in those markets is account opening , because that is when the entity or the intermediary comes and downloads our account and they pay for it. Every time they create a new account, they upload the record and they also pay for it. So that's the primary activity on which our KRA business is largely dependent.

You saw tremendous scale coming up because that activity was heightening. In those time periods, when that activity falls to, let's say, 60%, 70% of its traditional momentum, you will see some compression in KRA demand and KRA revenue.

Pranuj: Okay, understood. That was helpful. And second question, sorry to just come back on the mutual

fund that is shifting from KFin to you guys. You said that the pricing that you are giving is a premium to your current customer base. But would it be possible for you to disclose if compared to KFin you guys could be perhaps charging lower or you can't disclose that right now?

Anuj Kumar : No, we will be charging higher. That is the term we offer to anyone who wants to come in. We don't sell for price. I mean, broadly, if you see philosophically. So both our principles, we will not sell lower than our installed base, we will not charge less than what he's paying somewhere else.

Pranuj: Okay , got it, that's helpful. And sorry, 1 last question was, would it be possible to disclose the EBITDA margins in your non -mutual fund business?

Ram Charan: Yes. I think while we generally give a range. And I again always caution saying that all these businesses are very different in different stages of where they are in terms of go -to-market. But then just ease of understanding, the bucket of non -MF has got a margin of close to 15%.

Pranuj: 15% EBITDA margins, right?

Ram Charan: Yes.

Moderator: Ladies and gentlemen, since we have had a spillover for over 15 minutes and we have a few questions, the management will be happy to answer these questions offline, and Orient Capital

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will reach out to set these up. I would now like to hand the conference over to Ram Charan sir for closing comments.

Ram Charan: So thanks, Sibha. On behalf of CAMS, we thank you for your time and participation in this call and your continued support and coverage of CAMS. And for any further information, please do feel free to reach out to Orient Capital or Anish Sawlani, and we'll be happy to answer any questions that you have. Thank you once again.

Anuj Kumar : Thanks. Thanks, everyone.

Moderator: On behalf of Computer Age Management Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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"Computer Age Management Services Limited
Q4 FY '25 Earnings Conference Call"
May 06, 2025

MANAGEMENT : MR. ANUJ KUMAR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – COMPUTER AGE
MANAGEMENT SERVICES LIMITED
MR. RAM CHARAN SR – CHIEF FINANCIAL OFFICER –
COMPUTER AGE MANAGEMENT SERVICES LIMITED
MR. ANISH SAWLANI – HEAD, INVESTOR RELATIONS –
COMPUTER AGE MANAGEMENT SERVICES LIMITED

MODERATOR: MS. MASSOM – MUFG

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '25 Earnings Conference Call of Computer Age Management Services Limited hosted by MUFG Investor Relations. Today, from the management of the company, we have Mr. Anuj Kumar, MD and CEO; Mr. Ram Charan SR, CFO; Mr. Anish Sawlani, Head, Investor Relations.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference has been recorded. Please note that this conference is being recorded.

I now hand the conference over to Ms. Masoom from MUFG. Thank you, and over to you, Ms. Masoom.

Masoom: Thank you. Good morning, and welcome to Q4 FY '25 Earnings Conference Call for Computer Age Management Services Limited. Before we proceed to the start of the call, I would like to give a small disclaimer that this conference may contain certain forward-looking statements about the company which are based on beliefs, opinions and expectations of the company as on date.

The statements are not guarantees of future performance and involve risks and uncertainties, which are difficult to predict. A detailed disclaimer has been published in the investor presentation. Now I would like to hand over the conference to Mr Anuj Kumar. Thank you, and over to you, sir.

Anuj Kumar: Hi. Good morning, everyone. Thank you, Masoom, for the introduction of the Safe Harbor.

Thanks, everyone, for joining this Q4 earnings call of CAMS. Like we've done in the past, I'll take you through a quick summary of facts, which are all encapsulated in the presentation. We estimate each one of you will have a copy. And then Ram Charan will cover the financials. I estimate we will still have about 35 minutes to go through your Q&A, if not longer.

In terms of the quarter, I'll just cover the year first. I start with the full year FY '25. So in terms of the entire year, our revenue was up. It's a handsome increase for the year at 25%. All parts of the machinery fired and fired very well, both MF and non-MF. Inside of non-MF, again, several parts of the business fired quite well, bringing us to those growth rates.

So like you can see, MF revenue grew by about 25 %, plus non-MF was just short of 25%, but sustained growth in non-MF, I think, has indicated the faith of the marketplace and what we are building in that portfolio. And again, we are very hopeful and confident that we will have a repeat here in FY '26 in delivering at least high double-digit, 24%, 25% growth in non-MF to continue this year, too.

For the year, share of non-MF revenue was at 13%. Given the backdrop of all of this, given the

backdrop of 25% revenue increase, we had growth in absolute EBITDA of almost 30% -- 29.7%. EBITDA percentage stood at a handsome 46%. And I'm sure you've been witness to our performance for the last 6 -odd quarters, and you've been seeing those middle 40s, mid -40s

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EBITDA performance for some time, being at about 47%, but very happy to tell you that for the year, it stood at 46%.

Absolute PAT grew 33%. Absolute PAT margin s was just short of 32%. I must remind all of you that in the markets, and you know that almost 90% of this business is linked to what happens in the capital markets, especially the segments of MF, KRA, Alternatives and to an extent, small extent Payments, all this growth has been achieved despite the fact that from September up to March, what we saw was almost a sustained pressure on the indices, which started easing, let's say, in the months of April and May.

But for September to March, there was

sustained pressure. At the peak, large cap indices had scaled back almost 14%, 15%. And new Demat and broking accounts were not opening. There was some moderation. I would not say pressure, but some moderation in terms of how SIPs were being triggered. So despite all of that, you're seeing the results that are in front of you.

I'll move forward. When I show you the same thing for the quarter, and I think it's important to just understand what happened in the quarter. From a quarter's perspective, we were staring at a backdrop of 3Q or third quarter, which was almost INR370 crores in revenue, INR173 crores in profits. From an operating part, we did not lose much.

From an operating part, we lost about INR3 to INR4 crore in revenue against that backdrop of INR370 crores. What moderated the revenue was largely the price adjustment that we had referred to in the last earnings call. You will recollect that we had said that given the fact that most of our large contracts are now heading to be fully digital, any pricing asymmetry had to be taken out, which we were doing for some time.

And I think that's one impact that you're seeing in the fourth quarter. So from an operating perspective, we lost about 1%, 1.5% revenue. The balance between 2% and 3% was lost because of the price. So you see that revenue grew overall year -on-year for the quarter, just under 15% MF, again, under 15%, non -MF, about 15.8%.

And again, non -MF, despite some of the headwinds, not in the entire non -MF portfolio, but in some of it, I think it's just a great vindication of how this part has done. The share of non -MF for the year was 13%, for the quarter was 13.7%. So it is inching up, and we will make sure that we continue to obtain what we have stated as a perceptible differential between the growth rates of non -MF and MF. Non -MF, even for this year, we're projecting in excess of 20%, closer to 25% growth.

For the quarter, absolute EBITDA grew by about 12%. Despite whatever happened, despite the fact that revenue fell by almost INR14 crores, so almost 4% plus, we have still been able to deliver a close to 45% EBITDA margin. And I would say there is no better testament to how we run this model and how this model operates across its various constituents that despite some of these headwinds, we've been able to deliver close to 45% EBITDA margin.

PAT grew about 10%, and overall PAT margin stood at 31% for the quarter. So this is a broad financial summary. I know that a lot of you are very curious about the various components of

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this entire revenue and profit trending, including yields, bps and how it will play out in the next few quarters. I'm very happy to take that up as we move forward in this call.

I'll move forward. Just some business highlights. And again, I think just foundationally, the way we built business because you build these businesses on operating excellence, delivery, diversity of products, a healthy sales pipeline and how you are winning and growth of market share, all of that leads to revenue growth. Revenue growth obviously leads to profit growth in our business like any other business.

Foundationally, I think all these forces are lining up, not all our cylinders are firing. And we wouldn't have achieved what we achieved in the fourth quarter if those things were not happening. Overall, our market share by assets stood at 68% -- our market share, although we've not been quoting that metric in the past. But given the fact that some other people quoted 26 out of 51 working AMCs are with us.

Our overall AUM growth in the quarter was 24%. This largely mirrored the industry's growth. Equity assets grew about 29%. Equity assets, despite the fall in the indices, have been the toast

for this industry and have been the toast for us. Equity assets also helped the INR25 lakh crore mark. Inflows remain

ain sustained. You've been seeing the SIP and non-SIP inflows. And you know that, that number has held quite well.

SIPs collectively delivered more money in the fourth quarter than they did in the third. Our live SIP account grew about 18% to get to about 5.7 crores. That's live SIPs. Gross new SIP registration for the year grew 51%. So just imagine that whatever we built all this while, the growth was significant at 51%. Our unit investor base did well across the 4 crore mark.

This grew significantly ahead of the market. Market was 22%. Our new investor account grew 26%. But what is most gratifying, I think, is that in the history of CAMS, I've been here 9 years, I don't remember a single year where we took more than 1 AMC live.

In the first quarter -- in the fourth quarter, we took Angel One, which is a marquee name; Unifi which is another marquee name, live during the quarter, taking the live AMC count now to 21. But I think the good news is that there are five more of these, which are waiting to go live, which will happen within the next 6 months. And I think from investing in the future and creating a future perspective, there is no better news than this.

So this five more comprise, of course, Jio BlackRock, Pantomath, Choice, Torus Oro, CeyBank. There's one more. So that's the count that we are expected to take live in the next 6 months and again brings a lot of strength in the overall scale up of the business as we move ahead.

Beyond mutual funds, CAMSPay revenue grew 85% year-on-year for the quarter. We launched BIMA-ASBA. You know, this is a new innovation where you can apply for a life insurance policy and not worry about money getting out of your account and then the insurance company telling you that the application is rejected.

You will just see a blocked amount like you see in IPOs. Alternatives had a very strong quarter, 56 new mandate wins. Total new mandate wins for the year, including for WealthServ, crossed

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200. And those are astounding numbers. You have to be in a place of significant solid market leadership for so many new clients. And so many existing clients to place their hands and say, look, they want to work with you, which is what's happening here. We now have over 200 installations of CAMS workflow.

Repository, improved market share, I think that's great news, improved market share to over 40%. You know that we've been quoting 37% and 38%, the two numbers for the last almost 1 year -- last 4 quarters. LIC of India signing up for repository services. This will begin with the digital issuance only, it will not go to legacy yet.

But at some time, it will, I think. From a signal perspective, it's a fantastic signal for the marketplace when that happens. Total count of e-policies is now exceeding 1 crore, it's 1.1 crore. During the year, of course, we want to grow this significantly. We know that a base growth rate of between 40 to 50 lakh will anyways happen given our 1 million new policies per quarter track record, and we're trying to get some parties to expand this 50 lakh to, let's say, 60 lakh or 70 lakh. So it should be a promising year. For CAMSRep insurance live with integrated services of Bima Central, Star Union Dai-Chi was the last one, which came in.

CAMS KRA had a tough quarter -- had a tough quarter for all the reasons known to you. New folio account creation and MFs fell. New demat accounts and new broking accounts fell. Despite this for the year, CAMS KRA had a 30% plus increase in revenue. But nice diversification outside MFs, 3 leading brokerages.

When I say leading, think of these as one of the top 10 came into the roster and we'll start -- have started giving us payload. Fintuple went beyond the custody-led platforms to create a foray in NPS, which is the pension services with a product called Fintuple have won their first deal to

build and integrate a back-office platform for a very leading pension funds PoP business. Think of it again in the top 10.

And Think360 had launched the PFM product. We had reported this last time that we are now implementing a large fixed price, fixed revenue contract free of scope. It's one of the most downloaded and I could say the most downloaded financial apps in the country. So across product lines, I think it's been just great going for the entire business.

Move forward. The charts on operational highlights. There's nothing in particular that I want to stop and call out. It's all accessible to you, guys. Transactions continue to scale, equity AUM share went up about 0.2% from late 65% to 66.1%. Equity net sales, obviously, during the year, held quite well.

Move to the next. And then similar trends for the fourth quarter are on the charts, and you can develop from them. Move forward. Next.

There are more product-wise highlights. I'm just thinking if there's anything you want to call out. Yes, I would say LIC as an account for account authentication services for CAMSPay has begun to scale up. So we would like, obviously, this to become a largish account for us riding on what we will do in depository and in payments. So the account services have done well.

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UPI AutoPay continues to be promising. AutoPay transactions grew almost 25% quarter-on-quarter. I know there are questions from some of you on whether we had any lumpiness or onetime revenue in CAMSPay, not hing in particular. Maybe a couple of crore rupees, I'll let Ram Charan talk about that. But across the product line, we've said this in the past, and I'm saying it again, that we don't try to book any upfront income to inflate this quarter. We just let the milestone-led billing come to us wherever it is asset or transaction based, we will bill when we get the assets on the transaction. So that's how the whole thing works.

Other than that, I think I've covered most of the stuff, move forward. So what we'll do is I'll hand this over to Ram Charan now. I'll hand this over to Ram Charan to take you through the financials, and then we'll have time for the Q&A after that. Ram?

Ram Charan SR : Thanks, Anuj. Anuj has already gone through the numbers, some level of detail, so I won't repeat those numbers. I'll just kind of drill down on a couple of details on the financials, which may kind of bring some of the questions that you have also. The quarter-wise growth, you have seen it's 14.7% year-on-year basis and a drop of 3.7% quarter-on-quarter.

The asset-based revenue, actually, if you see the assets went down by around 1.5% on an average basis in the quarter. And actually, the volume variance for us, which is what is attributable to the reduction in the AUM is actually the 1.5 percentage.

So the major contributing factor for the reduction has been, as Anuj mentioned, the price reset that we did for one of our major customers. If you take that away, I think the AUM to AUM fee growth broadly is in line with what we expected.

The good news is that the reset has been broadly finalized, barring crossing the t's and dotting the i's. I think we are at a stage where we know with certainty what the impact will be for this quarter and going forward also. From a non-MF perspective, you've seen that there has been a healthy growth even in the current quarter, we have added around 6.6% quarter-on-quarter.

The good part is this is a little more broad-based, unlike some people have attributed this being very localized, but it's actually a little more broad-based. For example, AIF grew, say, 16% year-on-year, Pay grew 85% year-on-year. Rep grew 19% on a quarterly basis. Obviously, there was some strain on the KRA revenue, which is attributable to the slowness in the capital markets. But actually, there are 3, 4 cylinder

s that are firing now, and it's not one vertical that is contributing disproportionately, although Pay has done exceedingly well when compared to a few other verticals, but the growth is also a little more broad-based in terms of the various verticals in non-MF.

From a yield perspective, I know a lot of questions could be there on the yield. And as Anuj said, we will take it forward in terms of any questions that you have. But I'll just leave you with 3, 4 points, right, which is that the repricing that we had alluded to in the last quarter, we had, in fact, stated explicitly in the last quarter is actually behind us now. We know exactly what is going to happen in terms of yield movement from this particular account going forward.

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So you have seen a 4% drop in yield quarter-on-quarter basis, purely from an AUM fee perspective. And this is a different way. We are a little more granular in reporting what we do when compared to competition, which is that we report the AUM fee bps as such, which is currently around 2.24 bps.

What we expect, if you actually pay out the impact going forward is that you will see -- we have done almost like 50% of the impact is there in the base in this particular quarter. So if you actually move forward, you will see probably a similar impact in terms of quantum coming in the next quarter or 2 and post which everything will be there in the base.

So the whole guidance that we gave in terms of the annual drop in yields, if you see in the current year, we would have ended the -- this is a yearly average I am speaking about, we ended the year with bps of around 2.33 which would have been a 6% to 7% drop in compared to the last year.

And then next year, you will see a similar kind of a drop, right? We had guided that it will be around 6% to 7%, and I think this will be within this range for the next year.

But if you take the quarterly bps, which is the last quarter bps, which is at 2.24 and if you actually

see how it will play going forward, I think the end of Q4 of next year, the depletion yields could be close to 4%, right? So that's the exact numbers for you in terms of what we anticipate.

Obviously, the AUM grows more and the mix is more favorable to us.

One of the contributing factors this quarter has been that there is a negative mix impact, which is that the equity has -- the overall percentage has come down by a percentage point, so which means that what would have been a couple of crores of additional revenue has not accrued to us. But going forward, if the mix is constant, we expect that the yearly yields when compared to the last year, the current year, the yearly yields will drop by around 7 percentage to 8 percentage, most likely around 7 percentage. And if you take the last quarterly yields and you compare it with the last quarter of next year yields, I think the drop will be closer to 4 percentage to 4.5 percentage.

So the thing I would like to reiterate is that the uncertainty that we had projected to you last quarter in terms of repricing is largely behind us. And the amount -- 50% of the amount is there in the base and 50% will get into the base over the next quarter or 2. From a profitability perspective, again, we've shown strong margins.

We've always said that we will try and endeavor to get a margin of 44 to 45 percentage and this quarter was a difficult quarter. There was -- from an AUM growth, there was no growth. In fact, there was a small reduction in AUM plus the repricing impact. Obviously, the non-MF growth helped us in kind of mitigating the impact. But to end the year -- end the quarter with a 44.9% margin is, I think, again, as Anuj said, a testimony to the resilience of the entire model, right? So we've always said that's a fixed cost model. And I think this quarter proves the fact that you didn't have a growth in AUM, b

ut your cost also remain static. We did not decrease the cost too much, but you also know no cost increase was there.

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So this is broadly the commentary on the margins, the yields and the growth in non-mutual fund business. I will now leave it to the moderator to open the floor up for questions.

Moderator: The first question is from the line of Swarnab Mukherjee from B&K Securities.

Swarnabha Mukherjee: I just wanted to understand, sir, in terms of the contours of the renegotiated contract, I'm trying to understand why would the yields drop happen over say, 3-odd quarters like you said because -- I mean, is it that different schemes would start getting repriced at different points of time? Or how will it work?

Because I was thinking that even if it might have happened somewhere in between the quarters, it will take possibly one more quarter for everything to come into the base. So if you could help us understand it will take 2, 3 quarters only because of the renegotiation impact and not maybe, of course, otherwise telescopic pricing might continue to play out. Sir, that is one question.

Second is in terms of the insurance repository, sir, I think congratulations that trends look very encouraging. So how much is this coming from the LIC contract? Or is it yet to come going forward? And if you could give some color on given the fact that more -- there is more appetite to issue digital policies through insurance account, how is the pricing environment? If you could give us broad indications of, say, account creation charges and what you incur as revenue when you do the maintenance of an existing account?

Thirdly, on the cost side, sir, normally, we've seen that I think in first quarter, we see a bump in your employee expenses. How should we think about for FY '26 or maybe 1Q '26 onwards on that?

And also similar commentary on other expenses because I think when I look at the other expenses number at a consolidated level, continue to see that even over the quarters, it has increased. Are these like outlay for the newer segments because of which you have to spend more, if you can give some indication of that. These would be my questions, sir.

Ram Charan SR : So Swarnab. I'll just try to take 3 of your questions and on the insurance, Anuj will probably chip in. So in regard to the commercial construct, obviously, we wouldn't like to get into details of the commercial construct, but our endeavor has always been, and we have mentioned it in the last quarter also to stagger the impact.

And also number two has not been to wait for the contract. For example, this particular contract would have come up for renewal in September. But we thought that it will be better to kind of take a staggered impact over a period of a couple of quarters. So the commercial construct is that. It's not that we are deferring anything or there is something that we have delayed provisioning or something.

The commercial construct is that the pricing for some classes will start now, some classes will start later, et cetera. So that's just been reflected in the fact that it will get staggered over a couple of quarters. So most of the impact is there and the 50% is in this quarter, close to 50% will be there in the next quarter.

And whatever is balance, some small part of it could be there in the next -- quarter after that. But that's the way the contract is also structured and that's the way our revenue will be booked. So that's the reason for that.

From the cost side, see, the other expenses, you will see that overall from a cost control perspective, the last quarter has been almost like a flat. If you take away the depreciation, which is obviously a reflection of the increased investments we are doing in CapEx in terms of various

compliances as well as the increase in transaction volume.

The cost increase has been zero, literally zero, right? And the other expenses are more a reflection of some timing differences. For example, the -- there could be some delayed collection in some accounts, which could -- accounting-wise, we'll have to create what is called an expected credit loss, which is not a permanent loss.

It's kind of a timing loss. So those things will contribute and there are some legal expenses that we have done. There is this MF Central that we incorporated for which we had to pay lawyer fees, etcetera. So this is not a trend going forward.

Overall, from the next year perspective, we have repeatedly said that we will be able to hold costs at a less than 10% increase, right, when compared to the current year, which I think is very much achievable. We will try to do better than that, but less than 10% is something that we are forecasting for the next year, too. So that shouldn't be something topmost in mind in terms of what we can do. In terms of insurance repository, Anuj, probably help.

Anuj Kumar: So just in terms of insurance repository, you would have seen that still about a year back, we used to increment volumes at the rate of about 20 lakh to 25 lakh a year. Last year, this increase has almost doubled to become 40 lakhs to 50 lakhs. LIC is still not integrated. So while they've taken a decision and integration is happening, real policy flow will start only from the month of July.

They had the option of saying that all new issuance, which is upwards of 2.5 crore policies will come into demat. But what we increasingly believe is that most of the digital channel issuance will happen in demat, so which could be under 1 crore new policies in a year.

So we expect that this year, just at an organic rate, we would have got about 50 lakh new policies anyways. All the impact of LIC could be between 15 lakh to 20 lakh policies if everything happens in time, which it is showing signs that it will.

So it will be a nice feel if we get that 20 lakh on top of the base 50. And then as LIC kind of moves forward beyond digital into other kind of issuances, those numbers can only go up. It has the capability to almost -- given the market share, they're more than half of the market that if they bring in all the left, the demating pace will certainly go to 2x in the market, let's say, in the next 3 to 4 quarters, that is clear. So therefore, it's a big fell into the market as far as policy issuance and policy accounts are concerned.

The prices are all fixed. You know that whatever the prices have moved southwards in the last 2 or 3 years, but they're pretty stable now. So we expect that because most of these are long-term contracts, the prices will stay where they are.

The icing on the cake is that as these new insurance companies come in, they will all start getting integrated with Bima Central, which is the single only proprietary platform to do electronic transactions in one place for your whole portfolio, which means you open an account with CAMS repository services and then Bima Central is open for reminders, payments, digital lien, claim marking, all of those things. So there, of course, the first transaction prices and yields are much better. And as that happens, I think the cumulative impact of the momentum of these 2 things will be perceptible in terms of how that market grows.

Swarnabha Mukherjee: Understood, sir. Just a couple of follow-ups. One is how are the commercials for the BIMA-ASBA part? Is there any difference in that? And also, like you had mentioned in your opening remarks about CAMSPay and I think phenomenal growth there, I think quarter-on-quarter is also very strong. So if there is nothing lumpy, as you have mentioned, then how to think about this? Is this coming because

of the new mandates you have got in over the last few quarters? Or is it that organically, the whole ecosystem is driving this growth?

Anuj Kumar: So I'll take the payments question first. I think one part of the growth is just very simple, where

we are working with, let's say, mutual funds, where the SIP count and the number of matches or onetime mandates that we register, the triggers continue to happen.

As you see momentum in the smaller SIP counts, the Choti SIP, Jan Nivesh and some of the AMCs are now launching this daily collection product, right, where you can debit INR20, INR50 and INR100 from the accounts of nonsalaried people, you will anyways continue to see growth there. So that's one part of it.

We had said about a year back that we are now broadening our reach into the education system, which is to collect fees and recurring charges from students for merchants, which are essentially universities, colleges and hospitals. That has shown some pickup.

The BIMA -ASBA part will scale over a period of time. Right now, it's a very new thing, but you must have read that IRDA insist now that this delay in refunds of monies for policies which are not accepted and not granted is hurting investors, and therefore, this innovation is coming.

Apart from this, we have not built out a payment gateway product. We were a pure payment aggregator. And we have now built out the gateway product. So we've begun to get some revenues from this. So collectively, this is part of the non - MF business. Non -MF is about run rate about INR200 crores a year. We are saying that this year, we will certainly like to get to about 25 % growth there, too, like in the previous years. So about a INR50 crore absolute increase. Payments should be the number one going in force for growth this year, too. Alternatives and KRA will be the other 2 during this. I hope that answers your question.

Moderator: It seems like the participant's line has been disconnected, sir.

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Anuj Kumar: No problem. We can go to the next, please.

Moderator: Okay. The next question is from the line of Devesh Agarwal from IIFL Capital.

Devesh Agarwal: Coming back to the price renegotiation that you talked about. So just to understand this better, the entire impact to a large extent will be captured in the first 2 quarters. First quarter has already gone by and the following quarter, we'll see the balance impact.

Anuj Kumar: That's correct, Devesh. Just think of it this way that about half of the impact, and I don't want to get into granular reconciliation in this call, but think that half of the impact that we had to take is already in the books. So that's good news. Like we said, we had a INR370 crore revenue quarter in the third quarter. Third quarter to fourth quarter loss is about INR14 crores, out of which business reasons only account for about INR3 crores. The balance is all price. That's half of the impact. The balance half of what we have to take in price will happen in the first and second quarters. But like Ram said, I think we wanted it to be definitive, non -fuzzy. And we didn't even want to give you a directional quote. We just want to give you -- I mean, short of telling you the firm numbers, I'm just telling you what it is.

So from a future quarter perspective, I think one question in everyone's mind would be on what will revenue look like because we will take some more haircut in 1Q and 2, which will be 50% of the impact. Our guess is that other things holding, this INR355 crores, INR360 crore line should not be breached as far as overall revenue is concerned, which means in 1Q, although I'm not giving you a firm guidance, but just indicatively, we believe that we will not breach that line and go below that. And then we start building up on growth again. That's how the quarter will look.

Devesh Agarwal: Right,

sir. And you also did mention that the exit run rate for the year is likely to be around 3.1% if you build that 4% -- sorry, 2.15% versus 2.24% this quarter.

Ram Charan SR : Sorry, your question on exit yield for the current quarter or what we expect to be in the...

Devesh Agarwal: Current quarter from 2.24%, you're saying the FY '26, the exit run rate would be 2.15%. That is the expectation sir.

Ram Charan SR : Yes, 0.09% reduction. 0.08% to 0.09% is what we expect.

Devesh Agarwal: Sir, this particular contract, if I recollect right, has again come up for renegotiation. As you said, it was due in September, but it has come up a bit early. Now what confidence do you have that we have, to a large extent, completed the negotiations with them, and this will not pick back us in, say, a year or 2 time again?

Anuj Kumar: So when you look at it, Devesh, like I said that unlike our peers in depositories, etcetera, where there are standard rate cuts, because the services and scope are undifferentiated. I think in the RTA books, you are aware since you research the sector, that prices can be different depending upon when a client came in and also upon some of the specific scope that was performed for them.

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Scope differentials were very deep at one time before the digital era. So I think till about 2021, scopes are very different. So I could be servicing the parent organization of a particular MIF, and I may have a physical ability to do KYC at several thousand branches. We may have biometric machines there. We may be lugging paper and cheques. In the digital era, a lot of that happens digitally. And therefore, that scope asymmetry has been going away for some time. So when you think of this, I know that some of you believe or like to think of this as coercive negotiation. The way I like to think about this is that it's more about seeking parity in a non-parity-led world. That's what's happened in this contract. So therefore, we don't believe that there is an irrational component to this at all.

It is reasonably rational. We'd also said that we wanted to do this over a longer time period. I mean if you see how we've done it versus how we wanted to do it, I would have liked to do it over a couple of years. We are doing it over a couple of quarters because it's a slightly old-ish dialogue. It was best to put these things behind us.

But I just want to take out the coerciveness the situation from your mind saying that this is a surprise. This should be sprung upon us again and again. I think it was rational. There was a reason. Both sides agreed. We disagreed a little on the timing. But in the end, we've got it done now.

Devesh Agarwal: Can we say that once this pricing is done, the similar-sized AMC's will be in -- the price differential between the similar-sized AMC's will be in a small range. And to that extent, we would not see any further this and that...

Anuj Kumar: Yes.

Devesh Agarwal: And sir, any more contracts which are coming up for renewal in this year in FY '26?

Ram Charan SR: So nothing major. We do have, as a part of regular couple of smaller sized contracts coming up as they do in every year. Probably there are 2, 3 that are coming up in the current year. But as I said last time, all the major contracts have been renewed, and this was something which we have also closed in the last couple of weeks.

So you will not see any major re-pricing or major contract negotiations or major drop in yields because of new customer contracts that we are negotiating in the current year other than what obviously we have spoken about the current contract.

Devesh Agarwal: Right, sir. And sir, in terms of new AMC's, it's heartening to see that 4, 5 new AMC's have started operations, and we expect another 4, 5 AMC's to start operation over the next 6 months. Do you think this increment

ental new AMC's that have come up almost to the number of around 10, will that have a drag on the margins in FY '26 as they scale up the operations or they are too small to take the margins?

Anuj Kumar: Yes. Right now, they are too small to create a drag. I think the positive thing is that 2 have hit operations, 5 more will hit. So that's 7 new in 1 year. And I think as they all stabilize and move

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to a few INR1000 crores of AUM, the collective AUM will be large, still small in the context of the overall INR49 lakh crores, INR50 lakh crores that we manage.

I don't think -- I just look at it as a large positive, Devesh, that this creates the way for us to scale in the marketplace over the long term. The total cost in these may be at a company level, 100, 120 people deployed, which is not very significant in terms of the overall size of the company.

Ram Charan SR: I'd also like to add that it's not as if we start investing on this the day they go live, which means for most of these 4, 5 AMC's, the cost that you see in the fourth quarter contains the cost not only of the gone live AMC's, but also the going live AMC's, right? It's not as if we can start the earlier day and make them live.

So we start 6 months in advance. So a large part of the cost that you're seeing and in spite of that, my salary cost is 32 to 33 percentage is there in the base. And obviously, there will be some incremental costs, but it's not going to be material in the overall margin perspective.

Devesh Agarwal: Right, sir. And sir, one last one. In the non-MF side, if you can share what was the margin in FY '25 and EBITDA margins? And what are your expectations going forward. That will be the last?

Ram Charan SR: So you will see that there is a mix, right? So you have a profitable -- very profitable KRA, you have a profitable payments, but you also have some growth businesses, which are going to turn the corner in the coming couple of years or a couple of quarters in some cases, which is your account aggregator, CRA, repository, etc., Think Analytics, etc.

So combined margins, we said is between 10% and 15%. The last quarter is also coming with a similar number of between 10 and 15 percentage of EBITDA. Our expectation is next year, this will go closer to 20% of EBITDA, right? That's the expectation from our side that we will reach a 20% EBITDA on the non-mutual fund businesses in the next year, which will obviously have

a beneficial impact on the overall company margins.

Moderator: The next question is from the line of Supratim Datta from Ambit.

Supratim Datta: My first question is on the non -asset -based revenues. Just wanted to understand what would be the split of your MF Central or call center and the paper -based transaction in this revenue? This has been growing despite you talking about digital transactions becoming more prevalent. So I wanted to understand how has the mix of revenue here changed versus 2 years to today? And how much of this would be linked to transaction? If you could give some color on that, that would be very helpful.

My second question is on the payment aggregator business. I understand that you have -- you talked about the education institutions that you have gone into. So could you give us a split of your revenues coming from customers now? What would be MF versus what would be your educational institutes there? And how does that -- and how does that play out over the next 2 to 3 years? If you could give some color on that, that also will be very helpful.

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And lastly, on the cost bit, I'm not sure whether this has been discussed before, I joined a bit late. So on the employee cost, typically, we have seen escalation this year, the employee cost growth was higher than what typically it has been?

And I

understand that's because of the new businesses that you have been ramping up. But as I look into FY '26 or '27, how should I think about employee cost? Is there a need for further addition here? Or how does that play out as a proportion of your revenues? If you could give some color on that, that would be helpful.

Ram Charan SR: Sure. I'll just take the questions one after another. One is the non -asset -based revenue split. I say 30 -- almost one -third of it will be the transaction revenue. When I say transaction revenues, there is also the paper transaction and some amount of digital transaction, but predominantly it's paper transactions revenue.

So -- and you do have an increasing component of things like what you mentioned, which is the MF Central and the various other applications that we kind of get a license fee for, for example, the analytics application called MFDEX or the CRM application or the data replication application and some analytics, etc. So you are right from a mix perspective, we do see some increasing contribution from the applications and miscellaneous billing that we do on the value -added services.

And you will have probably -- just to take a rough split, if you have INR200 crores as your non -asset -based billing, around INR75 crores could be your transaction and your miscellaneous application could be around INR35 crores, right? Your call center could be around INR30 crores and your OP will be a large part of it, which is INR50 -plus crores will be the OP and NFO could be a couple of crores.

That's a broad split. It's not the exact number, but just to give you an idea, there's a broad split of a INR200 crores non -assetbased revenue that you have. The increase in this is attributable to 2 things. One is the call center is growing. It's growing by around 5 to 10 percentage. It's also because the application revenue is growing because of the new functionalities that we bring in, the new applications that we give to our AMCs for which we bill.

So both of these are causing the increase in the mix, so to say. But predominantly, it still continues to be the transaction billing that we do, up to one -third almost is like that, right? From the second question that you had, I think it was on the cost side. Yes, actually, you will see the first quarter of the coming year or any year for that matter is the year in which predominantly the appraisal kicks in.

A major part of the employee workforce will get -- have got an increase effective from April 1.

So that could suppress the margins by a couple of percentage points. And that's why we kind of say that the quarter 1 has been historically, not only the current year, every year you've taken the past, you have seen the margins of close to 43% -- 42.5% to 43% will be the EBITDA because there will be a onetime -- not a onetime, but there will be an impact of the annual appraisals that happen.

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But we did have a lot of hiring happen last year, right? We added on a net headcount basis, around 750 to 800 people last year. And as you also rightly alluded to, a lot of it is because of the ramp -up we are doing in the non -mutual fund businesses. We've also invested on talent. We've got new talent out from IITs and IIMs to kind of power our future.

We are working on things like cybersecurity, various other cutting-edge technologies, which will require a different skill set. So not only have the number of people increased, the cost per person has also increased from an overall hiring perspective. But this year will be a little more muted. I think we have the building blocks in place.

We have built the platform. We have built out a sales force, which is going to the market, which was nonexistent probably 3, 4 years back. So all this has taken some bit out of the profits from us for the last year. But going forward, we

feel that there will be stability, stability in terms of the employee cost, stability in terms of the other costs also.

So to have 32% of overall revenue to be -- it is around 33% is currently to be the employee cost would be a good assumption to make, and that's what we are working towards. Mind it that we will also have some rationalization in manpower going forward because of the automation initiatives, because of the staggered implementation of the re-architecture.

We will have some rationalization in manpower going forward also from the core business. So overall, we do not see an increase in employee cost in the current year from an overall cost base perspective. If anything, we are looking at a small decrease so that you will definitely stability - see stability in employee cost.

Your other question was on insurance.

Supratim Datta: Payments Aggregator. So just wanted the split of the customer base now given that you have...

Ram Charan SR: Yes. So when we started off, you would understand it's almost 100% a few years back of mutual fund and SIPs and related stuff. So we had a process of diversification where we got into first NBFCs. And as Anuj was mentioning, we now got into education space. We have tied up with a couple of colleges and ERP provider, but it is early stages from education perspective.

So overall, it will be a few crores of revenue in a year. What we have also done is diversified the insurance space also. We have signed up at least 5 new insurance customers. So our -- while it will be more kind of a 55%, 45% split of MF and non-MF in the current year, going forward in the next year, we expect it more to be 60%, 40% kind of a split -- sorry, which is 60% of non-mutual fund revenue and 40% of mutual fund-related SIP revenue for the payment business is what we expect in the current year.

Supratim Datta: Got it. And one final question. Sir, just wanted to understand this Jan SIP, which has been launched by several MFs, how would the pricing there be different from regular SIPs?

Anuj Kumar: So these products, like you know, the Choti SIP across the industry and Jan Nivesh in the context of one AMC have been launched. The crescendo of activity that you would expect hasn't been attained yet. For your purpose, you can think of these as regular equity instruments. We

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obviously give the industry some remission in our overall charging framework for assets, for KRA and for payments.

And for an obvious reason that at that size where you're collecting only INR100 or INR20 a day, the cost of collection, cost of an SMS or e-mail, all those costs add up to prohibitively discourage anyone from scaling these products.

So the industry kind of thought and discussed for almost a year in terms of how we should expand this. And in the end, not just CAMS, but collectively between the RTAs, KRAs, depositories and payment aggregators, we decided that we will give it a leg up. I won't go into specific numbers, but just think of it this way that in the interest of creating this initial scale, we have also contributed to some differential pricing.

It's a uniform differential pricing. So it's not that CAMS is giving any special deal to anyone. But that decision was kind of nudged by SEBI, led by AMFI and has been taken at the industry level.

Moderator: The next question is from the line of Sarthak Nautiyal from Eraya Capital.

Sarthak Nautiyal: I just want to know one thing. As we have told, there's a very high switching cost in this industry, right? So I just want to know why any RTA will shift from KFin to CAMS or CAMS to KFin?

This is my first question.

Anuj Kumar: Sure. So just given the nature of the business, you know that the liability side operations scope is vast. It creates very strong linkages of both the end investor and the intermediaries to our platforms,

to the RTA platforms. There is a very long and onerous recordkeeping work that has to be done. There are liabilities which are shared by the RTAs.

If they have committed a mistake, the mistake may have happened 20 years back. All the digital linkages, the compliance reporting, all of that has to be done and the front office network has to be used for a particular client.

So like in any large operation, this is very different to either IT services or BPO, as you know.

BPO, you know that a lot of companies put their entire scope on RFP every 5 or 7 or 10 years. It's very different here that a yank out decision is very difficult to take. You wouldn't have seen in the last 10 years, any scaled AMC to have taken that decision. One or 2 small ones may have taken that decision owing to performance kind of reasons for delivery reasons, but it's not a very common efforts.

Sarthak Nautiyal: Okay. So sir, I just want to ask a follow-up question on that. I have asked the question to KFin, met with the management. They have said that in the last 15 years, 10 of the mutual funds have shifted from CAMS to KFin. So can you throw some light on it?

Anuj Kumar: Well, I would say you should do a follow-on and get names from them and then make a phone call to me and then we can see.

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Ram Charan SR: I think there -- I think nothing has happened. The public records are there for everybody to see. So you can look at it, the 2 things have shifted from KFin to CAMS. But the other way around, I don't think it has ever happened in the last ticket. So yes, as Anuj said, it will be useful for you to kind of reach out to us with specific names so that we can either revert or correct ourselves. Moderator: Sorry to interrupt. It seems like the participant's line has got disconnected. Hello, sir. Am I audible? Hello, sir?

Anuj Kumar: Go on, please.

Moderator: Okay. I'll go with the next question. The next question is from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Just first question is on the mutual fund business. Is there any impact of lesser number of days on the yield in this quarter? Generally, AMCs feel the pinch of it, but do we also feel the pinch of it?

Ram Charan SR: So Prayesh, I think I'd just like to correct the misconception that probably a lot of your colleagues also had and have reached out to me on. So the way we bill is the number of days does not determine the revenue. That's very simple. You have an average AUM for a month, which is the AUM on a daily basis. We take the average for the month.

So it doesn't really matter whether the average is for 28 days or 30 days. You just have a final average number. And the rates are applied on a monthly basis. So irrespective of whether you have a 28-day or a 31-day month, the revenue for the month will not be impacted by the extra 1 or 2 days. The rates are actually annual rates, but are applied on a monthly basis, irrespective of whether it's a 28 or 31-day month. So there will be no change by the fact that the quarter has 2 days more or less to the overall revenue number.

Prayesh Jain: Got that. Secondly, on the CAMSPay business, you enrolled LIC and how -- when was this? And do you think that a large part of your growth guidance on FY '26 would be -- LIC would be a key factor in terms of CAMSPay?

Anuj Kumar: So good question. This business was signed up exactly 1 year back in March, April of '24. It is not about premium collection yet. So I just want to clarify. We are not collect -- we don't have any exclusive deal to collect insurance premium yet.

These are account authentication services, which is a normal service which you see across the insurance and the asset management world where you verify somebody is a pays account that it is generally held by them, is not a third-party account and the branch, etc., has no

not got shut. So

that's a set of services because the digital business is going up, I think a lot of non-cheque payments are beginning to happen. So this is that service. So we continue to be in conversations with them to expand.

The FY '26 guidance of growth in CAMSPay is not so much LIC. LIC will scale, but I think it's all the components, the large growth in the SIP numbers in the last 1 year, some addition from payment gateway, some from education. Of course, LIC will be a component, but I would not

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think that it is going to be more than 10% or 15% of the overall growth numbers that are being spoken about.

Prayesh Jain: Right. And with respect to the margins, how should we look about margins in FY '26? You mentioned that the employee cost would be maintained at about 33% of revenues. That is what you mentioned, right? And opex should see some kind of steady growth. On the other hand, non-MF businesses profitability should improve. So given this trajectory, should we expect an improvement in EBITDA margins in FY '26 versus FY '25?

Ram Charan SR: So Prayesh, in normal course, that answer would have been yes. But as we have guided earlier,

there could be some impact of the price that we will see in the course of the year also, remaining close to 50% of the impact that we will see. So our aim is from a margin perspective, while we ended the year on 46%, next year would probably be a 44% kind of a margin percentage, which is what we are all working for.

Obviously, it is predicated on mutual fund growing reasonably, if not equal to current -- we know it's not possibly equal to the current year's growth in terms of 30-plus percentage. But if there's a reasonable growth in mutual funds and after eating the price impact and increase in non-mutual fund margin and cost control, we feel that 44% EBITDA for the year next year is definitely achievable.

Prayesh Jain: Are you being conservative in terms of giving the guidance? Because obviously, if you look at the Q4 EBITDA margin where you had an impact of about 50% of it, you still delivered a 44.9% EBITDA margin, and you're talking about FY '26 EBITDA margin of about 44%. So are you being conservative here in terms of that guidance? Or how should we read this?

Anuj Kumar: So Prayesh, think of it this way that we are not building all of this on an expectation of a 20% AUM growth. We've had a 20% AUM growth CAGR over the last 9 years. If that happens, then obviously, the numbers can be better. We are expecting that AUM growth will be more moderate, will be maybe 11%, 12% -- and if AUM grows 11%, 12%, then obviously, revenue growth is 8% to 9%, which has to cushion the incremental impact that's coming and then has to contribute.

And non-MF, we know even at 25% on a INR200 crore base, will add about INR50 crores to the revenue, but cannot add INR100 crores to the revenue. Non-MF, if it does superlatively well, the INR50 crores absolute increment can grow to INR60 crores or at best INR70 crores, but it will never be INR100 crores.

So the way to then think about it is that -- and again, I don't want to do any arithmetic reconciliation here that if non-MF contributes, let's say, INR50 crores to INR60 crores, absolute MF is, let's say, INR120 crores, INR130 crores, net of discount is about INR70 crores, INR80 crores. A possibility to scale overall group revenue on a base of -- I mean, just remember that 10% absolute revenue growth on a base of -- I mean INR1,420 crores, INR1,430 crores is almost INR145 crores.

So my guess is that a double-digit even low teens number will be difficult to hit at the asset growth that we are estimating. If assets grow at 20%, we will have a different story to tell. But

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right now, I don't think the ground has been built to assume

that FY '26 is a 20% asset growth here.

Prayesh Jain: Got that. That's pretty helpful. Just last question. In terms of capex and investments, how should we think about FY '26?

Ram Charan SR: So there are 2 aspects to it. One is the regular capex that goes in the BAU and other is the re-architecture project that we are running. The first, you will see normal capex happening. This time, we had to do some extra capex because of some SEBI requirements of air gap center, etc. Next year, you will have another INR50 crores kind of an addition to IT capex and probably another INR10 crores, INR15 crores to the other capex that we have.

So -- but from a re-arch perspective, we will accelerate our spending in the current year, right? Last year was the first year where we had probably 8, 9 months of work done in the re-arch in the initial design part of it. So this year, we will kind of accelerate our spend on re-arch. The benefits will start flowing in from the end of this year, too.

So I expect overall from a capex perspective, we will spend around INR100 crores on the overall -- meaning on the rearchitecture part of it, and we'll spend another INR70 crores on the other capex part of it. So this will be a year in which there will be cash outflow for these 2 things from a capex perspective.

Moderator: The next question is from the line of Madhukar Ladha from Nuvama Wealth Management Limited.

Madhukar Ladha: Most of my questions have been answered. I want just one clarification. I think you spelled out the non-asset-based MF revenue in different categories. So you said call center was INR30 crores, out-of-pocket expenses about INR50 crores. And then what is the application revenue? And yes, can you just give that split that adds up to about INR185 crores? That's my first question.

Second question, I think last year, our net sales market share was about 75%. What would that number be for FY '25? And third question on depreciation. So we see a pretty big jump in depreciation in Q4, right? Would that be our run rate going forward for next year? And given that you also just gave out the capex numbers that INR100 crores is going into re-architecture and additional INR65 crores on other capex. So would that mean that this depreciation would

probably increase even more than that is what I'm guessing. I wanted some clarity on that. These will be my 3 questions.

Ram Charan SR: So Madhukar, I will just take your depreciation question first. Yes, as I have said that we have actually spent a lot of money on things like renewal of Oracle licenses and SharePlex and air gap centers that we have set up as a part of the regulations. The SEBI has mandated that you have a fourth kind of a data center to protect us in case there's a ransomware attack, etc. So you will see -- you have seen a depreciation in the current quarter. This should be broadly the run rate going forward. There is no -- barring some accelerated depreciation that we did for

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some intangible assets being very conservative. That's probably INR1 crores of depreciation that we took on the books. Barring that, everything is probably part of the run rate. Obviously, the depreciation on the gone live component of re-arch will start kicking in only from the end of next year when the module goes live. So for the first few quarters, you won't see an increase in depreciation because of that. The regular depreciation because of the additional capex that we do, which is around INR60 crores, INR65 crores that we expect, that will start flowing in as and when we do the purchase of those particular servers or storage or whatever it is. So the re-arch part of depreciation, I think, will be more something which will start flowing into the books for the end of next year rather than the first few quarters because the module will have to go

live. Otherwise, I think we are on track to kind of keep the current quarter as the run rate of the depreciation going forward. That is on the depreciation part of it.

Sorry, just can you repeat the other question?

Madhukar Ladha: The breakup of the non-asset-based revenue or...

Ram Charan SR: One month's number, it was around INR200 crores was the non-asset-based number.

Madhukar Ladha: INR185 crores, right? Isn't it non-asset basis, INR185 crores.

Ram Charan SR: Not non-asset-based.

Madhukar Ladha: Sorry, INR195 crores, INR195 crores.

Ram Charan SR: Yes, approximately INR200 crores. So that's out of which I kind of -- the transaction revenue is around INR71 crores. The miscellaneous is around INR34 crores. There is some NFO revenue and recoverables, which is around -- NFO is around INR6.5 crores. recoverables is INR54 crores and the call center is INR32 crores.

That's the split. Some decimal points here and there will be there. But largely, that has been the trend going forward. It's a small increase in the mix for call center and for miscellaneous application over the last few years, which will sustain going forward.

Madhukar Ladha: Understood. So the application and VAS services are still quite low compared to what we hear for the industry and from competition. So any thoughts around that as to what's preventing us from growing this part of the business?

Ram Charan SR: So 2 parts to it. I'll answer from an accounting perspective is that some of the application revenue that we do is also built into the AUM pricing in large deals, you kind of tend to kind of bundle it as a part of our AUM pricing. And there are a lot of value-added work that we do in our Sterling software also, right, which is more to do with the website development and APIs and all those things, which is counted as a part of the Sterling revenue, which is not a part of this. But yes, predominantly, we have thought about a lot of these features as a salience, right, from a philosophical perspective. For example, we could build for all our transactions in myCAMS.

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We are probably #3 or #4 in terms of gross sales. But we kind of provide it to a customer as a value add increasing our salience in the entire customer ecosystem.

And hence, we are not very charged about making it as a commercial model, right? We kind of are providing value to them. We know that we are providing value to the customers. It's one of the value proposition that we advocate and not necessarily something that we commercially exploit fully. Philosophically, we have let it be like that. Whether we'll revisit in the future is a different question. But so far, we've not -- commercial has not been the first priority when we kind of do value add to our customers.

Madhukar Ladha: Got it. And final was on the net sales market share. So net sales last year, I think for FY '25 was about 75%. And FY '25, what would that number be?

Anuj Kumar: That number will be in the mid-60s. A lot of that depends upon NFO performance, NFO market share, et cetera, which is in the range of 68% to 70%. I think on average, this will be mid-60s to late 60s kind of number.

Moderator: The next question is from the line of Uday Pai from Investec.

Uday Pai: Just a couple of questions. Firstly, on the AIF side, while you mentioned that we are adding multiple clients, we have crossed 200 clients threshold. But in terms of revenue, the run rate has been pretty much same over the last 5 quarters. So any thoughts over there? And the second question is on the KRA side. Could you mention the split of the KRA between new SIP revenue split on account of new SIP creation and on new demat? Or is it 100% SIP creation only? Those are the 2 questions.

Anuj Kumar: Sure. So on AIF, I just want to reinforce that it's a significant, well-established market leadersh

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story. Why is it like that? You've seen the number of wins. And obviously, you are in the marketplace, so you can see where most of the new AIFs are heading. We've held on despite significantly heightened competition in the last 2 to 3 years with several new players kind of coming and flexing their muscles, including on price.

We've held that 50% share of the outsourced market. We are the largest player in GIFT City with -- in excess of 30 commercial customers. We absolutely rule and straddle the digital onboarding market with 200 installations across the domestic market. The revenue has grown about 17% year-on-year. We would have liked it to be over 20%.

Do remember that this is now a much smaller bps yield kind of a market. It's a more fixed price kind of a market that AIF has developed into. But from an overall market perspective, and we don't do stamp duty only or demat only kind of deals. We don't have a single customer, even if it's a relationship customer, just to report some inflated customer counts because we know those are empty calories, and we don't want to work for being paid INR5,000 a year.

So we have none of that, not a single contract like that. We believe we've built a very pristine portfolio there. And as our automation and delivery continue to go up, you will see significant scale up build in this market over the coming days.

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Ram Charan SR: I would just like to add that I don't know why you have the impression that it is static because on a 12-month basis, the AIF revenue has grown 18 percentage. Even on a sequential quarter basis, last time we grew 6 percentage, right, which is not -- decent numbers, right, which is not bad numbers at all. On a year-on-year basis, we have grown 16 percentage on AIF revenue. So yes, we are making progress. The growth is there. It is significant growth. It's not by any stretch, kind of a static kind of revenue number.

Uday Pai: Sure, sir. On the KRA side?

Ram Charan SR: So the KRA, rough split that you should take is that from an MF perspective, we'll have around 65% to 70% of revenue will be contributed by the SIPs or the MF, new onboarding, not strictly SIPs, new onboarding in the mutual funds. And from a demat or the share broking side, we'll have the 30% to 35% of our revenue.

Anuj Kumar: Do keep in mind that the demat and broking marketplace is 3x the size of the MF marketplace, which means the number of new investors and new accounts which are opened in MF, about 2.5 to 3x are opened in the demat and broking world. So as an opportunity, it's a much bigger opportunity. From a penetration perspective, we are continuing to penetrate.

Uday Pai: Sure. Sir, just one last question, if I can squeeze in. Is LIC exclusively working with CAMSRep or it has onboarded other repositories as well? And what is the size of potential revenue that you see over there?

Anuj Kumar: LIC signed up with CAMSRep as the first contract over a period of time. So you must have seen at least one announcement from a competing depository, but they are signing up with everyone.

So they'll sign up with all the 4 depositories. Like I said, in the first year, we expect that LIC will contribute 50 lakh to 70 lakh new policies to the industry on a full year basis.

On a part year basis, the number may be smaller. So that's what I can tell you that from our base of gaining 40 lakh to 50 lakh new policies, LIC could easily add about 15 lakhs to 20 lakhs to that. So they could easily represent about 30% to 40% of new policies coming in. And obviously, it will be a fill into our revenue.

Should we have one last question on the phone?

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: Right, you said that non-MF business EBITDA margins are somewhere between 10% to 15%. And if I do a back calculation

, the mutual fund EBITDA margin will come somewhere between

50% to 51%? So -- and you said that 46% can potentially go to 44%. So is it fair to say that you are trying to see probably 4% to 5% compression in the mutual fund business largely because of the yield pressure and muted MF growth. So that's the way you are looking at the business to play out in '26?

Ram Charan SR: So I think we said that we do expect on a year -on-year basis, the yields to compress. I think give you the numbers to be -- compared to FY '25, I think we will have a 7% yield compression. But that is assuming a very, very moderate increase in AUM, right? So obviously, the AUM growth

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is much more than you will see a different yield compression number. So yes, from a year -on-year basis, from yield compression, we do feel that compared to FY '25, FY '26, we will have a close to 7 percentage compression in yield.

Sanketh Godha: Okay. And lastly, a data keeping question. If you can give 2 numbers, your employee count and second, your number of KRA accounts you have. I think that number was some 1.8 crores. So what is the recent number?

Ram Charan SR: Around 1.9 crores plus PANs in our KRA business. And what is the second question you asked?

Sanketh Godha: Number of employees.

Ram Charan SR: Number of employees around 8,100.

Sanketh Godha: 8,100. Okay, perfect. That's it from me.

Moderator: Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to management for closing comments.

Ram Charan SR: Thank you. Thank you for your participation in this call and the continued interest that you are showing in CAMS. As always, please feel free to reach out to Anish or Gayathri or to Link Intime in case you have any questions, and we are also available for any clarifications that you may have. Thank you once again, and please continue to be interested in the CAMS progress.

Moderator: On behalf of Computer Age Management Services Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

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"Computer Age Management Services Limited
Q1 FY'26 Earnings Conference Call"
July 31, 2025

MANAGEMENT : MR. ANUJ KUMAR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – COMPUTER AGE
MANAGEMENT SERVICES LIMITED
MR. RAM CHARAN – CHIEF FINANCIAL OFFICER –
COMPUTER AGE MANAGEMENT SERVICES LIMITED
MR. ANISH SAWLANI – HEAD, INVESTOR RELATIONS –
COMPUTER AGE MANAGEMENT SERVICES LIMITED

MODERATOR : MS. MASOOM RATERIA – MUFG

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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Earnings Conference Call of Computer Age Management Services Limited hosted by MUFG IR. As a reminder, all participant line will be in the listen-only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Masoom Rateria from MUFG. Thank you, and over to you, Ms. Masoom.

Masoom Rateria: Thank you. Good morning, and welcome to Q1 FY '26 Earnings Conference Call of Computer Age Management Services Limited. Before we proceed to the call, I would like to give a small disclaimer that this conference may contain certain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on date. These statements are not guarantees of future performance and involve risks and uncertainties, which are difficult. A detailed disclaimer has been published in the investor presentation. Today from the management of the company, we have with us Mr. Anuj Kumar, the MD and CEO; Mr. Ram Charan, the CFO; and Mr. Anish Sawlani, Head Investor Relations. I would like to hand over to Mr. Anuj Kumar, over to you, sir.

Moderator: I'm sorry to interrupt, but your voice is breaking.

Anuj Kumar: Yes. That's okay, Masoom. Thank you. Your voice was breaking towards the end. But thanks for the introduction. Good morning, everyone. Thanks for joining this 1Q earnings call of CAMS. We will follow the standard format of taking you through a structured deck between Ram Charan and I, which will last about 20, 25 minutes. And then we will have enough time open for Q&A. You would have now access to the earnings deck.

I will just give you a prelude just in terms of broadly how the quarter went and then launch on to taking you through the deck. So broadly, it was a quarter in which we did face some pressures and some headwinds. And I think given the fact that the financial metrics are still looking very strong, and I'll get to them in just a bit, it's been a great job done by the team to get us the results that we have. You're aware that because of telescopic structure, we do face some pricing pressure as AuM overall expands.

We also briefed you back in January '25 that in a large account, we were trying to do a reset of prices just to bring them at par with the market. And that reset was supposed to last the next 3 or 4 quarters. I think the good news is that, that reset is almost complete. Over 90% of what fee remissions, etcetera, we had to give have been given in the fourth and the first quarter.

So, what you will see is a very marginal impact going forward and the results that you see, both revenue and bottom line, EBITDA and PAT are after doing almost 90% of the price reset in that large account.

There is very little more to come after that. You're also aware that in the first quarter, we typically take a cost expansion largely led by salary increases, increments and those kind of things, and wherever we have annual maintenance contracts wherever the price goes up. So, all that is on the base now, which means all that impact has also been taken from a 1Q perspective.

After all of this, which means some impact of telescopic pricing, setting right about 90% of the price remissions and taking them in the base, all the expansion in cost largely led by salary increases for the year.

And the last thing I would say is that specifically from a capital markets perspective, you are aware that the KRA business, not just for CAMS, but across the industry

has been impacted,

given everything which has been happening, including the smaller number of new accounts which are being opened for F&O and regular trading, demat, etcetera, also in mutual funds.

So, our KRA business from a year-on-year and a quarter-on-quarter perspective did see some contraction. All of this having happened in the quarter. For the quarter, you still see an EBITDA percentage, which is north of 43% and a PAT percentage, which is just short of 30%. And I think this vindicates the resilience of the model that we've had quarters, if you go back to second and third quarter last year, we had tailwinds across the board, MF, non-MF cost, all of that.

And I think despite some headwinds that I stated about, most of which were known, bringing in the kind of financial metrics that we have posted, especially on the profit line. But across the board, if you look at financial metrics on a year-on-year basis, we've had, I think we've kind of delivered an act which is pretty strong. So that is something I wanted all of you to know as a preface. I'll jump on to the main deck, and I'm on the chart on business highlights.

Very pleased to share with you that for the first time in history, we've crossed INR50 trillion or INR50 lakh crores of overall assets. Must also say that in July, this did inch up to about INR52 some times INR52.5 and we'll see how the rest of the quarter last. But INR50 trillion or INR50 lakh crores was a significant achievement. We retained market share with 68% by AuM.

At the same time, our equity assets surpassed the INR25 lakh crores mark. Again, if I look at July, these have been hovering in the just short of INR27, which is between INR26.5 lakh and INR27 lakh crores. And inflows continued despite all the volatility and just the plethora of news items that were coming in. So that's, again, from a foundational metric perspective, a very strong act. Overall AuM across businesses in mutual fund grew 22%.

Equity assets grew 24%, which was ahead of the market, which is again good news. New SIP registrations year-on-year to about a crores and 12 lakhs. These increased 19%. Market share jumped up for new SIP registrations by 6 percentage points. Now typically, it's a very tough act to continue posting this kind of market share increase.

So, we'll continue keeping you updated on what happens to it in the ensuing quarters. But for that 1 quarter, it's a significant gain in market share. Live SIPs, these are SIPs which are live and which get the monthly collection, which basically adds to gross and net equity sales. That number grew 15% year-on-year and market share improved from 57% to 62%, which is again a very significant jump up.

Unique investor base crossed the 41 million. So, it's about now at INR4.15 crores grew 27% year-on-year, faster than the industry, which grew 22%. So, if you see the collectivity of foundational metrics, which is gross assets crossing INR50 lakh crores, equity crossing INR25, AUM growing 22%, equity assets growing 24%, new SIPs, significant up in market share and live SIPs, significant up in market share and investor base, which grew faster than the market. I think all of those are great redeeming features for the quarter.

Also, the fact that you know that we had won a slew of contracts, new AMCs in about the last 14, 15 months, 7 of them were waiting to go live. But typically, in the past, we used to take about 1 or 2 AMCs live in a year. The good news is that 3 of these are already live, including Jio BlackRock, which did its weight in NFO. This was not in the first quarter. theoretically, the numbers came in the second quarter, so you don't see them in the results.

And they garnered about INR18,000 crores in the largest, in what was the largest in the industry. The balance 4 new AMCs are slated to go live in the

next 3 to 6 months. We also took Ceybank, which is the first official, I would say, national client and asset management, live during the same period. So, they are live and working on the CAMS platform. That's across the board on the MF side.

And again, I would say that just from a foundational perspective, each of these can be straightway correlated to revenue-bearing metric and therefore, will help the story play out in the coming quarters, including starting from the second quarter.

Beyond mutual funds, CAMSPay, although from a quarter-on-quarter perspective, wasn't very strong, but 26% year-on-year growth. The payment gateway infrastructure for cards has become operational now. It was slightly delayed, but we'll continue to kind of buttress the revenue growth from now onwards. So CAMSPay grew 26% and the payment gateway went live. Alternatives continued to solidify its market leadership. We got 24 new logos. Like you know, these are full-service logos. I keep saying none of them is a truncated service, 50 new mandates, 3 new clients in GIFT City. Overall I, AuM of CAM service funds crossed INR2.7 lakh crores during the quarter, which is great news.

Insurance policy count, and I'm sure you've been reading about this in other newspaper articles, nothing to do with CAMS PR. But in general, the acceptance of repository is gaining ground without any bulk deals. So, this is largely consumer-led. That consumer-led metric has seen policies grow by 41% year-on-year. And again, it has, this is straight revenue-bearing metric for the coming quarters.

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Also, do keep in mind that while LIC signed up with us in March, they are still not live, expected to go live in the September, latest October time frame. So, you can expect or at least I'm expecting that this 40% growth in policy-based number should be repeatable given that whatever tailwinds we have in that area we have, consumer preference for holding demat insurance policies is going up. And with LIC with the market leader participating at some time, that momentum across the board is expected to go up.

You would have also seen an announcement on 29, just 2 days, a day or 2 back that CAMSKRA has entered into a definitive agreement for acquiring the KRA business of what is called DotEx in common parlance, NSE Data Analytics. Do keep in mind, this is like a slump asset sale. So, we're not bringing in the infrastructure or a large count of employees or rents or leases, etcetera. This is largely, the inventory of CAMS goes up on a base of 2 crore s TAM that CAMSKRA has. This adds about INR13 lakhs, 14 lakhs.

So, it straight away accretive to revenue. It does not bring in, brings in very marginal costs, which is repatching 3 or 4 employees, and getting out of the leases, we won't be using the data center, etcetera. All of that will just come and sit on the TAM system. That is a transition part.

So, this is something we've been working on for some time.

And again, coming from the NSE stable is a great accretion to the overall KRA business and will be significantly revenue accretive, but very marginal cost, a small fraction of the cost will come to us.

CAMSKRA otherwise broadly continued to onboard strategic clients. The good news is that one more of the top 5 brokerage houses that we started breaking into BPs and brokerages in about the last 30 months. We've broken through one more. Otherwise, the aggregate new logo additions is 40 large, medium, small, all kinds.

And then I also wanted to say that in all this, Think360 got a POC leading to a contract of an AI-powered data and insights platform for a U.S. health-tech firm. You know that Think traditionally has had experience and expertise in the molecular research area for drugs and therefore, have some recall and some proximity to that segment of the U.S. market. So, they've

started work on this.

Of course, it has to scale up to become a regular large-sized contract and we will how this part goes. In the ensuing 4 or 5 slides, you have content on everything else that we've spoken about in the past. I'm not going to spend too much time on this. The charts are there. Take a look and let us know if you have any questions, either now or later, if you're in touch with us.

With this, I'll hand this over to Ram Charan to take us through broad financials, and then we'll be ready for Q&A. Ram, over to you.

Ram Charan: Thank you, Anuj. As Anuj was mentioning, we had some headwinds during the quarter, some of which we had already alerted to you in the earlier part of the year in terms of the price

movements and the salary, annual salary increase that happens traditionally in the April 1, effective April 1.

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So, but the good news is that from a trend perspective, the market has, in spite of choppy markets here and there, the market AuM has grown. It's grown over 7% on a quarter -on-quarter basis, which means from a foundational perspective, it all goes well for the future revenue growth. Equity has also done well. It's grown around 24% on a year -on-year basis on the back of which we had a reasonable revenue growth on a year -on-year basis. Overall revenue grew around 7 percentage, and we were at around INR355 crores of revenue. Asset -based revenue grew 2% quarter -on-quarter and almost 9% year -on-year. Again, this is considering the impact of the price difference or price reduction that was given to one of our key customers.

From a yield perspective, I think Anuj has given the commentary. I'd just like to add that we had guided that there could be a 4% to 5% reduction in yields in the current quarter in addition to what you saw in the last quarter, and it's played out on similar lines.

We have seen a close to 5% decline in yields. But going forward, as we have taken most of the impact in the base, we expect that barring telescoping, there is not going to be any significant depletion in yields going forward. And you know that from, if you see the math on a 5 -year average basis, telescopic depletion has been around 3% to 3.5% per year.

So, we should expect closer or lesser to that going forward in terms of yield depletion. However, because the first quarter has seen a sharper yield depletion than usual, on a year -on-year basis, you could see a 9% kind of a yield depletion. But the next 3 quarters would see a very, very moderate decrease, if at all, in terms of yield depletion.

From a profitability perspective, you've seen that the costs, we have said that we have some levers in case of some strain on the revenue, and we said that we will pull those levers, and we have done exactly that. We have seen cost control measures bearing fruit. We have had a very muted increase in cost on a year -on-year basis, including depreciation, which we continue to invest on various data centers and storage and servers, including depreciation our overall cost increase on a year -on-year basis is less than 11%.

So, our aim for the year is to keep it around that range, probably 1 percentage higher, but much less than what it was in the past. And on a quarter -on-quarter basis, you will see that the cost has actually declined. And even if you take away the OP decline, I think, and if you consider that this is the quarter in which the salary has increased, seen a very, very muted increase in costs, which again is the way forward for us in terms of increasing the profitability.

Margins, again, given all these headwinds, the margin still was at 43.7 percentage, a little down on a quarter -on-quarter basis, year -on-year basis. But again, traditionally, the first quarter has been the, has seen the maximum strain on margins. And as we go further, this kind of gets normalized

.
And while we will, we are maintaining our guidance of saying that we will see around 45% of margin on a steady -state basis, there is a little upside in terms of the current quarter. We did not expect close to 44% margin. But going forward, I think we should be able to hit the 45 -plus

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percent EBITDA, obviously, assuming that the assets do keep up the pace of growth that we have seen in the last few quarters.

We have ended the quarter with a very comfortable cash and cash equivalent of INR788 crores, out of which INR90 crores dividend was disbursed in the current month post the shareholder approval, and the Board was pleased to declare an interim dividend of INR11 per share. So this is a summary of the financials.

And with this, I hand it back to the moderator. We can open the floor for questions.

Moderator: The first question is from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Sir, just firstly on this yield part, while I understand that the adjustment of the one big negotiation has happened, any further renegotiations that are expected in this year or early of next year that can impact the yield further? That's first. Second, on the yield front itself, as these new customers, particularly Jio BlackRock kind of scales up, do you think that your yields can be under pressure?

Because what we understand is most of these new wins are, have a very low fees in the initial

part, in the initial 2 or 3 years. So yes, that's my first question on the yield front. Second is on the non -MF businesses, particularly CAMSPay, which has seen a sequential decline in this quarter, what would you attribute that to?

And how should we think about this? Yes, probably, and thirdly, on profitability between the MF business and non -MF business, if you could spell out the EBITDA margins both ways ? Those would be my questions.

Anuj Kumar: Sure. Thanks, Prayesh. So, I'm sure you appreciate that our guidance with respect to prices, yield depletions, etcetera, plays out almost exactly the way we predicted to you in the last 4 or 5 years, which is that we don't want any asymmetry to exist between what we are anticipating in terms of events happening and what you see. We believe that with this large contract, 90% of that the price adjustment being in the base.

For the next about between 1 year and 1.5 years, there's nothing else, nothing much else to be dealt with. There could be very small events. But from a large price correction perspective and do remember that we were the first ones to indicate this in the month of January. So, from a price perspective, like Ram said, about a 3% annual depletion is something you can estimate to be in the base. And nothing much beyond that, except the balance 7%, 8% of this price adjustment will you see coming in. That's point number one.

Point number two, from a new AMC and Jio BlackRock perspective, yes, a large number of them have now are going live and will go live. Typically, their accretion to overall fees and overall profitability, et cetera, is small. In the case of BlackRock, their emissions are very large. So, we will see how that scales up over a period of time. It is not true that we have given some very large price remissions.

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Typically, 1 or 2 of these elements are given at more, I would say, competitive pricing, but it is not that we've done anything very significant for these new logos. So we will see how this goes. Typically, our expectation is that the AuM build -out of these new AMCs is very slow amongst the new ones, takes several years, 4 to 5 years for them to scale up. So for them to have any material bearing on the P&L of CAMS always takes time, and I don't think a lot of that is going to change, perhaps with the exception of Jio. So that's

answer to point number two.

From a CAMSPay perspective, what you see, so you will appreciate that on a year -on-year basis, we are 26% revenue up, which is good news. From a quarter -on-quarter basis, there were some volume reductions in insurance. Insurance peaks in the fourth quarter, so whatever activity, heightened activity the insurance companies see, we partly mirror that because all of this is a subset of the payments part of the insurance business, including AutoPay. And we are expecting some of that to come back as the first and second quarters progress.

There were some lower volumes from key clients, one, largely because we are trying to migrate that very large MF distributor from other alternate platforms to our platforms, which means that the existing ACH mandates, et cetera, have to move from place A to place B. Where we had a plan, the execution has been slightly slower just given the multiple dynamics in migrating these ACH mandates, but all of that will happen.

And the third is that the growth, the setting up and growth of the payment gateway business was slightly slower, was about 2 or 3 months slower than what we were thinking. So our expectation is that from this quarter, the quarter that we are sitting in July, August, September, you will see build back into the CAMSPay business. And therefore, any wrinkle that you saw from 4Q to 1Q was a temporary wrinkle. And it's unlikely that you'll see anything like that in the ensuing 3 quarters of the year.

Ram Charan: The only one question that was on the profitability of non -MF and MF. I think they continue to be on what we used to be. The non -MF profitability, we said it's always between 10 and 15 percentage. They were a little lower on this 12% probably in the current quarter. MF continues to be 45 -plus percentage. So that's the split up on MF, non -MF, probably a little lesser this time. Keep in mind the overall company margins are a little lesser, but nothing that's swung it either way.

Prayesh Jain: Got that. I really appreciate the kind of guidance you have been giving us on the trend and the way it's panning out. Thank you for keeping us updated on that.

Moderator: The next question is from the line of Devesh Agarwal from IIFL Capital.

Devesh Agarwal: Just a further clarification on the yield part, sir. If you can tell us ex of this large AMC where you had the repricing, what would have been the impact on the yield for us?

Ram Charan: So Devesh, if you see the yield depletion was 0.12 bps, I think, and the bigger AMC actually contributed 0.09% of it. So it's almost predominantly everything. That's kind of the way it has played out.

Devesh Agarwal: So 75% is because of that repricing?

Ram Charan: Yes, yes, that's correct.

Devesh Agarwal: Right. And you did mention there is no more repricing or 95% of this large AMC repricing is in the base. But when you say no more repricing are expected, are you saying like over the next 3 to 6 months or for the next 2 years? How should we see about it?

Ram Charan: So let me clarify that it's not as of no repricing, meaning when I say repricing, I mean the usual commercial negotiations post the end of the pricing tenure will happen, and that's business as usual. What we indicated was that there's not going to be anything major that's going to come around. And this is probably for the next 2 years, you will see stability on this. And I'm not saying you won't see stability post that, but I think we have visibility over the next 18 months, 18 to 24 months.

Devesh Agarwal: Right, sir. And when you guide for this 3%, 3.5% depletion beyond FY '26, I'm assuming you're accounting for all these new AMCs and they're gaining size, including Jio BlackRock or that will be over and above ?

Ram Charan: So as Anuj was mentioning, right, I think if you look at our asset base, it's

almost like INR52

trillion, INR53 trillion, etcetera. So I think the new AMC's ability to adversely or positively affect yields is very limited. So I think we are confident of retaining within the overall guidance that we have given.

Anuj Kumar: From a metric perspective, Devesh, just think of it this way that today, when you see the asset base of INR50 lakh crores under 2% of this belongs to AMCs, which were launched in the last 5 years, which means whatever was launched in the last 5 years is significantly below INR1 lakh crores .

So either way, price or any other growth metric, what you would expect in the next 4 to 5 years, although the number of wins is very large, that at most, we will see about, let's say, 2% to 3% of AuM contribution from these people. And therefore, their collective ability to swing the P&L either way, I think, is very limited.

So I will hold whatever I said that beyond the next 18 to 24 months, the 3%, 3.5% depletion is perhaps something which stays in the base because that is an outcome of telescopic and some element of negotiation. This was one large element that we had to set right the dialogue was old. If you ask me, it's a good thing that we've got past that event. It took us some time to get past it. And given the fact that all of that has been now written in the base between, largely between 4Q last year and 1Q this year, the costs have been managed well. And therefore, our ability to be a lot more predictable and accretive in the coming quarters is much, much higher.

Devesh Agarwal: Right, sir. So with this repricing, sir, that has happened, can we say at the end of 1Q, your top 3, 4 AMCs will have a very similar pricing, will be in a very narrow band or tight band?

Anuj Kumar: Yes. So if you see our spectrum of 22 clients, there is a lump of 5 at the top, which is consistently priced. There's a lump of another 6, which is AMC #6 to 11 and which are also in the similar band. So that is pretty consistent. And then as you go down, although those are smaller people. But yes, there are these 3 subgroups that you can think of the portfolio in, and they are all very tightly banded.

Devesh Agarwal: Perfect, sir. And one last question, sir, on the non -mutual fund business. If you can again share your views in terms of the growth that we expect over the, say, next 2, 3 years and the margin, how you intend to ramp up? And what is the share that you expect of non -mutual fund business in your overall revenues in, say, next 2 to 3 years? That will be the last one.

Anuj Kumar: So, no Rush, Devesh. So, like we've said in the past, so we will get the non -MF portfolio to 20% and no questions about that. Inside of non -MF, there are very strong points, which is KRA payments and AIF, which are significantly profit yielding. And then there are elements which are not making money, which is account aggregate insurance, although insurance is getting somewhere towards breakeven, but we are funding some of these things. And then between Think, MF Central, et cetera, we are still funding some of those things.

So, the non -MF business at the peak will be, let's say, 35% to 40% EBITDA in the best. And at the bottom, maybe minus 10%, which is why it converges at about plus 15%. I think what is at 40% will probably remain at 40%, what is at plus 30% will remain at plus 30%, and we are

happy to keep those businesses there.

The trick is to get the minus 10, minus 15 guys over the hump and get them to positive territory. And I can tell you that, for example, in insurance, we are seeing let's say, INR25 crores to INR27 crores, maybe INR30 crores revenue, we will get too positive and account aggregated at about INR1 crores revenue we will get to positive. In most platform businesses, which have small labor, that's amount of fixed cost that we deploy between INR10

crores to INR15 crores.

So, what I'm very positive about is that pouring more revenue into insurance, into account aggregator between Think and MF Central. And MF Central is also not very far, although we've been funding it for the last 4, 5 years, but we are very sure of getting to that point.

So therefore, 20% overall revenue contribution, getting in the next 3 years, non-MF aggregate to be, let's say, between 25% to 30% profit contribution and not between, not around the 15% is really in the realm of reality. You can expect that to happen.

Moderator: The next question is from the line of Uday Pai from Investec.

Uday Pai: Just one clarification on the yield side. So, you mentioned that out of the 0.12 basis point deflation this quarter, a large part was account of that single AMC. So, the remaining was purely on account of telescopic pricing? Or did we have any other repricing from any other customer?

That's the first. And secondly, I would like to know the breakup of KYC revenue in terms of brokers and AMCs. So that's the 2 questions.

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Ram Charan: Sure. The first question, there is just one more customer who had a very small price reset that happened. So, it was not significant. So you could assume that a lot of this is because of the telescopic pricing. Again, as we said that going forward, there could be, there will be 0 price resets will happen. When we say price reset, it's not a significant one.

Every time there is a rollover, there is some discussion depending on the growth of the AMC, there could be some moderation in rates that could happen. So, I think that's a BAU kind of event that has happened. So, nothing significant from that perspective. So predominantly, it is the major customer yield accretion that you are seeing.

The second part of it, if you see from an AMC to brokers perspective, around 30% of the KYC revenue will be from the brokers and DP's perspective and 70% will be from AMC. And that is a metric that's been trending upwards over the last few quarters.

Moderator: The next question is from the line of Abhijeet Sakhare from Kotak Securities.

Abhijeet Sakhare: I have just one question on opex. So, this, generally, what we've seen for the last few years is that the first quarter opex is roughly around the 25% mark as a percentage of overall opex for the year. So, should we assume that to continue this year as well, which automatically implies that the opex number broadly kind of settles at this level? Yes. So, any color on that would be helpful.

Ram Charan: So, Abhijeet, I'll just split it into 3, right? So, the major cost is the employee cost, then there is the operating expenses and other expenses. On an overall, if you see year-on-year, including depreciation, we have been probably between 10% and 11% growth in the current quarter, which I think is a very moderate level.

Now going forward, given the nature of the business, we do not see a significant, significant addition in manpower that is happening. So, we should actually have some cost increases happening from an employee perspective, but it will not be significant because the appraisal cost has actually been baked into this. Operating expenses is colored by OP, right?

And if you see in the current quarter also, there's been a reduction in OP in the revenue as well as cost. But if you take that away, it continues to be around 13% of overall thing. And other expenses are, the first quarter, we'll see the maximum because of AMC renewals, et cetera. So while we do not foresee any big increase coming up in the remaining part of the year on any of these exceptional things coming up any of these things, I continue to hold the view that we should be able to contain the cost increase at around 11 to 12 percentage worst-case scenario or probably a little less than that on a year-on-year basis for the entire year.

Whether it will be following the trend of first quarter, I think it will be with a small increase here and there because of some amount of employee additions that will happen. But overall, if I were to project a cost increase on a year-on-year basis for the entire year, I would like to keep it at 10 to 11 percentage.

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Abhijeet Sakhare: Got it. Secondly, the non -MF businesses put together, I mean, there are various ebbs and flows across the business lines. But on a full year basis for the entire non -MF vertical put together, how do you think about this year's revenue growth given the first quarter, how it has panned out for a couple of business lines?

Ram Charan: So, I think Anuj mentioned the reasons why the first quarter on a year -on-year basis, I continue to see a good, reasonably good growth, right? So, our aim is very clear, and we have the road map to achieve this 25% growth in non -MF revenue, right?

On absolute terms, we ended last year around INR190 crores of non -mutual fund. And would we be able to add 25% on top of it? I think we have the path to do it. I think we have the way to do it. So, we stick to that guidance that it will be a 25% growth in non -mutual fund on a year -on-year basis.

Moderator: The next question is from the line of Dipanjan Ghosh from Citi. The current participant has disconnected. So, may I move to the next participant? The next question is from the line of Madhukar Ladha from Nuvama Wealth Management Limited.

Madhukar Ladha: So first, really appreciate the upfront guidance on the yields. I think that was very well done and very clearly explained. My question is, first, how many of the mutual fund customers and the large ones come up for renegotiation in the balance part of FY '26 and FY '27. If you can just sort of break down for FY '26, how many are there and then FY '27, how many of the customers do?

And second question is on any guidance on capex for FY '26 and '27? And given, and the update on the technology transformation that you've been doing and moving the AMC stack on cloud. So, I wanted to get a sense of where are we? And from next year onwards, what sort of benefit it would result in, in terms of our EBITDA margins? And how should we also think about depreciation going forward? So, these 2 would be my questions.

Ram Charan: Okay. I will take 2 of this. And on the rear, probably I would request Anuj to add some his views on this. See, from a price reduction perspective, the answer is any major coming up for renegotiating current year, the answer is 0, nobody is coming up. And for the next year, towards the tail end, there could be 1 or 2 customers who come in. But again, it's towards the tail end of next year.

So you will, that's why when we kind of said to the earlier question that we do see some amount of stability for the next 18 to 24 months. I think one of the reasons was this, which is that last year has seen an overactivity in terms of prices. And so, we will see a period of stability for the next 18 to 24 months is our expectation, right?

From a capex perspective, you will see I split it into 2. One is obviously the regular capex that we do, given that we have to keep pace with the growth in transaction volume with the requirements from the SEBI perspective for data centers, et cetera, BCP, etcetera. So that on a yearly basis, we project the current year capex to be around INR60 crores. We have spent around

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INR15 crores of it in the, so we're on target in the first quarter. So, we will end up spending around INR60 crores, plus or minus a few crores.

That's the expectation. On the rearchitecture or the new platform perspective, and that's where the bulk of the capex additions would get added once the module starts

going live. On a

cumulative basis, we have spent around INR50 crores on the platform so far. And I say cumulative, I mean for the last, more than a year, right? It's not in the last quarter.

Last quarter, we had have spent probably INR14 crores on it. So once the first module starts going live, which we expect probably 4Q of this financial year or 1Q of next financial year, we will start amortizing that.

And the amortization, we expect that the yearly amortization of the first module, we would have spent probably INR100 crores on the first module and the yearly amortization will be in the region of INR15 crores plus, right? I think that will be the yearly amortization that you will take. So that will be the increase in depreciation cost that you will start getting from, most likely from next financial year or tail of it could be in the last quarter of the current financial year. That will start impacting depreciation from that perspective.

But we are also confident that the benefits that will start accruing to the business will sort of make it over a period of at least not immediately over a period of a year or 2, I think the payback will be more than adequate for people to see. And the margin depletion will be negligible, if any, over a period of, at least our projection shows the margin depletion will be negligible.

And if you do get outsized benefits as we hope we will, then I think it will be accretive to the margin. But it's too early to call a specific number as what could be the benefit in the EBITDA margin because I think we have to wait for the first model to go live. We do have internal budgets and workings, but I think it's too early to expose that as a commitment from our side. We will track it very closely. And as we get closer to the first module going live, we will be able to give you a better picture on what is the benefits.

But we are very clear that this will have a positive impact on the profitability going forward. Whether it is going to accrue directly from FY '27 or from FY '28, I think something that we'll have to wait and watch. But overall, it's going to be very beneficial to the margins. on the progress of rearchitecture.

Anuj Kumar: So overall, on the rearchitecture project, I think things are in very good shape. We signed a contract in June, July last year with Google Cloud. We started building a team. So today, we have over 150 engineers, about 170, 180 external hires, a lot of them from blue-blooded institutions like the IITs, some Mtechs, 4 or 5 doctors, people who are applying for patents because some of this is very structured and we know what is to be done and some of that is from a tinkering approach in terms of experimenting with various things.

And I think you will start seeing some announcements from us in about, maybe by the end of August in terms of what the team is doing. We haven't done any PR yet. But just to give you an

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example, the amount of efficiency this will add, one is just to the engineering coding and platform process.

And the other is to the operations process. Just to give you an example today, we may have a couple of hundred people today who do reconciliation for us because we download bank statements, do matching in the system and do literally hundreds of activities to make sure that the INR300 lakh crores that reverses our system is completely pristine and done properly in terms of reconciliation unit allotment.

Once an automated platform of the kind that we are thinking comes in, the intensity of labor will go down to half or less than half. Similarly, for every process, we signed INR300 crores SMSs in a year. Today, if 1 or 100 of those SMSs have to be reconciled when they were signed, when they opened, if they bounce right did they bounce. There is a lot of manual effort in trying to figure that out. All of th

at will be at a click for button.

Similarly, for analytics, controls kind of things, risk management, all of that will get into the purview of the new platform. So very happy with the way things are going. I think we haven't exactly yet put out any margin workings. So, I think what you guys are waiting to hear is that will this become kind of a cost 0 proposition in FY '27. And if yes, by what margin? And my guess is that we will be ready to share all that with you in the next maybe 3 or 4 months.

There is just a vast suite of areas, in which productivity will go up, accuracy will go up, rest will come down, finesse will go up. And we do want to talk to you guys about that. But we don't want to jump the gun. I think broadly from an operating perspective, very good progress from a specific guidance on margins and net cost on this. Give it another 2 or 3 months, maybe by the month of October, we will start putting things out, which you can consume. And then obviously, we're going to continue comparing notes in terms of whether that progress is achieved or not. Madhukar Ladha: Got it. Got it. Just Ram, I think you mentioned the maintenance capex for FY '26 at INR60 crores, but I don't think you gave me like the total sort of other capex amount as well. So, the total rearchitecture capex for '26. And similarly, if you could give FY '27 also some broad color on capex ?

Ram Charan: Sure. So yes, I think from a rearchitecture perspective, I did mention that we have spent from a capex perspective around INR14 crores in the first quarter. We in Q1. And we expect in the course of the year, this will accelerate, and we will spend close to INR100 crores in the current year. The spend next year will be on similar lines.

The spend next year will be on similar lines because we have reached almost like a peak capacity from a people perspective and from a design perspective. So, you would expect overall the cost of the project is expected to be around INR450 crores to INR500 crores. So, you will end up spending around, by the end of this year, it will be around, cumulatively around INR125-plus crores. So, we expect a similar amount to be spent in the next year also.

From a depreciation perspective, I would just like to alert that once we start amortizing this, which should be after the first module goes live, probably INR100 crores of cost get transferred

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from work in progress to your asset and we start amortizing. Obviously, amortization period could be higher than 3 years, but it is going to be a very valuable platform. So that's why I guided that probably you should look at INR15 crores to INR20 crores depreciation incrementally per year on the research.

Moderator: The next question is from the line of Dipanjan Ghosh from Citi.

Dipanjan Ghosh: Just a few questions. You mentioned on the reduction in pricing asymmetry on the mutual fund side of the business. And I understand there have been a couple of repricing by this large player in the last few years. But let's say, 2 years out, 24 months from now, when this particular player looks at their mutual fund RTA yields, let's say, on the more dominant portion of the book, which is equities, do you think that they will feel comfortable when they compare them with the other large 3 or 4 players, let's say, 24 months, 36 months from now.

So just wanted to get a quantum of whether the repricing and the stabilization is done more from a long-term perspective? Or is it just like relative divergence has narrowed for now? Second, in terms of the nature of these contracts, I just wanted to understand, are these open for ad hoc repricing also? I mean, if can a particular player always come up for renegotiation, even if the contract is currently ongoing?

And third will be on the Alternatives business. If I look at the revenue trajectory for the

last 4

quarters, it has revolved around that INR9.5 crores to INR10 crores quarterly run rate despite multiple new logo wins. So just wanted to get some sense of what's happening out there?

Anuj Kumar: So broadly to answer your first question on whether the, and sorry, when I said asymmetry, I meant what we know versus what you guys know. We want 0 asymmetry there and feel happy that we've been able to kill that. The mutual fund market typically honors contracts and out-of-turn requests for adjustment, I mean, it's not that it's impossible, but don't happen very often. So broadly, from a principal perspective, you can take it that. That's the way the market works. From this contract that we have discussed more than once on these calls, I think our way of servicing when it was a world of physical paper and checks and all of that, it had come to almost 90%, 95% digitally executed operation.

And therefore, the request from the client was that since whatever they paid in the past, they paid in the past because of a different style of working. Now since the style of working after COVID is more or less the same, why not look at a uniform pricing. So, while you can say that it was out of turn, that dialogue started maybe in '21, '22.

It took us 2 or 3 years because it was a large quantum to set right. And like I said, I'm happy that, that is now behind us. With that being behind us, I think one principle that most of these clients believe should apply to them because scope differentials are very small. There was a time when scope differentials were deeper. We were doing ABCDEF for someone. We were doing ABCDEF and GH for someone else.

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So, someone else had 30% more scope, was they willing to pay? The answer was yes, and that's how the market went. In a digital era, there could be a client who does 100% digital, and there could be someone who does 85%, but I don't think we have any 80% digital client.

So, the kind of work, the amount of work more or less is converging, and therefore, parity becomes an argument from their side and parity in a size cluster. So, if you are in a size cluster of the top 5, the next 5, the next 5, the next 5 and the tail beyond that, do we look similar is a requirement. You guys also have access to scheme accounts.

So, you can take a look yourself. But from our side, I think one thing that we have done now is that anything which can look like a wrinkle in that principle largely does not exist. You can also take a look once these scheme accounts come out. So, I think that's on a large objective that we have achieved.

And we've also made sure that in some of these new clients, you may have seen one logo that we had won, let's say, at a price of 100 the competitor offered INR80 and then walked away saying you don't want to cut. 3 months later, the same guy goes back and sells at INR60. And we've said we'll let them go. We said we'll let them go. We will not talk about repricing, et cetera, with someone we've not even started business with. So, I think that principle, we've been able to establish and underwrite quite well.

Ram Charan: On the AIF, Dipanjan, actually, if you look at the core AIF business, I think they have grown pretty well on a year-on-year basis, I think they have grown if you take away the multiple size of things only from including GIFT City. They were actually, I was just looking at the numbers

once you asked the question, they were actually around INR840 lakhs per quarter in the last, I think the year, they have now come up to around INR970.

So pretty okay, meaning it's not going to be a 50% growth business. I think that we have been very clear with you also. I think a 12% to 15% growth business is what we see the AIF to be and upside coming in terms of GIFT City. I think it's played out that way.

We'll continue to see that it's a

15% growth business. It's still a 15% growth business. And if

GIFT City does ramp up significantly, then that could go closer to 20%. But otherwise, we feel that it's probably largely in line. And it's a highly competitive industry, but we still maintain our leadership position getting 50% plus market share and the AuM has also grown reasonably okay.

Dipanjan Ghosh: No, sure, Ram. Just one small follow-up. I appreciate on the AIF part; it was lower in the last quarter base. But if you look at from 2Q onwards, which is last 4 quarters, it has been around that INR9.5 crores to INR10 crores. So in case you were to get to, let's say, 15%, 16% growth on last year's base, you probably have to kind of scale up the current run rate by at least 10%, 12% over the next few quarters. So, is that visibility kind of out there for you guys?

Ram Charan: Absolutely. We are winning a lot of new logos. I think we've also have a lot of logos from GIFT City perspective. We are also getting more into fund accounting. So, I think we are confident of getting this over a period, 15% growth over a period of year. I think on a quarter-on-quarter, I

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think it could be 10%, 11%, 12%, that's okay. But on a year-on-year basis, I think we are confident of getting to the 15% growth.

I think new logos that we are winning are for full service, as Anuj was mentioning. And the pricing is largely, well, it is not what it used to be 2 years back for sure. But I think we are getting a reasonably stable pricing for at least compared to what it was in the initial stages. So, I think 15% growth is something that we aspire for. I think we have an ability to get that.

Moderator: The next question is from the line of Sabil Dabhoya from Unifi Capital Private Limited.

Sabil Dabhoya: Congratulations on a resilient set of numbers. Sir just had one question first on the yield part, sir. So, in the last quarter, we had given a guidance of 6% to 7% Y-o-Y decline from 4Q FY '25 end yields, and this has been now sort of revised to about 8% to 9%. So, is my understanding correct?

Ram Charan: So, I think what I had indicated in the last earnings call, if I remember right, was, yes, it was around, I think on a year-on-year basis, you will see a 7% decline in yields. I think it will be a little higher than that. It could be 8%. But again, this is an estimation of what happens in the remaining 3 quarters. So, I think the range is broadly okay.

Sabil Dabhoya: Okay. Okay, sir. And sir, just another question was on the MF non-asset-based revenue. Sir, just if you could highlight anything unusual that happened this quarter?

Ram Charan: So, 2 things, actually, 3 things. Number one is the NFO revenue is significantly down compared to the last quarter, and that's something that we have lived with, there are more NFOs in the next quarter, we do get additional revenues. The second part of it is OP expenses. And we've always said that OP is more an accounting thing, which is that you have to show it as you build the customer, you show it as revenue and then you show it as an expense also.

That's come down significantly, largely because of the lesser mail traffic and some special audits that we did on behalf of AMCs last quarter and some bulk purchases we did for their stationery, et cetera. All of it has come. So actually, the OP has come down on a sequential basis more than INR2 crores, but that's something that should not worry, doesn't worry us or anybody because there's a corresponding reduction in the expense also. It's not a margin accretive business.

There is some amount of, when you say price reduction of the AMC, there is some amount of impact of price reduction on the transaction fee also. But overall, the transaction fee has remained broadly stable. There has been some reduction in OP and NFO fees, et cetera, which has kind of

caused this blip in quarter-to-quarter number.

But there's nothing exceptional that you need to know. This OP is something that entirely driven by the spend pattern of the particular quarter and depending on campaigns that AMCs are running, depending on audits that we need to do, which are reimbursed by the clients, et cetera, or some of the stationary expenses. So that's predominantly causing this difference. It is a INR2.5 crores of reduction quarter-on-quarter is only because of OP.

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Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: If I understood it right, you are at 2.16 bps yield today. So, every quarter for the full year, it is 3.5%. Is it fair to say that 2.16% yield will see maybe every quarter kind of 1% depletion to arrive at full year of 3% to 4%. Is that a fair assumption?

Ram Charan: Yes. I think the next quarter could be a little higher, as we said. But post that, I think that could be. We are actually in my computation around plus transaction around 2.25 bps and only on AUM around 2.13, 2.14%. We would expect at least 0.03 or something decline coming in the next quarter. But yes, overall, I think your assumption is valid.

Sanketh Godha: Got it. Perfect. And my second question is with respect to payment business. See, if you can break up that payment business into MF and non-MF, point number one. And second, given insurance played a role to drive the growth, now you are getting into the cards as a payment gateway. And given it is highly competitive, how do you see it to play out, whether we predominantly MF and maybe insurance a bit? Or you think we will make meaningful inroads in cards with respect to payment.

Ram Charan: So we have, as you know, the history historically, it's been entirely MF, but over the last few years, we have diversified successfully. My current recollection is it's around 50% plus MF and 45% to 50% on non-mutual fund is the split up of the revenue. I don't get the exact number across to you, but it's broadly these numbers, especially given that we have signed new insurance companies, this is trending upwards from insurance companies or from a few education institutions that we have signed on.

The focus, Sanketh, is to diversify and to get non-mutual fund related business in. And I think the cards is one of the attempts that and we have got live. Cards, I think the possibilities are huge, especially from, if you're going to do from an insurance perspective for premium, we have traditionally stayed out of cards because of mutual fund that was not very relevant credit cards. But now we have got into it.

We've got our own payment gateway set up, integrated with Master, Visa, RuPay. And then we have started operations. We have done a lakh of transactions already in the last quarter. So, I think the cards will grow in the current quarters. I think we are on track to make this 60% non-mutual fund and 40% mutual fund as we go forward, probably in the 12 to 15 months from now. The margins could be something that we will watch out for because card transactions margins are a little lesser than what we used to in the ACH module.

But I think overall perspective, we are confident of maintaining the 15-plus percentage margins as well as growing this business. The current, last year, we ended around INR50 crores. So, our internal target is to get it around INR70 crores in the current quarter. And I think we have enough tools in our hand to take it to that level.

Sanketh Godha: Got it. Sir, is it fair to say that 25% growth what you are seeing in non-MF business, the heavy lifting probably will be done by the Payment Business.

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Ram Charan: It is true that payment will contribute a lot to it, but I think insurance will

also grow well, and

we'll have to see whether the account aggregator and the think analytics also keeps pace. But yes, it is true that a lot of it is on these 2; insurance growing and payments growing and KRA is staying stable.

Sanketh Godha: Got it. Got it. And probably the last one. Think360 has seen a bit of revival and Anuj alluded to that point in the call initially. So, this INR4.5 crores, INR4.6 crores run rate, what we are looking at 1Q for Think360 and will it hold up in subsequent quarters? And second, just on an absolute basis, any additional revenue coming in Think360 is EBITDA accretive or not or it comes at a cost?

Ram Charan: Sorry, what was the second question, Sanketh?

Sanketh Godha: I revenue coming from... Additional revenue what you it will add up to...

Ram Charan: I think we are at a stage where we are close to breakeven Think Analytics. I think the INR4.5 crores run rate that you are seeing will sustain, and we are hoping that it will improve in the course of the year. One of the reasons why we see the non-mutual fund margins will increase going forward is that a couple of the businesses, which is insurance as well as Think Analytics in the course of the year will turn profitable, right?

Definitely be breakeven, but hopefully, we will also turn profitable. The run rate will sustain and probably there could be a small upside to it. And incremental revenue, I think the run rate is, if you get to a around INR5-odd crores a quarter, we start making money from Think Analytics. So, I think that will happen in the course of the year.

Moderator: Ladies and gentlemen, we'll take this as the last question for today. I would now like to hand the conference over to Mr. Ram Charan sir for closing comments.

Ram Charan: And thank you to all the participants for their continued interest in CAMS and for the questions that were asked. Please do reach out to MUFG or to Anish Sawlani in case you have any questions, and we'll be happy to address those. Thank you once again for your time.

Moderator : Thank you. On behalf of Computer Age Management Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2025

"Computer Age Management Services Limited Q2 FY'26
Earnings Conference Call"

October 29, 2025

MANAGEMENT : MR. ANUJ KUMAR – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER, COMPUTER AGE MANAGEMENT
SERVICES LIMITED

MR. RAM CHARAN SESHARAMAN – CHIEF FINANCIAL
OFFICER, COMPUTER AGE MANAGEMENT SERVICES
LIMITED

MR. ANISH SAWLANI – HEAD (INVESTOR RELATIONS),
COMPUTER AGE MANAGEMENT SERVICES LIMITED

MODERATOR : MR. NIKUNJ SETH – MUFG

Computer Age Management Services Limited
October 29, 2025

Moderator: Ladies and Gentlemen, Good Day and Welcome to Computer Age Management Services Limited Q2 FY26 Earning Conference Call.

As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please note that please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Nikunj Seth from MUFG. Thank you and over to you, sir.

Nikunj Seth: Good morning, everyone, and welcome to Q2 & H1 FY26 Earning Conference Call of Computer Age Management Services Limited.

From the Management today, we have with us Mr. Anuj Kumar – M.D. and CEO; Mr. Ram Charan – CFO; and Mr. Anish Sawlani, Head, Investor Relations.

Before we proceed to the opening remarks, I would like to give a small disclaimer that this conference may contain certain forward-looking statements about the company which are based on beliefs, opinions, and expectations of the company as on date. These statements are not guarantees of future performance and involve risks and uncertainties which are difficult to predict. A detailed disclaimer has been published in the "Investor Presentation."

Now, I would like to hand over the conference to Mr. Anuj Kumar. Thank you and over to you, sir.

Anuj Kumar: Thank you, Nikunj, and good morning, everyone. Welcome to this Q2 Earnings Call of CAMS. Like we have done in the past, the format remains the same, but 20-25 minutes covering this deck by myself and Ram, and then we will have enough time left for questions.

As you would have seen the results yesterday, we had a board meeting in the night. It was a very strong quarter of CAMS. We achieved the highest ever quarterly revenue in Q2, driven by what I would call a strong performance across the entire base, both MF and non-MF segments and within non-MF across all the key business lines. So, despite the fact that we had a large price given in the early part of the year, we scaled back quickly, and the highest ever quarterly revenue is a strong testimony to that.

So, just as a derivative, I think quarter-to-quarter numbers are perhaps more indicative of what is happening, year-on-year you will see them muted, but QoQ 1st Quarter, MF revenue grew 6.4%, non-MF grew 17.9%. You will recollect that 1Q was slightly muted in non-MF too, given what was happening to account opening and the allied activities which impact our KRA business. So, a very
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strong QoQ growth, 6.4% MF, almost 18% non-MF. Of course, year-on-year, a little more muted, MF at 3.2%. Non-MF I think is holding clip at 15% year-on-year, growth number two.

Overall, from a mutual funds perspective, I think it is a very nice milestone. We have crossed Rs.52 lakh crores AUM in the month of September. But the way I look at it is that we crossed Rs.50 lakh sometime during the quarter, then crossed 52 lakh by September, on the best day in October, we

touched and crossed 55 lakh. So, in close succession, those are very nice mood-building numbers. Market share remains at about 68%. Overall, AUM grew 16%, broadly mirroring the industry, we may have gained share a little.

I think the great news is on the equity side where equity net sales crossed about Rs.1 lakh crore in the quarter. That is not a very common occurrence. It is the highest ever number for us.

Net sales market share, which is like I keep saying, is a very foundational formative element of our overall mix. Net equity sales market share grew to 69% from 65% just riding on the overall net sales number. Equity assets were Rs.28.7 lakh crore. Inflows continue to remain sustained. The markets, of course, started doing well again. We are still far away from the all-time peak, but the markets

overall did better. So, equity net sales, both market share and absolute numbers I think is a great indication to what is happening.

SIP collections, this is again another solid foundational metric, which has held on its own in the last six, seven, eight quarters despite the markets having been soft in a large part of that time period. This collection grew 21% year-on-year. And when you look at it, this is perhaps a very large formative number again. This number grew 21% year-on-year. Live SIP market share improved almost two percentage points, 63.4%, quarter-on-quarter, over 61.5% and new SIP registrations continue to remain very healthy at over a crore, so about Rs.1.14 crores registrations in Q2 FY26.

I think the other parts, when you look at equity net sales, I think fantastic number when you see SIP collections, a very sustained strong number. Live SIP market share improvement, again, a great indicator. I would say NFO sales is another thing where we saw just a fantastic action; 33 schemes launched during the quarter, 80% share of NFO collections. I know that this number is typically between 65% to 80%. there are rare instances where it is crept above 80%, but 80% is a great market share gaining moment for us. So, that is something that we achieved.

SIF product category, which has now been under discussion for a year, and you know that for the MF segment, it will be accretive because it will take away some of the share from the less organized segment to the MF companies.

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We launched the first one with SBI and got Rs.1,000 crores for a brand-new segment for one of the schemes to just garner Rs.1,000 crores and several thousand investors where your start is about, we will have to commit a Rs.10 lakh presence. I think it is a very good start. For the first three or four months, let's say back in September to December '24, the reaction to SIF was muted. Now we are expecting that at least eight to nine of our AMCs camp service funds, the biggest names that you have heard of, are very interested and you will see launches from now to March. So, a very healthy new product class, whether you want to call it asset class is building up inside of the AMCs businesses, which is heartening for us.

From a new RTM mandate perspective, again, two great wins. You all know ASK Asset Managers, for a long period of time, they ran the largest PMS in the country, even today, one of the largest ones, the PMS that they run. That was once they have chosen to come to CAMS, they have already been our customers for AIF. AlphaGrep Asset Managers, which is a relatively newer entity, has also decided to come to CAMS. So, this will take the AMF RTA client count to 28.

The second migration in the three years, actually the third and five by count FT in '21, Navi in '23, Taurus in '25. So, the third successful migration of Taurus happened. We have gone live recently in the last about four to five weeks. So, that got accomplished.

I think another very, very foundational metric, vindicating the majority of the organization we built and the strength of all that we are doing. We had onboarded several AMCs, six of which are live. So, for those of you who downloaded the presentation, you can see all of this has happened within this calendar year. I am talking of every event having taken place within 2025. So, amongst our AMCs, we typically have a track record of launching one in a year because that is as many licenses as used to come out, which is, you would have launched Parag Parikh in 2015, Mahindra in 2017, YES Bank in 2018, things like that. But in one year, we have taken live and all very, very remarkably well-known names. Angel One, we all know, Unify, Jio BlackRock, Seabank Sri Lanka, Taurus, which is a migration, and Choice, which is a very large salient, broking house. All these AMCs have been taken live within the year.

And again

n, I would say from a maturity and resilience perspective, this is 6X the workload that we did as a company or anyone else did about five or six years back. But all of this is live. These are performing AMCs, collecting money, servicing investors, paying the distributors, and doing thousand dollars of things that are needed to continue keeping an AMC operation vibrant. You will see most likely three more of them going live, because that is the number of one AMC mandates that we are sitting on. Now, we are towards the end of October. So, whether someone launches in December or January or February, that is a matter of timing. But you will see and for us as a company, it will be a fantastic track record of having taken live six already, and maybe another two or three in

the next four to five months. So, that is like I said a great indicator of how we build the organization.
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Go to the next. In the beyond mutual funds, I am just flipping over to the next chart. Non-MF revenue which you know we are focused on, we are building out salient business lines, making investments, and building scale. Last five years, compounded revenue growth of non-MF has been, we have stated 25, but the actual number has been 28. So, it has been a very hard thing to scale that. But from a quarter perspective, CAMS non-MF revenue share improved 14.4. This is total non-MF revenue divided by total enterprise revenue. This is 14.4. CAMS pay which has been one of the leading lines, grew 26% quarter-on-quarter. So, continue to see momentum in the UPI and UPI out-of-pay businesses. You know that that is the flavor of the season. Continue to scale and NACH and NACH processing because that is the spine on which the SIP business is built. We went live with the payment gateways and are seeing significant ramp-up in that business. So, we expect this momentum to continue in the coming quarters. So, that is one of the leading lines

In non-MF, alternatives, again, deliver the highest ever quarterly revenue. Continue to underline the market leadership. The overall assets under administration are inching close to Rs.3 lakh crores, added a significant number of mandates, 40-plus during the quarter.

We entrenched our footprint in GIFT City. You know that we service over 30 clients from there. The first outbound retail fund, which is a mutual fund scheme, went live, which is DSP's global equity fund. But you will see again, just like I was talking about SIF, you will see multiple such schemes go live from GIFT City. So, I think the moment is coming when both investors, manufacturers, sellers are beginning to focus on that, the administrative territory and make sure that they scale.

CAMS Rep, I am sure you have seen this on our website, you have seen this on many social media posts. BIMA Central won two very, I would say, exclusive recognitions, one of the GFF, where it was accorded the status of the most promising insurtech in the country. Cumulative user count in BIMA Central went up to over 12 lakhs. Transactions continue to scale. We also won one new contract for end-to-end servicing for the servicing business.

KRA revenue rebounded and look at the rebound; we had a dip from 4Q to 1Q. So, 1Q you saw depressed metrics. For obvious reasons, there was a clampdown on F&O accounts opening, markets were soft and therefore new entrants to the broking community were limited in number, but Q&Q, we have grown all the way back. We are still not at the highest ever revenue in KRA. I think in the next two quarters we will get there, but 45% revenue up in the quarter, indicating very strong recovery, added 38 new clients.

Also, as you know we had announced, as that we would be buying out through a business transfer the NSE KRA business. This is completely on track. We need an NOC. The NOC has been received. So, we are expecting sometime in the month of December. We would hav

e completed the entire operations transfer, including client contracts, whatever innovation has to be done. We, by the way, have contracts with all those clients, rebadging for employees, all the IP and assets and contracts will
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move our way. So, you will see net revenue accretion. It is not very large, but whatever it is, maybe under a quarter, will start coming to us from Q4, which is the Jan-Feb-March of '26. Things continued to scale its business. Acquired two new analytics clients in the US, but for Algo360, which is the SMS Insights product, won some new contracts, including Pay Nearby, SmartCoin, and a few others. That part has done well. But I think on a sustained basis between pay, alternatives, and KRA, KRA was a rebound, but strong sustained growth, and from a product and customer participation perspective, I think great news from insurance too. So, those lines continue to perform well. I am personally very pleased with AI bringing everything back you will remember a conversation in 4Q and 1Q of this year. So, we were expecting that after whatever revenue adjustments happened in the initial quarters, we wanted to kind of jump back to a highest ever revenue state quickly, which we have done as a company.

I think for MF to scale back to its peak revenue, perhaps take this quarter 3Q. And from an anonymous perspective, Accent focus continues to remain on key business lines, and we will continue to see scale-ups.

I will now hand over to Ram Charan to talk a little about the 'Financials'.

Ram C Sesharaman: Thank you, Anuj. I will just add some numbers flavor to what Anuj said in terms of the overall business.

So, if you remember from a yield commentary perspective, for the last few quarters, we had guided everybody saying that there is a price change that is happening in one of the larger customers, and the impact will be felt across two quarters and 90% of the impact has been taken, and you will see some small tail impact in the current quarter. Happy to say that is how it has actually played out also. So, if you see in the current quarter, the yield, we had said that we expect a 0.03 to 0.04 kind of a yield compression quarter-on-quarter. That is exactly how this turned out to be. And bear in mind,

this is on the back of no change in equity mix also. Generally, higher equity mix gives us some benefit from a yield perspective. But in spite of a static equity mix, we are still at a very moderate depletion in yields, which means that what we have guided in terms of the yield movement has kind of played out exactly the same way. So, on back of 7% growth in AUM quarter-on-quarter, we have grown the asset-based revenue more than 5%. The overall revenue has grown 6.4% quarter-on-quarter and 3.2% year-on-year.

Non-asset-based revenue, there is some weakness; as I said, non-asset-based revenue is a separate bucket that we showed to you, because there are some drivers to it which are not exactly AUM-based like OPE, which is more a function of the campaigns that we do, the statutory changes that happen, or NFO that gets launched. So, both of this was a little muted. So, hence, you will see some muted growth in non-asset-based. But overall, from a mutual fund perspective, we have grown quarter-on-

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quarter. And as Anuj mentioned, it is kind of we are back on track in terms of almost tracking to the highest ever mutual fund revenue, which we hope to obtain in the next quarter. Non-mutual fund revenue has, again, last quarter, we said that there could be some dip in pay, but we expect that to come back to normal. And this quarter, again, happy to say that the growth rates are back from a payment business perspective. And the KRA and payments together, quarter-on-quarter, we have almost 18% growth on revenue in back to the higher growth rates that we are projecting from

a non-mutual fund perspective. So, we are on target overall to broadly reach the 20% growth year-on-year that we are projecting from a non-mutual fund perspective.

From an expense perspective, we had a muted quarter. Again, the beginning of the year, when asked for a projection, we said that we will try to keep the cost increases on a year-on-year basis to around 10% to 11%. Happy to say, again, we are on track for that. There is some one-off expense that has happened from other expenses perspective for a couple of crores this is just more a provision made for a delayed collection, which we hope will get reversed in the next quarter. So, overall, we are on track. In fact, barring depreciation, the quarter-on-quarter expense growth has been much less than 5%, which is a very muted growth in expenses. So, expenses are broadly in control.

And on a quarter-on-quarter basis, we have seen almost 60% of the incremental revenue flow to the bottom line, which means that the profit margins are back to more than 44% on an EBITDA basis.

We have got almost a 90 basis points increase in EBITDA in the current quarter. And from a PBT, we are at almost 40% PBT and a PAT of almost 30%, 29.6%. So, all the metrics are trending upward this quarter, and we think the next quarter could be stronger than this if the assets inflow to sustain. So, overall, the performance was a back on track, good performance, a strong performance in the quarter and the board was pleased to declare an interim dividend of Rs.14 per share from the reserves of the company.

So, this is the summary of the financials. I will now hand it back to the moderator for opening it up for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Madhukar Ladha from Nuvama Wealth. Please go ahead.

Madhukar Ladha: Hi, sir. Congratulations on the good set of numbers. My question was more on the non-MF side of the business first. So, this whole CAMS-KRA, we have seen a good rebound over here and I think in your presentation, you mentioned that you added 38 plus sort of new clients and which are primarily non-MF. So, I want to understand which is the client category or which type of clients are getting added over here? Second, of the KRA revenue, how much of it will be sort of new account creation and how much will be fetch numbers? And then finally, on the rate that we get for a new account creation fetch, can you give some color on that, what are the rates there and what is the comparative

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pricing and what are the total number of records that we have? So, that is on the KRA side. And second, now in light of this, again, discussion paper by SEBI which came in last evening, there seems that again the TERs are getting cut, at least there is a direct sort of five basis points impact and then also sort of 15 basis points deduction on TER, but there is also some benefit on GST, etc., that will come. So, I know it is too early to ask this, but the worry is obviously there that again, AMCs come and cut yields. So, what will be sort of your reaction and how do we sort of alleviate these fears or how do you think about this? Yes, these would be my broad questions. Thanks.

Anuj Kumar: Sure. So, let me start with the first part of the question, which was on CAMS-KRA. We have now total close to 2 crores PANs. With the induction of NSE-KRA, this will go to increment by about 13-14 lakh PANs. So, that when you think of us in the coming quarter, think of us like CAMS-KRA having about 2.20 crores, PANs, that is sustaining this commercial activity of approximately Rs.50 crores annually of revenue. Today, I think when you look at the market, you know that this activity is a lot more intense in the non-MF segment than in the MF segment, for obvious reasons, MF account opening has been at a much faster clip for many years, whic

h is both DMAT and broking. With F&O, that number increased. This part, just think that in the last three years, this entire about 28% to 30% revenue contribution to CAMS-KRA is brand new. This did not exist if I take you back to let us say FY22, we did not have this segment. This 30% contribution has got built. In this segment, I would say the real scale trick is to win one of the top-10 clients and get them to stay with you, because frankly, 28 or 30 or 40 clients are typically let us say fintech clients, smaller DMAT clients, smaller broking clients, but the mass, it is a long tail business, the mass sits in the top-10 or top-15. So, our focus always has been to get those clients, never too easy. Like you know proposition always is to get someone to start working with us, not for price, but for quality and delivery reasons, ask them to contribute 10% to 20% to CAMS-KRA uploads and downloads, and then move from there. So, that is really the focus of the theme. I think the redeeming feature is building from zero about 28% to 30% of revenue contribution from non-MF has been a big thing. So, think of it as about building 8% to 10% a year. If we can do this for the next three years, I think that is a great growth trajectory because most of the CAMS-MFs will continue to work with CAMS from a KRA perspective, but this is brand new and this is what is driving growth. So, that is part one of the answer. Do you want to add something?

Ram C Sesharaman: Just on the rates, Madhukar, I think the rates have been very stable. So, without getting into specifics, we have seen the rates to be very stable from upload and download in IOP perspective. So, we see no big concern on that. If at all there is some data reduction that may happen, that will obviously be driven by volumes. But as of now, the rates seem very stable for this.

Madhukar Ladha: Understood. And just on the KRA part only, what percentage of the revenue is for the new sort of records that got created? And of the now 2.2 crores approximately and 20 lakhs are from the acquisition, so of the 2 crores organic CAMS KRA, how many records would we have added in the
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last three years, and are we seeing any material increase in the record addition now, because I think longer term, the person who has more record is in a better position, right, so is that the way to think about it, how do you think about it?

Ram C Sesharaman: So, approximately, you will probably have uploads of 10 to 12 lakhs PANs a quarter, 10 lakh PANs is probably a good estimate to have, which is the fresh PANs that gets into the system based on CAMS. So, the 2 crores, you keep adding that organically. But obviously, the PAN potency depends on how many times they get drawn against, the download revenues dependent on that. The thumb rule is that every PAN gets downloaded at least three times in new accounts, post the first upload that happens. So, obviously, this is an industry that is driven by the stock, right? So, we are progressing on growing that stock from organic and also from an acquisition of NSE perspective, it is getting around 12 to 13 lakh PANs from them. So, this is going to be the driver of the business going forward and we are actually inching up in terms of the number of PANs that we are adding. And given that some brokers also added out of a customer list, I think this is also going to add a disproportionately higher rate going forward. So, that is kind of looking good from the overall PAN addition perspective.

Anuj Kumar: I will only add dimension to this, Madhukar. I am sure you are looking at the KRA business. Here is the way I look at it. That part of the mix is to continue getting these uploads, which Ram said on a base of about 2,20 crores is about 40 lakh a year. Currently, that's about 17-18% close to 20% of the base. The second is that existing PANs and new PANs should be consumed with

speed, which means

I can create, I can create inventory, but I may not sell. I have to continue selling them at least at the same rate as I was doing in the past for my revenue to kind of hold at the historical rates and for my revenue growth to match the PAN growth count. And the third is pricing should remain stable. So, those are the three components. I think that is the way I look at the business. If there is any other question on this, I am just happy to answer.

Madhukar Ladha: And just one question I think got left out, of the 38, most of them you are saying are fintech, I know that you got one of the top three brokers, any addition in the top-10 amongst the 38?

Anuj Kumar: Yes, you can say one where we have a contract, we are just trying to make sure that they migrate volumes to us, that they start off with 10%-15% upload and download contribution. So, yes, one of them, it has to kind of operationalize properly.

Madhukar Ladha: Got it.

Anuj Kumar: So, that was part one of your question. Part two of your question was on the consultation paper. Frankly, we had a board meeting till about 9.30 in the night. And this has just come out. Our belief is that there was a longest TER discussion from let us say mid of '23 to mid of '24. And then that TER discussion got deferred. It had various components. Components of security trading tax, GST, and brokerage paid above a cap on the sale and purchase of securities by mutual funds were three
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elements which were focused on at that time. But then that did not kind of progress to conclusion. I still have to look and understand what this one is about from a consultation paper perspective. Like we have always said in the past that, I mean, part a) of the story is that we made our entire delivery

extremely efficient. You can see it from the pricing, either from a VIFS pricing or from a pricing per account folio perspective. It is also a fact that we are a large participant in the overall ecosystem. We eat off the same plate. So, I think we have to establish whether this is materially impacting to the AMCs. If it is materially impacting to the AMCs, that is something that we have to estimate. Will they make requests to discuss rates, etc., I think it is a subsequent step. I cannot guarantee that that instance will be zero, but I think it is just too early to conjecture and come to a conclusion at that point.

Madhukar Ladha: Understood, sir. All right. All the best.

Anuj Kumar: Thank you.

Moderator: The next question is from the line of Sucrit Patil from Eyesight Fintrade Pvt. Ltd. Please go ahead.

Sucrit Patil: Good morning to the CAMS team. My question is, as India's financial infrastructure expands through new platforms and investor segments, how do you see CAMS evolving its role to stay central and differentiated in this ecosystem?

Anuj Kumar: You only have to watch what we are doing and you will see that we are very, very closely aligned.

We are a commercial organization, but very closely aligned to the agenda. We are closely aligned to the agenda because the agenda, I mean, produces a lot of opportunity for us. We are a domestic-focused company. Our eyes are focused on just this one part. We are creating infrastructure, so think of it this way, that we have the largest infrastructure in mutual funds for the last 20 years. That is a great vindication of our intent. We today have the second largest infrastructure in customer onboarding and verification, which is the KRA business. We have a large, I would say, financial services-focused infrastructure as far as payments are concerned, all formats of payments for banking, non-banking, insurance, mutual funds, that is our business. When you look at insurance, we are one of the central figures in DEMAT of insurance. DEMAT has not really progressed as much as it could have. There is no utility in the country like Bima Central.

You do not have a utility where

you can go and monitor your portfolio of insurance. You can see today's maturity values or surrender values. There is no place where you can apply for a mark a lien and ask for a loan against securities or initiate a claim. There is no unified single place except for Bima Central. Apart from all of this, we built utilities around account aggregators. You may have seen us announcing ConsentPro, which is ahead of the times in terms of the implementation of the DPDP Act. Frankly, we are not doing this because we are looking for license businesses which give price protection. To be frank, a lot of these businesses may be licensed, but they give no price protection. Our account aggregator business today has the revenues at 4% or 5% of where they were four years back when we started. But we believe it

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is an opportunity. We believe it is an expertise of the company rather than going everywhere, we just want to stay in this one place. So, I hope that just the actions that we have taken in the last five years and last many years are a good vindication of this. If there is anything else in your mind, I am happy to answer?

Sucrit Patil: My second question and final question is to Mr. Ram Charan, sir. Looking ahead, what internal levers or cost planning do you see as most important for sustaining margins, especially as service mix and volumes evolve?

Ram C Sesharaman: Okay. So, we have repeatedly said that this is a fixed cost kind of a business, but there are some levers available for us and big ones at that. The biggest thing is automation and automation from a process perspective make the process more efficient on a daily basis and try and make it as automated as possible. And we have achieved a significant progress and success in most of the processes, right from the posting to your reconciliation to transaction acceptance, etc., A big initiative in that regard is the entire RE-ARC project that we are doing, the re-architecture of the platform. The new platform is kind of slated to go live in phases starting from the end of this financial year. I think once that goes live and we are working for it, this will have a disproportionately higher impact on the way that we approach things and it will just make the process more efficient and more automated, AI-enabled, and various other things which will kind of lessen our dependence on manual labor going forward. So, we do have many levers that we are working on, primarily being the automation of the process, the new RE-ARC platform, making things more efficient than what it is. So, I think all those things will be very useful and we are confident that our margin profile will be absolutely maintained even in the face of some cost pressures from an inflation perspective and from a yield pressure, we will be able to hold margins. I think that much of an assurance that we can give.

Anuj Kumar: I just want to add one thing on this theme which we have not spoken about too much, but I am sure most of you would have noticed that back in the month of August, we unveiled the brand of CAMS AI. We have not changed the company's name yet. We have not done any high decibel PR because that is not a habit where we do a lot of things and not do much. We were preparing ourselves for the last year and a half, you can think of it as all of '24 and perhaps all of '25, to really have the spine, the capability, talent, tooling, the structure to build AI-rich solutions. So, we took time to unveil the branding. So, you have seen the launch of CAMS AI. You will very shortly see two things. One is the composite, a very wholesome deployment of artificial intelligence inside our operation, which

means the operation, it is a large platform which has been built over 30-years. You will see that deployment will obviously be conducive to managing productivity, which means you will see a P

R.

That is one. The second thing you will see is deployment for some of these solutions outside our core business, which means inside the core business, obviously, we will continue solving the problems that we solve to become more efficient, faster, quicker, doing thing with lower risk and more finance.

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Sucrit Patil: I think that is good guidance from your part with regard to AI. And I wish the entire team best of luck for the Q3.

Anuj Kumar: Thank you.

Moderator: The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead
Lalit Deo : Good morning sir. Just two questions. Firstly, for the non-MF business, could you give us what would be the overall EBITDA margin in this particular quarter as we have already highlighted that it was around 12%, just wanted to understand that? And how are we tracking in terms of different sections?

Ram C Sesharaman: If I may just ask you, what is your question on the margins for the non-mutual fund businesses, because you are not very clear, obviously disturbance. Okay. So, as we have said that inherently, all the non-mutual fund businesses are platform-based businesses, which means the platforms have been built and the investment phase are largely over in terms of all the platforms, for example, a Bima Central or a pension fund or an account aggregator, etc., So, as the revenue increases, the margin profile keeps increasing. We have said that the margins are currently between 10% and 13% EBITDA is what it keeps happening. The current quarter's margins are on the same lines, although payments margin has increased a little because of the higher volumes that we are seeing from a payments perspective. But overall, we are at a sub-15% EBITDA margin, and our stated aim and expectation is that this will go to a 25% margin in steady state, given that our incremental investments are going to be muted, but the revenue is going to flow directly to the bottom line. So, we are at a sub-15% EBITDA now and we expect that we will reach 25% within the next couple of years.

Anuj Kumar: Just look at it this way, that the mature, scaled, non-MF businesses, which is KRA, where the margins will be in the 30s, payments, where the margins will be in the mid-20s, and AIF, which will also be in the mid-to-late 20s, demonstrate that on a Rs.40-50 crores portfolio, it is possible to make 25-30% EBITDA margins in KRA, higher than that. There are investment businesses where we are putting money, which is account aggregator, which is NPS, which is insurance, and a few smaller ones, including MF Central. Those are the ones which have to get to some scale. We have said in the past that our experience is that it takes about the initial Rs.10 crores per annum of revenue for a business to break even. Insurance, for example, would have a much later break even because the costs are larger. Somewhere between Rs.10-15 crores of scale, the business will break even. Above that is the profitability line. Then as you scale up to Rs.25-30-35 crores of revenue, the profits can become very handsome. Like you have seen in a Rs.50-60 crores business, it is possible to cross 30% EBITDA. We do not expect non-MF to easily become a 45-50% EBITDA business, but it is our desire like Ram said for it to become 25-30%. We are very confident that the current line from, let us say, 15% at portfolio level to 25% at portfolio level will happen in the next couple of years.

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Lalit Deo : Actually, just lastly, on this insurance segment, within Bima Central, we have added Tata AI as the fourth insurer over there. I just wanted to understand, what should be the broader economics over there, how do we make money in this segment?

Ram C Sesharaman: Okay. So, the revenue model for insurance repository is threefold. One is when you convert or take a new policy online,

we get paid, and every payment is done by the insurance company, none by the final policyholder. We get paid some money, and then we get paid AMC from year two on all the policies that get converted under a part of our platform. And thirdly, we get transaction revenue. Now, the way that things have panned out before this integration is that our revenue was entirely dependent on the initial conversion as well as the AMC revenue. But now that we have four insurance companies and more on the pipeline who get integrated, more and more transactions are flowing through the Bima Central platform. The transactions could be in terms of not only change of data, but also, for example, a premium payment. And once we go live with additional features like a lien marking, etc., the transaction count is going to increase disproportionately. So, we have now touched a transaction volume of almost 1 lakh a month and sometimes more. What used to be a negligible number is now kind of ramping up rapidly because of these integrations. So, our monetization will involve around three things. One and two already in place, and third is an increase in share of the overall revenue. Given the number of insurers are getting integrated, number of policies are getting increased, the number of transactions also will increase, and it almost has a beneficial impact on the overall revenue. So, that is the way that we monetize this platform.

Lalit Deod : Thank you.

Moderator: The next question is from the line of Devesh Agarwal from IIFL Capital. Please go ahead.

Devesh Agarwal: Good morning, everyone, and thank you for the opportunity. My first question is on the MF yields. What would be the number for this quarter?

Ram C Sesharaman: Devesh, it is a very tough number to predict in terms of this. But what I can tell you for sure is we do not expect a depletion in the yields. Obviously, there could be some mix impact, which could be plus-minus, going to see new customers, meaning the customers who run smaller size growing more than larger ones, etc., So, it is very difficult for me to predict, but I can tell you we do not expect the yield depletion to be more than 0.02 bps given the current trends, Our expectation is that I do not think it will be more than 0.02 bps. We will try to see how much within that range it is actually.

Devesh Agarwal: No, sir. I was actually asking for 2Q, the quarter gone by.

Ram C Sesharaman: The quarter gone by, we had a yield depletion of points. We said 0.03 to 0.04 will be the expectation and I think we are at 0.04 depletion when compared to the last quarter, which is probably on expected

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lines. And we have taken the entire impact of the SBI price reduction on this and hence, we do not see a further yield impact more than the telescopic pricing.

Devesh Agarwal: Understood. So, it should be somewhere around 2.12 basis point, if I am right?

Ram C Sesharaman: This time it is between 2.0 and 2.10.

Devesh Agarwal: And so, now that 100% of the SBI repricing has been captured in this quarter, would you share what would be the pricing difference between the top three mutual funds in 2Q?

Ram C Sesharaman: So, I think as we had indicated very clearly in the last few calls, the entire reset of pricing happened because the parity had to be reached. And if you see the published accounts and if you actually compare it to yourselves, you will see that among the top three, two do not have any difference, the third has been reset from April. So, currently, based on the pricing that we have, we can confidently say that there is no big difference between the prices of the top three, which will involve any renegotiation or any such activity. We are almost on parity levels. Obviously, there will be some differences because of asset mix, etc., which is unavoidable. But broadly, I do not think there is any difference that will kind of cause for a

trigger of a repricing or, etc., among the top three customers.

Devesh Agarwal: Right. And so, in the next two years, how many contracts are up for renewal among your top 10-clients?

Ram C Sesharaman: As I said last time, we are in for a period of sort of stability. We do not have any major customers up for renewal. We do have some midsize customers coming up for renewal in the next financial year and the year after that, a few of the large ones will come. So, as I said last time, we will have at least an 18-month of stable prices where there are no big renegotiations happening or repricing happening or even renewals happening, every renewal period will not amount or will not result in a repricing. I think that is kind of an impression that I need to correct, which is that a lot of the contracts get rolled over also without any change in prices, including large ones. But purely from a renewal perspective, we have nothing major coming up for the rest of the year. A couple of midsize customers coming up for renewal in the next year, and the year after that will be where a couple of the larger customers will come for renewal. What it actually amounts to in terms of repricing, I think we will have to wait and see. But again, I would like to caution that does not mean that it is going to be every time there is a renewal, there is going to be a big price giveaway, I don't think that is going to happen.

Devesh Agarwal: Right, sir. And, sir, a more strategic question. Even if you see ex-office regulatory changes, AMCs may always ask for additional discounts. So, what can you do to put a floor to the pricing, is there anything that we can do?

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Anuj Kumar: So, we have said this in the past, Devesh, that this is a market which does not have too much competition. There are two domestic providers. The thought of putting a floor on price, doing anything else that concentrated providers do, has not happened in the market. I think all the time we have tried to demonstrate value to our clients. And like Ram said, more than half the contracts, which could have been negotiated, just get rolled over because clients see value. I think essentially the way I look at it is that our ability, and we have said this, that our ability to grow our business at current scale, we are a Rs.1,450 1,500 crores company, for us to grow revenue at the rate of Rs.150 to 200 crores a year is perhaps the most acid test that I look for. I know that you are looking for pricing dips and stability of pricing dips. I am just taking you a little away from that and trying to kind of share my point of view on how I think about running this business, that our attempt is to scale this business, let us say, by 200 crore, 50 crores of non-MF, 150 crores of MF is almost a given if we have assets growing by 8 to 10 lakh crores a year. Our current base has crossed 50. If I have assets growing at 8 to 9 lakh crores a year for the next three years, we will get to 150 crores of MF increase. Non-MF, you have seen, we have crossed over Rs.40 crores of revenue increase last year. We will cross over Rs.40 crores of revenue increase this year. We believe that our cost increases will always be in the

range of 60, 70 crores and not more than that. Operating EBITDA therefore, growing by Rs.100 crores is really how it works. And in most of these platform businesses, when we are pouring revenue from the top, a lot of that goes to the bottom line. I need not illustrate it for you because you can see it happen yourself. Within this is a big question that you ask me very often in the past, that can we fix a price, floor it down somewhere and say that we will not fall in bps anywhere below that? Possible. We have not yet gone down that route. But yes, prices have become very fine. It is a viable thought. We have not implemented anything like that yet.

Devesh Agarwal: Understood. One last one.

For the new AMCs, as I understand the pricing is very competitive for some of the new AMCs. Could you share one, what is the additional cost that you have to incur whenever a new AMC starts an operation? And once we have this 8-10 AMCs who start operation, what could be the drag on the margins or the profit for us? Like what you shared on the non-MF side that there is an initial 10-15 crores cost for the business, any number for a new AMC that starts operation, is there a cost for us?

Anuj Kumar: So, Devesh, I just want to answer this question in two parts. First is that new AMCs are deeply discounted or any new ones are deeply discounted. Since you, all of you and you yourself now track scheme accounts, please look at two AMCs that we won from competition; one is Navi and one is Taurus. And you can take a look whenever the scheme accounts are available to you on whether we discounted those. We are actually charging more. You can say it is a subset of our win, but it is a relevant subset because somebody wanted to come to us and we told them we will not sell it at a lower price. This is clear evidence that will be indisputable. Kindly do take a look. For one, you will have to wait till next July, for the other, there is evidence available in front of you. For all the others, we have won new ones in the past, I will not name individual contracts, but there was a contract we

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won, let us say, at the end of 2022, went live at the end of 2023, you have seen scheme accounts. That deep discounting does not exist. We may have a support period of six or nine months, maybe a year, at which time the AMC is only Rs.1,000 to 2,000 crores, but it is not that they are enjoying any freebies for five years. Just to answer your question, a typical new account goes live with a team of about 12 to 13 people. We are liberal. We do not want our quality of service to deplete, so it goes live with 12 to 13 people and will have its own database and its own app server, etc., and PCB site, etc., all those things are there. If you want me to estimate what is the cost of running a new AMC, it will probably be Rs.2 to 3 crores. It would not be more than that, which means that if they get to Rs.1,000 crores revenue and we get just basic yields, we will start offsetting that cost. That is really the cost. Six of these are, by the way, live. I just want to point out that six of them are in the base. Choice you can ignore because it went live over the weekend, but the other five have been in my base, most of them for 4Q of last year, some of them again in 1Q, and then mostly everything was live in 2Q. So, if you believe there is additional cost incurrence because of these, even if your argument is correct, which it is not, there is no fresh accretion of cost, three more have to go live, most of the others, which are six, are live in the base.

Ram C Sesharaman: Just to just reiterate the last point, Devesh, you will see that the margins of mutual funds are very stable, right, are very stable over the last few quarters, barring if you take away the impact of the price and it I getting back to what we think is the normal company margin of 45-plus percentage. So, as Anuj said, if you have six AMCs who have gone live and supposedly deeply discounted pricing and a lot of costs getting incurred, I am sure you would have seen the impact on the margins, which you are not seeing, right, which you are not seeing at all. So, I think that is again one of the misconceptions that we will need to correct. So, what we have in the base is already there, what we are getting revenue is already there, and still your margins are stable if you just equalize for a moment the last few quarters of the price discount that we gave. And they are also getting back to what is actually the margin historically also.

Devesh Agarwal: Understood. Thank you so much and all the very best.

Mod

erator: The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Hi, good morning, sir. So, just a few questions from my side. First, if I look at the alternates business, obviously, there have been a very, very strong pickup in momentum on a sequential basis. But if I look at last year also, between 1Q and 2Q, there was a decent improvement of almost 10%-plus and then it kind of again fell off. So, just to get some sense on whether if there is any seasonality in this business or incrementally, we can think of more like 11 crores to be more than that to be like more of a steady state run rate in that segment? That was the first question on the alternates business. Second, I just want to go back to one of the previous participant's questions on the KRA business. This sequential offtake that you have seen, how much of that would be, let us say, because of new DEMAT account getting opened and incrementally when you see the visibility for let us say, October

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also, I mean, because we are towards the end of October, do you see this run rate sustaining? And my last question is, again, going back to the mutual fund business. You mentioned that, two years out, somewhere around FY28, you would probably see multiple large asset managers coming up for renegotiations. Given that at that particular stage, the absolute quantum of money that some of these asset managers that will be paying to you, depending on that AUM at that point of time, would be a very, very significant number, do you think that there can be a case that, given that it will be almost three decades of your operation, that some of them might want to move to more of a cost plus sort of a model or some different sort of a revenue model compared to the AUM linked model that we have today? Those were the three questions.

Anuj Kumar: Okay. Great, Dipanjan. I will perhaps answer your questions in a different order if you are okay, starting with MF, and then I ask Ram to chip in if needed. See, as far as the MF business is concerned, you have to think of it and believe that it is an infrastructure business. It is not IT services. It is not BPO. It is not a per transaction business. Today, for example, like we have said in the past, I do not give a very long answer, if a regulatory change happens or if a new product comes into the market, our charging remains at asset level. For SIF, I may have built a lot of new things, because the regulation said that the mutual fund cannot let it masquerade as a mutual fund product, the font size has to be different, the website should be different, customers should know it is a different product. Everything is designed and built by us. We do not build on instructions. We are not expected to seek somebody's help. So, it is a very bespoke our design product. The platform belongs to us, the entire intelligence, the infrastructure is ours, and the operations whatever labor we incur is part of that. It is not amenable to be run as an IT services or any services business, which is cost-plus. Where a change happens, the buyer asks for a price, we give a price, so the nomination methodology is going to change. You will have to now give us a video starting 1st December if you do not want to nominate someone. The mutual funds do not have time, and we do not have time for them to come to us with these changes and say what is the change going to cost? That is how services work. That is how a cost of model works. Despite this not being a cost-up model, I think today you have to look at the pricing. And again, I will repeat what I have said in the past, that today we have about Rs.11 crores folios with balances, Rs.1,200 crore-plus of MF revenue. We sell each folio at Rs.110 or Rs.120. You pay Rs.300 for your DEMAT account. The provider, the principal pays for ISIN for downloading the Benpos, for doing corporate act

ion. There are 100 ways where you pay money to the other equivalent cohort entities, you do not pay that here. So, the equivalent pricing is maybe one-third of what comparable domestic pricing is. And I think therefore, while there are potential arguments saying, oh, why do not we insource, can we build it ourselves, we are so big, can this go to cost-plus? I am not saying the instances of those questions are zero, but they are very few. I think the industry believes in outsourcing. The industry believes that they have been able to scale this to this level and declutter their lives by letting the advisor do what they are doing, letting the sellers and banks do what they are doing, and letting the RTL do what they are doing, and giving us enough independence to design the outcome and not just take instructions. I think that is an abiding belief system in the Computer Age Management Services Limited
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industry. Unless that changes at a transactional level, I do not see either a cost-plus mentality coming in or an insourcing mentality coming in. That is one of your questions. Do you want to take -?

Ram C Sesharaman: Yes, yes. So, Dipanjan, if your question was how much of your new carriers are coming because of your share brokers, etc., as against the mutual fund, the estimate is between 25 and 30 percentage. There is actually new PANs coming from that. Of course, the exact numbers I could have a look and ask Anish to kind of get back to you on the number, but this is the estimate that we have. You had a question on the AIF business similar to what you had last time. And my reply remains the same, which is that we see that this business is strong enough to grow this 15% a year. On average, yes, 1st Quarter was a little disappointing in terms of this. Even this quarter, a few of new logos addition, and also from an expendable number, the number is very healthy. And GIFT City is doing well in terms of the overall revenue, broken even in GIFT City also. So, I think the prospects are bright for us to reach this target of a 15% growth year-on-year. We stick to that estimate. And I think there will be no seasonality on this on quarter-on-quarter basis. We expect that this will kind of hold true for the rest of the year.

Dipanjan Ghosh: So, just one small question if I can chip in. Any inorganic plans in the horizon I mean barring the one that you are already ongoing?

Anuj Kumar: I would say we continue to scan the market. There are a lot of opportunities available in the payment space. Like you know we have not decided that that is the way we want to scale the company. Because some of that is just pure technology sales, that some of it is a per transaction payment company kind of architecture. There are very small opportunities available. You can buy lumps of Rs.20, 30, 40 crores of revenue. You will not easily buy 100 crores revenue. Payments, of course, you can buy multiples of Rs.100 crores. So, we continue to look at the market. There is nothing immediate which can hit us in the next two or three months. But yes, I must say that beyond the target of growing the

company by Rs.200 crores through existing business lines, we continue to look at the market carefully. We have the cash. We have the management bandwidth to do this. But you would not hear anything in the next couple of months.

Dipanjan Ghosh: Got it. Got it, sir. And thank you for all the detailed explanations and all the best.

Ram C Sesharaman: Thank you. Thank you very much.

Moderator: The next question is from the line of Siddharth from Vittae. Please go ahead.

Siddharth: Good afternoon, sir. Thanks a lot for the opportunity for me to connect. So, I just want to give a get a quick idea as to lot of PMS are rolling out with their, AMCs at the moment. And you do have a good share in the, upcoming AMCs which are to be rolled out. Just want to understand what kind of revenue contribution to the top line can

be possible from that? And how much on a relative scale that

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do you have the share of the, upcoming AMCs? And also would like to get an idea about the geographical presence that you are planning to have in the future scales at the moment as it was highlighted on the, previous concall?

Ram C Sesharaman: Sorry, can you just come back with your third question? Your third question was on -?

Siddharth: It was regarding your geographical presence. Correct me if I am wrong, was getting to an outlook of, you are venturing or stepping into new markets to, expand your global presence as well. So, just wanted to check in on that part as well after mainly checking with the new AMCs rolling out?

Ram C Sesharaman: Got it. No, you are right. We do have higher share of the new AMCs and a lot of them are PMS players as Anuj would have mentioned in the first slide itself that we did get the biggest one and a few more are in the pipeline. So, from a revenue contribution perspective, the way the industry works, the industry size currently is upwards of 70 trillion and our assets under management is almost like 55 trillion. For a new AMC, it will be an initial few years for everybody is a little kind of a tough year in terms of ramping up their AUM. So, even at a very decent pricing for them to even get to Rs.10,000 crores in a couple of years or three years' time is a very big task in this market and we have seen the new launches getting to that level in probably three to four years' time if not more. So, the revenue contribution that comes from the new PMS who have come into AMCs or the new AMCs for that matter is always going to be a little on the lower side, right? The game is that once they reach a scale of, say, more than Rs.15,000-20,000 crores, that is when they start contributing and not only do they start making money, they also start contributing from a profitability perspective to the service providers like RTAs. This is more future-proofing our market share, right? We are pretty sure that with all the wins that we have had in the foreseeable future and beyond our market share, we are going to be the market leaders in this place, and that is kind of the new logo ensure that more from a short-term revenue or a profitability perspective where the contribution will be a little lesser given that it will take time for the AUM to ramp up. On the question of geographical stuff, I think we have repeatedly said that we are focusing on the domestic market. We continue to believe in the potential of the domestic market. We continue to see a lot of upside and market share given the various metrics on penetration, launches, etc., We feel there is a lot of room to grow, not only from a mutual fund perspective, but also the other businesses that we have forayed into from a non-mutual fund perspective. So, the business that you saw from an international perspective was a more inbound that we got from Sri Lanka. And I just like to stress that the same platform with minimum customization has been used for that also, so which means that it was not as if we made a separate product offering and invested a lot for that particular sales or from a product process. So, we continue to kind of cater to such inbound, we would probably do a couple of things which our existing customers take a foray into other geographical regions we may go with them. But as a strategy, we continue to be fully domestic-focused, not only from a mutual fund, but non-mutual fund perspective also.

Siddharth: Okay, got it. So, thanks a lot for the clarity and yes, we can take this forward. Thank you.

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Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Yes, hi, everyone. Just, on this question, somehow you answered earlier, but just trying to get more insight

into it. So, if, for example, AMC, which would have been giving you a certain fee at Rs.1 lakh crore AUM today, let us assume that it's just an equity AUM, the new AMCs that you have enrolled, would they be, in case they reach that Rs.1 lakh crore equity AUM in the next couple of years, would you still earn the same amount of fee that you would be earning today on that Rs.1 lakh crore AUM? Just trying to understand, is there a pricing gap between what you are earning today and what are you giving the pricing to the new AMCs?

Anuj Kumar: Absolutely. See, we have no reason to discount the base. You would not do it if you were sitting in my place. You would not discount the base. The base is a loyal long-term franchise, which can see if I discount another base. It will be a bad strategy on our part. Like I have said, you can take a look at

whatever clients we acquired. So, three large acquisitions, FT in '21, Navi in '23, Taurus in '25, some of them, the new logos have gone live. I know a lot of scheme accounts are not available, but the ones which went live in '23, at least one of your scheme accounts are available. Take a look at all of them. We can do a call separately. We do not want to do that. To be honest, we are okay to let some of the new logos go because just think about it. They might grow to Rs.1,000, 2,000, 3,000 crores, maybe Rs.10,000 crores. On a busy day, sometimes my AUM moves by Rs.50,000 crores. So, I must exercise judgment that in a haste to get new logos, we do not make mistakes and start discounting a base. That just does not make sense. A base is the most precious part. Like I have said in the past, that if you take all AMCs launched in the last five years, the revenue contribution to the RTA business for the marketplace is perhaps 1%. You take all the AMCs launched in the last 10 years, the revenue contribution to the RTA business will not reach 5%. It takes time to kind of grow that. So, therefore, for us, in a quest to get that 1% or 5% with us to deeply discount the base just does not make sense. There is enough evidence. If you find contrary evidence, we can have a conversation.

Prayesh Jain: Got that, got that. Second is, from a profitability perspective, you all mentioned that the non-MF businesses profitability will improve to 30%, 35% in the next couple of years. Should that kind of lead to the overall company level EBITDA margins inching towards more like a 47%, 48% kind of margins or do you think that you will be able to maintain at 44%, 45% given that there could be some compression in margins on the mutual fund business, so just trying to understand that?

Anuj Kumar: Historically, if you see over a 10-year period, we have incremented EBITDA margins by more than 1% a year. If I take out this one event of price equalization, that is how things happened. Non-MF was not a big part of that story because non-MF was, I mean, we seriously started scaling non-MF, let us say, from FY22 or four years back and that is the time period for which we have got this 28% revenue compounding. When you look at non-MF, first look at one lump of three, which means look at alternatives, KRA and payments. That is the scaled part. And like I said, that is producing between 20% to 35%, depending on business line already. Already at a current scale in those three businesses, Computer Age Management Services Limited
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we are perhaps very close to 30% of operating EBITDA where we are putting in money, I am still investing in MF Central, investing in the NPS business, investing in fund aggregator, probably investing some money in things like Pentopal and Think, building out new products like ConsentPro, etc., that is where we are investing money. So, the fact that we can produce 30% in non-MF is demonstrated by the big three. I have just got to take some of the others and insurance is somewhere in the middle. Building scale is not very easy. So, it is perhaps a b

usiness between 25 to 30 crores

right now, but it has some component of labor. Otherwise, insurance would have been part of the mix. So, a part of non-MF, a scaled part is already making 28% to 30%, some businesses are making losses. For them to cross the, let us say, Rs.14, 15 crores revenue, that's like crossing the Rubicon, once they cross that, you will see profits there. So, therefore, on an average, for us to increment company level operating EBITDA by about a percent a year, I think it is a reasonable expectation that you should have and I have.

Ram C Sesharaman: Just balance this one thing, Prayesh, is that the share of non-mutual fund revenue as a proportion of total revenue is also something which we are hoping to increase and which are working to increase, right? So, which means that from a weighted perspective, if it becomes 20% with a 35% or even a 30% margin, and the remaining things have whatever margin it is. So, it is not fully from that perspective. Mathematically, also, you will have to see the weighted where the margins will not be 48%, 49%.

Prayesh Jain: Right, right. And the last question is on again the MF yields, right? I think, again, this has been discussed in the call earlier also. But given that it has just been a two-player market, and I am sure that it does not appear that any third player can make an entry here, what is the kind of restrictions that you have to kind of protect your yields from falling further, because I think that is the concern, which has always been there, whether we again come to a 3.5-4% yield decline on an annual basis or at any given point of time, again, there could be an episodic event where we will suddenly feel that the yields are falling by about 10% again, right? That is the biggest fear that we have with respect to yields that whether this yield fall of 3.5%-4% is a number that we should work with, or there could be risks to that?

Anuj Kumar: No, we have always guided that that is the telescopic part of our contract, that is the part of price depletion that our clients take in their co-business. So, philosophically, that principle still applies and should continue applying that there will be some basic yield depletion because of telescopic rates. The one incident while it has happened, I think you should also appreciate that within two quarters of having implemented that, we are back to the highest ever enterprise revenue. And my hope is one month is gone of this quarter that we will be at the highest ever MF revenue by the end of this quarter too. So, we have recovered very quickly. I understand that that recovery is because of circumstances and some efficiency that we have. Will it happen again? It happened once in 30-years. Will it happen again? I do not know. I would say that it is a rare set of circumstances will lead to an event like that. Computer Age Management Services Limited

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I would again say that if you focus on our ability to continue keeping this character of this enterprise at platform revenue, running it at small increments in operating cost, a very small increment in cost of sales, our ability to drive revenue of absolute rupee. Look at the next three, four years. I mean, after that, we will have this discussion every quarter. But when I think of the next three, four years, I want to grow this company by at least Rs.500 crores in the next three years. We believe that we have a very solid paper solution to that. We know that not even half of that will be consumed in cost. So, margins will improve. That is the broad way we look at it. And I think any large price correction of the kind that you have seen one in maybe three decades is not a very likely event.

Ram C Sesharaman: I would just like to add one thing to that is what triggered this as you know is similarly sized customers and parity of price, right, which is broadly in the same range. I think we are at a stage and you will see n

ext year when the scheme goals are published that, we are at a stage where similarly sized customers do not have a big variance in price. So, I think the root cause has been addressed from this particular exceptional event that happened. So, that is where we stand as a company.

Prayesh Jain: Got that. Thank you and wish you all the best.

Moderator: Thank you. This was the last question for today's conference. I now hand the conference to management for closing comments. Thank you and over to you.

Ram C Sesharaman: Thank you. Thank you to all the participants for spending time with us on this earnings call and your continued interest in CAMS. If you have any queries, as usual, please feel free to reach out to MUFG or to Anish Sawlani and we will be happy to address the questions or take your calls. Thank you once again.

Anuj Kumar: Thanks.

Moderator: On behalf of Computer Age Management Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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"Computer Age Management Services Limited
Q3 FY '26 Earnings Conference Call"
January 23, 2026

MANAGEMENT : MR. ANUJ KUMAR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – COMPUTER AGE
MANAGEMENT SERVICES LIMITED
MR. RAM CHARAN – CHIEF FINANCIAL OFFICER –
COMPUTER AGE MANAGEMENT SERVICES LIMITED
MR. ANISH SAWLANI – HEAD, INVESTOR RELATIONS –
COMPUTER AGE MANAGEMENT SERVICES LIMITED

MODERATOR : MR. NIKUNJ SETH – MUFG INTIME INDIA PRIVATE
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Computer Age Management Services Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nikunj Seth. Thank you, and over to you, sir.

Nikunj Seth: Thank you, Reena. Good morning, everyone. Welcome to Q3 and 9 months FY '26 earnings conference call of Computer Age Management Services Limited. From the management today, we have with us Mr. Anuj Kumar, MD and CEO; Mr. Ram Charan, CFO; and Mr. Anish Sawlani, Head, Investor Relations.

Before we proceed to the opening remarks, I would like to give a small disclaimer that this conference may contain certain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on date. These statements are not guarantees of future performance and involve risks and uncertainties, which are difficult to predict. A detailed disclaimer has been published in the investor presentation.

Now I would hand over the conference to Mr. Anuj Kumar. Thank you, and over to you, sir.

Anuj Kumar: Good morning, everyone. Thank you, Nikunj. I welcome all the participants to this 3Q earnings call of CAMS. Sticking to our usual format, we will go through parts of the deck, and we'll do that in about 20 minutes to have enough time to take your questions.

As you would have seen yesterday when we published the results, it's been a very solid quarter for CAMS. And why do I say that? You know that exactly a year back in Jan of '25, we had spoken about the price reset. That price reset came in 4Q of last year and 1Q of this year. So the comparison, the year-on-year comparison is still with a large base. This is perhaps the last quarter in which we will have a comparison with a larger base, while the current year's revenue has taken the price adjustment. But in that context, this was a remarkable quarter.

Our enterprise revenue grew 5.5% year-on-year. And like I said, the year-on-year number for another quarter will not look like it's a double-digit number. It will continue looking single digit. But the Q-on-Q revenue growth was 3.6%, which was a very solid growth. Non-MF on a quarter-to-quarter basis over last year grew over 24%. You know that our stated endeavour has been to grow this over 20%. So this was a strong quarter.

Absolute EBITDA, rupee EBITDA climbed to the highest ever. You will recollect that the highest ever absolute EBITDA was in the range of INR173 crores in 3Q of last year. So exactly a year after that, we are at INR179 crores. Do keep in mind that this takes into account the labour code adjustment, largely gratuity related, some of the other notifications: a) will not be so impactful; and b) will be done when they're announced. But that cost of about INR2.5 crores to INR3 crores has been absorbed in the base. So the absolute rupee EBITDA is remarkable.

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What is also remarkable is that percentage profit after the labour code adjustment, every other growth cost that we have incurred is now at 46%. You will remember that this was 43% and some change about 4 quarters -- 3 quarters back. So in these 3 quarters, 1Q of this year, 2Q of this year and 3Q, has climbed back from about 43.5% to 46%, which I think is a remarkable vindication of the overall productivity drive and efficiency that we've been able to build into the system.

Specifically on MF, our AUM crossed INR55 lakh crores

. The market share number remains

intact at 68%. The year-on-year growth was 18%. Now in most years, you know that AUM growth was about 20%, if you take the last 10-year CAGR and that 20% used to be composed of about 12% to 13% of mark-to-market gains, about 7% to 8% of net sales. This 18% number has happened despite the fact that mark-to-market gains are lower. So that just is a good indication of the resilience of the system and of the faith that the Indian common investor has in the delivery made by the mutual fund industry.

Within this, equity assets, a very, very handsome number crossed INR30 lakh crores for us. Market share, which about 5 years back, this number used to be about 60%. You've been watching this numbers for a while, is crept up to 66.4%. One, largely in response to the expansion of equity as an asset class within the overall MF assets, but you cannot deny the share gain part of it. The 60% to 66% is exactly a share gain. And like the chart says, 70 basis points up year-on-year.

Equity net sales at INR84,000 crores, although you know that in a great quarter, this number is almost like INR1.25 lakh to INR1.5 lakh crores to that extent, a slightly smaller number. But what I'm very happy about is a market share of 71%, which is almost 1% up compared year-on-year. This is the most intensely operative from an operations perspective and the most remunerative part of our entire AUM mix.

New SIP registrations, which have been in the range of INR1.2 crores to INR1.3 crores every quarter, stayed at INR1.6 crores, grew 18%, significantly ahead of industry growth. And I think just the fact that some of the new AMC launches as well as the CAMS base clientele has performed very well in this area.

SIP collections grew to almost INR18,000 crores, INR19,000 crores a month, so INR55,000 crores, INR56,000 crores in the quarter, again, a handsome number growing 20% year-on-year. And this again is a great vindication of the attitude of the Indian investor and its faith in the industry. Live SIPs as of count expanded 8% year-on-year to 65.2% market share.

Unique investors, you can see, grew ahead of industry. Carnelian Asset Management came in as a new AMC client. SIF is beginning to become a very popular. Well, it's too early for me to say very popular, but I would say an interesting product class where a lot of AMCs want to participate. As of today, we have SBI, Tata both launched in the past quarter, quarter gone by. And then in the month of January, we've had ICICI at Bandhan launch. But you will see a lot more launches.

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And I think this is net accretive to the stack of the AMCs because this was supposed to bring in money from a little more risk-taking investor class, an investor class which was doing F&O and day trading kind of stuff for them to come into this asset class. It's a broader product offering. So it's great news for us. We're already INR2,400 crores and with 4 AMCs live. GIFT City retail fund launches; Tata MF launched the first retail inbound fund. This was live. PPFAS and DSP had launched the outbound funds. This interest, we believe, will continue to grow over a period of time. Early days yet, but the interest of the domestic investor in participating in overseas offerings and the interest of the overseas investors to find a

reasonable way to come in through GIFT City, I think they will be the 2 props on which this entire offering will be built.

So very happy that during the year, as we have said earlier, we took 6 AMCs live. We took a couple of SIFs live. We expanded the GIFT City offering. And we did many other things. I'll just come to that. But from an activity and milestone perspective, a fairly productive quarter and from a financial result perspective, a very solid quarter.

On the non-MF side, the revenue contribution has expanded to

14.5%. We had said almost

about 9 months back that we were in the process of a business transfer of the KRA business of NSE into CAMS. This process got concluded. Now the business is with CAMS live with us, a great integration, adds more than 1 million fans to our overall kitty and uniquely positions us as the second largest KRA. The gap between the second and the third, therefore, has widened. CAMS KRA, you know that the account opening momentum in capital markets has been slow. While in mutual funds, the full account expansion remains intact. But in the broader capital markets, the depository and broking account momentum has been slower. Despite that, CAMS KRA grew revenue both on a year-to-year basis for the quarter as well as in sequential quarters.

CAMSPay was a great performer. I think if you look at the base, just their base business grew 24% for the quarter over the past year. If you add to this, the PG business, which is just about a year in the making, that added the balance part of the growth. So it's good to see a new product gain acceptance faster than what you normally see. So that 59% is a sum of a and b, is the base business, which grew 24%. The balance is the PG business.

Alternatives grew 16% in revenue year-on-year. AUM now exceeds INR3 lakh crore, the 50% of the outsourced market, that milestone remains intact. I certainly want to call out that while WealthServ or the digital onboarding platform is not a large revenue accretive, revenue momentum business, but it's a very good client hook for us, 250 mandates, almost 200 -plus live, and we will continue and that's our vision to scale up to 500 and even beyond and the market has the ability to absorb all of that.

CAMSRep grew revenue in the third quarter 15%, added -- you can see the numbers we crossed overall 1 crore s eIAs, about 1.3 crore s policies, market share at 40%. Again, I would say that the true momentum of this business, the true impact of what Bima Central can do, the true impact of demat and insurance, we are still scratching the surface. LIC, which had agreed

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to come in into dematting of new issuance of policies that was declared in March, April last year. They are near live. They've commenced, but I think the true momentum of that as the rest of the market expanding their acceptance is a slow process, but will happen. And I think we are very, very hopeful of continuing to scale these things.

Bima Central as a unique offering for managing your insurance portfolio has continued to get awarded, recognized in multiple forums. You've seen some of that in our website. You've seen some of that in the various press conferences, releases or LinkedIn post, et cetera. So very happy that from a product development culture that the moment that we started almost 5, 6 years back to deeply build a product and a tinkering culture inside the company to have multiple offerings. Obviously, we don't want a dozen because you can't focus on a dozen. But to have maybe 4 or 5 core offerings, which will drive growth, I think this is a nice point towards the future.

On the DPDP Act implementation, where there are various components of what a good offering should look like. But from a consenting perspective, Think360 has launched Consent Pro, you would have seen some PR on this, and we're expecting this to be a revenue business in the coming quarters.

So like I said, overall, coming out of whatever happened during the year, a slow year for capital markets, some backdrop of price readjustment, some backdrop of slowing down of capital market new account openings, et cetera. In the light of all that, I think both from a growth and efficiency, margin and revenue growth perspective, a very solid quarter.

I will pause here and hand over to Ram Charan, and then we will come back to the Q&A.

Ram Charan: Thank you

u, Anuj. I'll just summarize the numbers in a few minutes. As Anuj said, it was a very solid quarter. In terms of AUM, quarter-on-quarter, the AUM grew around 5.3%. And as we had kind of indicated and guided over the earlier quarters, the yield impact of the onetime reset, the tail impact was there in last quarter. And we said this quarter, we said that we'll be back to the original equation in terms of asset to asset fee growth.

Happy to say that the asset-based revenue has also grown around 3.8% quarter-on-quarter, which is kind of almost back to the same kind of equation that we are used to in the past. Yields also depletion was much better than what was guided. It was less than 1.5% quarter-on-quarter. So from that perspective, we are back to steady state from a yield perspective, which was the bigger concern over the last 9 months because of the yield reset.

So overall, the revenue grew around 3.6% quarter-on-quarter and 5.5% year-on-year. The MF revenue grew on the back of the asset growth as well as the stable yields to 3.3% quarter-on-quarter. And the non-mutual fund revenue, it was almost 5% quarter-on-quarter and 24-plus percent, almost 25% year-on-year.

As you recollect that we have generally have a target of growing more than 20% in the non-mutual fund revenue. So barring the first quarter where there was a little subdued, we have kind of reached this number and confident that going forward, this 20-plus percentage of non-

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mutual fund business will happen. This is all on the back of a great business growth in CAMSPay and their card offerings.

But across the board, there has been increase in the businesses. AIF has increased; Rep has increased and so has KRA even in a tough market. So the non-mutual fund back on track, mutual fund yields absolutely back on track. And from a profit perspective, we posted strong earnings. Our EBITDA, which was, as you may recollect, went up to 43% a few quarters back came to 44% now it is at 46%. And that is kind of almost 140 bps increase on a quarter-on-quarter basis.

So we are, again, firmly back on the track of what we have said in terms of margins, 45% plus. And we continue to have a good cost control backed by automation and productivity increases, which is keeping the cost line increase subdued. We had indicated at the beginning of the year that if we are increasing cost by less than 11%, I think that's the target, and we are well on target to have the cost increase to be 10% on a year-on-year basis.

So on the back of good cost control, stable yields, good growth in non-mutual fund businesses, we have posted strong earnings for the quarter at 46 percentage. This, again, as Anuj said, I'd like to reiterate that as required under our institute guidelines, we have taken a onetime charge of the labour code revamp, which is around INR3 crores -- INR2.8 crores as a part service cost in our P&L. So in spite of that, we are able to post very strong numbers on a quarterly basis. The Board had declared -- has declared a dividend of INR3.5. And so we're keeping up with our dividend declaration policy of 65% of profits being distributed. And ROCE, our return on capital employed continues to be very impressive at close to 40 percentage.

There are some amount of -- there is some amount of decline in the non-asset-based revenue, you would have seen on a year-on-year basis. But as we continue to indicate, the non-asset-based revenue is not driven by any -- not majorly driven by transactions or an AUM growth. There are 4, 5 components to it. One of the major component of that is the out-of-pocket expenses and also there is a component of the new NFO fees.

This quarter, when compared to the last year, there was a decline in the NFO launches when compared to last quarter, and there was also a decline in the out-

of-pocket expenses. The out-

of-pocket expenses is a revenue line item and a cost line item. So it is not profit accretive. And hence, the decline in the non-asset-based revenue does not impact the profitability.

So this is a broad summary of what we've seen from a revenue and a cost perspective and EBITDA margins. I now hand it over to the moderator, and we can open it for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Supratim Datta from Jefferies.

Supratim Datta: I have here 3 sets of questions. Firstly, I wanted to understand how would the loss of 5 basis point exit load for mutual funds impact you? You have had one round of renegotiation of contracts last year, but would this result in another round of renegotiation of contracts? And

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what kind of impact could we expect from that and over what period? That would be the first one.

Secondly, I wanted to understand how is the margins in the non-MF business currently tracking? And what kind of operating leverage are we able to get there? Lastly, on the payment

aggregator and the Payment Gateway business, there has been strong growth there. However, the base business has only grown by around 25%.

And when I look at the other businesses as well, the growth has been somewhere around 17%, 18% in most businesses. Given the smaller scale, just wanted to understand what would result in these businesses being able to grow faster as compared to the current run rate? Those are my 3 questions.

Anuj Kumar: Sure. Thanks, Supratim. I'll try to take this in order. On the AMCs and the TERs -- sorry, I'm just continuing to hear...

Ram Charan: Supratim, you may want to go on mute. There is a bit of background at your end.

Moderator: Yes. Supratim, maybe there is...

Supratim Datta: Yes, I'll mute my end.

Anuj Kumar: Okay. All right. Yes, this is a lot better. So on the overall TER adjustment, you, I'm sure, have been tracking this closely that the net dispensation being proposed is of marginal impact, not a humongous impact on the AMC. There are some benefits. There are many puts and takes, but I think there are some benefits on the GST side. And then there could be some dent in what they can charge because of the exit load going away.

When you take these together, we believe that most of our clientele will not be impacted from any negative impact perspective. Some of the large clients may be impacted. Like you know that for people who run P&Ls, total TER regimes of 140, 150 bps at the largest, coming to maybe 190, 200 bps for the smaller AMCs. This will be a small reset to make.

Now will they come to us for any conversation, etcetera? We don't have any indication right now that all of that will happen. We've always stated that the amount of value we sell for the price we charge: a, is very large; and secondly, it continues to scale every year. So we believe that we have full justification to retain the prices.

Right now, I think we should just wait for any conversation to happen. First of all, for this final regime to settle down, if it settles down in the first quarter of next year and then for any conversation to happen. Even if conversations happen, we do not believe that this will be of a very large impact to us. Like we have said in the past, the impact could be -- I mean the boundaries of the impact could be INR20 crores, INR25 crores overall for CAMS, but we will wait and see. I don't want to jump into conjecturing on numbers and making estimates until we have a very clear view of what the impact is and what they are planning to do with this. That's part one of your question.

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On the non -MF business, the only way I would like to explain this to you, I'll

split the answer

in a few parts. One, businesses which are purely platform, so CAMS KRA and CAMSRep are 2 great examples of purely platform businesses. They have the ability to make EBITDA in the 30% to 40% range. CAMS KRA is already there, which means it makes an EBITDA in that range.

From there, the smallest ones are loss-making because it takes a revenue line of about anywhere between, let's say, INR12 crores to INR15 crores of revenue line for these businesses to absorb costs. They are -- they all have a component of fixed cost. So some of them are loss-making, which still are not at breakeven. Insurance is near breakeven, but not at breakeven. Pension is loss-making, account aggregator is loss-making.

So overall, it's our aspiration to move this entire portfolio of non -MF. It will not go to 40% to 50% EBITDA easily. That will come after maybe 5, 6, 7 years. But in the next couple of years, it's our attempt to drive this to about 25% to 30% EBITDA. We believe that is possible. This business now has a base of about INR230 crores, INR240 crores. It's growing at the rate of about INR40 crores to INR50 crores a year.

And I think the objective for the management team is to move a large part of this incremental revenue into the bottom line. And because of the platform nature of most of these businesses, like I said, Rep and KRA are 2 great examples, Payment is also a very, very relevant example of a platform business. So we're very hopeful of driving -- that's our internal target to drive them to 25% to 30% EBITDA.

The third part of your question was that in CAMSPay, what's happening, what is the growth trajectory. As you know, that from a portfolio perspective, we've stated that non -MF should grow 20% plus. Within that, you will remember that we had 2 breakaway years when KRA grew very fast. They almost doubled themselves in 3 years.

There was a time when AIF grew very fast. And I think in the last 2 years, we've seen CAMSPay grow very fast, which means CAMSPay used to be under INR30 crores business 2 years back. They scale from INR30 crores to INR50 crores, INR50 crores to -- close to INR70

crores this year. We see them growing from INR70 crores to INR100 crores next year. Some of this is just the base consumer's buying more, which is one way to grow.

And I think Payment Gateway was a new part of the offering. And when we grow, obviously, we'll have to keep doing all of these things. Just base clientele growing is very, very organic and is just dependent upon what the market buys. So we want to do both things. In the base, we want to grab share. In the new offering, we want to have those strategic offerings, which will lead to revenue growth. I think that team has been able to do both of these.

The interesting part is that in the next 4 to 5 years, we are sure the way things are going, that this non-MF will be at least INR500 crore's book for us in about 5 years. It continues to grow INR40 crores to INR50 crores a year. And at that level, at about a 30% EBITDA, it should be, let's say, INR125 crores to INR150 crores EBITDA range business. It's heading that way. It's heading that way. And therefore, we are very, very hopeful that we'll be able to deliver all of

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this. Those are broadly my answers to your questions. If there's any follow-on, you can let us know.

Supratim Datta: Yes. Just one thing on the non-MF business, what is the current margin run rate? And on the CAMSPay side, I just wanted to understand what is the mix of non-MF clients and MF clients?

Ram Charan: The current margins, we've seen some improvements happening over the quarters. A few years back, we were sub -10 percentage. At the current quarter, they are upwards of 13 percentage EBITDA as a bucket. And I'd just like to reiterate what Anuj said in terms of the bucket is mixed. It's got profit

-making businesses and it's got also businesses that are not making profit.

So -- but overall put together, they are kind of at a 13-plus percentage EBITDA for the quarter.

In terms of CAMSPay, earlier, it was entirely dependent on mutual funds. And now the dependence on the mutual fund revenue is less than 50% of the overall.

Moderator: The next question comes from the line of Devesh Agarwal from IIFL Capital.

Devesh Agarwal: Sir, my first question would be on the MF yield. Could you share if there are any major AMCs which are coming up for renewal over the next 18 months?

Ram Charan: So Devesh, so as we have indicated in the past, there are no major AMCs that are coming up for a renewal in the current financial -- in the upcoming financial year. There are a few mid-sized AMCs who will come, which are kind of due in the part of the year. But there are no major AMCs in the top 5 who are coming up for renewal in the current financial year.

And that's why in the 6 months back we indicated, we're looking at a broadly stable yield regime for the next 18 months. So every year, there will be some AMCs that come forward, none of them are going to be the bigger AMCs that we had a renegotiation just a year or 2 back.

Devesh Agarwal: Right, sir. And sir, secondly, you recently won the mandate for Carnelian mutual fund. Could you just talk about how the competitive intensity is around the new -- around the -- basically for the winning the new mandates, how has been the competitive intensity? Is it coming down? Or is it still the same?

Anuj Kumar: Devesh, the competitive intensity is still the same. You know that in '24, most of the mandates came to us. After that, I think we've made it very clear to the marketplace that we are selling value. We are selling premium value. A large part of the market, which is inclined to pay that -- pay for that will obviously come to us. Carnelian is one example.

There are some bids where price is perhaps the metric and any business, there are bids where price is perhaps a metric. You will not find us chasing those deals. I think the operating part of the argument is that we want to sustain and expand market share and a UM and want to sustain and expand market share in the most profitable and the most remunerative parts of the overall stack. I think we've been able to successfully do that.

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Last calendar year, you know that we took 6 asset managers line, which is a record for CAMS. So starting from Angel Broking to Unifi, Jio BlackRock, Choice, Taurus, which was a migration. And then CeyBank, which is our only Sri Lanka client, all of these went live. So I think from an operating sustenance and resilience perspective, that's great news. But again, from a competitive intensity, I think we will let competition do whatever they choose is best for them. But focusing on value and premium value to the customers, I think, remains our

endeavour, and that is the way we will continue going.

Devesh Agarwal: Right. And what is the target for this year? How many AMCs are we looking to take live?

Anuj Kumar: We now have 4 which are -- 1 which are yet not live. So those 4 have to go live in financial year '26. I'm not counting the wins of '26. Typically, it takes sometimes 6 to 7 months, at least, and sometimes it takes about a year. So I think the 4 which we are carrying forward from the last year into this year, and maybe the 2 or 3 which we might win from now to June. So I will not be surprised if we take another 5 to 6 live this year.

Devesh Agarwal: And any particular drag that you see on margins because of this 10 to 12 AMCs, which have gone live last year, and this year combined for FY '27 margins?

Anuj Kumar: Actually, I will just talk about a few metrics, which we haven't really positioned yet because until we are 100% sure we want to expose it to a

lot of you guys, we will not do it. I think we've, as a team, done a fantastic job on revenue per headcount and on overall headcount intensity of the business. If you clinically see headcount, headcount has remained flat in calendar '25, which means the headcount we entered with and the headcount we're exiting with is exactly the same. This is despite significantly expanded count of everything.

So the automation and productivity benefits, we've just stated it as a line. I can convert into figures for you in a separate session. We didn't want to position it too hard right now. I think that's been a great journey. All the 6 AMCs, all the people who are employed there, it is all part of the base now. It's all part of the base.

This year, Devesh, the way we see the overall technology interventions and the new platform capabilities, although it will be module by module, step by step, we are not going to do anything in one stroke. I expect these efficiencies to continue growing. So you will see that headcount expansion will be very muted. Revenue per headcount will be very large. I mean the expansion will be large. And therefore, all the cost and headcount related to taking new AMCs live will remain in the base and will be managed well within the base.

Ram Charan: Just like to add one thing is, Devesh. As you know, the nature of the business is that the incremental cost will be mainly the manpower. And this is true of every new AMC, which is the initial part of ramping up, there will be some addition to the manpower, but we just made it so efficient that the platform is catering to every new customer, right?

So there will be some amount of customization, but the major cost is only the 10, 15 people that you have to recruit additionally for that or in terms of transfer internally in case there is productivity improvements in other units. So it's not a significant, significant drag on the

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margins. If anything, when the revenue starts coming on these -- when the AMCs start ramping up, it would be a positive on the margins.

Devesh Agarwal: Right, sir. And sir, one final one. The cloud implementation that we were trying to do for our mutual fund RT operations. Any update on that? Where are we in that journey?

Anuj Kumar: So on that journey, there are very exciting developments on -- overall, I'll just spend 2 minutes on this. On the form data entry part, which is the AI-based data extraction, I think we've done very well. And we are moving a part of the payload. You typically have a maker and a checker in every process. We are moving part of the maker payload completely into the platform. It is underway as we speak. So you will see that happen completely in Jan, Feb, March.

On the compliance implementation, you would have seen the press releases, etcetera, on CAMS Lens, where we have taken a lot of the compliance payload and compliance payload is basically reading of circulars and documents issued by regulators, interpreting them, converting them into quizzes and tests into FAQs, etcetera. That product is completely ready. We announced this sometime in November. It is being used internally. We'll open it for the marketplace. And again, this was built as a small language model on top of an existing LLM. So that's production ready now.

Our data lake and our data warehouse where we are moving things from the on-prem Oracle to the Google Cloud Alloy and BigQuery kind of setup. That is underway, too. That may not happen by March. That may happen in April, May, but that part will happen.

And then there are several other exciting things. We had started building out a full module of transaction acceptance. That module will be also live or ready to go live in about April, May. So there are multiple things firing as I speak. There is a large team of engineers and of course, people, the SMEs from

our base business who are involved with this. So I'm quite happy.

It's a very humongous program. It has multiple people, cultural, partner, technology dimensions. It involves work that we have not done in the past ever. And rearchitecting

platforms, it takes companies very long. We chose to go on a module -by-module approach. So that part is coming out very well. We will also cover this in more detail in the analyst meet sometime in February.

Moderator: The next question comes from the line of Dipanjan Ghosh from Citi.

Dipanjan Ghosh: So a few questions from my side. First, on the KRA business, do you see any sort of pricing regime change over the next few years? That was the first question. Second, at the start of the call, you mentioned some number around INR20 crores to INR25 crores possible impact due to the mutual fund. Firstly, did I understand it correctly? And second, how do you arrive at this number? And if you can kind of shed some colour on that?

And the third question is on the Payments business. Obviously, I mean, that has been growing at a very, very good run rate. Just wanted to understand in terms of new business horizons on

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the non-mutual fund side, is there either any inorganic activity or new cohorts where you would like to kind of penetrate into?

Anuj Kumar: Sure, Dipanjan. So I'll take your questions in order. On the KRA business, you have seen that there's been a dent in the market, not a real dent, but maybe a partial dent that onboarding costs are high in the industry. Now for specific use cases and instances like the Cho ti SIP, etcetera, we have made sure that we offer to the industry because we eat off the same plate, we will never be predatory pricing technique people. We had offered fairly -- I mean, rates which are amenable to the scale and size of that business.

For everything else, I think the rates across the market have been pretty stable. Is there a conversation with the industry that these prices will go down? You are reading the same statements that I'm reading. So obviously, I will not say no that this topic does not exist. The topic exists. Is that kind of an in-the-face topic and do I have to deal with it today? We will see. We will see. I think the -- from a regulatory perspective, the attempt always has been to make access easier and to sell things cheaper and cheaper.

I think from a KRA perspective, for smaller formats, for the smaller SIPs, etcetera, very, very friendly rates already exist. So will this conversation which way this will head, we will see, and we are watching it closely.

On your point number two, I think this math hasn't been done by me. This math has been done by you guys. I've read it. And I'm not either publicly endorsing it or denying. But the way this math kind of gets done is and I don't want to make it too complicated on the phone that there is a marginally positive part on some AMCs. It depends upon what PR you charge and what is the percentage split between your management fee and your expenses. But for some, the GST advantages offset the accretion part. And for some, the exit load offsets the GST expansion, the GST advantage.

So I think the way this math was done was our fraction, potential fraction, people computed and said that this is the sigma of all the potential contractions that can happen. We've read the math. We will see what conversations happen. Our belief has always been that we deliver humongous, sustained and expanding value to our clients.

From a regulatory controls, product development perspective, like I said, just taking SIF live and the GIFT City offerings live has been very, very intense for us, but we just charge base rates. Our clients are very appreciative of these things. So the number is kind of an arithmetical clerical number. We will see what happens, and we are watching

the situation closely.

Thirdly, on the PA/PG part, I think what you asked is a very relevant question. We have -- like I said, we had 2 or 3 years of breakaway KRA revenue growth. We've had sustained AIF growth. And we've had about 3 years of breakaway PA/PG growth.

Now the question is a valid question. It's a large market. If I take all payment enterprises and do a sigma of the revenue, that is certainly INR10,000 crores or more. Are assets available?

The answer is yes. However, it is not seen as a very profitable business at scale. It's not seen as

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a very profitable business, the UPI part, which is still not charged, and there are no exact signs on when that will become chargeable. So while the stack in terms of offering swizzles towards UPI, but UPI is not chargeable, isn't a great sign that investors want to see.

So right now, we will not do, although we've looked at assets closely, we always continue to

look at them. I think we believe that this is a part of our offering, which we want to scale to an extent, let's say, if we get to about INR90 crores to INR100 crores next year, and maybe about INR120 crores the year after, we will pause and see what we want to do. The profitability metric is important.

So right now, I think it's unlikely that we will jump in and say some asset is -- the owners are selling. Therefore, we want to buy in the area of payments till we believe that this will align to the 30% or more EBITDA margins that we aspire to achieve from that.

Dipanjan Ghosh: Got it. Sir, just if I can squeeze in one small question. On the mutual fund side of the business, are there any asset managers where the renegotiation or the pricing -- repricing kind of happens on an annual basis or everything is more like a 2-, 3-, 5-year contract?

Ram Charan: Annual basis is not something that happens. It's generally 3, Dipanjan, sometimes 2.5, 2 if there is some expectation of an event happening in the next couple of years. But I think the average you should take it as a 3-year period. Annual generally doesn't happen.

Moderator: The next question comes from the line of Abhijeet from Kotak Securities.

Abhijeet: My first question was on the growth visibility -- revenue growth visibility on the non-mutual fund business. Now I recall that number being closer to 25%, but there was a comment earlier that 20% is the number that looks more comfortable now. So I just wanted to double-click on that first.

The second question was that the comment on cloud implementation is useful. And how do we see that along with whatever is your best judgment on what will happen to revenue yields?

And how does that translate into EBITDA margins going forward? Do we still have enough scope to extract margins given the implementations?

Ram Charan: Thank you, Abhijeet. On the non-mutual fund growth, there's 2 parts to it. Yes, the target is a 25% growth. I don't think we are really looking at that. But I know you had a very subdued first quarter number in terms of non-mutual fund growth. So I think what we are saying is we will get to that place. But for the year, we have again recorded in the last couple of quarters to get it close to 25%, and that is the long-term aim to get to 20%.

But realistically, I think given that the first quarter was where it was, I think to expect in the near term, a 20% cumulative growth is, I think, realistic. But however, I think on a long-term basis, even on a medium-term basis, we are aspiring and we are confident of getting a 25% growth. I think what we are talking about is near a year from -- 1-year time frame from now where you should look at between 20% and 25%. On the cloud implementation, I think Anuj will answer.

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Anuj Kumar: So Abhijeet, on the cloud implementati

on, I think the only thing I will refer to is that in the last 10 years and let this register in the last 10 years, if I take out other business build-outs, but I see only MF, we've engineered the entire expansion with almost constant headcount.

Headcount wouldn't have grown 5%, while assets are 5x, transactions are over 5x. Storage requirements, recordkeeping requirements, reconciliation, complaints, all of those numbers have grown, but we've kept the headcount constant.

And therefore, automation in the base in general has been a very remarkable success story. You can go back and check even in the process industry, if they've been able to do this and if there are companies which have done that. And I'm talking of 2016 to 2025 time period.

However, this is still working on the old platform.

We know that there are humongous benefits to be gained if we move platforms, moving platforms is a painful process because we don't want to buy anything. We build everything ourselves because that IP is what I sell for value that you see in the P&L. So we are building it now.

I'll just give you an example, 300 crore s e-mails are sent by us every year, 1 crore s a day. Each e-mail is an artifact, which can be disputed, which does get disputed by intermediaries, customers, all kinds of people. And therefore, I reconcile 300 crore s e-mails every year. And that's just like of % of the work we do. But each part because anything can be referred to later. Do we do it most efficiently today? The answer is no, because the way it is engineered, it is not done efficiently. It has components of labour doing all of that.

As we build the new platform on technology, which is developed in the last 3, 4, 5 years by some of the strongest names globally, a lot of these processes will become very, very efficient, instant non-batch, which means I will not accumulate 1 lakh units to start the work. I can work instantly through APIs, etcetera. So we expect a lot of efficiency to accrue to the base. And when I said that despite all the expansion that has happened, 1st January to 31st December, we did not increase headcount at all in the company. That's a real statement.

Now these efficiencies will go much further, but we've been conservative in our style. It's very easy for me to put a number and start publishing it to you guys and circulate it. We are not doing it now on a purpose. One, of course, is the workforce angle because we do not want to publicly cover any contractions in workforce, we will not do that. And second, we want to be 100% sure that on a year -on-year, quarter -on-quarter basis, what advantages will accrue to investors and to the company and whether we can publish them or not.

But I can tell you that the work for that started 1.5 years ago in June, July of '24. I personally monitor these things, so I know the detail that we are in a very good place right now. If you want specific answers, maybe 3 months from now, we should be in a position to give you a little more specific. We may never declare exact margin correlation of the new platform. I don't think we intend to do that. But you will see a lot of this in the P&L. That's where I will leave it.

Moderator: The next question comes from the line of Sanketh from Avendus Spark.

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Sanketh: I had one simple question. The delta improvement in the margins, what we saw in quarter -on-quarter basis is predominantly driven by the non -MF business? Is it -- or if you can give the delta change, how much it contributed from the new businesses and maybe MF in that sense?

Ram Charan: So Sanketh, the delta actually is predominantly because of the mutual fund business only. The non-mutual fund increase in margins was there, but it was not significant enough to make more than 100 bps increase in margins. I think that level of margin did not happen

in non -mutual.

Predominantly, it is because of the mutual fund business.

And if you see also driven by the rationalization in the manpower cost is that we do not have any increase in the manpower cost in spite of a labour code charge, I think quarter -on-quarter, my manpower cost is stable, is static. In fact, there's no increase at all, minor decrease. So it is driven only by the core business. A very small part of it is because of the non -mutual fund business.

Sanketh: Understood. And you mentioned that your blended margin is 13 percentage for the non -MF part. So maybe given it has improved by 300 basis points on a year -on-year basis, if I understood right, then is it fair to say that a similar delta can happen in this line of business in a year or 2 in that sense, given a couple of businesses are pure platforms?

Ram Charan: So the 10% reference rate was not last year. It was probably 2.5, 3 years back when we started tracking this very closely as a separate bucket. On a year -on-year basis, I think the margin increase will be close to 100 bps only. It's not 300 bps in terms of non -mutual fund business. But yes, going forward, we do expect once we start adding more revenue to the top line, as Anuj mentioned, these are all platform -based businesses, there could be a replication of this in terms of every year.

And for us to get to in 3 years' time to a consolidated 20 percentage EBITDA is, I think, the base. We should be something more than that, but at least to get there within the next 3 years, which means that as we add -- keep adding revenue, the increase in margins will be significant. So we hope to get to this 20% EBITDA margin within the next 3 years for the non -mutual fund.

Sanketh: Okay. Okay. Sir, basically, a 700 basis point improvement in the non -MF business in 3 -year period is possible from the current levels?

Ram Charan: It is absolutely possible, yes.

Sanketh: Understood. Understood. And lastly, given so many mutual funds have got onboarded in the last couple of years, this people count control is sustainable? Or you think ultimately, somewhere we need to start adding people to cater to the requirements in that sense?

Anuj Kumar: You will see that we have just inserted one line on technology -based productivity. So while all these new MFs need teams. Our philosophy has been dedicated headcount fenced areas for every new client. We don't give them any shared facility to the extent possible. All that has happened.

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I think all these additions have been offset by efficiencies that we've created in other places, some led by the new platform, some led by past innovations in technology and the base stack itself. So that will continue. That will continue. You will only see it gaining more momentum.

It will not slow down. I think it's a 4 - 5-year journey from now where you will continue seeing these efficiencies play out.

Sanketh: So Anuj, is it fair to say that with no significant man count addition with productivity gains, you can still cater to the newer funds even if you have a dedicated team to the newer funds?

Anuj Kumar: Yes. The last full year was vindication of this. Just look at the last 4 years, we've stated in public that we've taken the 6 clients and the SIFs live. The net headcount is flat to lower, like Ram said. Those are the real figures.

Sanketh: So in simple words, then with more people addition, is it fair to say that a pure MF business, not considering the new non -MF business, there is a scope -- assume yield pressure doesn't come because of the T ER or something of that kind, then is it fair to say that the productivity gains itself can expand your margins by maybe another 100, 200 basis points in a couple of years?

Ram Charan: So I'd just like to say a couple of points there, Sanketh. One is that while there is no headcount

increase, there will be a remuneration increase, which is your increments and the annual increments will happen. So it's not as if the labour cost is going to remain the same. So there will be some cost pressure because you know that every year, there has to be an appraisal that goes to the employees. In a good year, it's probably more than 10%; a bad year, it's probably 7%, 8%. So that's a cost that will come in.

But as we say, even if there is moderate yield pressure and even if there is an impact on the salary cost and given the technology investments that we'll continue to make and the hiring that we continue to do for the platform, to expect 100 bps creep up in margins over the next year or 2 is something that is on the cards. But again, there are several moving parts to this. We would stick to our revenue -- to our margin guidance to say that we will be more than 45%. We will creep up to 46% and 47% in good quarters. But to predict anything more than that will be a little premature.

Moderator: The next question comes from the line of Sucrit D. Patil from Eyesight Fintrade Private Limited.

Sucrit D. Patil : I have 2 questions. My first question to Mr. Anuj. As CAMS expands beyond its core mutual fund service into insurance, fintech and digital platforms, how do you see the revenue mix evolving over the next 2 to 3 years? And what strategic priorities, whether in technology innovation, partnerships or customer engagement will be most critical to ensure CAMS maintain the backbone of India's financial ecosystem? That's my first question. I'll ask my second question after.

Anuj Kumar: So again, the only thing I'll point your attention to is that consistently over the past 6 years since we started facing the market, there's been no change in our position on any of the things

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you asked, and that covers most topics. We don't want to be an overdiversified company. It's not our attempt. I think investors pay value for the kind of business they like, and we don't want to make it a mishmash.

We publicly stated we'd like to get to about 20% of revenue contribution from non -MF. We are steadfastly chasing that as a goal. If we are able to expand revenue by about INR150 crores to INR200 crores every year in the next 3 years, we will be INR2,000 crores company soon. That's in 3 years or 2.5 years. At that time, 20 % of non -MF is INR400 crores, we would like to get there.

In MF, I think if you've just seen our leadership, and obviously, some of you do attend the annual -- the meet we do for analysts, you would have seen that not just the top -level leadership, but people beyond and people beyond we have made significant investments. None of this is lip service. None of this is showing you the mugshot of people who don't work for us. All of this is clearly rupee value that we are delivering to the marketplace.

If you ask me one single investment that I've made in my time, it is this. Today, we have literally between 50 to 100 engineers sourced from the IITs. And if I include the IIMs and the NIITs and some of the Tier 1 institutes, this number will be about 150, which we acquired in the last 2.5 years, 3 years to build out the platform, be part of operations, be part of product, etcetera . So that remains.

We will not become over diversified. We will not make acquisitions just to make the top line look nicer. So our stated commitment to the domestic market and despite all the temptations, you would have seen that we've been saying this consistently that till the domestic market worries us in some form, we are committed to the domestic market. This is the arena we are playing in.

Within the domestic market, 80% of our revenue should come from MFs and related market

segments. We will remain there. Now the balance part, when it becomes INR400 crores or INR500 crores meets its own

attention. For insurance companies, for example, we relate with the regulators and the top insurance companies, same for payments. Those 2 certainly, to an extent, AIF and KRA, although AIF is a very splintered business, there are not 60, but thousands of them. So cost of sales, etcetera, increases. For every product class, therefore, I think the dynamics are different. Mutual fund is concentrated business. The rest of them don't have concentration. They are splitted businesses. And therefore, cost of sales will be high. Cost of product can be high where we are competing with the fintechs and the start-ups, which is like the account aggregator business. I don't think I have a single answer for your question. All I will say is that in the last 10 years, we've been able to kind of stitch this strategy, which plays well to the market to gain acceptance, to be the number 1 or number 2 player in every segment we are in. And today, you will see that at 68% market share, we are the number 1 player in MFRT A. At 50% market share, we are the number 1 player in alternatives outsourcing. At 40% market share, we are

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either number 1 or number 2 insurance repository. At close to 20%, we are the number 2 in KRA.

So these are the positions we are aspiring for. Can I get there for every business? The answer is no. We'll be very happy if we have one core business, which is kind of firing on all cylinders, and we have 3 other businesses which are firing on all cylinders. You don't have companies which have 6 or 7 leadership businesses, very tough to get there. The rules of concentration apply to all of us, right? You can't be an athlete doing 3 sports. So we are cognizant of that, but that perhaps answers your question. Anything else that you need, maybe we can have a separate dialogue.

Sucrit D. Patil : Fair enough. My second question is to Mr. Ram Charan. With CAMS consistently delivering strong margins, how are you planning to sustain profitability while funding growth in newer businesses? Looking ahead, what is your framework for balancing operating leverage, disciplined capital allocation and digital cost efficiency to drive ROE and long-term sustainability?

Ram Charan: Sure. As you know that the business that we operate in offers some amount of operating leverage to us. Well, there is always puts and takes, right? So from a margin perspective, there is always the pressure that you hit on the employee cost. There is a yield pressure that you -- that is abated now, but still is there to some extent. And then there is the entire technology investments and regulatory pressures that you need to keep investing.

So this is offset by what we do in the productivity enhancements and technology, etcetera. So it's a constant kind of puts and takes between both. And we have managed to get a balance between the 2 and have seen that in that post listing, we've been able to increase our margins by 100 bps a year at least. And now that we are at a steady state of between 45 percentage and 46 percentage.

At any point of this journey, we've never optimized on our investments in technology. We never investments in non-mutual fund businesses. We have built out several products and platforms. We are cognizant of the fact that these could be the -- one of these could be the breakout revenue opportunity for us in the future also.

So we have never optimized on the investments assets. Even in quarters where the margins were 42 percentage, 43 percentage, we did not optimize on investments. We continue to build the products. We have released several such products in terms of AIF, the WealthServ, account aggregator product, the pension product and even the several enhancements that's happened from a mutual fund perspective.

So I think the future is secured from that perspective. We have invested for the future

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invested on technology. We have get an optimal look at the cost so that they don't kind of run away in terms of the operating cost. At the same time, we have enough of operating leverage to cover the yield depletion. So I think we are in a good place from a margin perspective. And going forward, we don't see much of a pressure on this also.

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Moderator: The next question comes from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Good set of numbers. Anuj, the first is a bit of a structural question as to there are a lot of new MFs, again, getting licenses to open up and more are in the pipeline, more people wanting to open mutual funds. So how is the landscape now in terms of the competitive intensity in acquiring new AMCs into the fold? So could, if you could throw some light there? Because I think in the past few years, there has been a high degree of competitive intensity to acquire the new AMCs. So what is the kind of intensity right now that you're seeing?

Anuj Kumar: So like we said, there were 2 kinds of people who wanted to get into mutual funds. There were the broking companies and then there were the PMS and AIF players. It continues to remain in those 2 boxes. Most of the new applicants are in either the first or the second box. Despite the increased network requirements, etcetera, there is obviously a trend to give a lot more licenses and make this a less concentrated industry than it has been. That is perhaps at a policy level, the thought process.

We have been clear, like I said at the beginning of this call, that we are selling value to our customers, both existing and new ones. And therefore, there are logos that we want, and we go completely after them. And then there could be -- there will always be, like I said, in every market, not just this market where people want to buy the lowest price for either constraints or just the approach towards buying.

We are not sure whether we want to be part of each one of those bids. Last 1 year, for example, we took 6 AMCs live. Some of the new AMCs, which we took live in '23 and '24 will head towards INR10,000 crore s AUM mark soon. One of them has already headed towards 10,000. So some of them are making good progress. But we are selling value. We don't want to be competing on price going to the bottom of the barrel or scraping the bottom. We will deliver sustained value.

So we expect new AMCs to come in, like I said, 6 of them went live last year, 4 new domestic logos, one was a domestic transition, one was a Sri Lankan logo. That leaves 4 logos to be taken live in '26, which will be taken live by us, definitely within '26, I think. Some of the new wins, which happened from now to June will also be eligible to go live in '26.

So I think it will be about 5 to 6 go-lives, which I think is a very good number for us to kind of ensure that we are doing justice to our clients. We're giving them high-quality operating environments, strong talent and clients, obviously, who appreciate the value that CAMS brings to the table. So that's been the approach so far.

Prayesh Jain: Got that. And secondly, on the -- again, a structural bit, do you think that the RTA industry at any point in future, say, like next 3, 4 years, could move to a fixed pricing mechanism rather than a percentage of AUM basis? Do you think that is a better approach?

Anuj Kumar: Well, I'll give you the honest answer that if I had a fixed cost or price portfolio, a fixed price per transaction, a fixed price for any activity, I would perhaps end up making more money than I make today. Our price portfolio has been dipping almost every year for the last 10 years.

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Our price per transaction has been dipping every year for the last 8 or 9 years. So it's just that it's a m

ore uncertain regime than the regime today. We've been used to a certain regime and used to managing cost and profit in a certain regime.

It will be a humongous change to implement something like that. The change requests will have to be priced. A lot of administrative and pricing work and scoping work will come in, which I don't think we, as an industry, are ready for. So we are happy with the way things are happening, and we are happy the entire retailization. We gave you a number of CAMS registering 1.2 crore s SIPs in a quarter.

10 or 11 years back, this number used to be less than 1/10, right? No, my revenue has not grown 10x. I could have charged cost per SIP registration, and we would have been a richer company. But all of that is meant for other people. I think we are quite happy with the pricing, so are our clients. And I don't think any dramatic shifts in optimizing it for either side, either the buyer or seller the way right now.

Prayesh Jain: Got that. Just some bookkeeping questions. On the employee cost, there has been a flattish trajectory or marginal decline, in fact, sequentially. Ram, anything on the new labour law that the impact has yet to be taken or anything on that sort?

Ram Charan: So Prayesh, so as you know, that labour law was notified on 21st of November. And I think there are some rules that are yet to be notified, which is expected to be April 1. There are 4 broad lenses to it. People are talking about a gratuity impact, a possible ESI impact, a possible fraud and fund impact and a possible even catchment impact.

In our assessment, the biggest impact will be the gratuity impact. Others could be minor, if any. And we have taken the full impact of the gratuity. So we have done an actual valuation, and hence, I think going forward from a labour code perspective, we do not expect a significant cost to come to the books. I think that has been fully provided for in the current quarter.

Prayesh Jain: Right. And last bit on the seasonality in CAMSPay, like in the fourth quarter of FY '25, we had seen a very sharp jump from about INR11 crores to about INR16 crores revenue. That's because the CAMSPay is a part of insurance as well, we should expect something similar. Is that the right way to think about seasonality in CAMSPay?

Ram Charan: It is true that there will be an uptick in the revenue in Q4, Prayesh, that is expected. However, we are trying to normalize things so that we don't see a big dip in Q1 also. There are enough efforts underway to broaden the client base to ensure that doesn't happen. But to your limited question of whether there's going to be a spike in Q4, we do expect Q4 revenue to grow over Q3 revenue.

Moderator: Thank you. We will take this as our last question for today. I now hand the conference over to Mr. Ram Charan for closing comments.

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Ram Charan: Thank you, and thank you to all the participants for your participation and spending time on CAMS. As always, if you have any queries, please feel free to reach out to Anish or to Orient Capital. We'll be happy to take your meetings and questions. Thank you.

Moderator: On behalf of MUFG, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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"Computer Age Management Services Limited
Q4 and FY '26 Earnings Conference Call"
May 05, 2026

MANAGEMENT : MR. ANUJ KUMAR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – COMPUTER AGE
MANAGEMENT SERVICES LIMITED
MR. RAM CHARAN – CHIEF FINANCIAL OFFICER –
COMPUTER AGE MANAGEMENT SERVICES LIMITED
MR. ANISH SAWLANI – HEAD, INVESTOR RELATIONS –
COMPUTER AGE MANAGEMENT SERVICES LIMITED

MODERATOR : MR. NIKUNJ SETH – MUFG

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Moderator: Ladies and gentlemen, good day, and welcome to the Computer Age Management Services Q4 and FY '26 Earnings Conference Call. As a reminder, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nikunj Seth from MUFG. Thank you, and over to you, sir.

Nikunj Seth: Thank you, Danish. Good morning, everyone. Welcome to Q4 and FY '26 Earnings Conference Call of Computer Age Management Services Limited. From the management, we have with us Mr. Anuj Kumar, MD and CEO; Mr. Ram Charan, CFO; and Mr. Anish Sawlani, Head, Investor Relations.

Before we proceed to the opening remarks, I would like to give a small disclaimer that this conference may contain certain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on date. These statements are not guarantees of future performance and involve risks and uncertainties. A detailed disclaimer has been published in the investor presentation.

Now I would like to hand over the conference to Mr. Anuj Kumar for his opening remarks. Thank you.

Anuj Kumar: Nikunj bhai, thank you very much. Good morning to everyone. I appreciate all of you taking the time out to join our earnings call. As you would have seen in the results that we published yesterday, it's been a pretty solid quarter for CAMS in 4Q of FY '26. You know that the external environment has not exactly been friendly.

In the months of Jan and Feb, those I would classify as normal months. In the month of March, of course, there was significant impact from what was happening in the environment. But despite all of that, you've seen our results, and I'm very happy to kind of share with you a set of events, which I would say are pretty interconnected, but their reflection is in the quarter that just went past, but the foundational impact of a lot of things, which are happening will continue to be seen, I'm sure, in this year and perhaps the next.

But just to sum all of this up, you've seen the deck, I'm assuming that you've gone through it at least once. We posted our highest ever quarterly revenue in Q4 '26. For the first time, I think I am calling out the non-MF performance ahead of MF because non-MF kind of heralded the growth metric a lot better than MF did in this quarter. We grew non-MF revenue close to 25% year-on-year. You know our promise has been 20%.

But successively over the last 3 years, we've been able to beat that, and we expect that we have the mix of products and go-to-market strategy to continue doing this. Enterprise revenue for the quarter went up 11% for the, I mean, quarter-on-quarter, it was 1.3%, the reasons. Annually, it went up 11% year-on-year.

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The MF business revenue was almost flat. It just grew about 0.5%. Given the circumstances, it wasn't bad at all. MF yields held quite well. And with all the operational efficiency, automation, the new platform program, what we call the architecture program, everything contributed their bit. And obviously, you know that there is a significant degree of fiscal discipline in the company. Absolute EBITDA scaled back to the highest ever.

Now you will -- I will take you back to 4Q last year, Jan, Feb, when you know that we had done price adjustment, etc. That is almost an event which is completely behind us because from a peak of about INR173 crores, INR174 crores of absolute EBITDA, we went up to about INR177 crores last quarter. We've climbed up to about INR183

crores now.

And I expect that this is kind of a baseline number, which will stick. Percentage EBITDA climbed back to just in excess of 46%, about 46.5%. And as a collectivity, I think that's a great set of metrics to have on our side. From a mutual fund business perspective, AUM at INR55.1 lakh crores is obviously significantly lower than the INR58.5 lakh crores that we achieved at some time in 4Q, but because of the impact of what's happening in the Middle East, it came down.

However, this represents a 21% year-on-year growth and holding 68% overall share. Share is a great story on equity assets. I think overall, we are holding 68%. We grew AUM in line with the industry at 21%. And equity assets within all this, within the turmoil went up to their highest ever of INR30.5 lakh crores with a share of 67%.

This is almost 90 bps. So I would approximate it to about 1%, went up about from 66% to 67% year-on-year, certainly grew faster than the industry, which is a great sign. Equity net sales, which I think is the most formative metric here because of all the puts and takes, there's the real money which comes and hits the book, which was just in excess of INR1 lakh crores.

And within equity net sales, therefore, our share grew from 71% in the past quarter to 76%.

These are great numbers. Historically, if I take you back 4 or 5 years, CAMS used to be about 60% share of the active equity market and about 80% share of the fixed income market. This is before assets, etc., became popular. It was largely -- 5 years back, it was largely an actively managed market, 60% in equity, about 80% in fixed income. That 60% gradually has climbed up to the number that you're seeing which is about 67%.

So about, I think, about 1% a year, given the fact that this is the most retailized, the most sticky, the most remunerative and the most growth-oriented component of the overall market. It certainly is formative. It's not a flash in the pan. It's nothing that happened in 1 quarter or 2 quarters and will then go away because we believe the foundational components just remain intact.

New SIP registrations aid all of this, they aid AUM, they aid equity AUM and they aid net sales. New SIP registrations went up to about 1.26 crores. Our typical baseline number is about 1 crore to 1.1 crores in a quarter. This was a significantly higher number than 4Q last year, grew about 46%. Industry grew 27%. So another metric after metric in the top 4 or 5 metrics that really matter.

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Again, from a foundational perspective, not just a quarterly performance perspective, I think we outpaced the industry by some margin. Annual SIP registrations hit just short of 5 crores, about 4.7 crores, up 17% over FY '25. And this number is almost 2x of the industry growth. So across all of these that I've spoken about, significantly or a little bit ahead of the industry.

SIP collections crossed the INR20,000 crore milestone in the month of March, grew 25% year-on-year and almost touched INR59,000 crores for the quarter. And this is about 17% up year-on-year, while compared with 4% for the industry. So overall share of these collections went up from 57% to 64%.

Unique investor base, similarly, you can see the number, again, outpaced the industry. From a new logo perspective, you're aware that our philosophy has been that, of course, it's very encouraging to see in the environment that a large number of new AMCs are getting licensed. We have said that traditionally for the last 3 decades, our franchise is built on a scale play, a bit of a brand play and a scale play.

And therefore, our endeavor is to go after logos that we believe are great fits into the scale play, both the names that I mentioned, Neo and Oaklane confirm to that. And we believe that our strategy of selling value, selling just incremental consumer value

lue and AMC value instead of

selling price has exceeded over a period of time.

So the total count of AMCs, this is, of course, licensed AMCs, not everybody is live yet. These are licensed domestic AMCs adds up to 31. Transaction volumes continue to scale. They have continued to scale because that is the revitalization , penetration metric that everybody talks about, grew about 20%, reached 107 crore s financial transactions. There's a bit of about 2 crores, 2.5 crores nonfinancial transactions too, on top of this, but this is the core financial transaction. SIFs, which was a product category announced somewhere early in '25, went live in September, October of '25. 4 new SIFs launched during the quarter. Total number of live SIFs is now 6. And we have about 8, which are either licensed from a product perspective, 8 additional, which are either licensed from a product perspective or have made announcements and will get licensed soon.

So you will see these launches. I suspect the launches will happen between May, June, July, August or maybe even faster, but certainly within those 4 months. So this will become a very relevant competitive new product category for the industry and for us. So very sanguine about the prospects.

Retail fund launches in GIFT City, I know that it isn't a great AUM story yet, but it's a compelling story for domestic investors wanting to invest in our site assets and not feel the constraints of going through the ETFs , etc., some of which have run into a ceiling. So this continues. When I move beyond MF, when I move beyond MF to non -MF, I think the contribution to enterprise revenue, obviously could have been better. We certainly want to scale it even faster, but at 15.3% it's kind of underscoring all the diversification that we have tried to do in a very focused manner in the last 4 years.

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Within this Pay, which is now a license PA and the PG both delivered about 23% growth year -on-year, continue to add new clients and continue to do payment gateway and scale payment gateway, which is the additional offering. Alternatives, although you know that not every app which has got a license has launched, quite a few of them have been licensed but haven't launched yet or have been deferring launches.

But we had a very strong quarter. Revenue grew over 25% year -on-year. AUM crossed INR3 lakh crores. The 50% share of the outsourced market remained intact. And the number of mandates, these are like full -service mandates, 44 new ones, 14 new logos, almost 1 a week or faster than that.

KRA, where you know that the business has gone through several moments of recurring in the last 1 year, not one moment of recurring, and that's not just a story about us across the industry as investors have rethought their strategy on participating directly in the equity market through their demat accounts and broking accounts.

Also some of the geopolitical stuff would have had its impact on new folio opening, etc. Despite all of that and despite the fact that now, of course, you've seen that the KRA business will take a bit of a revenue down because of the price down. So despite those several moments of recurring within 1 year, there's a 28% year -on-year revenue growth for the quarter. Like we have said that our base is mutual funds, our additional arena is brokerages and DPs.

And within that, we added a couple of fairly active large accounts, and we believe that this trend is there to continue. So we will continue gaining share. The integration of NSE KRA, which was a clump sale done by them and acquired by us in the month of January, brought in about 13 lakh, 14 lakh new PANs .

It was a very clear integration. You did not hear a single hiccup. You did not hear a single service issue or anything on social media. So that part is in the base now. Rep delivered a 6% year -

on-

year revenue growth for the quarter. Bima Central, I think, did well, doubled its active user base. LIC started policy issuance in the demat format, largely digital origination. It was signed in last March in '25, took about up to Feb, March to get integrated.

We're expecting that, that will, at some point and at some point should be within this year, add a new dimension to how the insurance industry looks at insurance demat. As LIC scales, a lot of the other ones who've been convinced about demat issuance and service will jump into the frame. So again, a formative metric.

We've said this for some time. We'll wait for some decisive definitive action before we come to the table, but I think it's my duty to mention this to you. IR market share expanded to 40%. So again, just to sum it up, 68%, I've said this many times in the past, 68% market share in MF, 40% in IR, 50% in the outsourced part of AIF. KRA now decisively be the number 2 player, leapfrog from being number 3 about 1.5 years back to number 2.

And all of that has held together. And the last thing I would mention is that as the DPDP bill, whose rules have now been notified the date for adherence and compliance has been declared as 1st of May next year, although the Board is in the process of getting set up. I think there is a lot of inquiry inside the market.

I would say right now inside the financial services market, not as much in hospitality and airlines and retail and food delivery, etc., but all of that will happen. Since we believe that we will have certainly a processor status in several segments of our business. And in one or more, including KRA, repository and RTA, we could be a fiduciary. We built an offering out.

Largely, it was a captive offering, but then both from a data discovery and a consulting part, you know that we know consulting well because that's a fairly evolved practice in both MF Central and -- in account aggregator, largely in AI. We decided to launch this commercial offering called ConsenPro, which kind of delivers the end outcomes as far as DPDP compliance is concerned. And we are expecting that this market will undergo a lot of decisive action in the coming quarters as the date for compliance gets closer and closer. We're still about a year away. and how the action is just beginning to unfold. But we saw this opportunity. We'll keep you posted on how this goes.

And the last thing that I decided to cover, there have been questions across the board from all of us and all of you rightfully so on what is the behavior and what is the progress on the rearchitecture program? Are we on course? How is the Google relationship doing?

And I think finally, everyone wants to know that why are you dropping less or dropping more of these words of GPUs and artificial intelligence and self-learning algorithms and everything, which is being said around us in the marketplace. Very happy to share with you just one metric that you would have seen us grow revenue on almost a flat headcount.

And you know that we've never historically been a company that does frequent headcount resets. We actually haven't done it. In recent times, including during the COVID years, etc., but on a flat headcount, which means we are doing nothing to the headcount, but we are just getting the productivity up through a series of automation steps. I think that is something you would have seen in the last year. I saw it in the last quarter.

And our belief is that in FY '27, we will see all the revenue growth on falling headcount, some bit of fall, which means we may choose not to do some backfill. Some backfill, obviously, we'll have to do, but if we choose to do -- choose not to do some of it, that I think will be a significant increment in terms of employee productivity and revenue productivity per employee.

One

of the key capabilities are -- one of the steps we have taken was this entire thing about -- you know that we've done great stuff in face reading and video reading and face match, etc., and we do -- we're the only ones to do that 10-minute KYC. But we extend all of this to form reading, we are now almost taking out the maker step in a lot of physical forms, which means we still retain the physical check.

So there is a human. But the other human we are taking out and letting the machine do that work. It's been on for in production now in actual production, no beta, no testing for over a month now, almost 2 months, and we will continue to deepen this over a period of time. So that delivers some degree of operational efficiency.

But from other capabilities that you will see now you will see data lake and transaction origination platform. These are large platforms, where building and testing it is one part and then taking it to market because everybody integrates, which means all of them have to do a bit of integration work on their side.

I think that is beginning to happen. Where will you see the impact? You will see the impact in a significantly lower percentage of industry complaints, where you see a 1.5x or 2x transaction base. So complaints per transaction as a metric is significantly ahead of the industry. You will see and hear from the marketplace and from our clients about the next-gen transaction origination platform. Of course, taking it to market and making sure that we sunset the old one and get the new one in place will take some time, but we are ready, completely ready.

And then the data warehouse is ready to go, both of these within the next 3 or 4 months. They are technically ready and waiting for a rollout. These and then there are several other things,

which obviously, whenever we meet you one-on-one, we will talk about those. And where will you see the benefits, full year benefit that there is not just some technical jargon or something hidden in 5 layers of technical detail.

It's obvious metrics, you will see headcount, you will see revenue per headcount, you will see complaints, you will see lowering of the complaints on transaction ratio, you will see fewer frauds. You will see a few risk items, charges taken into the P&L basis, risk incidents, et c. I lot of you track those numbers. We track them closely, too. And I believe that all of this will have a salutary impact on the overall functioning of the company as we make it more productive and more battle ready for the future.

So I will pause here -- I will pause here and then hand it over to Ram Charan. He will take you through the specific numbers, and then we are open for questions. We will have about 30, 35 minutes for that. Ram, over to you.

Ram Charan: Thank you, Anuj. I think Anuj has gone through the highlights from a financial perspective. I'll just call your attention to a few trends and numbers and then open it up for questioning. As you would have noted, the AUM growth during the quarter was muted. It was a little more than 1%. And if you actually see our yield, the compression on a quarter-on-quarter basis has been less than 1%. And if you drill down further, I think you can very clearly see that this is entirely -- I'm not saying 50%, 25%, but this is entirely because of the impact of the mix, which is that you have seen the passives grow over the last quarter more than what the active funds have grown.

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And so if you see from that perspective, the yields have been very stable quarter-on-quarter. And we have always said that post the reset of the pricing, you will get back to the normal equation of asset to asset growth -- asset fee growth. I'm happy to say that we are kind of tracking that and even doing better

than this quarter in terms of yield stability.

In terms of growth of revenue, you had 11% growth year-on-year for the quarter and 1.3% quarter-on-quarter. And if you further split it down, mutual fund revenue was sort of flat, almost 0.5% growth. The non-asset-based revenue did go down on a year-on-year and quarter-on-quarter basis.

Largely driven by some drop in transaction revenue quarter-on-quarter on probably MF central-related transaction revenue and also on OP and lack of new NFOs that are coming into the market. If you take that, I think from an overall growth perspective, asset-based revenue broadly tracks the growth in AUM.

The bright story, of course, as Anuj was mentioning is the growth of non-MF revenue. And happy to say this is across the spectrum. This is not one outlier. On a year-on-year basis, you had CAMSPay, AIF, KRA, everything growing more than 20%, right? And it was not just one thing which is outsized growing at 80%, others not growing. So it was across the spectrum kind of a growth you're seeing year-on-year, which is more broad-based.

And even on a quarter-on-quarter basis, the growth in non-mutual fund sort of offset the weakness in the AUM growth. And hence, we are able to report 1.5% increase in revenue. We feel that this is kind of keeping in line with our projections that you will see the non-mutual fund businesses grow more than 20 percentage.

This time, it's 24.5% year-on-year. And for the year, we are close to 18 percentage. That's because we had a weak first quarter. But going forward, based on the run rate, we are very sure of maintaining this 20% plus growth of non-mutual fund revenue.

From a profitability perspective, I think we put up strong numbers, more of what Anuj said on automation, etc. So we did have a margin of 46.5% for the quarter in spite of no growth in mutual fund revenue. There was some cost optimization that happened. Just to take you back to the commentary on cost in the earlier part of the year, I think what we had said was if we are able to keep the cost increase to, say, 11% kind of a number year-on-year, I think we would have done well on target.

Happy to say that if you see the actual numbers on a year-on-year basis, including the depreciation increase because of the additional investments, my cost increase has been 9 percentage. And if you actually remove the depreciation, the cost increase has actually been only 7.8 percentage.

And on a quarter-on-quarter, we've had a very muted increase in cost of less than 1.5 percentage. And so we will continue to take these cost actions. We will continue to be focused on that. That is the requirement. But just to say that from a year perspective, we have ensured that the cost remains well within control.

And hence, you will see that there is a margin creep up in terms of year -on-year from 45 percentage to 46.5 percentage. Some other important aspects I would like to highlight is, one is the diversification is on track. You will see in the 15 -plus percentage number, which Anuj also mentioned.

And more heartening from a profitability perspective, we have been saying that once the revenue starts flowing into the non -mutual fund, you will see the profitability also grow up. So you would have noted that earlier profitability targets or the ranges for non -mutual fund was around 12 percentage to 13 percentage.

This quarter, they are upwards of 16 percentage. So I think on a sustainable basis, we have said that we will get to a 20% margin by the end of next year. I think we are on target for that, too.

And from a return on equity perspective, we continue to be top of market. Return on equity in spite of retaining 35% of the profits and not distributing as dividend continues to be 39 percentage.

And the Board has declared, subject to confirmation by shareholders,

a final dividend of INR 4

which means for the year, we'll be disbursing a revenue of INR305 crores. So overall, across the Board, a very strong quarter in terms of profitability, in terms of cost optimization, in terms of non-mutual fund growth, in terms of profitability of non -mutual fund and in terms of stable yields.

So with this, I hand it back to Danish and open it up for question.

Moderator: Thank you so much, sir. Ladies and gentlemen, we will now begin with the question and answer session. Our first question comes from the line of Abhijeet Sakhare from Kotak Securities.

Abhijeet Sakhare: The first question was on the opex line. So the 10% sort of a number in FY '26 is the lowest in 5 years. Wanted just to if you can put this context of how much of this could be deliberate or discretionary expense management given some revenue of headwinds as against some savings, which could be thought of as more sustainable over the medium term?

Second question is on the yield, now when we think about the mix effect, so the yield drop that these RTAs take when it comes to passive generally is much more than the yield drop that the AMCs have to absorb. Now how we think of it in terms of really the expense that or the cost that actually go into supporting the passive investments? And if there is a scope for some renegotiation with respect to that? Those would be the 2 questions?

Ram Charan: Thanks, Abhijeet. On the cost part of it, I think I'll just amplify what Anuj said earlier, which is that this is not a one -off. I think what we have done is a structural and automation kind of thing has crept into the entire system. So if you look at just the numbers, right, if you see from last year to this year, while the company strength may have grown by around 100, 120 people, we have achieved this entire 11 percentage growth with -- you will see a reduction in the core MF operations, right?

There is a reduction in the core MF operations. Obviously, some investment has happened for research, some investment happened for risk and compliance, etc. That's kind of contributing to the small increase in headcount. And you will see over the course of the year, there is no operational impact for any of these things, right?

So which means we continue to get industry -leading statistics in terms of compliance risk, et c. So there is not a onetime squeeze that we have done of everything, and it is not going to be repeatable. I think what we are approaching is a more sustainable long -term kind of an impact is what we see.

And next year, again, Anuj laid out the targets saying that you're going to see further kind of optimization that's going to happen as we get more and more of this research platform AI embedded into the operation system. So this is, in our mind, a very sustainable kind of cost levels. We are not saying there will be 0 addition of cost.

Obviously, that's not going to happen. But I think we will try to keep this to the minimum without impacting, obviously, day -to-day operations, et c., which we have successfully done rather say below the radar in the last year without making a big show about it. We will continue to do that in the next year also.

So I don't think you need to have any worry from a cost sustainability perspective. On the passives and how it has worked out, see honestly, I've been saying this throughout saying that

this is such a small part of the operations that for us to kind of say a separate profit line and the cost line for this is actually not so material, given that it's less than 10% of my overall AUM. Now from a yield perspective, I think the rates that we have for ETFs are extremely low by -- it's nothing to do with AMC suffering more than us, et c. It's extremely low. The yields for passives by nature are extremely low. I don't think there's any room

for us to kind of have any

renegotiation on that given that it's actually at really low levels now.

So as the passive increase, there will be some impact on the mix and there will be some impact on the yield, but it will be very muted. If you see for the last quarter, if you actually line by line compare everything, the only reason is that yields have not gone down in any of the individual asset classes.

None of the individual asset classes, the yields have gone, including passives, including passives.

It is just that the mix of passives in the overall scheme of things has increased, and that's why it's causing this 0.9 percentage. So I don't see this being a big cause of concern going forward also.

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Abhijeet Sakhare: So Ram, just a follow-up on the yield cost -- yield question. One was that because there is a mix effect, there's a hit on the overall yields. Does it allow you in any way to kind of have a stronger bargaining power when it comes to the yield negotiation on the active book?

Ram Charan: No, absolutely. That's one of the points that we will pick up in terms of yield decline saying that the mix is also unfavorable to us. But we should also be cognizant of the fact that the other side, this has a similar impact on the AMCs too. So I think this will be one of the things that we'll bring across, but I don't know whether that will be the only argument in which we'll have or had some.

Moderator: Our next question comes from the line of Prayesh Jain from Motilal Oswal Financial Services.

Prayesh Jain: Firstly, just on this renegotiations with AMCs, there is a 3 to 5 basis points impact, what we've heard from all the AMCs that is likely to come, and they have indicated they'll be passing it on to distributors. But any negotiation that has happened with you guys on the commission changes -- sorry, on the RTA fee changes that should come through because of that change?

Ram Charan: So Prayesh, so far, nothing is there, but we are not saying that we rewrote any discussions whatsoever on this. So there may be something discussions happening on this. But one thing we are clear on our stand is that I think from a value perspective, I think we have reached a stage, where we are comfortable with the price value equation.

So there is not much of a room for us to kind of revisit that. Having said that, I think this is a discussion that probably some people will have with us. Nothing so far concrete and nothing for me to report as something that will definitely be there. We will keep you informed as we go along. But we don't see that being a big impact.

As you said, the 3 bps to 5 bps impact is the entire AMC impact. And I've seen many commentary saying that it's going to be passed on to the distributors. So we'll wait and see. But if at all, there is an impact, we've always said we don't think there will be any material impact on this

Prayesh Jain: Structurally, we've been talking about the 3.5% to 4% decline in yields every year. Should we start thinking about this for FY '27 and FY '28 basis and that should be the way? Or how should we think about the yield drop on a regular basis?

Ram Charan: So by -- historically, we've been very conservative in guiding you on these yields, et c. We have always said that what we have seen over the last 5 years in terms of trend has been this 3 percentage to 3.5 percentage. So if you really want to build that into the model from your conservative perspective, please do.

But our aim will always be to build it much lesser than that. And I think going by the last quarter, I think we are on track to have a number lesser than that. But we are not going to hurry and tell you, please take only 1% or 1.5%. We continue to kind of work on the conservative way that we have and treat anything as a positive.

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Prayesh Jain: The other question was while we were talking about EBITDA margin improvement, and that's

commendable job, but empirically, I would like to get Anuj's thoughts also out here, where -- we've seen that, right? We expand our margins to 46% and quite a few times that has happened empirically as well.

But post that, again, we kind of -- there is a renegotiation or there are some investments that come in, and then we dropped back to 42%, 43%, 44%. So at this point of -- at this juncture, what gives you confidence that this is more of a sustainable margin trajectory than what we've seen in the past?

Anuj Kumar: So Prayesh, the way I would think about this is just leading you back to the facts. We were about -- on a quarterly about a 47% margin about 5 quarters back, let's say. That was the first time we hit that number. And from that 47%, we went down to 42% for reasons known to all of you. And then we've climbed back, it's taken us 4 quarters we've climbed back. I wouldn't say exactly to 47%, but let's say, 46% is unchanged. We've climbed back to it. I don't think it's something which has happened several times. We've been continuing to underscore one thing that you should take that as a once in a blue moon, once in a lifetime event and not as a frequent reset because the command center for this number is setting somewhere else. That's point number one.

Point number two, from an investment perspective, and that's just a pure pricing and revenue play, which you've seen over a period of time. I'm sure you guys give credit that you are able to read us much better than you're able to read anyone else because we have cautioned you in advance, whatever I can see, we've been telling you, right?

So we've never left you guessing in terms of what we see, but what we don't tell you, and therefore, you have to guess and take a surprise the way the results come out. We have a history now of 20-plus quarters, maybe 22, 23 quarters of publishing our results, and you've known things for much before that. So that's point number one.

The second is that as far as the investments are concerned, we have always said that there are 4 parts of the portfolio, which are money making, which is MF, AIF, payments and KRA. So those 4 are money making. There are 4 or 5 parts of the architecture, which are not money making which is repository, account aggregator, pension, to an extent, Think Analytics, they're not moneymaking. But we've made the investment.

We've now made the investments in ConsenPro. We should invite you to one of our events, where we're unveiling this entire thing. So we made the investments. We may not have made them in a high decibel way. But all these 4 or 5 businesses, like in any other business, we continue to fund until you get to a point where, like we said, traditionally, you achieve a INR14 crores, INR15 crores annual revenue, you breakeven.

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And then above that, most of the money goes to the bottom line. That's a standard architecture of business. So we made those investments. All of those have been made in the last 4 years between '22 to '26, let's say, those 4 calendar years '22, '23, '24, '25. So what is the choice for us now? The choice is that do we keep pushing optically on increasing this margin by about 1% a year.

And my guess is that will happen by itself, not because we are doing something fantastic in MF. We will continue doing what we are doing. But also like Ram said, the non-MF portfolio now is of a size, about INR60 crores, INR65 crores a quarter, and I'll not be surprised in 3 years if it is INR100 crores a quarter, where it is generating money by itself.

On aggregate, non-MF by itself has a power to stand on its feet. We reported a 16.5% EBITDA line, and we are hoping that we'll get to 20% and onwards to

25%. So across the board, the platform nature of the business, apart from AIF, which is very, very service-oriented, every other business is largely platform, right?

You set up a platform, you let transactions right, you let customers come and use it as a highway and you get paid for it. I think that character is not changing. So therefore, our focus is that we'll continue investing in new things. We will never get distracted. We will never do things which only sound fashionable.

And if margins in the process expand by about 1% a year, so be it. But we will not deny the right investments in the business because of that. The last thing I would say is that when you see this EBITDA line, I would take the genesis to what we did 2 or 3 years back in investing in real automation.

Today, I do a payroll for 200 fresh engineers, who are fresh out of or 2 or 3 years out of IITs and regional engineering colleges and NITs and those kind of places, the gain will never be seen in a month, but the gain is really seen after 2 years. Will this gain be seen only today? No, you'll

see for every year in the next 5 years because it's a past period of investment.

Just look at it like that. I know the shadow of what you believe is unreasonable price negotiation, looms heavy in your minds. I would just say that think of it as a normal thing. Don't think of it as an oversized thing.

Prayesh Jain: Got it. That's helpful. Just last bit. Do you see any impact on the KYC business because of the changes that are expected from April 1 that were implemented from April 1st? And would that impact profitability in the near term?

Anuj Kumar: No. No, it should not. So we are -- just to be clear, we are expecting to hold KRA revenue in FY '27 after all the puts and takes. What are the puts and takes, whatever hit we had to take because of slow demat and broking and F&O account opening, we've already taken in FY '26. Some upside INR2.5 crores to INR3 crores, we'll get from NSE KRA, some revenue down about INR6 crores to INR7 crores, maybe INR8 crores, we will take from the price down.

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So I have the base revenue minus INR8 crores plus INR3 crores, I lose about INR5 crores, that INR5 crores we will make up through growth and increase in share. So we will have flat KRA revenue. We do not expect that there is any profit challenge there.

Moderator: Our next question comes from the line of Devesh Agarwal from IIFL Capital.

Devesh Agarwal: Firstly, sir, just on the margins, you did mention you don't see any significant yield pressure, but you also said that the new TR regulation for some of the large AMCs are underway. So if this were to kind of fructify, the impact will be retrospective starting from 1st of April. Is that correct or this will be more like a retrospective starting from 1st of July?

Ram Charan: Sorry. I don't think, Devesh, just to clarify, we did not say that there are some discussions happening with any AMCs on yield. I think what we said is nothing substantial is happening on that. And we don't rule out the possibility of something like that happening over the next month or 2. But even if it happens, it's going to be extremely muted.

So I think it's premature to speculate whether it's going to be 1st April, 1st July because we don't know whether it's going to happen or not happen. So what we are saying is that if the discussions do happen, at that point of time, we will kind of decide probably. And whatever happens will be muted.

We will see at that point of time. I don't think that we should have a significant impact of that from a recent perspective. The other contract negotiations, we will not have a big price down. That is for sure. We have some mid-sized contracts coming up for renewal in the course of the year. But overall, all put together, we don't see that being a big impact on

the yields.

Devesh Agarwal: Understood. And in terms of opex, will this be another year, where you will see a single-digit growth in the opex, especially in your employee cost, we see that the growth has only been 5%. And Anuj did mention that this time, there could be a reduction in the headcount on an overall basis. So are we looking like another year, where the growth will be less than 5% in the employee cost?

Ram Charan: Yes, absolutely. We are looking -- obviously, there is this increment that will have to be factored in, which will kind of come from Q2 of this year. That's when the increments will become effective. So there will be some impact of that. But I think we will look at a sub -5% and overall, definitely sub 9% kind of a growth in expenses. We'd like to make it a little lesser than that, but that's what we are shooting for.

Devesh Agarwal: And sir, in terms of EBITDA margin, what would be our expectation or target for FY '27?

Ram Charan: So we've always said that we don't want to guide for a specific EBITDA margin, we've always been range bound. And we've said that in a bad quarter, it will be less than 45% in a good quarter, it will be around 46%, 47%. I don't see any reason for changing that. I understand that there is a cost kind of thing.

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We'll have to wait for the asset growth number and revenue growth number, as you know, that we are kind of waiting for the markets to settle down on that. So for us to give a specific EBITDA number guidance will be difficult. But our aim is to at least retain what we are in Q4, right, in terms of the EBITDA margins for next year.

This is after absorbing the increase in cost that may happen because of the salary increase and other investments we'll have to do and some yield compression that will happen, although not

as much even close to what it was last year. After that, I think if we do maintain the 4Q EBITDA margins, I think it will be a good target to have.

Devesh Agarwal: And sir, finally, on the non-MF side, you did mention that the targeted growth is around 20 -odd percent and we have already reached a revenue share of 14% in the non-MF business. So are we looking at any new line of business or any further diversification that can add to the revenue growth? Or this will be the existing businesses in which we'll see the growth?

Anuj Kumar: So Devesh, I would say right now, like we've always said in the past that building a product in markets, where you may not have the right to win and competing against not just traditional kind of competitors, but again start-ups, fintechs, et c., is not easy. So we don't want to get busy creating products, where we have no business to be present.

Consent, therefore, the DPDP compliance product is the only product that we are putting out. We may put out one adjacency we have put in the deck, I think, which is a device, unified device, which will do payments and KYC, et c. But it's an adjacency. It is just going to expand the MF SIP market will do nothing else.

So we do not believe that we are angling for too many new things. We will just focus on what we have. We believe there's scale opportunity in payments, significant scale opportunity. We believe that Rep should continue kind of building mass. Like I said, we will hold KRA revenue despite all the puts and takes and AIF will hold on and grow.

Between all of these and anything else that we do on the consent, on the CAMSPay and smaller product side, we believe that we have absolute confidence in growing at least 20% on that side. And MF, the story will unfold during the year as we see asset growth come back after the last 2 months.

So that's the broad story. But to answer your question, we don't want too many distractions. We're not in the habit of just opening markets. So just jumping into products just because it

sounds fashionable. You will see that behavior more than less.

Moderator: Our next question comes from the line of Supratim Datta from Jefferies.

Supratim Datta: I'll start with maybe the mutual fund side. So just wanted to understand if you could give us some update regarding the transition of the RTA business to cloud on-prem, where are we with respect to that? And how are we thinking -- it was supposed to be a 3-year project. So where are we -- and what kind of changes or new products from that could we see over the next coming years? That's one bit.

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Secondly, there has been already a lot of discussion on the opex. Just wanted to understand what was the employee count that you ended FY '26 with? And going ahead, what are the other areas, where you could maybe reduce cost? Lastly, coming to the non-MF side, you are gunning for 20% growth, the KRA business is supposed to be flat in FY '27.

And that's one of the major parts of the non-MF business and has been a key contributor of growth. I wanted to understand what -- which are the other parts of the business that you think will be able to deliver much higher growth in FY '27. So that is one thing, if you could give some color. And lastly, just wanted a clarification. So the 16.5% margin on the non-MF side is for FY '26, right, not fourth quarter '26? Yes, those are my questions.

Anuj Kumar: No, sure. So I guess, one of us must have noted your 4 questions, but I'll start with the first one, which is on rearchitecture. So on the ReArch side, the plan was and is to build a brand new hosted on the cloud kind of a cloud native platform, which does the entire MF service delivery and platform delivery from the cloud.

We have opted for a feature-by-feature, module-by-module build-out, taking things live one by one. The other approach would have been to kind of build it all together and then test it. And that is like moving an army because you would have gone wrong just anywhere. So we will be taking things live module by module.

There are about 9 significant modules. So think of it as 9 significant modules and then a number of things surrounding all of these, and I'll give you an example of what has happened on both sides. Of the 9 modules, the first one, which is transaction origination, which is getting transactions in from whichever mode they come in from, whether it is exchanges or banks or websites or partners and fintechs including paper and branches, all of that.

That module is fully built and is now getting launched in the marketplace for consumption by a very broad audience. There are literally several thousand people who will integrate and start passing transactions on. It has several merits in terms of having a better rules engine, giving you rejections in real time, etc., so that remediation can happen.

And any net shrinkage, which happens because of transaction rejections, et c., it comes down, so it is accretive for the industry. So that is the first thing, which is live, we are taking into the market. The second large thing which is ready with us, but obviously has to be taken to the

market because there's nothing that I can sit here by pressing a button, do unless it's an internal process, is this entire concept of a data lake where our entire on-prem data is now AMC by AMC sitting on the big query on Google Cloud.

What it does is that all the MIS, all the insights, all the analytics, all the what if can be done by speaking to a machine, can be done by our people, can be done by AMC people over a period of time. Other partners will also be able to do it. It is the most futuristic and capable single instance of a data lake that has been built, and that will go live again in 1H of this year.

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Beyond this, of the core 9, o

ther modules like payments and settlements, transaction with exchanges, internal posting of transactions, all of that accounting will go live over a period of time as they get built. We have a team of close to 200 engineers working on this. We have not lost the opportunity to kind of also build some of the smaller things, which are relevant, which are internal only, which means I don't really have to interface with the market.

And the example that I gave you, which is a form data extraction, which means we still get about 1 million physical forms in a month. And we are now in the process of taking a maker layer out. You heard the term maker checker, 2 people trying to do the same data entry located at different parts of the universe and an engine compares what they have done.

We are taking the maker out completely. So AI is doing the entire making. That part is live.

Similarly, there are several smaller parts which are live. This was envisaged to be a 4 to 5-year project. My advice would be to strictly think of it as a 5-year project, not even 4 year. About 2 years are done, which means the first 2 years are done, and you will see significantly increasing momentum as we move forward.

The revenue productivity and overall productivity that you've seen, I gave you a metric of flat headcount and growing revenue. Over the last 3 years, we've also seen transactions grow at 27%, headcount grow at about 6% to 7%. You will see all of that get accentuated as we move forward with that platform.

So I would say we are about 3% to 4% behind on the overall curve of the trajectory, which is normal in IT projects of this nature. But broadly, we are completely on track from a business benefits perspective. I'll pause there because you had 3 more questions. Do you want to take the other?

Ram Charan: Yes. So Supratim, your next question was on headcount. And how did we exit 2026, et c., with 2025. So the exact headcount, I'll give you that 8,300, 8,324 is what we had in '25 end. I'm saying headcount as of year-end, it's not the average for the year or something and exited '26 with 8,420. So we had around 100-plus people.

But if you actually take the rearchitecture hiring that we have done, which is for the new platform, that itself was more than 100, right? And from an overall MF perspective, we actually -- as I mentioned earlier, we dropped headcount by around 70. And we had some increase in the risk compliance in kind of non-mutual fund businesses, investments, et c.

So that kind of made it neutral. Overall, if you see, if you take away the hiring that we have done for technology ReArch perspective, it was a flat headcount year-on-year. And the aim that Anuj was saying next year is to kind of better this and actually have some more optimization and have a net reduction in headcount.

So that's the way the numbers will play out in the next year also. In terms of non-mutual fund growth, I think your question was, given that KRA will be flat, how do you think that you'll be able to receive the 20%. If you just break it down to numbers, right, depending on the exit quarter

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or on the last year, you're talking about a INR45 crores -- probably close to INR50 crores kind of a growth in non-mutual fund revenue.

And if you actually break it down further, I think we are confident of taking at least INR20 crores of that, if not more, AIF taking some INR7 crores, INR8 crores of that and then AA, TSP, pension taking some INR4 crores, INR5 crores and then Rep taking some INR7 crores, INR8 crores. And then you have the new lines like ConsenPro, you have GIFT City, et c., which will take a few crores.

So if you actually break it down to a INR45 crores to INR50 crores increase, I think we have a

solution. We have plans behind it. We have a solution. Our aim is obviously to better than 20 percent

age, but I think 20 percentage is a reasonable visibility we have, assuming that there is no growth in KRA.

Supratim Datta: Sir, any particular line that you see driving that INR40 crores to INR50 crores additional revenue? Or is it going to be across the other businesses?

Anuj Kumar: Sorry, say that again. I think we missed what you said.

Supratim Datta: Sorry. So what I was asking is in the non -MF side, this incremental growth, is it going to come from, say, payments or repository? Or is it going to be across the 4, 5 businesses that you have?

Anuj Kumar: No, it will be across -- I think that is what Ram was trying to say that if we convert this into simple arithmetic, you're looking at a base of about INR60 crores, INR62 crores of quarterly revenue at exit. So about INR250 crores in the base to grow 20%, you need a INR50 crore s revenue obsolescence. Of the INR50 crore s revenue up, your question is that if KRA is 0, where does the INR50 crores come from? I think that is what he was trying to answer.

That payments will be about INR20 crores out of that; AIF about INR7 crores to INR8 crores and Rep about INR7 crores to INR8 crores -- to about INR35 crores . Everything else, the balance INR15 crores is a sum of the account aggregators, the TSP, pension, all of that put together should add up to another INR15 crores. That's where the INR50 crores comes from.

Moderator: Our next question comes from the line of Dipanjan Ghosh from Citigroup.

Dipanjan Ghosh: So Anuj, coming back to one of the previous participants questions. You mentioned that one can probably conservatively build in around 3.5% to 4% MF will decline and maybe you gun for maybe in the range of around 1% to 2%.

Now whether it's 3.5% or 1% to 2%, I mean just wanted to get some sense of what are you factoring in when you kind of are thinking on those lines? Is it a factor of the negotiations on the midrange AMCs that you mentioned, which are planned, the asset mix, what are your expectations on that?

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And also any probable discussions that might take place, as you highlighted, you do not rule out any possibility of such discussion. So just want to get the factors that you are kind of building in, in this expectations of MF yields. The second question and the third question are data keeping question.

On the CAMSPay business, if you can give some color on the MF and the non -MF and within the non -MF also, if you can kind of break it up into some subparts. And also on the KRA business, what would be the composition of the non -MF business currently?

Ram Charan: Yes. So on the MF yield, Dipanjan, traditionally, I think the 3%, 3.5% comes from historical numbers, right, rather than any breakup of what the expectation of the mix will be, which over a period of time, and you would assume that over a period of time, you've had various combinations.

And as I said, that this is determined by not only asset mix, it's also customer mix, it's also negotiations, it's also scale -based pricing, everything put together. So it's a complex kind of interplay of factors. The 3%, 3.5% is something that historically we have seen. Now we have seen years, where it is 1% also we've seen years where it is 8%, 9% also. So it is just an average , right, from that perspective.

And given that next year would be a normal year in terms of there being no big strains on yields. And just to again clarify, we are not saying that we are going to have discussions with AMCs on price, etc. The question was on specifically with respect to this 3 bps, 4 bps yield compression that the AMC -- some of the AMCs may face, and we just said that we don't rule out any discussions that they may open on all these things because it's more their choice, nothing that got to do with us.

We're not saying there's going to be any big negotiations. In fact,

we see a period of yield

stability. Now our aim and our calculations are that this will not be 3%. This will be less than 3%. But given that historically, we have been around that number, I think it was prudent for us to kind of quote that number as a number that probably you can work with.

But having said that, it's a combination of everything. We do expect some -- equities are close to 54 percentage, 55 percentage. So we don't expect that to go up much more in the mix when we did this calculation. We do expect some sort of growth to come from the larger AMC customers, which will have its own impact on the yields.

And finally, we do have some midsized AMCs, who are coming for discussions, but we don't

expect a material decline in yields because of those discussions. All those things put together, our aim is to keep it down to the scale -based pricing plus some minor adjustments here and there and not get into some major things.

So that is why we said it will be much less than 3%. If I may just go to your second question on CAMSPay. So CAMSPay, I'm happy to say that the non -mutual fund share has been much more than 50 percentage on the back of cards, right?

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And we've had, in fact, in the last quarter, if you see the PG business, which is the credit card business, mainly for insurance companies, and some for loan repayments, et c., is almost like 25% of the revenue, right, almost more than INR2.5 crores, starting almost from year 0 probably a year back, we have now reached 25% of the quarterly revenue coming from cards business. And most of it -- I'm sorry, all of it is non -mutual fund. So our non -mutual fund revenue is much more than 50 percentage now in the CAMSPay. In terms of split into how much is insurance and how much is kind of other sectors, most of the non -mutual fund is from insurance and EMIs for NBFCs.

The exact split, I'll let you know, but this is basically how the revenue is split. And your question was on KRA. KRA, I think we have reached a 30 percentage non -mutual fund share of the revenue. And we are onboarding a couple of new brokers, as you would have seen in the presentation, a couple of large ones. So we expect that this 30 percentage will start creeping up in the coming quarters.

Moderator: The next question comes from the line of Madhukar from JPMorgan.

Madhukar: Congratulations on a good set of numbers. Just 2 questions from me. First, what is the kind of pressure that we are going to see on the KRA business? What sort of pricing decline are we seeing? And how is this determined? Is it -- we understand that there is -- this is like an industry -wide phenomena.

But I also gather from our previous conversations that we were already at a discounted rate. So what sort of hit in sort of blended pricing would we be looking at? And second, I wanted to get a sense of the new opportunity that Anuj sir was speaking about and something that I'm not that well aware of this ConsenPro. So maybe you could give some background about this opportunity?

Anuj Kumar: Sure. Thanks, Madhukar. So on the KRA, I mean, effectively, just think of it that starting 1st April, uniformly, the KRA industry has taken a 20% price down. Why have we taken a price down? Obviously, there was a reaction from the industry, not for a day or 2, but for a long time that in order to broaden the franchise and bring in lower -value consumers.

And you know that the industry has been bringing lower -value consumers, choti SIP was a campaign around that. And there were multiple initiatives to collect money from non-salaried people, daily, et c. The KRA cost was seen as a bit of an obtrusive amount, not our opinion, but obviously, as a collectivity, that's what the industry thought.

So initially, we had specifically done a remission for small value but it did not look like that gave

a lot of room to spread, I would say, happiness across. So then the industry came together and said that let us then just lower KRA prices. I think it's a voluntary action. It is done together at industry level.

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It has nothing to do with a single instance of anyone coming and negotiating. Of course, there was a long dialogue with the industry and with the regulator when all this happened. But I think in good faith, it's a good step. You also know that concurrently, we have enriched the KRA architecture so much that today, we do a daily demise reconciliation. There is now disability records inside of that.

So there is a lot of enrichment from a record -keeping perspective and then there are lower prices. So like I had said that FY '27 for KRA, we are projecting a flat revenue. On a base of about INR42 crores, INR43 crores, we are expecting about INR8 crore s price down led. That's just the fee remission.

We are expecting about INR3 crore s of revenue up from the NSE KRA part, which showed up a little in Jan Feb, March, but will show up for the whole year. So that's net addition. And the

balance INR5 crores, the INR8 crores minus INR3 crores, which we will lose because of price, we are expecting to make up through natural growth in new logo wins, etc., which is entirely possible.

So we will keep about flat revenue. I would not read a lot more into this. I'm expecting that the KRA machinery continues to kind of grow with the industry and enable the industry a lot more. There will be less thoughts about bringing in smaller value consumers now that the KRA price is down. So that's point number one.

The second question was on. ConsenPro. On ConsenPro. So you know that the digital person's data protection, that's what DPDP stands for that bill, which essentially, I would not say is cloning the GDPR regulation in India, but it's somewhat somewhere on those lines is now being contemplated across the board for every industry.

The financial services sector, of course, will be one of the biggest consumers. We started working on this to do this ourselves. We just wanted the expertise to be in-house rather than to buy it. So we built this product called ConsenPro. It has a consenting mechanism. It has a full data discovery tool and someday it's perhaps educative for you to sit with one of our people to just see what it does.

And then it has various other angles of regulatory reporting and consulting and all of that. All of that is now packaged under ConsenPro. We've built this inside of Think360. And it's a commercial offering.

Now we decided to make it a commercial offering because we know that almost 40,000 to 50,000 Indian companies will end up buying this in the next year, 1.5 years and no harm in at least assisting the capital markets and the financial services segment with this. So if you want more details, happy to have a separate conversation, but that's broadly the view behind this.

Moderator: Our next question comes from the line of Sanketh Godha from Avendus Spark.

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Sanketh Godha: I think most of my questions got answered. Just one small question on KYC business again. I mean, Finance Ministry and we have off late have spoken about one KYC thing for all financial sectors, including capital markets. So does it change the conduct of the business, whether the pricing because it will be CKYC linked? So in a way, pricing will come down and whatever the sets of revenue or the uploading of information revenue is there, we will see a meaningful change. Just wanted to understand one KYC will make any material change or not?

Anuj Kumar: I would say we have to watch it. We have to continue watching it. This is in the air for some time now. Just so that you know, uploading of any new KYC records

that the KRA gets, that, obviously, in the MF industry, it does get uploaded to CKYC. So that lag is intact. Does a CKYC record, is it eligible completely to create a KRA KYC, not yet.

So I think the price down is a first step to make it easy for the industry to broaden itself, like I said, that was attempt number 1. Your question perhaps is that will there be a day and will there be a day soon, where CKYC subsumes everything under itself and there is no KRA KYC left. I think from a feature benefit, just architecture, interoperability, the fact that KRAs authenticate all the data themselves and do not just do or take what the intermediary tells them, but there's a separate layer of authentication. That's a significant amount of value that is embedded in the KRA architecture. It is not completely like that in CKYC. Maybe at some time, it will get there. I think it's good to keep watching this conversation to see where it goes. But right now, we believe we are in good shape.

Sanketh Godha: Understood, Anuj. Sir, but when you say verification, is it largely related to, say, PAN card information or FATCA information? Anything what -- when you exactly say verification, how it is exactly different from CKYC download compared to KRA download?

Anuj Kumar: When an investor, let's say, goes to a microfinance institution, the microfinance institution would take his details, verify them, which means they will either look at the originals. Most of the time, they look at the originals.

And then they will upload that information to CKYC. In the KRA architecture, the intermediary will take all of those, will do whatever verification they are doing. KRA will do a full verification, so a name match, a face match, a DOB and address from source, typically DigiLocker UIDAI. So it's a 2 leg process rather than being a 1 leg process.

Sanketh Godha: So sir, which means that the phishing related -- basically even if CKYC becomes one KYC kind of a norm, given authentication and verification part is too strong here. Is it fair to say that you will not see a meaningful disruption even if CKYC gets adopted because of that extra second layer of verification?

Anuj Kumar: Well, they're trying to build a lot of these features. All I can tell you is they are trying to build a

lot of these features like Rome wasn't built in a day. So it will take some time before those tens of crores of consumers kind of fit into this architecture. But for their road map, they are also trying to build it. I would say the KRA architecture has been significantly ahead of market in the last 5 years in building all of this ahead of time and implementing it in all earnest.

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Moderator: Ladies and gentlemen, that was the last question for today. I would like to hand the conference over to Mr. Ram Charan for closing comments. Thank you, and over to you, sir.

Ram Charan: So thank you to all the participants for spending time with CAMS and following our story. If you have any queries, please do reach out to Orient Capital or Anish Sawlani, and they'll be happy to assist you. Once again, thanks for your time.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of MUFG, that concludes this conference. Thank you for joining us. You may now disconnect your lines.